

Zen Technologies (ZENTEC)

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Call: May 2023

Date: May 12, 2023

To

Listing Department BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400001

Through: BSE Listing Centre

Security Code: 533339 To

Listing Department National Stock Exchange of India Limited Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051

Through: NEAPS

Symbol: ZENTEC

Dear Sir,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
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Please find enclosed the transcript of the Conference Call with Investors / Analysts held on May 8, 2023, on the financial performance of the Company for the quarter and year ended March 31, 2023.

Kindly take the same on record and acknowledge the receipt.

Thanking you. Yours faithfully,
For Zen Technologies Limited
M. Raghavendra Prasad Company Secretary & Compliance Officer M. No. A41798

Encl: as above

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Earnings Conference Call
May 08, 2023

Moderator: Ladies and gentlemen, good day and welcome to Zen Technologies Limited Q4 and FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only-mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Mehra from TIL advisors. Thank you and over to you, Sir.

Abhishek Mehra: Thank you Michelle. Welcome everyone and thank you for joining this Q4 and FY23 Earnings Conference Call of Zen Technologies Limited. The results and investor updates have been emailed to you and are also available on the stock exchanges. In case anyone does not have a copy of the same, please do write to us and we will be happy to send it over to you. To take us through the results of this quarter and answer your questions, we have with us today Mr. Ashok Atluri – Chairman and Managing Director, Mr. Afzal Malkani – Chief Financial Officer and Mrs. Shilpa Choudari – Whole Time Director.

We will be starting the call with a brief overview of our performance which will be followed by the Q&A session. I would like to remind you that everything said in this call reflecting any outlook for the future which can be construed as a forward-looking statement must be viewed in conjunction with the uncertainties and risks that the company faces. These uncertainties and risks are included, but not limited to what we have mentioned in our annual reports which you will find on our company website. With that said, I will now hand over the call to Mr. Atluri. Over to you, Sir.

Ashok Atluri: Thank you Abhishek. Good evening all fellow potential owners of the Company. Welcome to the last quarter FY23 results and the full year earnings conference call of the Company. It has been quite a gratifying year and we have recorded the highest ever revenue in the history of the Company and we see that the momentum has just started, and it will continue to the future. During the quarter the fourth quarter we secured new orders worth about 141 crores and orders in hands improved to 473 crores. We have also

participated in large bids, and we think that we have a possibility of winning some of them, but everything will become clear during the first half of this financial year.

These are significant if these orders come through and in anticipation we are taking some look at the key functions like the supply chain, procurement, production planning to ensure operationally we are able to execute the orders when we get them and also we have started recruiting very high-end technical manpower and non-technical manpower. So, as owners of the company if you have some good resources to b

e recommended, please do recommend them that will be very helpful to us.

Again, we do feel that Zen's employees were underappreciated and to correct that we started giving ESOPs to them this year and we expect more ESOPs to be given to them and this is again without charging the shareholders in the sense that they are not issuing

Page 2 of 16 new shares we are actually buying from the cash that we have from the market and giving it to them. So, that was the existing share holders proportion of ownership does not get diluted and having said that coming to the liquidity position we have a very, very strong liquidity position and we will be able to allow not only execute these orders, but also plan our future growth plans like export market, more R&D and severe investment into Anti Drone Systems.

One of the questions that I am being asked is will you be raising further money, but again the answer to that is no we will not raise any money for these things unless a large acquisition comes which makes sense to us. Again, I am really very antithetical to any kind of acquisition just for the sake of acquisition. If it would make sense or it is synergistic and in the real sense that the whole is greater than the part which they will make us better we will definitely look after looking to them.

Again, in the current scenario there was a simulation framework we have been talking about. In September 2021, the Government of India ensured that saying that the conventional training should be moved to simulator training for various reasons and we think that in addition not only efficiency, it is not only better soldiers, but it makes sustainable sense also in the sense that you have to be more environment friendly you save a lot of money and also armies are also talking about becoming sustainable army.

So, this is the way for the army to become sustainable, no pollution, no travelling to the ranges and the saving of the ammunition. So, it is all win-win and the people use them and the simulation framework has exactly given that push and we can see it is happening. In addition to that, the Government of India is also looking at emergency procurement plan which is also helping us. So, again our immediate plan is that how do we really exploit the leadership position in the simulators that we already have for the simulators and there are many simulators for which there is still no demand created. So, we are interacting with the armed forces and saying which of the simulators they would like to do.

So, that would be the second part and the third is of course we really want to invest a lot of money into anti-drone development. As of today we feel we are the number one in India and we will grow our efforts. We do not want to supply to the Indian Army with number one in India. We want to supply them the anti-drone system that is number one in the world in a worst-case number two. So, we will need to invest a lot of resources to be globally a dominant player in anti-drone system that is the third area of focus and of course we are also looking at exports market which are including Middle East, Africa and CIS country and we do expect that our annual maintenance turnover revenue will grow significantly after two years especially given the flow of orders that are coming they will be significant for us.

On R&D, we have spent the highest ever this year, but we expect to catch pace given the fact that anti-drone and export areas, export customization will be area of focus for us. Very frankly the results are very gratifying. We were expecting the results to be much more than this and the reason is that there is a spillover of the execution into the Q1. So, I think a significant part of the unexpected order will be executed in Q1.

So, Q1 definitely is expected to be a little strong quarter for us, but overall, we are very, very hopeful about the whole year and we are

a id that 470 crores of orders are pending as on date and we expect that about 350 to 400 crores of that may be executed during the year.

Page 3 of 16 So, this was the order book position and these development sets the stage for a robust start for the next financial year, and we are extremely thrilled to build on this momentum.

In conclusion, I would like to say that Ze n is working with great financial position, fantastic innovations happening as we speak including getting into augmented reality, extended reality, mixed reality and very, very focused R&D in the area of anti-drone systems. We have never been so excited in our 30 years of our existence. Even though two decades of our listing since 2000 we got listed at as par, we had gone at par now after 10:1 split we are still doing well. So, with this, I w ould like to hand it over to Afzal to just go through the highlights of the year and the quarter and then we will open for question and answer. Afzal could you take over from here.

Afzal Malkani : Thank you, Sir. So, good evening, everyone. As you just heard from our CMD, we are thrilled to report that we have delivered an excellent quarter on multiple fronts be it quarterly or year-over-year growth during Q4 FY23 and the fiscal 2023 with our highest ever revenue achieved. I am pleased to provide you with a financial update of our performance on both a standalone and consolidated basis. Let me begin with our standalone financials highlights for the fi scal 2023. We witnessed a revenue growth of 200% on a YoY basis reaching Rs. 161.44 crores. Our EBITDA grew by 701% on a YoY basis to Rs. 58.33 crores and we saw a remarkable PAT growth of 1,763% on YoY basis which was Rs. 37.64 crores. Out of our revenue Rs. 125.54 crores were contributed by the sale of equipment while Rs. 35.90 crores came from over AMC business. In terms of equipment sales, we witnessed a split of Rs . 55.5 crores and Rs. 70 crores between export and domestic respectively.

Moving on to the stand-alone financial high lights for Q4 FY23 we achieved our revenue growth of 364% YoY reaching Rs. 74.14 crores. Our EBITDA grew by 960% on a YoY basis reaching to Rs. 26.5 crores and we reco rded a PAT growth of 1,133% on YoY which was Rs. 17.27 crore out of our revenues for Q4 Rs. 66.28 crores were contributed by the sale of equipment was. Rs. 7.86 crores came from our AMC business.

In terms of equipment sales, we witnessed a split of Rs. 31.22 crores and Rs. 35 crores between export and domestic respectively. Moving on to our consolidated financial highlights for the fiscal year 2023 we achieved a revenue growth of 213% compared to FY22 and achieved our revenue of Rs. 218 .85 crores. Our EBITDA grew by 100% on YoY reaching Rs. 79.86 crores and we saw a PA T growth of 2,047% and achieved a pat of Rs. 42.74 crores after adjusting for non-controlling interests.

Now, in conclusion we are pleased with our financial performance and remain optimistic about our growth prospects for the coming y ear. With that, we conclude our opening remarks, and we would now like to open the floor for questions and answers.

Moderator: Thank you very much Sir. We will now begin the question-and-answer session. The first question is from the line of Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur: Just a few questions from my side to start with could you give us any kind of guidance on revenue growth and margins for the next two to three fiscals and if possible if you could split that you know either growth projections by equipment sales and by AMC that is my first question?

Page 4 of 16 Ashok Atluri: As I gave the overall projection that you know number one the first quarter is going to be strong because there will be a spillover and then we expect 350 to 400 crore kind of turnover this year and let us see how it tu rns out, but that is the pending order size now currently with us. So,

that is a very broad guidance that we are giving. In terms of AMC, we expect the AMC to grow to, I think they are about 40 crores now they may grow to about around 50 crores or so, but as and when these current orders get executed the ones which have been executed and they get ex ecuted typically after two or three years depending on the warranty of the period they start generating revenues anywhere between 8% to 11% depending on what the AMC is. So, we think that additional AMC may be generated third year onwards from this. So, that will be a very good thing in the sense that not only our overhead will be taken care of, but we will also probably make a profit just out of the services that we are entering.

Shirom Kapur: My next question is regarding so just to get an understanding so in your revenue split on the presentation you give AMC versus equipment for your standalone at consolidated level where we have the subsidiary revenue, is there a split of equipment and AMC within that or what kind of revenue is generated through the subsidiaries? Is it comparable to what the standalone business generates?

Ashok Atluri: This is I think a completely equipment, but I will check with Afzal whether there is anything that Afzal can you clarify?

Shirom Kapur: My question is within the subsidiaries is there a split between equipment sales and AMC or is it all under equipment, if you could provide that breakup?

Afzal Malkani: Yeah 100% equipment.

Shirom Kapur: You know compared to FY21 and FY22 where we saw 80% plus gross margins in FY23 we are seeing gross margin come down to about 73%, is there any reason for this sharp decline, is it maybe because equipment sales have gone up versus what the share of AMC was earlier or could you please give some color on that?

Ashok Atluri: You are in fact very right. I think because that was only AMC there is not much equipment cost, but mainly mostly of the manpower costs which are there. So, you are right absolutely that because of the AMC revenue as the percentage was very high in at 21-22, but subsequently this equipment that has taken over and so the gross margins have come down.

Shirom Kapur: And my last question is this increase in bandwidth and manpower that you are planning to do to deal with the additional business, how is it going to affect your cost profile and margins, are we going to see higher employee costs and higher other expenses as a percentage of sales going forward?

Ashok Atluri: No, it will definitely not be negative. I think we will be able to maintain the same margins, but you are right that margins are under pressure because all the input costs have gone up, but our thinking is that we should be able to manage this up to 35% of margins operating margins.

Shirom Kapur: Is it 35 or 40%.

Ashok Atluri: 35.

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Moderator: Thank you. The next question is from the line of Manan Shah from Moneybee Advisors. Please go ahead.

Manan Shah: You mentioned that there was some spillover of the order from current quarter to the next quarter, can you quantify that number?

Ashok Atluri : So, I think they would be about 140 crores or so

Manan Shah: This order we are expecting to execute during the Q1?

Ashok Atluri: During H1 definitely, but mostly much in Q1.

Manan Shah: Also, we were executing a large order for the anti-drone so I believe around 90 odd crores remains unexecuted, is this the same order or is it a different order that we are referring to?

Ashok Atluri: It is the same order we are referring to.

Manan Shah: My next question was only R&D so we spent roughly 19 odd crores last year and going forward also, so just wanted to understand whether this R&D is primarily towards these simulators or towards the anti-drone and I mean what are we thinking over there?

Ashok Atluri: It is a mix of both anti-drone and simulator expenditure, but we expect anti-drone systems to really pump up in the next few months and years. R&D expenditure will also increase because the Government of India is moving towards the new equipment mostly made

India kind of equipment. So, we will have to make newer simulators for the new equipment that are coming in and the third thing is we are participating in international trade where export equipment will require customization of our simulators to match the their tank or their artillery or their weapons. So, yes R&D we expect it is going to go up.

Manan Shah: So, primarily the R&D spent is happening on the anti-drone side where in the hard kill we try and integrate our system with their hard kill equipment.

Ashok Atluri: So, hard kill investment is also there. So, the expenditure is happening in two fronts. One is Zen is making some expenditure and our subsidiaries is also doing some expenditures. So, the part of the work what we are doing is reflected in there and yes of course the one major area is integration of hard kill partially the hard kill integration for couple of weapons, but we want to expand it to other hard kill options also.

Manan Shah: Next question was, so I mean in our history we have not executed such large order. So, wanted to understand how are we gearing our manufacturing partners in our supply chain to execute these large orders that we're anticipating going forward?

Ashok Atluri: So, the thing is very frankly last year we did about 60 crore this year we did about 160 crores and we have almost executed the other part also. So, from 160 to 200 crores to another 300 or 400 crores, we do not think it will be a big challenge, but what we are doing is we are actually ramping up the supply chain very much so that even if extraordinary amount of order instead of something even of 2x what we are expecting and we should be able to handle it. Everything is being looking deeply where are the bottlenecks moving the bottleneck, this is our dream situation. You know dream situation

Page 6 of 16 is sales should not be a bottleneck and some supply chain should be the bottleneck if that situation comes we would be very happy about it, but secondly because we are preparing because its operation challenges should be smooth. So, we will do a lot of exercises of what are the possible operational bottlenecks, and we are trying to ease them and we feel confident that when the orders come we should be able to do this.

Manan Shah : And lastly we have seen very good cash flows, but I understand that based on the increase in the other liability items these are some large cash advances that we have received, is that understanding correct?

Ashok Atluri: One thing is there is a cash advance that we have received, but the fact is that we have not recognized the revenue because there are certain clauses in the contract that needs to trigger to recognize the revenue. So, our part of the liability is over, but it is not recognized. I would say that that is the difference, but there is no much expenditure to be incurred in that regard.

Manan Shah: So, can you quantify what sort of numbers of this advances that we have received?

Ashok Atluri: It is about 70 crores you have received so 70 crores has to be recognized.

Moderator: Thank you. The next question is from the line Harsh M. Please go ahead.

Harsh M: I just have one question are we seeing any traction on the Agnipath scheme and have we received any orders under that scheme?

Ashok Atluri: There is a huge demand because the government wants to efficiently reduce the thing and we are expecting some orders in that regard also. So, it may happen in the next few months, but just a big plus for us because the government wants to give better training in a shorter frame and the only way to shorter frame of time can be training on simulators. So, we have lot of enquiries for asking for the simulators. So,

it is giving us a big kind of advantage as we go further.

Harsh M: Can you quantify the enquiries which you are getting as of now like in few crores, what would be that quantum if it translates?

Ashok Atluri: Maybe a couple of 100 crores yeah.

Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital.

Please go ahead.

Darshil Jhaveri : So, I am a bit new to company so I just want to know as our revenue increases, how do we have to see capacity in terms of our industry, so would there be a proportional increase in expenses we will be able to benefit from leverage or could you just help me get a bit about our capacity and how much is it capable of handling right now and what additional cost would we need to incur?

Ashok Atluri: So, again when we look at a company like Zen we are actually our bill of materials goes somewhere between 20% to 35% on an average of the contract cost and the remaining 65% to 80% on an average they reflect the IP content of the form which is basically software product. So, again we always believe that we should be with the most value driven company in the world as far as training simulators and anti-drone systems are

Page 7 of 16 concerned. So, because our competition is from foreign overseas companies mostly we get a good margin on this. So, to your question will these kinds of margins sustain into the future. We do think that these margins are sustainable into the future, do we get any fixed expenses because fixed expenses are limited we will get some leverage, we may get some leverage. We do think that there will be leverage, but again we are being extra cautious and conservative and saying that we will sustain these operating margins, but in all probability they may improve.

Darshil Jhaveri : And our R&D would also be on the similar lines like as a percentage of revenue or that might increase right on a couple of years because we want to go a bit more on research?

Ashok Atluri: So, one thing is I should potentially warn the people who want smooth earnings and predictable revenues and all that. So, that is why we do not have any institutional investors in our company. Know that Zen management is very opportunistic if they find a good opportunity, they will invest a lot of R&D. If there is no opportunity, they will relax and they will not hurry up on the same. So, we will never work as a percentage which lot of large companies do if sales grow. I must do 8% whether there is opportunity or not we spend the 8%, not in Zen. In Zen we will be very careful that if there is a huge opportunity we will spend a lot, but if there is no opportunity we will not spend, but as indicated now to you we are looking at areas of exports, anti-drone systems and more products from India emerging simulator for those few things and we should see R&D go up, but again it will never be as a percentage because we have something where 8% has to be spent to show to some presentation to someone no, but yes we will be spending we expect the R&D expense to go up, but it will never as a percentage of thing.

Darshil Jhaveri : And if I may just one more question so we are talking about a lot of orders that we have applied for, so any value you know how much we have applied for and what could be our win rate, something along those lines would help a lot?

Ashok Atluri: It is a few hundred crores, but I would just wait for the things to work out and you have to just wait for a couple of months. The result will start trickling down and we feel that our fellow owners will be gratified with the results.

Darshil Jhaveri : One more question like in terms of order, so how much time do we really think we could complete whatever we have in orders in terms of equipment in a year like on an average what would be the time period?

Ashok Atluri: I think on an average between 1 year to 18 months should be enough for us only in very rare case we have gone beyond 18 months.

Moderator: Thank you. The next question is from the line of Divya Raj from RD Investment. Please go ahead.

Divya Raj: Any deadline for exiting order book?

Ashok Atluri: Yeah, so this 470 cores that we are saying out of that 350 to 400 cores will be executed during the current financial year. We are expecting it to execute during the current financial year.

Divya Raj: And any upcoming order in our hand or pending order?

Page 8 of 16 Ashok Atluri: So, we have bid for a few 100 crores worth of bids from the government and there are

some exports also in this. We expect the result to come in the first half of the financial year, they may come earlier than we expect or maybe, but anyway not beyond September 30th is what our calculation says. Again the moment we will get it before we realize, it is in the Stock Exchange. So, please keep an alert on Stock Exchange and you will be the first to know.

Moderator: Thank you. The next question is from the line of Akshay from Envision Capital. Please go ahead.

Akshay: Sir, wanted to know what would be our revenue from Indian government and entities currently as a percentage of total revenue?

Ashok Atluri: Indian Government I would leave it to Afzal to answer it, but I will add Afzal can you say how much is the Indian government revenue out of this 160 crores?

Afzal Malkani : Yeah, out of the Rs. 160 crore if we see our domestic revenue is about Rs. 70 crore so almost 50% revenue is coming from the domestic market out of this 70 crores we can say that 85% to 90% is from the government.

Akshay : But even the AMC revenues are from the government of India that 35 crores whatever it is?

Afzal Malkani : Apart from that, apart from the equipment yes AMC revenue is also from the government. So, we can say that from 70 crore for the equipment and Rs. 35 crore for the AMC. So, total approximately out of Rs. 105 crore I think approximately 85 to 90% we can say.

Akshay : Sir, on the AMC side we are planning to scale up to 40 to 50 crores of revenue currently the order book stands at around 146 and if I am not wrong these are executable over a period of five years, right?

Ashok Atluri: It is like this. I would say it is not exactly divided by 5. Because out of five years I might have executed two years. So, they may be having only three years of runway. So, I think towards the fifth years if you taper down a bit, but all together it is executable over five years, but not divided by five. It will be little higher in the beginning and as we go down it will be lower.

Akshay: And what would be the order anti-drone order value which we are going to execute total order value?

Ashok Atluri: So, total order value is around 150. So, another 90 crores is unexecuted which we expected to execute.

Akshay: So, lastly we had been talking a lot on R&D and likes so as per my understanding in defense generally the companies, other companies, private companies actually are incurring development costs and they are generally getting reimbursed by DRDO though they would not have an exclusive IP for that, but still they have these sort of models, so in your since you are an industry veteran, so in your perspective which is a better model and why have we adopted to go for a upfront R&D model views on it?

Ashok Atluri: Very quickly you touched upon the subject, which is little deeper, but I will try to run it down in maybe two, three minutes. When we look at a lot of people talk about Make in

Page 9 of 16 India and all that and we always talk about Make in India as a big thing, but when you look at products like Apple and you know what the cost of material where \$1000 Apple Phone the bill of material is \$245 and you know how much does Foxconn charge for the \$1000 how much does it charge Apple are you aware of that?

Akshay: No, I am not aware.

Ashok Atluri: So, it charges about \$5. So, Make in China content of \$5 of Apple is only 0.5% not even 1%. So, to make the manufacturing aspect is very less part of this, the \$750 that Apple gets of course there are other costs, but the \$750 that Apple gets is because it owns the IP of the product. So, the IP content is very, very important. So, very early we had decided that we do not want to be the manufacturer or just the manufacture of the product. In fact, we will outsource the manufacturing. During the whole supply chain when you look at R&D, engineering, manufacturing, procurement, delivery installation after sales maintenance all the sectors are owned by us except manufacturing which we outsourced to Hyderabad and other vendors who are much more capable than us. So, R&D has been a way to capture more value and again when you own the IP, your ability to capture more values is there and second thing is

when you collaborate with like DRDO it will be a great organization, but they are designing the product and they are giving you the design and they are asking you to manufacture it sometimes the desired ownership is with them, but this is a very good model. They have called DCPD where they will earlier we could designate anybody as manufacturer, but now they find this DCPD we will make you the production partner, but again the point is the past everything is maintained, but next time you want to upgrade yourself, how will you upgrade. So, our thinking is this that when we own the IP, when we do the design, we are evolving at an insane rate every three months the product is being improved, but for an organization like DRDO that rate of improvement is not possible and again we never are we under the delusion that we are competing with Indian partner for Indian order, we always think we have to deliver world class product to our Indian government, so what do we do that? So, that is the reason we compete with the best in the world and we have been doing similar to that but again in anti-drone we are still not there. We will be there in three to five years, but I hope I have answered your question.

Moderator: Thank you. The next question is from the line of Gautam Rathi from CWC. Please go ahead.

Gautam Rathi: Actually, I just wanted to understand couple of things better for a quarter result, so one was the employee expenses what we see now, what we used to do 7 crore, 8 crores a quarter has moved up substantially to 13.5 crore, is there something which is onetime in this expense or is this the new run rate which should continue into the future, how should we think about this?

Ashok Atluri: Sorry Gautam what is that which was 7 crore became 13 crore I missed that part?

Gautam Rathi: Quarterly employee cost which was 7 to 8 crore?

Ashok Atluri: It has gone up because we are expecting larger order. We need more manpower and this we expect will go substantially up into the next year because we will be executing larger orders and we will be requiring not only more manpower, but better manpower. Not only at the middle level, but also at the top level. We expect these costs to go up, but even if they go up substantially then still, we will not have a great impact from the bottom line of the company.

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Gautam Rathi: So, 13 and a half crore what I understand is a stable expense now you will add on to this as the quarters goes by right, as you get larger orders you believe this, this could move up to say 15 crore to 20 crores a quarter kind of number am I understanding it right?

Ashok Atluri: Yeah, let us assume that we will go to 25 crores.

Gautam Rathi: If you see our roughly generating 100 crores a year employee expenses that is these are I am assuming all permanent employees and you are getting and where are we adding, are we adding it for sales, are we adding it for?

Ashok Atluri: Lot of temporary employees. I think as on t

oday the temporary employees are almost 35% to 40% of our employees are contract employees. So, there will be few substantial amount which will be recruited just for the order of execution and we have a incentive for these guys who perform very well. We take them in to the permanent role, so they have a huge incentive to work very hard so that is what we do, but these are not like a permanent fixed cost. They will go to 25 crores only if we are getting order from those sides.

Gautam Rathi: So, you are basically saying that 13 crores is primarily because you executed a large amount of order and which is why you had temporary employees, you expect their revenue to continue which is why the employee cost will go up and if the orders do not come through the employee cost still normalized, right? Is that understanding correct?

Ashok Atluri: Yeah, exactly you are absolutely right, you are 100% right.

Gautam Rathi: And just to understand better because you said there is also some amount that you are investing in permanent employees for R&D and other opportunities, so can you just bifurcate that how much of this 13 and a half crores would be investment in structural investment in increasing your capacity versus how much would be for temporary employees?

Ashok Atluri: I would say about 60% would be almost permanent and 40% would be temporary, but I am just making a wild guess at this point in time. I could probably give you better figures, but again the point here is we are

very, very conservative and you should pray, you should actually go to Tirupati walk up and give up your hair if we incur 25 crore expenditure.

Gautam Rathi: We are very happy we have been waiting for you to do this?

Ashok Atluri: You should actually deliberate that.

Gautam Rathi: And just one request Mr Atluri which will be very helpful on behalf of the entire investor community if you could also whenever you think it is right also you know give out a probabilistic framework for your funnel where you could just give us that the large orders that you see in the funnel and what is the probability that you assign for it going forward, so it could be it could be very helpful for us investors maybe you could do it every 6 months or whatever way you see it, it will be very helpful for us to track the company well?

Ashok Atluri: Number one there is this 80-20 rule is very applicable that you know 80% of your revenue comes from 20% of the order. When you do a probabilistic model this does not work on these things, at least in our case it is very difficult to do, but you know what I want you to

Page 11 of 16 do is I will lay down on the table Zen is at intersection of technology, manufacturing and defense. We have hit the sweet spot of that. If you believe in the India story, if you believe in this government then Zen is playing out that story at this point in time and we are actually we are the biggest beneficiary of all the initiatives that this government is doing. So, don't think that microscopically what will happen to this, what will happen to that. The big picture is that that Zen has been working for 30 years and now time has come. We have been developing IP and nobody used to give a damn about IP in the Indian government, but in only in 2015, 2016 the new initiative called indigenously designed product to be given preference was introduced by late Manohar Parrikar, may God bless his soul. We are now talking about Aatmanirbharta, what is Aatmanirbharta? Aatmanirbharta is self-reliance and IP play. So, government is completely changed. They know that if the companies like Hyundai and Honda are there. They may make in India, but billions of dollars of revenue royalties are going out of India. So, now as Nitin Gadkari said we need to own the designs of the engines and all that. So, we can go into all these models and satisfy you probabilistic I mean there are many packages like that that will give you a tremendous feeling of Oh my God this is good, but anyway I get your point Gautam we will try to work out, but get the big picture that this is what kind of in fact is Zen and I think that will be a better thing, but again we may need these kind of projections to convince some investors. Let me discuss internally with my team and get back to work.

Gautam Rathi: No, we fully understand what you are trying to say and we fully understand the excitement that you are seeing in terms of the change that is happening out there and we also understand the risk of putting these things out because it may not play out lot of things can go not good as per what the models say. We fully understand that, but just think of it from our point of view we are completely in the dark dark. We may become slightly lesser dark is what we are saying it will give us some sense of what is to happen. Whatever you think is the best way possible is we can definitely work with that. We are not asking for anything, but whatever you think is the best possible way to see this we understand that. The big picture story we fully understand.

Ashok Atluri: No, Gautam really I am putting myself into your shoes and I appreciate your question, but I am just trying to give my angle of the thing, but now that we have raised it, let me discuss with my internal team and try to see what kind of model can we create so that you know it can resonate with you.

Moderator: Thank you. The next question is from the line of Rajiv Kumar Gupta from Prudent Invest Mart. Please go ahead.

Rajiv Gupta : I want to ask one question lately ZEN participated in tender for anti-drone system I think portable anti-drone system and some Indian startup won that tender, so is the competition bringing up in our anti-drone system and did our company also took part in that tender or not, if that is possible so in future is our company going to facing some margin pressure on that or why we lost that tender please?

Ashok Atluri: So, Rajiv let me try to understand this, let me try to rephrase your question what you are saying is did we participate in any tender in which the startup took the order from us, you have the name of the startup with you?

Rajiv Gupta : I think it was in the name of Colonel some Colonel I forgot the name individual Colonel who won the tender 180 portable anti-drone system tender was there?

Page 12 of 16 Ashok Atluri : So, we do not make portable that it was a handgun thing. It is a very small basic thing. So, we did lose that time and so we do not make that thing. See, our price was priced around the larger ones that we make. So, in our segment which cost between 5 to 7 crore, we do not have any competition in India and we are very focused on that segment only. So, this segment is very, very big segment. So, the startup segment is a different segment. As you are right about it, but this is about two years back you are talking about not in the recent past. So, the fact that we are making in our area there is nobody in the indigenously designed capability who is able to compete with us, number one. Number two the problem with the startup market is this that we are playing an infinite game. All the startups are playing a finite game, so what is the difference between infinite and finite is they want to do development in one year, one and a half years they want to get orders, two years they want to raise money, three years they want to become a unicorn. So, by the way we are 30 years into the thing we are still we are about \$300 million now and that in the last two years the growth has been there. So, people know this product requires 15 years of maintenance. Now you want to be with a long term player. The government now and armed force are becoming very careful that who do they give the order and are these guys able to sustain for the next 10 or 15 years. So, this is not really a st

artup kind of thing I would say a new software package or something is different from this where commitment of 20, 30 years is required from the player. To your question yes this was something we did not want to focus on, so we quoted very high we did not get that two years back, but now we have one segment very clearly defined in which we are absolutely and again our IP is almost 100% IP, we do not do any foreign software at all in this. It is complete the safest way to do to counter drone activity. So, I hope I have answered your question.

Rajiv Gupta : The market size of the anti-drone system in India?

Ashok Atluri : It should be couple of billion dollars.

Rajiv Gupta : Couple of billion dollars in India because I read the market size of the total 2029 report that it would be around 12 billion dollars of the world over?

Ashok Atluri : So, when we talk about this thing when we multiply this typically the size of the protection that they gave you is around 10 kilometers. When you do around the whole border and the sea land of the country and all the nuclear installations, refineries with all these things when you start adding that up and you can see what are we talking about. Couple of billion dollar is 2000 of these system, do we require 2,000 system? My bet is more than 2000 systems, much more than that.

Rajiv Gupta : Are we also going to set up our office in Dubai, so we are just looking for that anti-drone system there also, is there any probability that we could find some ordering that on anti-drone system from Dubai market?

Ashok Atluri : No, Abu Dhabi we have an office so we got an order, we are executing the order currently. So, that is one thing. The second thing is we are putting in export effort, we are trying to export also from UAE, but it will be basically orders will be from India only. So, yes we are trying for both the simulator and the anti-drone systems from that that we are using that as a marketing place for our Indian products both simulators and anti-drone systems not only just anti-drone but both of them we are trying to promote into it globally into the market. Three markets that we have talked about Africa, Middle East, and CIF countries.

Moderator: Thank you. The next question is from the line of Abhijit Mitra. Please go ahead.

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Abhijit Mitra : I have a couple of questions firstly regarding AMC and the percentage of AMC of your topline, how do you see that number moving as over the next three to five years?

Ashok Atluri: So, the next one thing is typically when we execute the order in the current year we give a warranty of typically two years maybe very rarely three years. So, after three years the warranty kicks in and if we have seen that most mostly the armed forces etcetera, they usually take the AMC because they are very keen to keep the equipment operational. So, whatever we are executing in the current year and the next year let us say 160 plus 300, 350 or whatever. So, these 500 crores let us say we just see from now this is 24 year and we are talking about by 26-27 these were all kicking into as AMC revenue. So, now we

are at let us say 45 crores by that time we will be around 95-100 crore.

Abhijit Mitra : As a percentage it may not necessarily increase because the revenue is there?

Ashok Atluri: You should actually say that 90 crores become insignificant percentage that is what you should pray as a shareholder, but it should become 1% because the other 99% will be 9,000 crores.

Abhijit Mitra: And in terms of anti-drones, I mean anti-drone system as a percentage or as a pie I mean would it be sort of majority of your top line I mean that is how you are sort of placing out or you feel that simulators can also contribute significant?

Ashok Atluri: So, one thing is worldwide, two things happened. One is the Indian government moving towards this simulation framework and making it compulsory in September 21 and then

the Ukraine War broke out between Russia and Ukraine after the war broke out they were furiously procuring the operational equipment only a much deeper into the war. We should not actually be trained for operating this expenditure then they accelerated procuring the simulator for the weapons because they did not know how to operate them. So, it requires a lot of thinking, a lot of forethought that trained manpower is the key to winning a war and the conventional training methodologies are not enough given the situation and given the urgency to train people efficiently and cost effectively and in the environmentally friendly way in a short period of time.

So, yes simulators are growing not only in India, but worldwide they are catching up at this point in time number one. Number two anti-drone system will become significant contributors to our revenues especially in India. We think we will become, but globally also we want to become a dominant player and really see that there are a lot of anti-drone systems are exported from India, but there is a question mark on that because we are we are doing R&D and the other people are also doing R&D. How will we come up against them? It is almost like a game whether they are betting on something, we are betting on something, how will it work out is a little bit of unknown, but we think we will be a significant player in anti-drone system. So, with that, I would like to conclude on this.

Abhijit Mitra: In terms of total addressable market which one gives a higher pie does anti-drone gives a higher pie or simulator gives a higher pie?

Ashok Atluri: So, probabilistically in the sense that certainty if I see IP simulators where we are going to be a big market for us, but probabilistically if we get little lucky anti-drone would be absolute categorical and it would be dominant.

Page 14 of 16 Abhijit Mitra: And annually what would be the spent of simulators by the armed forces put together army air force?

Ashok Atluri: I think air force and navy would be very, very huge, but an army our addressable market I think would be about 8,000 crores Zen's addressable market.

Abhijit Mitra : Does the annual spend on simulators that they execute?

Ashok Atluri: No, I am talking about the addressable market over the next five to seven years so approximately 1,000 crores is what they are spending right now and out of that majority would be imports.

Abhijit Mitra : In the past they were not spending, but after the introduction of this simulator framework they will start spending from this year onwards if you feel?

Ashok Atluri: So, we will see how much they will buy from us, how much they will have to import we will have to see all that.

Abhijit Mitra : Sorry to extend it by one last point. So, how much have they actually spent over the years on a per annum basis, what has been the spend?

Ashok Atluri: So, you can say that whatever Zen's turnover has been their spent approximately.

Abhijit Mitra: But there would be also an import component I guess?

Ashok Atluri: So, there is import component not in the army simulators because army simulators are available in India, but for example flight simulators, naval simulator that are not made in India, they have been importing it from abroad like flight simulators etcetera.

Moderator: Thank you. The next question is from the line of Ajay Surya from Niveshaay. Please go ahead.

Ajay Surya: My only question is like what is the order book for our subsidiary and is it towards equipment or AMC and how much do we expect our subsidiaries to contribute for this current year?

Ashok Atluri: So, I do not think they have executed all the orders they have in hand Afzal do you have any figure on that.

Afzal Malkani : Yeah, approximately Rs. 40 to 45 crore.

Ashok Atluri : They have order book position 45 crores.

Afzal Malkani : Yes.

Ashok Atluri: S

o, Ajay they have 40 to 45 crores I think they will definitely conclude it during the year they will finish it off during the year.

Ajay Surya: And how much do we further expect the subsidiary to contribute for this financial year?

Ashok Atluri : One thing is the anti-drone system that we order, we get there is typically partly executed by the subsidiary. So, because R&D was funded by them, but it was developed by them

Page 15 of 16 they have the capability. So, whatever anti-drone system we are talking about, part of that will be executed by them. So, the more anti-drone we get, the more they will be executing as part of that.

Moderator : Thank you. The next question is from the line of Ashish Goti an individual Investor. Please go ahead.

Ashish Goti : Couple of things which I wanted to ask one with regards to when we are talking about on an average 15 to 18 months of order execution timeline, should we expect a bigger order pipeline of more than 500 crores or it would always be that all order pipeline would be to the tune of 500 to 600 crores that was question number one then we have something on anti-drone system. Now this anti-drone system since you said that subsidiary is contributing to it and our numbers profit after tax also wherein consolidated where you have mentioned adjusted for non controlling interest, so controlling interest is with whom and how much it is taking away from us?

Ashok Atluri: So, let me start with your last question basically we have 51% of the company controlling interest in the company. So, non-controlling interest is 49%. So, whatever was the profit we reduce the profit by 49% and we just took whatever was attributable to us in the profits. I did not get the question you are saying do you have the order pipeline of 500 to 600 crores and you have 18-month order execution?

Ashish Goti : We have we have 473 crores of pipeline orders on your hand. Now if I am not wrong you had mentioned that normal execution timeline is approximately anywhere between 12 to 18 months, so, if I assume that this 473 crores should get over by in next 18 months maximum, so keeping this in mind if we want to have bigger order pipeline then what kind of manpower strength we need to have or else we would maintain the same order pipeline of 500 crores or 600 crores?

Ashok Atluri: So, I was saying that 18 months is maximum timeline, but in this case as I have indicated earlier that you know out of this if you take out the AMC we should be able to execute the equipment order, most of the equipment order in the current year itself that was what I am saying and again regarding manpower we are trying to scale up again we are making an estimate on where are the orders coming, where do we require the strengthening to be done, which manpower to hire, whom to hire on our role. So, all these exercises are being taken so that when the orders do come through we will be ready for execution of the order as fast as possible. Have I answered your question.

Moderator: We move on to the next question which is from the line of Girish Gupta. Please go ahead.

Girish Gupta: In 2021 in the AGM you are saying that please wait for two to three years then we will change the orbit, so can we assume that we have changed our orbit?

Ashok Atluri: Yeah we are doing a different orbit, but this is the inner orbit I would say, the real orbital a little different. So, yes we are moving it to a different orbit and the way the things are going I think it is only intermediate stock the actual orbital actual orbit where we settle is little far away is what my feeling is.

Girish Gupta: So, how much time we have to wait?

Page 16 of 16 Ashok Atluri: You have to wait for let us say I think you should get a feeler about it in the few months time.

Girish Gupta: We are feeling this is the second repeat question that I am asking that how much time we can expect

one year, two year or six months?

Ashok Atluri: Yeah, you should start getting the feel I mean as I said that we will come to in six months H1 we will come to know about some orders I think you will get a feel by the end of the H1.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Ashok Atluri for closing comments. Over to you Sir.

Ashok Atluri: Thank you, guys. Thank you so much for the fantastic questions. I love interacting with investors and as you can see in all Zen's AGM and earnings call we have really smart people asking smart questions and I hope I have answered to you intelligently and intelligibly and if you have any further questions, do get in touch with our Investor Relations advisor – Abhishek Mehra, Diwakar Pingle or our CFO Afzal Malkani. We thank to the investors, to my current owners and to my future owners of the company for their complete support and faith in us. Thank you for your time.

Moderator: Thank you very much sir. On behalf of Zen Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Sep 2023

Date: August 10, 2023 To Listing Department BSE Limited Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400001
Through: BSE Listing Centre Security Code: 533339 To Listing Department National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Through: NEAPS Symbol: ZENTEC

Dear Sir,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
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With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on August 7, 2023, on the Q1FY24 performance of the Company.
Kindly take the same on record and acknowledge the receipt.

Thanking you. Yours faithfully,
For Zen Technologies Limited

M. Raghavendra Prasad
Company Secretary & Compliance Officer
M. no.: A41798 Encl: as above

Zen Technologies Limited
Q1 FY '24 Earnings Conference Call
August 7, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Zen Technologies Limited Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Mehra from TIL Advisors. Thank you and over to you, Sir.

Abhishek Mehra: Thank you, Seema. Welcome everyone and thank you for joining this Q1 FY '24 Earnings Conference Call of Zen Technologies Limited.

The "Results and Investor Updates" have been emailed to you and are also available on the Stock Exchanges. In case anyone does not have a copy of the same, please do write to us and we'll be happy to send it over to you.

To take us through the Results of this quarter and answer your questions, we have with us today Mr. Ashok Atluri – Chairman and Managing Director; Mr. Afzal Malkani – Chief Financial Officer; and Mrs. Shilpa Choudari – Whole Time Director.

We will be starting the call with a brief overview of our performance which will be followed by the Q&A session.

I'd like to remind you that everything said in this call reflecting any outlook for the future which can be construed as a forward-looking statement must be viewed in conjunction and uncertainties that the Company faces. These uncertainties and risks are included, but not limited to what we've mentioned in our Annual Reports which you will find on our Company website.

With that said, I'll now hand over the call to Mr. Atluri. Over to you, Sir.

Ashok Atluri: Hi, good evening everybody. Really pleased with this quarter's performance. We have absolutely a new record for the Company and as very keenly observed by one of our team members we have done in the order book position it also improved significantly and the order book today what we have is actually more than all the last decades execution done till now. So, that's a very big plus and then we think that the story has just started. It's the beginning of a new phase of the Company's life. And this is caused by many factors and I would like to say that internally the Company

has been always focused on R&D has been developing lot of IP has been saying that we have to build technologies just to replace imported technologies. And we have also been saying one thing that Indian Armed Forces should not buy something because it's Made in India or it is IP ownership, they should buy because that's world's best product they are buying.

And in terms of simulators, we are absolutely there. We think that we are the world's best in many categories. And that's also evident from the fact that foreign vendors don't come to India and that's especially in the area where we are there. And I think they also pray that we don't go abroad into their market and compete with them, which we will eventually but we have started in a small way and we are getting good returns. With respect to Anti Drone Systems also we think that there has been a significant progress. We have got good orders in that segment and we expect that the demand for anti-drone systems is going to increase. And based on that of that intuitive field that we had in 2018 when we started heavily investing in R&D, our dream was at four to five years we'll get a product but Government of India pushed us for the unique thing that they pushed us and they said you have delivered it earlier. And we

were able to make the product to their requirements very, very tough requirements and we were able to deliver.

So, now we are investing a lot of money in that field and we expect that again our objective is the

same what we have been doing in simulators and that's just to become a dominant force. We don't want anybody to buy because of Made in India or I think Indian owned Company. But we want them to buy it because we are the world's best. So, in that direction, we will be investing our resources and our management bandwidth to ensure that we reach that position. Now to even this was internally that these companies have been doing but externally there have been huge changes in outcome whether it was Make in India few years back to Atmanirbharta. Atmanirbharta is more about intellectual properties like federal lands. Typically, when you buy a car like Mercedes or something, even though they say Make in India, there is a lot of royalty that flows back to Germany or any other country like it could be South Korea for Hyundai. So, IP is the soul of the product.

So, when Atmanirbharta came they started focusing from just manufacturing to IP ownership, which was a big boost for companies like us because they started talking about Buy Indian-IDDm. Buy Indian IDDm was little earlier than Atmanirbharta but the whole thing was they cracked the code and they said, listen we want IP on us. And then the government announced this defense positive list. Basically, they were saying that these are the lists in which we want Indian companies to make. They had looked at the capabilities which the companies had and we have almost more than 10 simulators in that in which they said we will never import this product from abroad. That was a big boost to us and they were saying that we will buy only from indigenous Company and indigenously Zen was making most of those simulators. And in almost kind of God sent blessing, government in '21 September they announced something called as a simulation framework from Ministry of Defense.

The simulation framework said that we have to move mandatorily to induct simulators into the armed forces over a given period of time and there were lot of benefits which we have been espousing for the last 30 years. With the simulation framework also was saying that these are the benefits of simulation. And obviously, one of the biggest advantages of simulation we see is the amount of sustainability in gradient in that in the sense that there was a study done by TERI. In Delhi there is a NGO, very, very famous NGO, their head got one. They are also related to the Nobel Prize winner. And what they said was issue by simulators for the tank simulator, the savings over the period of 30 years is around INR 130 crores. So, investment of a few crores can result in a savings of INR 130 crores over 30 years. So, this is not just the analysis but also the financial sense of very powerful case made. So, we think that with that report there is going to be a huge acceleration in the procurement of the simulators by the Government of India. And also we've been escalating geopolitical risk. What happened in Ukraine is today they have the world's most advanced weaponry systems ever but they're still losing wars evidently.

The reason is that they don't know how to operate. They have them but they are not being trained. So, this realization that in a high-level latest equipment without getting trained no use of something that has sunk into them and the cumulative demand is going across ballooning across all over the world that we need to get our guys trained otherwise just buying the equipment is not enough, something stands the same stand that Zen has been taking for decades now. So, given this, there are increasing geopolitical risks and especially India's improved stature, international stature, we are being approached by many foreign countries

and they are very, very keen to buy both the anti-drone systems and simulators. And again, Zen has never been such a strong liquidity position and as long as end of July we were having about INR 275 crores of cash in the Company. So, that's a huge

whether in terms of the FDs, lien FDs, now pre-FDs etcetera. So, we have a very, very strong financial position in a liquidity position. And I think this will really help us in executing our orders and whatever R&D plans we have.

So, I hope that there was a presentation uploaded on the stock exchange, you have gone through that. I really don't want to repeat what is there.

I would like to you know, one thing about Zen shareholders and investors is they're extremely smart guys and they really, really ask great questions. In our AGMs one other thing, I'll always look forward to, I hope that quality will be sustained here and I look forward to the interaction with you.

And with this, I would like to start the conference with the Q& A. Please go ahead.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may press * and 1 on the attached on telephone. If you wish to withdraw yourself from question queue you may press * and 2. Participants are requested to you handsets while asking a question. Ladies and gentlemen we will wait for a movement while the question queue assembles. We take the first question from the line of Sagar Tanna from Alchemie Ventures. Please go ahead, Sir.

Sagar Tanna: Hi sir, Congratulations on great set of numbers, Sir, in our presentation you mentioned that we also have export orders. Can you give us the breakup of how much is it from simulators and how much from anti-drone systems?

Ashok Atluri: So, they are about I would say one-fourth and three-fourth cost. Three-fourth will be heavy on anti-drone systems actually and little the recent order and the others are as simulators.

Sagar Tanna: And to which geographies do we predominantly export, Sir?

Ashok Atluri: So, we are focusing on the Middle East, Africa and CIS countries.

Sagar Tanna: Got it. And Sir, is the margin profile different from what we would get in domestic versus exports?

Ashok Atluri: Yes, I think initially what we will be getting will be very high because of the cost we're building for the future maintenance and all that. But as we go into the further years, our maintenance requirement may be a little higher than here. And the AMC that we get from them may not have as many margins. But the initial margins in the equipment sales are much, much higher than domestic.

Sagar Tanna: Got it. And Sir, my second question is on the order pipeline. You've mentioned that you already have INR 1000 crore order book including orders one in July. But what does the future pipeline look like?

Ashok Atluri: So, I think that by before the end of this quarter we are going to get few more orders. By before September, we're going to get few more orders and this order book position is going to build up further and most of these orders are going to be domestic orders. So, that is one thing. And the second thing is that overall we see the environment that there will be a huge sense of urgency that in both the sectors where they're saying training has to be done, there is some kind of an unease that something may happen. So, preparedness is predominant in their mind and we expect lot of simulators to be sold. And especially given the fact that you know and buttressed by the fact that simulators are mandated by a simulation framework issued by the Modi. And the second thing is that it's actually saving money, training people better and it can be done in shorter time even factors like Agniveer, etc., are also pushing the same.

So, given these two and the third thing is the sustainability angle that TERI said is the only way as armed forces can be sustainable. Usually, armed forces and sustainability are look like almost oxymoronic rate. But the fact is that they have found the way to actually save not only money but also the environment. So, given these factors, we expect the simulator thing to explode in the coming year

s. And anti-drone systems are in absolutely and given now though everybody is talking about them. It's almost a shift like you're fighting with swords. Now, if you don't have drones, it's like you're not having -- people are coming with guns and fighting

with people who are with really swords. So, guns will have tremendous advantage.

Now, how do you have the bulletproof jackets and etcetera for the guns is that is anti-drone systems. The anti-drone systems are going to be very, very huge, not only on the borders but

also in the key locations, even in refineries, factories. So, we expect this also to really, really and we were just lucky that we're at that point in time we started investing. We never imagined scaling up so fast. But again, we always believe that unless the Company owns the IP in India that there is no game. The game will be played by someone else. Fortunately, we were able to make it at the right time and we think that this is going to be very huge in the next few years. Anti-drone system is also going to play very, very big part both domestically and internationally. Sagar, I hope I answer your question.

Sagar Tanna: Yes, Sir, just one piece here. So, this order book is to be executed over what time frame? The existing order book.

Ashok Atluri: Over the next 18 months, I think most of the order will be executed, yes.

Sagar Tanna: Thank you.

Moderator: Thank you, Sir. The next question is from the line of Hiral Nandu from Kalpvruksh Capital. Please go ahead.

Hiral Nandu: Congratulation for the great set of number and completely turnaround situation, Sir. A couple of questions are already asked by my previous participants, but still two or three more clarification I would like to understand. Will the EBITDA margin sustain what currently are over the next couple of years? I understand you mentioned some margin decline for the AMC business in the future. But broadly on the simulator and anti-drone systems, whether the margin will sustain.

Ashok Atluri: So, I do think that the EBITDA margins are sustainable. Two things will happen. I think one thing is because of the operating leverage when we expand the turnover, the increase the turnover is more there are some benefits we get. We get more profits. And even if you were to assume that then there will be some pressure or some competition coming up. Or even if the pressure is there I think we should be able to maintain the EBITDA into current margins. So, they may compensate each other but in a very good scenario the margins may actually increase.

Hiral Nandu: Secondly, on the simulator side, especially with this Agnipath Pravesh Yojana on, what do the market size we see -- our opportunity size we see for next two to three years for this simulator side business?

Ashok Atluri: Internally we have done some estimation. It's about INR 15,000 crores.

Hiral Nandu: Great. Thanks. That is my couple of questions. Some got already answered. Thank you.

Ashok Atluri: Thank you Hiral. Thank you so much.

Moderator: Thank you. The next question is from the line of Girish Gupta, CA. Please go ahead.

Girish Gupta: Sir, I am a very, very long-term shareholder for your Company and I remember two years back what you had said in your AGM that we have to change our orbit.

Ashok Atluri: Yes, Girish, I remember you. Thank you so much. I'm very, very grateful to you for holding the share for so long. I'm really grateful. Please go ahead with your question.

Girish Gupta: And even though you remember in the last phone call, I also asked about whether we change our orbit. You say you will see. So, what your answer now today?

Ashok Atluri: Okay. So, we have changed the orbit, right or do you feel we are on the same orbit?

Girish Gupta: We are in the same orbit and we can expect that we will change our orbit.

Ashok Atluri: Very frankly because we are so excited by the kind of things we are actually

we think that this is just the beginning and we think there is going to be lot of demand for what we are doing.

And at this point in time, we think that the growth has just started. We do expect that we'll be changing orbit maybe in a couple of years from this to a different level altogether.

Girish Gupta: Okay, Sir. This is from my side. And another thing I will ask in the AGM.

Ashok Atluri: Okay, sure. I look forward to seeing you at the AGM.

Girish Gupta: Sir, my humble request, please do the AGM by audio-video mode. It goes in all over India.

Ashok Atluri: No. Actually, today we had a discussion and because I like to see people on video and all that, you know how our AGMs are, they're very open and very interactive. But I have requested you to let us see how we are able to do. I think face-to-face interaction is better. But noted Girish, we will see that we'll do it video this time.

Moderator: Thank you, Sir. The next question is from the line of Shireen, an individual investor. Please go ahead.

Shireen: Hello, Mr. Atluri, thank you very much for the great results. My question is the market size for anti-drones, last time you mentioned about \$2 billion. Is that opportunity size increased or what's your take, Sir?

Ashok Atluri: You know that's the minimum size, Shireen. I think it's going to only be much, much larger than that. But we are not really as we are talking to lot of people and we are getting an estimate that the market size is going to increase tremendously much more than that and that was the Indian market size which I was referring to. And when we add up the stock market and all that that's probably a \$10 billion market at least. And so we expect that at some point in time we want lot of improvements to be done in the R&D and developing the product, so that we can increase the scope of sales to other countries also. So, it's a huge market, growing market and people who can -- who are actually delivering system working system will be having their hands full. So, yes, I think the market size is only increasing from what we are estimating.

Shireen: Thank you sir.

Moderator: Thank you. The next question is from the line of Smita Mohta from Kredent InfoEdge. Please go ahead.

Smita Mohta: Thank you, Sir for allowing me to speak. First of all, congratulations for a great set of numbers and it's heartening to listen that the EBITDA margins will be sustainable. However, there are two, three questions which I wanted to ask. One is that you have reported that you have filed patent 110 and you have received 27 so far. So, how many patents do you have listed till date? And how many do you feel you will be receiving within this financial year, Sir?

Ashok Atluri: Yes, we have filed about 110, 27 have been granted. And I think the rest of the patents will be granted. India takes a little longer time that US and Europe grants within two, two and a half years, so they are little faster. And Smita, the second half of your question can you come again?

Smita Mohta: So, I wanted to know Sir that patent till date, how many have you received in which you feel that you will be the outstanding part compared to the other competitors?

Ashok Atluri: So, Smita what we do is whenever we develop some technology, we look whether this is patentable or not. Actually, focus on the technology and we build some kind of awareness in the team to see whether it is patentable or not then we have a serious patent team that looks at that, does some prior search, etc., and then they come to a conclusion that needs to be taken care. So, once we patent this, what happens is we go to the customer and we say this is patented. And typically, it's a big plus for them because then they can place order on even if they typically there is a requirement of three vendors should be there.

But when we show this patent, they put the patent into the file and they say, listen, there are no

other people because the thing is patented. So, that helps us get the orders very quickly in single vendor situation also and our margins are also protected. So, it's definitely a kind of heavy competitive advantage that the patent -- IP that we have generated, we also assert our rights that we have created this IP. And by having this patent mentality of protecting our IP has helped us in getting lot of orders against our competition.

Smita Mohta: Okay got it sir, second of all, you have reported that 59.39% is your export orders for this quarter. So, I just wanted to ask one question that since you say that your orders are to be completed over 18 months, so how much of it is your fixed order and how much of it can you change within 18 months?

Ashok Atluri: Sorry, what will change within 18 months? The order is fixed.

Smita Mohta: I was asking about the price, Sir. How many of it are fixed price orders and how much of it can be changed like they are not fixed price orders because of maybe currency situation or -.

Ashok Atluri: No, they're absolutely fixed price orders. All of them are fixed price orders. They're in dollars. If Indian rupee becomes stronger then probably we will lose in foreign exchange. But if Indian rupee becomes weak, we'll probably gain. But I think it's a dollar-based price.

Smita Mohta: Okay. Third of all sir, about how are you connected to this Agnipath Pravesha Yojana, Sir?

Ashok Atluri: So, Smita, there is a requirement you know, what government has taken a call of limited years of service they want to hire some people. And you know then they don't want to keep them forever on it because of for various reasons. So, they just want to use them. And for this they want it because they're only there for a limited period of time. I think five years they wanted even the training period to be shrunk so that their period of service is much higher. This is what Agniveer and Agnipath Yojana is. So, what they wanted is to shrink this training period, they wanted some way to conduct the training in a shorter period but without compromising on quality. So, they found that the training can be done in a short period of time using simulators and that has helped and accelerated the procurement of simulators from the armed forces. That's what Agnipath and Agniveer are all about.

Smita Mohta: Got it. Sir, currently according to your domestic and export order ratio, do you think you will focus more on the export book going ahead?

Ashok Atluri: So, very frankly we will be focusing a lot on exports. There is no doubt about that. But I think Indian market is going to be very, very strong in the coming few years. So, we will be I think equally focused on both the opportunities, both the domestic where we have a lot of demand coming up and there is a lot of requirement. And then we know where exports will be definitely a market that we will be focusing on especially where the government has good relations with those countries, we will be focusing and doing exports also because actually the government is mandating that we should -- I mean mandating in the sense in a friendly way, they are saying listen, we have been importers forever.

Now, let's become exporters and become a defense hub. So, we are completely aligned with the vision of the government and we are trying to push for exports also. But to your question, yes, we are focused on both things. And what are we focused more? I think we are more opportunistic in the sense that wherever the opportunity will come will go after that. But currently, I feel domestic is going to be big but export will also be a reasonable pie of the whole market.

Smita Mohta: So, regarding your manufacturing part, I just wanted to know that what is your capacity utilization currently on your manufacturing of anti-drone systems?

Ashok Atluri: So, we are fully using the manufacturing capacity as of now Smita.

But just to give you a

background, what we do is we actually do the final integration at our premises. The actual manufacturing is outsourced to about 80 vendors that we have. So, what we do is and they have reasonably spare capacity to take our expansion. And again, the manufacturing path is

reasonably I mean to say there is a lot of capacity in Hyderabad where people we can give a damn that of course we can go to Bangalore or Pune where these capabilities are really deep and much, much better than as I would say. We are very good at making a prototype, developing a product, creating the IP but the manufacturing part, think of Apple, Apple does all the innovation in US and they get it manufactured in maybe India or China or Taiwan. So, that's what we do. We don't want to do that path which others can do better. What we do is create great products, great simulators, great anti-drone system and then try to find vendors who can manufacture it for us. So, I don't think manufacturing will ever be a bottleneck for us but this is how we are addressing it. We are going and getting new vendors since our additional existing vendors will not have spare capacity.

Smita Mohta: Okay. Got it Sir. Sir, so as you said that simulator market and anti-drone market is increasing continuously. So, would you want to give a number for say our next four, five years, what kind of revenue growth or profitability growth are you looking at on a CAGR basis?

Ashok Atluri: No, I don't know how to give that number Smita to you because internally what we are discussing is almost obscene, so I don't want to share that with you. But it's going to be very good. They're very good numbers and we expect you know, it's a fantastic place to be now,

especially if you have developed that IP yourself and the customer likes your products, they endorse it. So, it's going to be very good and the growth is going to be very, very good. So, I will not give the number on that but just be assured that we actually feel it's going to be fantastic three, four years coming four years. We can see it's going to be really good.

Smita Mohta: Wow! That's great, Sir. So, do you think that the other quarters and the next year would also inculcate the FY '23 growth itself or better than that?

Ashok Atluri: I think we already have this year for this is going to be about three times the last year's growth. And next year it's going to be definitely much more double the size of the current year and we expect more orders to come. And I think the next couple of years are already taken care of in that and there will be huge growth and we expect very good growth in the third and fourth year also as per our calculation. But the current year and the next year are given, so we are not worried about that much.

Smita Mohta: Okay. So, Sir, we are hearing that the agriculture sector is also using drones. So, is the Agri sector also utilizing your anti-drone system for any reason?

Ashok Atluri: No, they don't. So, the anti-drone system is not used in agriculture at all. I mean, unless there is a very high-profile farmer who may be attacked, he may need an anti-drone system to protect himself against something. But anti-drone system is not used. The drones are used, of course, agriculture, that's a huge focus by the Government of India. But we generally anti-drone systems are used where the drones may come and damage something like it could be a refinery, it could be the border crossing and throwing drugs or weapons across. So, these are specific uses where misuse of drones can be prevented because these drones -- the anti-drone systems can through radio signals bring the thing down or just shoot it and just destroy them through weapons. So, that's where the anti-drone systems are used.

Smita Mohta: So, are you seeing corporate orders other than the government orders, Sir?

Ashok Atluri: So, we have got the work, corporate order but

our focus is mostly on the defense but there are users otherwise. But again, we identify ourselves as the full supply chain and the supply chain is completely aligned for the armed forces. But there are those cases where people may say we want to protect this refinery, we want to protect this nuclear installation or something, which we will do it, but the whole setup, the marketing setup is not aligned to that. The marketing setup is aligned to the defense forces in India and worldwide. When I say defense, I would include the police forces also. But through these corporate if they come and they ask we are kind of responding to that but we are not really focused on that market.

Smita Mohta: Okay, Great, that's all from my side sir, Congratulation again on the numbers and hope for the best.

Moderator: Thank you. The next question is from the line of Sarjeet Yadav, Mount Intra Finance. Please go ahead.

Sarjeet Yadav: Sir, outstanding numbers. Now, firstly about 10 to 12 RSPs are there in the domain and most of them are from the fast-track procedures. So, how do you see the competition there? How much percentage of these orders are you likely to get?

Ashok Atluri: So, I don't know where you got the 10 to 12 RSP number, but anyway, so I'll tell you about anti-drone systems. So, simulators and anti-drone systems are the two things that we deal in. And anti-drone systems, we have seen that there is barely anybody who has invested in R&D could create their own product. With the exception of Bharat Electronics, there is nobody who has invested the money to which is required to make their own systems. Most of the people are just getting from outside and trying to push it onto the Indian Armed forces. And that is actually being observed and they're not being liked by the Indian forces because they say listen, we know that it's a highly evolving field, the threats keep evolving, the drones keep evolving and we need somebody who has owned the IP in India and can make software level changes and hardware level changes at the design level to tackle these threats, this package is evolving threats.

But just imagine if you buy from a foreign guy and there is a new thing that has not been detected, what are you going to do? They're going to charge like hey, they would ask so much of money that it may really cripple the procurement process because there is lot of things to be done before you can buy. But for us, as Indian companies, the moment they say, listen, this is the new threat we sit with them and we try to evolve the new algorithm and incorporate into

the system. And most of the times we don't care about the cost or something like that. So, yes, we think that -- so what is happening in this RSP sales? A lot of people are coming by the end. And at the end of it, there are one or two people standing and you're typically one is there in most of cases. So, yes, we expect in the RSPs that we are there that they're not well, but they're much lesser than that three or four of them. We expect that we may be winning most of the orders.

Sarjeet Yadav: So, my question specifically was regarding the simulators. So, there are large numbers of simulators which are in demand for RSP and you seem to have almost all of those products which are there, they are not as added. So, you reply regarding the counter as the anti-drone system. Anything about the competition in the simulators market?

Ashok Atluri: So, simulators, we don't have much competitions in the simulator market. Again, the reason is that there are investment in the simulator market is very little and there are some generic simulators like driving simulators, etcetera, which are used in the civilian market and domestic and the armed forces market. We have some competition there. But very specialized products like tank simulators or air defense simulator, etc., we don't have any competition. So, yes, in some we will give simulators, there will be some competition and we will try to maybe we'll win, we'll lose some. But overall, in the army simulators, I think we stand a very good chance of winning the significant part of that business.

Sarjeet Yadav: Sir, Last question. What percentage of an order as a ballpark figure in the simulator can be the AMC going forward?

Ashok Atluri: So, let us say that if you are doing whatever orders are coming from the army, they're typically going for annual machine contract. 100% of army orders going but sometimes the police are little lacks because what happens in state police is they get the funds from center for the procurement of the equipment but for military, they have to give their own funds. And what happens in maintenance is that they don't have the funds and typically maintenance is that's it. But in the army in almost all the cases they go for annual maintenance contracts and we expect that typically what you can do is whatever we have executed to the armed forces, you multiply it with around 8% to 10% value and that will be the size of the thing. Suppose if you execute about INR 800 crores of orders, you expect going two years or three years of warranty period expires, you will get INR 80 crores of business from them or nearly INR 70 crores of business from them.

Sarjeet Yadav: Thanks you sir and all the best.

Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead, Sir.

Ankur Kumar: Hello Sir, Congratulation on very good set of numbers. One question is as in order book has gone up substantially and you have talked about it, but in terms of guidance in the last quarter, you were saying that we could do INR 400 crore this year and 35% margin. But now you're saying three years of last year is, did I hear it right, Sir?

Ashok Atluri: Yes.

Ankur Kumar: So, like maybe INR 600 crore plus this year. And on top of that you're saying next year would be double of this.

Ashok Atluri: Okay, fine. Maybe about, yes, I would say increase, we need about INR 160 crores or something. So, that would be about INR 450 crores, INR 480 crores kind of turnover we are expecting this year.

Ankur Kumar: And next year would be double of that.

Ashok Atluri: Yes, that's our expectation based on the orders. But you will be able to judge it Ankur based on the order book position that we have we have that we'll have to execute it within the next 18 months. So, we expect the next two quarters to be very heavy in the situation. So, yes, next year is also going to be very, very good growth in terms of percentage also, yes.

Ankur Kumar: Got it sir, the EBITDA margin increase is understandable because there is an operating leverage but our gross margin has also gone up. So, can you comment on that please?

Ashok Atluri: So, you're depending on which is a product combination. Some products have a very, very huge gross profit margin, some have less gross profit margin. So, product mix will dictate what is the margin that we have. So, if you are feeling growth in gross profit margin that is

basically because of the product mix in which the below material is little less than what would be for the other product.

Ankur Kumar: So, on our INR 1000 crore order, what is the gross margin on that, Sir?

Ashok Atluri: We should be able to maintain this kind of margin that we have or maybe a little less than that.

But I think we should be able to maintain that. Again, to your question, one thing we do get -- the one benefit we get is the large scale when we acquire on a large scale, we get some pricing benefits also because economies of scale kick in. So, we do get some pricing benefit, so the market may increase a bit, but overall, we expect them to remain the same or maybe a little less also in a given -- if the inflation goes through the roof for another COVID or Ukraine war starts, you really don't know. But other

wise, I think these are maintainable margins.

Ankur Kumar: And Sir, could you comment please on the subsidy subsidiary part because I see console was much higher last year compared to the standalone numbers.

Ashok Atluri: So, what has happened is that they have executed whatever orders they had from others and other customers and they are now fully focused on our execution only. And that's why the consolidated subsidiary, especially the anti-drone subsidiary which was all the transfer was to the Zen only so that because of the set of the consolidation thing that was eliminated. And very frankly, I expect that the way we have developed the product significantly in the sense that the IP that we have created very few people will be actually having that kind of technology and they develop for us, they sell it only to us. If they have developed for someone else, they do sell it to others. So, with this kind of investment and the fast development, I think they will be especially for anti-drone systems.

If the subsidiaries developed something else and some that we sell to some other customers that will be additional turnover, which may happen in the next couple of years. But as of now, because anti-drone system is completely developed for Zen and Zen is the main customer. One part, they have developed some other component for other anti-drone system but that's technologically little behind. So, I don't think there is much demand for that. So, therefore, whatever Zen have invested in the subsidiaries or extraordinary R&D that we are only absorb, we are only buying from them the whole sector.

Ankur Kumar: Got it sir. Thank you

Moderator: Thank you. The next question is from the line of Disha Jain, an individual investor. Please go ahead.

Disha Jain: My question was regarding the order book that you have the execution of it because as you mentioned about INR 1000 crores as of now, we are getting more orders in September and probably an obscene hopefully obscene order book in the coming year. Considering how fast the environment is changing the different products and services that we have, do you see any challenges in the delivery aspect apart from obviously talent acquisition, different geographies, different product, any such challenges you foresee?

Ashok Atluri: As I explained earlier we have the supply chain that is capable of scaling themselves up and wherever Hyderabad doesn't work, we are flexible to go to Bangalore and Pune and all that. So, based on our assessment that this execution should timely happen and we don't see much challenges. And again, what I want to keep in mind is when I say that my growth is, when I say INR 100 crores, what I am saying is the hardware component of that is about INR 25 crores to INR 30 crores. And that is distributed among many people and that the final, we don't do that part also. When it comes to us, we just integrate the whole thing. But again, you're right that we have the process and procedures and QA system, jigs, tools, etc., in place to ensure that the work being done is being monitored on a continued basis and the final delivery of the product to the customer happens. So, yes, we are geared up for delivery of these products and we hope to do it in a timely manner.

Moderator: Thank you. We take the next question from the line of Mr. Vignesh Iyer from Sequent Investments. Please go ahead, Sir.

Vignesh Iyer: Congratulations and good set of numbers and thank you for the opportunity. I just when you said the market size for this could be around INR 15,000 crores in coming years. And also, you're targeting a good chunk of revenue in FY '24 followed by FY '25. Just to get an understanding of things if you are almost running at optimum utilization, I do understand that you've got some part where you can outsource it but still the amount of revenue will be recognized. Next few years we would need a bigger set of bright even

manufacturing facilities to execute such a large set of projects. So, I just want to have a better understanding on how, would we be doing any sort of CAPEX or anything in the coming times? I mean, we also have cash on books.

Ashok Atluri: As I explained earlier, we are setting up the process and recruiting other people to execute the order timely execute orders and we expect to be able to execute order sometime. For CAPEX, what we think is the CAPEX is going to be minimal if there is going to be any CAPEX. Again, why am I saying that because all the manufacturing is happening outside, we are just getting it into our premises for the final integration, testing and putting in the software and making working for QA purposes. Otherwise, most of the work we want to get it done outside because we think there are a lot of capable organizations that can look at the full workshops, manufacturing that are outside. So, what is the minimal CAPEX that I'm talking about? Do we have enough space to have so many players?

We have an 8.5-acre plot and there is a lot of land available. So, even if you say, suppose we want to build something, you can easily build there, the facilities can be built. You don't have to buy land for that, that would be the most expensive part. And the second thing is that even if some machinery has to be bought or some jigs, tools have to be created for quality purposes there could be again some CAPEX will be involved there. But I don't think there is going to

be huge CAPEX, that's the advantage of a software dominant bomb, which you have that we don't really have to do lot of manufacturing capacity expansion. So, that way we think we are lucky that we are in Hyderabad and there is so much spare capacity available in and around that we don't have to really invest in this money and you know again very fairly, very frankly we think that we are not good at that. If Apple were to become Foxconn, then what will Foxconn do? So, again, I wouldn't really want to become a Foxconn, I want to remain an Apple.

Vignesh Iyer: Sir, right. Sir, but then if we look at the perspective of more software side of it, would we be in need of more skilled manpower recruitment or maybe give more bonus or salary for the existing staff? So, would we see some employee expenses going up in the near future?

Ashok Atluri: So, one thing is that the whole Company has been built on the back. Typically, the 80:20 rule, the Pareto Rule applies here. Few of the employees are extraordinarily important for any organization and those organizations have stuck with us for a long time. And very frankly, they were getting only a fraction of what they were getting in the AMC or anything like that.

But then their thinking is, what am I going to do working in an Amazon warehouse where it's underuse of their capacity. So, these guys have worked there. They have found soul filling activities where they're creating something for the armed forces, they're serving the country in a way. So, they have customers. So, it's actually out of June, we just never ask your money, so you creating ESOP plan and ESOP many of these key employees.

So, we don't think that part of the guys will be going wherever by leaving the Company. Those are very, very committed to the country rather than the Company. So, we think they will continue. But as we expand and we get into more products and more areas, we may be having the concern. And of course, now we have started being a little aggressive in paying the salaries even the strong financial position we are in. But I don't think it will be so high that will start damaging because our growth is also so much that we can easily afford paying more salaries to the existing and potentials recruit in the Company.

Moderator: Thank you. The next question is from the line of Rajesh Gupta from SBICAP Securities. Please go ahead, Sir.

Rajesh Gupta: Sir. I have a few questions. One is regarding

our margin. The current quarter margin is quite on a higher side. I presume that 35% to 40% kind of EBITDA margin that you said earlier was sustainable but this quarter was quite different from what you said earlier. So, when you say the margin is sustainable at this level, you mean to say that 50% EBITDA margin will be sustainable going ahead.

Ashok Atluri: No. I feel much lower. I would say around 40% or something like that.

Rajesh Gupta: Around 40%. And Sir, since you said that there are few orders which are going to be a high margin going forward. So, the net margin had you earlier about 25%. So, what kind of net margin you see going ahead?

Ashok Atluri: So, we are hoping that 25%, we will be able to maintain 25% net margins.

Rajesh Gupta: Okay. And Sir, regarding your market size, you said simulator market size is INR 15,000 crore rupees. Sir, this market size is domestic in nature or it also includes the overall export plus domestic both.

Ashok Atluri: No, this is an estimate that we have based on the discussion with for the Indian Armed Forces especially for the products that we have. It's not for the. For example, I've not considered flight simulators in this, it's totally for the addressable markets for Zen products. If the government goes on full-fledged given the benefits and what we have seen and the simulation frameworks, if the government implements 100% what the demand is then that that size is about INR 15,000 crores. Only for Zen products, not for the export market or for non-Zen related simulators. They are not included.

Rajesh Gupta: Okay. So, earlier it was close to INR 8000 crore rupees, now it has enhanced to?

Ashok Atluri: Yes, it has increased now. Two, three things. One is that the escalation has been revised. The second is the number of products that Zen has increased. And there is more demand coming up as we see in other areas also from the products that we are potentially developing.

Rajesh Gupta: Okay. And Sir, regarding your anti-drone market size \$2 billion, it is domestic market or it basically also includes some elements?

Ashok Atluri: Domestic market.

Rajesh Gupta: Okay. And Sir, are you looking for any kinds of inorganic opportunity going ahead because you have good cash on the books, so any thought on that?

Ashok Atluri: Very frankly Rajesh, we have been looking at inorganic or acquisitions all throughout our 30 years. Only thing we have found one or two good or good such options in the 30 years. So, it is just because I have money on my balance sheet, I will not but go and buy something because I have money on my balance sheet in a case that where I cannot use the money, I'll just give it back to the shareholders. But we think that at this point in time, there is a huge opportunity available and we are looking at inorganic acquisitions also little more aggressively and because I think we should find a good fit. Again, I'm not going to go into some acquisition, which will increase my earnings or something like that. As we will go into acquisition that makes sense it fits properly using simulation. I need to know the market. I need to know who am I going to selling to. I don't want to acquire clothes retailer just because my earnings will increase. So, there are two things.

One is it should be a good fit and it should be IP expectation. It's again, what I believe is if I just buy some Company which has some product which may be bought by them, it is just earnings acquisition. But we are talking about sustained earning power where we buy it and there is a required sustained demand for that product over the next 15 - 20 years and these guys own the IP and they can keep evolving the product. So, that kind of the companies are not many in the market and so we are looking at those kind of companies and they should be at reasonable price. If a Company that make INR 1 crore, they're expecting INR 100 crores of acquisition price

then doesn't make sense to us. So, they should be reasonable and because we have this is shareholder's money is our money, so we are a little careful with that. But yes, we are looking at inorganic acquisition also, but there should be a good fit with the existing products and strategy.

Rajesh Gupta: Understood. Sir, one final question regarding your export order. So, I guess that your export order is closer to INR 340.00, right, Sir?

Ashok Atluri: Yes, approximately, yes.

Rajesh Gupta: Thanks you sir, that's all from my end.

Moderator: Thank you. The next question is from the line of Mr. Harsh M from KRIIS PMS. Please go ahead, Sir.

Harsh M: I Want to just understand what is the risk do we foresee if at all for these orders a long time say to achieve the guidance because I think just asking questions because I've been tracking the Company for long and always whatever you have committed you over delivered. But just trying to understand if there could be some risk as we have been with scaling now. So, any risk on your mind which you would be careful of right now?

Ashok Atluri: So, actually I'm worried about only one thing. If China does the blockade of Taiwan then we are in trouble, we will not be able to include our orders. But apart from that, we are reasonably comfortable and we are also looking how do we derisk ourselves from a Taiwan blockade kind of situation. I don't know how much you know about Taiwan but Taiwan makes 37% of the world's microprocessors and if they go down the whole world stops. But unfortunately, the

reality is you never know how China will behave and that is the risk that Zen Technologies faces. That's a significant risk that we face. And so, we will have to derisk ourselves from that.

But one thing good about Zen is Zen is all the products are designed in-house and we can work around that. That's what happened in COVID and Ukraine war. When Ukraine war came everything disappeared. All the chips disappeared. We have to rewrite the software for the new chips. Whatever were available, we bought some samples and then we went to the market to buy the things. The samples disappeared from the market. We had to redesign the product four times. As IP owners, we can do that so that the thing is there. But the fact is if Taiwan blockade happened, it may impact our ability to deliver significantly.

Harsh M: And any new product in the pipeline like you just mentioned during the call. So, anything like apart from, say, anti-drone as we're looking at some very different vertical in near future.

Ashok Atluri: No. We are not looking at any different vertical at this point in time. We are going to look at only getting deeper into electronic warfare and simulation. Simulation in the sense we are very focused on army simulation, can we get into Navy or Air Force kind of things. Those are things we are looking at. So, yes, if you get a new product, again, it's really challenging to get into a completely new segment, which we don't know. But if we go into something like from simulation to anti-drone system, if you go into something else again, the product, the acquisition will be very strategic in the sense that these guys should own the IP, we understand the market but it will be for the defense market. We don't know here the market unfortunately. Somebody said will you go to corporate? We don't know that market at all. We are completely aligned to the defense force of market both in India and abroad. If we acquire something that has deep capability and we can invest and make them focus on certain things. We will do it but it will be again fully aligned with what we have. You have a very deep understanding of what acquisitions will work. So, it has to go through those parameters, those filters, those keys finally to make it to our table for acquisition.

Harsh M: Thank you so much and best of luck

Moderator: Thank you. The next question is from

on the line of Ajay Surya from Niveshaay. Please go ahead, Sir.

Ajay Surya: Sir, my first question is, can you just give me the breakup of the \$1000 crore order book on how much is it from export and how much is from domestic and simultaneously, how much is it from anti-drone and how much is from the simulator side of business?

Ashok Atluri: So, offhand, I'll tell you export will be about INR 340 crores, that's the order that we have and INR 660 crores will be domestic. And I think between the INR 1000 crores, it's about I would say INR 400 crores is anti-drone systems and INR 600 are simulators. But I think we'll give the exact figures in some time it will be published, so you'll know it. But this is approximate figures I can tell offhand, yes.

Ajay Surya: Okay, Sir. And Sir, what has been our win rate in the recent order pipeline like as now currently INR 1000 crore of order book in our hands? So, what has been our win rate in the last three, four months of the order inflow or the order pipeline which the market has grown up?

Ashok Atluri: I didn't understand. What do you mean the win rate?

Ajay Surya: Win rate. Sir, suppose for our INR 1000 crore simulator order book, three of the people are participating, so what has been the win rate for Zen Technologies as you can throw some light on that?

Ashok Atluri: Actually okay, how many orders have you lost and how many we have won? Okay.

Ajay Surya: Yes.

Ashok Atluri: Yes, that in success. I think I would say maybe about 80% success, must be much higher than that but 80% has been our success rate I would say.

Ajay Surya: That's very great, Sir. And, Sir, my last question was like currently we are participating in how much of the order pipeline as of now?

Ashok Atluri: About INR 500 crores, between INR 400 crores to INR 500 crores, yes.

Ajay Surya: Noted Sir. Thank you.

Moderator: The next question is from the line of Mr. Swaminathan from Indrapurush Consultancy. Please go ahead.

Swaminathan: Good evening Mr. Atluri, Great set of Numbers. My only question though you've answered it partially, you have INR 275 crores of cash. Would you consider giving a higher dividend this year to shareholders and also distributing on a quarterly basis because you are going to be the biggest beneficiary, but retail investors like me who have been with you for over 15 years also deserve a share of the pie. What would be your thought on that?

Ashok Atluri: So, Mr. Swaminathan my thinking is this that if the Company cannot deploy these funds in a way that will increase the shareholder wealth, we will give it back to as dividend. Because you are a long-term shareholder, I think in terms of doing business in a very, very focused manner, we have delivered our votes and but we are very, very open to giving it as dividend, which we're not able to deploy into some growth areas. There is no point keeping the money in fixed deposits for a long period of time. But in a couple of years, we are not able to deploy, we will give it back to the shareholders.

Swaminathan: But will you revise your current dividend policy at the moment or you'll wait for some time before doing that?

Ashok Atluri: We will discuss it internally Swaminathan. I got your point. as a small shareholder dividend is a big thing and I mean, you said, by the way, Zen actually praise small shareholders and we really love small shareholders because they really, really are the reason that Zen has survived for so long because you have been very faithful and I meet them in all the AGMs. So, yes, we have fully occupied and people question will we revise the thing? Yes, we will revise. We will look at the payout policy and try to come out with something better in the next couple of quarters.

Moderator: We take the next question from the line of Smita Mohta from Credit InfoEdge. Please go ahead.

Swaminathan: Thank you so much

Smita Mohta: Yes, just the last

question, Sir. I wanted to understand that due to security reasons do you think some products of yours can face bottleneck for exports?

Ashok Atluri: Yes, we can face bottleneck for exports. The thing is the bottleneck is basically Indian government is pushing us to export. So, one of the points is the no objection certificate that Government of India issues, in fact, because they are pushing us then all of different certificate is issued. And so that is not there but if the government at some point says, listen, you cannot supply to this country which have earlier permitted but that becomes a bottleneck for me.

Smita Mohta: So, have you faced Sir, these kinds of bottlenecks from the government?

Ashok Atluri: No. Our problem is the other side. They're saying why are you exporting less, export more. So, as of now it is the other pressure we are having from them that we are not performing well even though you shareholders are happy, the government is not happy with us.

Smita Mohta: Okay. And Sir, any PLI scheme benefits that you are getting from the government?

Ashok Atluri: So, Smita, the PLI scheme is only for drones. Anti-drone system, they haven't introduced even though we have been saying listen PLI scheme for anti-drone systems are required because that is one field in each India can become absolute number one in the world. So, by giving

this PLI scheme there will be more participation and more push towards developing this technology indigenously. So, the government is considering at this point in time. But as of now, there is no PLI for anti-drone systems.

Smita Mohta: Okay. Thank you, Sir. I hope you get a PLI scheme from the government. This will help the investors a lot in your Company. And thank you again for a very great set of numbers, Sir. Thank you.

Ashok Atluri: Thank you Smita. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Ashok Atluri: Yes, I mean, thank you so much Seema for hosting this. And I think again, the great set of questions I just want to tell as a parting thing as a parting statement, I want to say Zen is focused on two things as of now simulators and anti-drone systems. I remember I think luck has played a great role and through extraordinary circumstances we have reached a place in the sense that there is a perfect storm would be a very negative word. I don't know what is the positive word for that but we have come to a stage where the government policies like Make in India, Atmanirbharta, positive list by IDDM, sustainability efforts and simulation framework. Everything is actually kind of gathering towards I think it's all the best wishes and what we call sincere wishes of the shareholders that your complete situation where we are actually seeing so many orders coming forth in the future and we are ready to take those, embrace those orders and future developments and we see tremendous amount of growth in the next couple of years in the demand. So, I would say that this it's a great time to be running a business in India and business especially, which is dedicated to the Indian Armed Forces and use really high technology products like simulators. So, thank you so much for being patient. I know Girish and all those people they have been for decades they have been shareholders for Zen and I'm so happy these are the kind of shareholders that we really love. And we expect that the party has just started and we expect great things to happen in the coming years. Thank you so much.

Moderator: Thank you, Sir. On behalf of Zen Technologies Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

Date: November 2, 2023

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Through: NEAPS

Symbol/Security ID: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400001 Through: BSE Listing Centre

Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
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With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on October 30, 2023, on the Q2FY24 performance of the Company.

Kindly take the same on record and acknowledge the receipt.

Thanking you.

Yours faithfully, For Zen Technologies Limited

M. Raghavendra Prasad Company Secretary and Compliance Officer

M.no.: A41798

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"Zen Technologies Limited

Q2 FY'24 Earnings Conference Call" October 30, 2023

MANAGEMENT : MR. ASHOK ATLURI – CHAIRMAN AND MANAGING DIRECTOR -
ZEN TECHNOLOGIES LIMITED

MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER
ZEN TECHNOLOGIES LIMITED

MRS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR –
ZEN TECHNOLOGIES LIMITED

Page 2 of 15 Earnings Conference Call
October 30, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of Zen Technologies Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded.

I now hand the conference over to Mr. Abhishek Mehra from TIL Advisors. Thank you and over to you.

Abhishek Mehra: Thank you, Yashashree. Welcome everyone and thank you for joining this Q2 FY24 Earnings Conference Call of Zen Technologies Limited.

The Results and Investor Updates have been emailed to you and are also available on the stock exchanges. In case anyone does not have a copy of the same, please do write to us and we'll be happy to send it over to you.

We'll be starting the call with a brief overview of the performance, which will be followed by the Q&A session. As a disclaimer, I'd like to remind you that everything said in this call, reflecting any outlook for the future, which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainty that the company faces.

These risks and uncertainties are included, but not limited to what we've mentioned in our annual reports, which you will find on our company website. With that said, I will now hand over the call to Tina Virmani from Motilal Oswal. Over to you, Tina.

Tina Virmani: Thank you, Abhishek. A very good evening, everyone. Today we have with us the Management of Zen Technologies to discuss their 2nd Quarter performance. From the management we have with us today, Mr. Ashok Atluri – Chairman and Managing Director, Mr. Afzal Malkani – CFO and Mrs. Shilpa Choudari – Whole Time Director.

Without taking much time, I would now like to hand over the call to the Management for their opening remarks, after which we can start the session for Q&A. Thank you and over to you, sir.

Ashok Atluri: Thank you, Tina. I appreciate the introduction and thank you so much all the shareholders and team members who are there on this call. The 2nd Quarter Results are out and we think we are on target to hit our target during this year and that's between 450 to 500 crores and the rest of the order book position we expect to be executed the equipment order book to be executed in the next financial year.

So, we think it's very positive outlook from what we see and if even in terms of exports also the kind of environment that's outside of India it's making everybody rethink the training that they have done the world's most successful country, more secure country is not able to protect its border. Where are we standing? So, that's the kind of worry that other countries are having and so getting trained is becoming top priority for the other countries also.

So, both domestically we see the focus on defense and internationally there's a lot of focus on defense. So, given these two things, we think we are poised to get more orders and the order book position will further improve dramatically in the next quarters. So, with that, I mean, I'm ready to take the question and answers. And Afzal would you like to add something or shall we go to the question and answers.

Afzal Malkani: Yes. We can move to question and answer directly.

Ashok Atluri: Yes, that's fine. Let's go ahead.

Page 3 of 15 Moderator: Thank you very much. We will now begin the question and answer. We have a question from Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Good evening sir, Congratulation on Great set of Numbers and we are on the target and regarding this margin profile, I would like to know which one is better margin profile, which product like simulators or anti-drone system?

Ashok Atluri: So, in terms of simulators, simulators have definitely a better margin p

rofile as of now. And the anti-drone systems have a little lesser, but again on an average depending on the kind of sales that we do, we expect that 35% EBITDA margins will be maintained and sustained over a long period of time and so that that will continue. There may be some variations quarter-on-quarter, but on an average we plan to do at least 35% EBITDA.

Bala Murali Krishna: And regarding this anti-drone systems, I'm aware of that we are outsourcing that and final integration is happening in our unit and we are supplying the customer and what about the simulators that is those are manufactured in house or that is also outsourced from the vendors?

Ashok Atluri: The whole of value chain we're starting from R&D engineering all after sales service is completely

owned by us, but only thing in the manufacturing is deliberately outsourced. Because we have a lot of capable manufacturers around in Hyderabad and they have been different for more than three or four decades also in some cases.

So, we use that capability to actually execute the orders using their capability. So, we are very strong in R&D, we're strong in engineering and, of course, we are very strong in after sales, marketing, annual maintenance contracts and all that. So, we would like to focus on what we need.

Moderator: Thank you. We have our next question from Ajinkya Pawar an Individual Investor. Please go ahead.

Ajinkya Pawar: I have a very simple question that in the last quarter we saw a sales figure of nearly about 130 crores. Now we are seeing a 50% drop in that thing. So, I just want to know what are the different reasons that we are seeing a dip on a quarter-on-quarter basis?

Ashok Atluri: So, Pawar ji, what we have here is we have predicted a sale of about for 450 crores to 500 crores over the whole year and normally thing would be let us divide 500 by 4 and 125, 125, 125, 125 is expected. But our thing is not that what happens is typically it is heavily loaded on the fourth quarter number one. Number two, what has happened is the orders that we have started executing, were supposed to start executing in the third quarter end actually. The execution has started a little early and we think that the execution will happen also very quickly, but again we expect the fourth quarter to be very heavy like all other government companies. So, this division by 4 will not work in the case of the company like Zen.

Moderator: Thank you. We have a next question from Jatin Jadhav from Sahasrar Capital. Please go ahead.

Jatin Jadhav: My first question is what is the total order book size currently?

Ashok Atluri: That's about 1,400 crores that we've given in the meeting that we stand by which was given.

Jatin Jadhav: And the second question is what is the executable timeframe for this entire order book?

Ashok Atluri: As indicated in the Press Release the total order book, if you remove the annual maintenance contract that is spread over the five years post warranty period, you take only the equipment order which is around 1,200 crores. We have to execute all of them before March of 2025.

So, whatever we executed in the current year out of the 1,200 crores including whatever we execute in the next two quarters has to be deducted and the rest will be expected to be executed in the year 24-25 in FY25.

Jatin Jadhav: Just a final question, I wanted to understand the export potential, for example, let's say there are many conflicts going on right now currently in the world for example, Russia, Ukraine, new and newer soldiers have to be trained. So, my question is, will the countries over there. Do we need that the transfer of technology for you to build a particular simulator for any kind of equipment or it's not necessary per se or is there a potential interest also coming towards you for manufacturing simulators in different theaters of war all across the world?

Ashok Atluri: So

, to your question, one is that there is a tremendous demand for training now. We are rather unfortunate in the Middle East which has the Hamas attack on Israel and Israel's response has very strong, but the point was how did they miss such a big attack coming and response. So, the people all over are wondering the country like such a strong company cannot defend its border. What will we do where the training levels are much lower than that. So, the sense of preparedness, lack of preparedness is now pervasive and that will definitely we are getting inquiries based on that where they are saying that can you build combat training centers for our so that is one way.

To your second point those people may have equipment that is different from what Zen has already developed. Can we make simulator for that? Our underlying libraries are very, very generic and any new simulator while others may take as much as three years to develop, we feel very confident that within 6 months to 12 months, which a very, very complex system may take 12 months otherwise majority of the simulators can be developed within 6 months, and we can offer it to the end user of the simulators that they require.

Jatin Jadhav: Sorry, just a follow up question, for example, you recently manufacture a simulator for our MiGs in India, they wanted you to build a simulator, they'll have to transfer the entire knowhow of that tank or just a certain aspect of it?

Ashok Atluri: You know typically the cost of the tank may run into 10s of crores between 30 crores to 40 crores. The simulator cost is not anywhere near that. So, one thing is the original components are not used yet because they don't want ruggedness, etc., and typically a simulator may be as low as 2.5 crores. So, the technology transfer that we require is basically going and you know seeing, absorbing. So, there is no

actual OEM technology that we need. For the training point of view whatever is required to be simulated we capture the information just by looking at the equipment, we don't need the in-arts of the thing because those libraries have been developed over a period of decades with us, they are there with us. So, we don't need the OEM TOT as such, but we definitely need access to the equipment that they have.

Moderator: Thank you. We have a next question from Manan Shah from Moneybee. Please go ahead.

Manan Shah: My question was for the contracts orders that we won in terms of the anti-drone order of 160 crore that we won in July and the export order which was a mix of training equipment as well as anti-drone system for 340 crores. These contracts don't include any AMC contract, so any particular reason why we have not been able to build the AMC part of the business for these contracts or they don't include AMC business?

Ashok Atluri: Typically, because sometimes people feel that the order level will be very high. So, in both cases the intention to place AMC post warranty is there with us. So, they want to see the system installed and after two years of warranty they want to place the AMC. So, these both the models are available where they place upfront the AMC with us, which just looks good on the order book position, but the execution happens at the same time whether they give the AMC after the warranty is expired or before.

So, in terms of its revenue recognition is the same in both the cases. So, there is nothing to be, you know, why they didn't give? There's no other reason than just normally they would give it after the warranty is expired normally, but some of them have been giving it for a long time along with the purchase order to us. So, there is nothing of concern in this actually.

Manan Shah: And generally, the AMCs are for what duration, I mean, what is the typical size of these contracts in terms of duration?

Ashok Atluri: The AMC duration may vary. They may be as little as maybe one year to all the way up to five years, five years is the maximum we have got till now. So, that is the variation they are depending on the customers commitment, I mean, if they cannot commit five year time frame, there are especially police Page 5 of 15 and paramilitary forces they go for a year. But army and the armed forces, they go for five years or even more, we expect them to go for more as time passes.

Manan Shah: My second question was on the cash that we hold. So, these are largely the advances that we must have received against these orders?

Ashok Atluri: Yes, it includes advances that we have received, but also our internal accruals also.

Manan Shah: So, what will be the CAPEX outlay going forward?

Ashok Atluri: The CAPEX outlay we think mostly be in terms of the anti-drone systems and simulator, R&D that we will be doing. And the second thing would be about the physical infrastructure that we may have to create for mostly the post manufacturing integration activity. So, this is what we are expecting and the figures we will be sharing soon with the shareholders as we develop. But the CAPEX just in terms of plant and machinery is very negligible again because we have a huge supply chain that's very reliable and able to execute the order. So, plant and machinery CAPEX is going to be very minimal.

Moderator: Thank you. We have a next question from Deepen Vakil from Incred Equities. Please go ahead.

Deepen Vakil: So, I was looking at your Slide 7 of your presentation. So, you have mentioned that 540 crores worth of orders were there as on 1st July and this quarter you won new orders of around 924 crores. So, how much would be executable this year out of these 900 crores?

Ashok Atluri: The total order book for the equipment is around 1,200 crores out of that we will be executing around 300 crore less than 300 during the year and the rest of about 950 crores or 900 crores is expected to be executed by the next FY25.

Deepen Vakil: Sir, my second question is in the line of our export. So, how do you see exports panning out? So, do you think the split will continue to remain in a similar trajectory or do you think the export orders to improve in FY24 or 25?

Ashok Atluri: Based on the situation outside and the sealer that we are getting, we think that while Indian orders are going to really explode in a positive sense for us, also we expect the export market to really, it's actually getting primed for a huge influx of training equipment. And we think we'll benefit from exports also. I think the 50-50 break may be there, but if there is any skewness, it may be towards exports only exports may be much higher than domestic.

Deepen Vakil: Sir, one last question, sir you're looking for inorganic acquisition going ahead. So, is it in the same anti-

drone systems or do you want to expand your product portfolios?

Ashok Atluri: So, typically this whole thing is called electronic warfare. So, we want to be restricted to electronic warfare and simulators, but simulation also maybe in Air Force and Navy and all that. Again, the targets we are looking at are both domestic and international.

So, inorganic acquisition will happen in these areas, but again we have always said unless we can absorb the technology and build the next generation of product, we don't want to get anything just for the sake of getting transfer and manufacturing it for somebody. So, this absorption is very important for us. So, in these fields, in the field of simulation and electronic warfare our capability to absorb is extraordinary. So, we will try to stick to those areas only.

Moderator: Thank you. We have our next question from Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur: Basically so the question I had is you mentioned that you're expecting about 250 to 300 crores of execution in the remaining part of this year and 900 crores to 950 crores in FY25. This is just equipment. So, if we add some

AMC sales to that as well, are we expecting around 1,000 crores topline in FY25, is that right?

Ashok Atluri: Yes, it could touch 1,000 crores. It could touch, yes.

Page 6 of 15 Shirom Kapur: Can we expect this kind of momentum to continue in FY26-27 or are we going to see ballpark as it could happen...

Ashok Atluri: Yes, based on the pipeline that is being built up, we expect growth rate to be sustained for FY26 for sure.

Shirom Kapur: So, regularly given guidance of at least 35% of EBITDA margin, but in H1 we had about 44% EBITDA margin and we're expecting revenue to scale up in H2 versus H1 given that Q4 is where most of the revenues loaded, does that mean we expect much lower EBITDA margins in the second half of the year. We know it because at 44% at H1, but guidance is about 35%?

Ashok Atluri: The thing is what we are saying is that we guarantee a minimum of 35% EBITDA, but given the uncertainty of the supply chain, all that there is a possibility that the cost of materials may go up with it. But I mean we are very proved friendly company if there is something more than 35% we would be very, very happy about it and so will the shareholders here.

Shirom Kapur: So, what kind of gross margin can we expect on average earlier because you had a higher share of AMC, so about 80%, but now it's coming down to the low 70s. So, what is like a sort of steady state gross margin that we can expect and also in addition partly this question is what kind of steady state employee cost can we expect going forward? Is that going to be a standard percentage of revenue or more of a standard growth rate that we can see, 10%, 15% odd each year in employee cost if you can color on that please?

Ashok Atluri: The employee cost we expect them to go up, but in terms of percentage they will be much lower than what we have now, but the employee cost will go up and we are actually adapting the structure of the company to serve the market that we are in and some changes are happening.

But again, we think that it's completely under control though, but we are actually looking to the talent at this point in time and Zen is a good brand name and a lot of people are joining us at this point in time.

Shirom Kapur: And sir just on the gross margin side of it as well?

Ashok Atluri: So, yes, gross margin we expect them to, I mean we have been having gross margin of around 65% in most of the cases. So, we think those gross margins will continue as we go ahead also. So, gross margins, I don't think there'll be much pressure on that 65% to 70% kind of gross margin.

Moderator: Thank you. We have our next question from Harsh M from Kriss PMS. Please go ahead.

Harsh M: I just wanted to understand what's in the previous quarter we were projecting that we would end over 500 crores of revenue and now we are guiding for 450 plus. So, are we expecting some delays which have come up in last three months because of which we are expecting lower top line because even if I add through, I think we would cross 450 already. This is the H1 we have and if you're doing more 300 in H2. So, just wanted to get some sense that you're being conservative in giving that guidance of 450 or you're expecting that some delays could be there?

Ashok Atluri: Yes, the range still happens to be 450 to 500 crores, but we just gave the lower range or lower

conservative figure on that. So, with the bit of favorable circumstances we may be crossing 454 crores. It's just conservative guidance you're right about that.

Harsh M: Any risk do we foresee apart from new wars which might if it turns up any other.....

Ashok Atluri: No, wars don't happen. We don't see any risks, there are no risks at all. As of now we see things are available. Most of the things are easily available. So, no stress on the supply chain as of now.

Moderator: Thank you. We have our next question from Sanjay K, an Individual Investor. Please go ahead.

Sanja

y K: So, my question is, in today's presentation or it's mentioned there is H2 started a good note with the order for training simulators worth 84 crores. So, is this something a new order or which was already announced earlier, or this is the new order which is not announced earlier?

Page 7 of 15

Ashok Atluri: No, we announced it at around 100 crores we announced it is a stock exchange and this is without taxes it comes to around this size. So, therefore including taxes, because we have somehow there was some issue where the customer said that whatever order we signed that is including taxes and you have to give the total number. So, we give including taxes when they give the press release so that it is the customer knows that we are giving the right figure. But when we actually account for in our order book, we remove the taxes, and we take the net of the taxes.

So, the 84 crores were already told that again this was for a tank live simulation and that's a huge, huge market and this is the first of the orders in that segment. We expect a lot of orders to come up with this because the actual training on force and force training in live environment has become very, very important these days.

So, this is the first product that we got in that. We expect the market is very huge, not only domestically, but internationally. So, this is a big deal for us Zen Technologies and shareholders.

Sanjay K: My second question is about in Q1 company has purchased I think around 1,39,000 shares through ESOP for ESOP perspective I think in Q1, and I think Q2 there was no such transaction. So, are you are we expecting in remaining H2 will the company going to purchase any such shares for the ESOP perspective from the market?

Ashok Atluri: So, we have around 6.4 lakh shares I think we already purchased, and we have catered around I think 3 lakh shares till now. So, we still have a lot of shares in the company and the budget allocated by the board is almost exhausted. There are couple of lakhs left in that. So, there will be no additional purchase I think, as of now, because we have enough ESOPs in place because we didn't want to issue fresh shares. So, we bought it from the market, and we are giving them as ESOPs to the thing. So, we still have about 3 lakh shares and that's a lot of shares. As of now we will not be buying because we don't have any need to buy shares.

Sanjay K: My last question is about I mean it you mentioned that a lot of orders are expected in the remaining H2. I mean are you saying that the more orders are going to come only in Q4 or it will be distributed from Q3 and Q4?

Ashok Atluri: No, I think it will be towards Q4 and Q1 we expected in the next last quarter and the first quarter of the next year the orders to come through, yes.

Moderator: Thank you. We have our next question from Ajinkya Pawar, an Individual Investor. Please go ahead.

Ajinkya Pawar: I have couple of questions. First one, you may call it a stupid question that we are seeing the restraint here in Middle East. So, as we know, China may take Taiwan in couple of years I guess. So, can't we import all the chips that are required for the order book that we have?

Ashok Atluri: Yes we are that's a one risk that we perceive and whenever we are getting a chance we are pre ordering them and that's the reason I think there will be some load on the inventory. So, we want to eliminate that risk of product not being available, but anyway so first we need to actually finalize the bomb. Once we finalize the bomb we do buy long lead at critical items, this is what we have been doing now for a long time, but if it comes as soon as we get the order before we can buy the thing that may create a problem. But otherwise in a few months the risk is completely mitigated. So, we get the component much ahead of which can be impacted by such wars and something.

Ajinkya Pawar: I just want the clarification

that with regard to H2, can you tell me the rough figure that how much for orders we are quoting what order size can expect?

Ashok Atluri: I don't want a hazard a guess at this point in time, but we are bidding for something like about 500 to

600 crores of worth of orders. How much will we get we really don't know. We'll have to wait and see.

Moderator: Thank you. We have our next question from Alisha Mahawla from Envision Capital. Please go ahead.

Page 8 of 15 Alisha Mahawla: Sir, my first question is that we shared slightly earlier in the call that we have an aspiration to reach

1,000 crores of revenue by next year based on the order book that we already have, is that any CAPEX that we will need to achieve this revenue?

Ashok Atluri: No, for the manufacturing part of it, it will be very minimal maybe about 10 to 20 crores kind of thing, that too for building the physical infrastructure and maybe building some kind of jigs and fixtures to monitor the faulty that's getting from the supply chain. But the CAPEX requirement will be very minimal in this. There is hardly anything worth writing about.

Alisha Mahawla: And we were also mentioning that we are evaluating inorganic opportunities, are we looking at freezing on anything this year?

Ashok Atluri: No may not happen this year, but if something happens this is the very good news for all of us. We will be very careful about spending the money very, very sense of trustiness is there, but it may happen may not happen we're not very sure about it, but at this point in time we are evaluating various options.

Alisha Mahawla: Are we looking only at domestic opportunities or we will be comfortable evaluating something that maybe...

Ashok Atluri: No, we are looking at International, mostly international we are looking at international also, but domestic also.

Alisha Mahawla: And my last question is, is there any scope to improve our working capital cycle what is it currently and is there scope to improve it?

Ashok Atluri: I mean the scope to improve is always there Alisha I completely agree, but I would ask CFO to put in some word about this improvement of the cycle what can we do.

Afzal Malkani: So, on the working capital front we can say that there is a significant improvement in our working capital cycle. If you see our working capital cycle has improved from 225 days in March 2022 to 128 days in September 2023. So, it has improved from 225 days to 128 days.

And particularly our inventory days have reduced from 91 days in March 22 to 42 days in September 2023 and our receivable have also reduced from 150 days to 96 days significant improvement.

Alisha Mahawla: So, we're expecting that working capital tenacity at this 120 day, 130 day?

Afzal Malkani: Yes, it will be in the range of 120 to 140 days.

Alisha Mahawla: And now that we have a very large export order where there will be slightly longer lead times and payment times, are we still comfortable maintaining our working capital cycle in this band?

Afzal Malkani: Yes, because generally we are getting also 30% advance for the export orders also. So, we are very comfortable, no issue.

Moderator: Thank you. We have a next question from Lavneesh Mohan from Czar Capital. Please go ahead. Since there is no response, we'll go on to the next question from Maruti Nandan Sarda, an Individual Investor. Please go ahead.

Maruti Nandan Sarda: My first question is around the competition, so do you see any competition in India or abroad who are doing the similar work on simulators as well as anti-drone?

Ashok Atluri: I mean there are companies that work on simulators, and we have been competing with them for the past three decades. But only thing we feel is that very few companies are actually getting their own technology and coming here because it requires a lot of investment, lot of R&D and so they're trying to join forces with some foreign company and I

mean, but given the countries MoD new policy of IDDM, the IP proving is becoming a big challenge for people who are trying to push some boxes here.

Page 9 of 15 So, whether it is an anti-drone system or simulators. So, I think that we have good in terms of because the IDDM policy in which we played a big role, but we do expect competition to keep coming even though in most of the cases in this case we were the resultant single vendor, there was nobody else who could satisfy the requirements of the government and again that is because largely due to the extensive

R&D that we've done in the last three decades.

So, yes, we expect competition to come up, but as of now, we have not seen anything which is bringing up actually competition ups our game also. So, we look forward to that in a way that even though we keep pushing as of now we are our own competitor, and we keep seeing that we are better than yesterday all the time.

Maruti Nandan Sarda: My second question is around long-term vision, how do you see five year down the line in terms of top line, can we make this a maybe 5,000 - 8,000 crore company in terms of top line?

Ashok Atluri: I think if we do only 5,000 crores, I would be disappointed five years from now should be much higher than that, I can say that.

Moderator: Thank you. We have our next question from Neha Jain from Bajaj Finserv AMC. Please go ahead.

Neha Jain: There's one thing which I wanted to understand from you. We noticed that the earlier presentations mentioned Zen Technology as a leading global defense training and anti-drone solution provider to the current presentation which says alliance in India's leading anti-drone technologies and defense training solutions. So, is this to be read as a change in probably the company's focus and if so, how would it affect our margin?

Ashok Atluri: I wish I was writing all those things then I would be correcting it, but nice catch, but the reality is that globally in terms of simulators we're absolutely on the top. And I think we maybe in one or two positions for all the 42 simulator that we have. There's no doubt about that and most of the places we won and in some cases there may not be any competitor for the solution that we are offering.

So, the global leader in simulator solution there is no doubt, but as far as ADS is concerned, we are actually playing. We have just started in 2018 and we are just about the first product came in 2021 and we're just trying to become a globally relevant player in there.

As of now, the product that we are offering to the Indian Government is very good and that's why based on that we are getting a lot of export enquiries, and we think that there will be tremendous amount of still anti-drone systems also.

But are we globally number one in there? No, we are not globally number 1 or even 2 perhaps, but we are definitely aiming to become a globally dominant player or important player.

Neha Jain: So, my follow up question on that would be, when we say India's leading anti-drone technology, have we done any market size opportunity study recently which helps us understand like what would be the potential size or because I understand I mean even when we happen to do a demo version of the products which are offered by Zen.

We saw that a lot of it is very much which is catered as per the need basis. So, when we say leading anti-drone solution is this like a particular niche sector product or it talks about the entire market in which we are the leading suppliers right now?

Ashok Atluri: So, we have a specific segment niche in which we play don't do that, there are some people who just create a handle and point at the thing and get it down. So, they are very, very low in solutions. We go a little higher our range would start around 5 crores to 10 crores kind of thing and it would be 10 kilometers plus or minus 10 kilometers ability to detect mini drone, nano drone.

e.

So, these are the kind of things that we are looking at and, in this segment, definitely Zen is the leading player at this point in time. Again, with caveats in place, we do expect competition to come in, but Page 10 of 15 again will they be able to prove that indigenous designed and developed product will be a challenge for anybody.

So, we think that we are in a very good space, but we expect competition to come, but how will they really get it even if we developed because it has taken us hell lot of time to develop this product hell lot of expertise. So, we think we are in a very good position as longer government is focused on encouraging the indigenous products and again we have also bid against the world's top products, but in terms of price I think they'll be much, much expensive than what we are offering.

Neha Jain: Sir in terms of export opportunities specifically we understand that would be something which is going to be a major factor going ahead. So, any countries where we have specific priorities in terms of these are the countries which we would be targeting and if so whom do you think would be, I mean, how does this if you can just help us understand little background or like how does the tendering, whether it is on tender based or how do we exactly go on to target these particular orders like would it be against applying to governments of different countries or any anything if you could share on those, but to have some clarity on export segment?

Ashok Atluri: So, export segment typically we go for export, we take support from Indian Government a lot in the sense the local embassy etc.. And we also depend on some kind of a local strong partner. So, this and of course they should be friendly nations for India. So, these are the three criteria that we have and now we are getting tremendous amount of support from Government of India where we say please find out whether the requirement is there or not. So, the Indian Government is actually helping us find customer at this point in time in line with the Mr. Modi's ambitious target of \$5 billion exports we are getting. So, at the ground level it is happening and so we think that because and again stature of India in the in the world today, the different stature.

Earlier when you used to went they used to laugh in India the largest importer what are you saying that you will sell something to us, but now that's no longer the case we are respected. We are taking with seriously and we are running, and we are winning.

So, I think this is the way it's going to be, and India will become a major player, it is already there on the way to becoming a major export hub for defense.

Moderator: Thank you. We have a next question from Saksham Shrimal from Kriss Portfolio. Please go ahead.

Saksham Shrimal: Sir, wanted to understand the revenue recognition that happens pardon me if this is very basic because I understand we have grown year-on-year basis, but Q-o-Q there is a dip, so wanted to understand like was there any execution delays or something like that or how do we read that?

Ashok Atluri: These are the orders that we got as late as March end and June kind of the orders. So, they started the execution in 2nd Quarter onwards, but yes, there was no actually a delay even though production gives aggressive target. We do the buffering and come with the realistic target, and this is happening as per the internal projection that we are.

So, there is no cause of worry and this is again please don't expect that when we say 500 crore all the quarter will be 125 crores, 130 crores kind of thing. And typically in government oriented companies like Zen the fourth quarter is typically very heavy. So, we think that may happen this year also.

Saksham Shrimal: So, probably it is more of an annual thing that we should be focusing on and not quarter by quarter because quarter-on-quarter can be lumpy in this?

Ashok

Atluri: I would say I would very strongly recommend for most of the defense companies, the quarter-on-quarter can be pretty uneven. Just focusing on year-on-year I think that is where the key thing is.

Moderator: Thank you. We have our next question from Rajesh Gupta from SBI Securities. Please go ahead. Since there is no response, we will move on to the next question from Mayur Patwa an Individual Investor. Please go ahead.

Page 11 of 15 Mayur Patwa: So, my question is once the product is sold, what is the lifespan of that product and how much AMC revenue do we generate on that?

Ashok Atluri: So, Mayur typically the product life cycle is 10 years and in very rare cases it has been 15 years also and a typical warranty period is given for two years, it may go to three years also. After three years for the rest of the 8 years we get the AMC. So, that is what the AMC count is like.

Mayur Patwa: And how much is your AMC revenue?

Ashok Atluri: It may be between 8% to 10% kind of thing. So, let us take an average of 9% also $9 \times 8 \text{ years} = 72\%$ of the equipment cost.

Mayur Patwa: And is it same for both the products like for anti-drone as well as for the simulators or they are different?

Ashok Atluri: Yes, it is almost like that around 10% anti-drone system maybe a little higher because of the complexity, but we because we haven't started the AMC for them, we have indicated that it was going to be at least 10% to most of our customers.

Mayur Patwa: And going forward maybe two or three years down the line once we stabilize our anti-drone system products and everything, what type of revenue mix we are looking at, will it be 50-50 or we are more focused on anti-drone or how exactly it will be?

Ashok Atluri: We would love to have any combination as long as it is higher at the higher rate a 50% of ADS is let us say 1,000 crores and we're not really focusing on the percentage. We are going after orders in any form

the simulator order we take simulator order.

So, we don't have a vision as it should be 50-50 or not. Our thing will be more responding to the customer requirement. If they want 70% simulator 30% ADS that is also okay, but very frankly both of them to explode and the simulator and the way the government has introduced in 2021 September, they introduced the framework the way they're implementing now and the recent statement by Chief of Army staff where he clearly said that we all started simulator and this has just started, which is the big thing for us. This is ultimate confirmation from the Government of India. So, now that is there. So, they are accelerating procurement of simulators. So, we think that both of them will be growing but very, very hard and again we are very responding to the customer needs. So, we expect both to explode, but the higher in absolute term, they may go very, very high.

Mayur Patwa: And the last question is now is there any capacity constraint? No, I understand these are all software, so ideally we should not have any capacity constraints, right or do we have any capacity limitation on how much we can reach?

Ashok Atluri: So, the thing is that there is hardware involved in this, the simulators if you look at it, there is hardware involved in it. So, hardware is maybe depending on the kind of thing it may go up to 30% of the total order cost maybe sometimes even 10%, 15% also there are cases.

But the point here is that yes, there is hardware, but I don't feel that that will be a constant when we actually try to scale up. Again the majority part the 70 %, 75%, is software as you very rightly observed. So, the constraint, we don't feel any hardware constraint will actually punish us for not taking more orders or it will restrain us from taking more orders.

Mayur Patwa: And this hardware then we manufacture in house, or it is procured from outside?

Ashok Atluri: So, we actually what we do is we do the prototyping R&D and engineering in the company. Once the product is engineered for manufacturing, then we outsource it for manufacturing to our supply chain.

Mayur Patwa: And the last one now, the profit margins are more or less same for both these divisions, right?

Ashok Atluri: No, actually the simulators are little higher profits are there, and anti-drone systems are a little lower than simulators.

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Mayur Patwa: How much it can be the EBITDA?

Ashok Atluri: So, EBITDA, I would say that perhaps the simulator maybe about 40% plus and this may be around 30% or little around that. ADS will be around 30%.

Moderator: Thank you. We have our next question from Mudit Kabra from Elara Capital. Please go ahead.

Mudit Kabra: Can you give us the order book split between the simulator and ADS?

Afzal Malkani: Yes, if we give the breakup of the simulators and anti-drone system total order book position is 1,403 crores, out of which anti-drone system order is around 597 crores, simulators order book is 546 crores and remaining 259 crores for the AMC.

Mudit Kabra: Thank you. And also can we have order books split like in different applications for example arms and ammunition is how much and for tank it is how much for simulators?

Ashok Atluri: That we cannot share, but overall we can share it.

Mudit Kabra: And lastly, just I wanted to get some sense on export orders like wouldn't a simulator or export orders be restricted to countries which are using only Indian made products or is it also fair to assume that these our simulators can be procured by countries which are using their own tech and own products, and they're okay with sharing those kind of tech with us?

Ashok Atluri: Most of the platforms that we currently have are basically more foreign countries like from Russian or American or other countries. So, the platforms are not completely Indian in that sense. So, the ones we make are they have a lot of market overseas also, lot of countries Russian erstwhile US are equipment with them so they are ready made customers. But even for other customers who have different kind of training equipment, we have the libraries, we have the capability to do redesign to design and in fact the replica of other weapons also, but the underlying software requires very little tweaking. So, which is the difficult part is already developed and can be readily absorbed in the software in the new simulator that we need.

To your question, it's much the current India equipment is worldover. They have procured from France, from Russia erstwhile so that there's a huge base for that. Second is yes we can for new customers we can develop it very fast.

Moderator: Thank you. We have our next question from Dipen Vakil from Incred equities. Please go ahead.

Dipen Vakil: Sir, just one question. So, you mentioned that there are no supply chain issues going on right now, but I wanted to understand for the things that we manufacture, what would be the import and export sorry import and domestic procurement split between the two and what components do we procure as imports and from which geographies?

Ashok Atluri: Typically the import content I think is depending on the kind of product it may go as high as 10% that is the maximum we would be doing it. But typically 5% would be in simulators it would be between 3% to 5%. So, that is the thing and this is spread across. We take it from Europe, we take it from America, we take it from even from Taiwan, etcetera. So, these are the places where we take it.

Dipen Vakil: So, majorly any particular component that we recurrently import?

Ashok Atluri: So, we do import recurrently, but very well-known brands the tech instruments those kinds of things we do import on a regular basis.

Moderator: Thank you. We have a few text questions. I'll read it out to you. We have a question from Rajesh Gupta from SBI Securities, is there any reason behind spike and other expenses? What is overall execution time for Rs. 1,400 crores in hand?

Page 13 of 15 Ashok Atluri: For the spike I'll let Afzal speak, but overall, the execution we have said that if we take out the annual maintenance contracts, the rest of the equipment we expect to be executed by FY25, Afzal over to you. I don't know which expenses you are thinking about but there is a spike.

Afzal Malkani: So, there are only employee benefit expenses that we discussed and other than this, I think there is only other expense in the balance sheet, right. So, if I assume that there are only major expenses, other expenses, and there is a spike in this other expense. So, I understand that Rajesh Gupta would like to know about the increase in other expense. Here in this other expense the major expense is related to marketing expense which is variable in nature.

So, compared to September 2022, there is an increase of around 300% in the revenue. So, in line with the increase in the revenue, our other expenses, particularly marketing expense have increased by 300%. So, this is the main reason for that.

Moderator: Thank you. I'll read out the next text question from Lavneesh Mohan from Czar Capital. One, what is the logic for opening an office in Armenia? For export opportunities, I would have expected to open an office in Dubai which is a business hub in Middle East?

Ashok Atluri: So, the reason we are opening in Armenia is that we expect lot of business in the CIS. So, three regions we focus on one is Middle East, Africa and CIS countries. So, we needed CIS support is mostly for supporting the marketing and after sales activities. So, that is the reason we are focusing on Armenia also as a hub for all the CIS countries. So, that is the reason and probably we'll have one in Dubai, of course. We are very active in Dubai at this point in time. You're absolutely right for Africa and Middle East with the real business hub that way. We are active in Dubai, but in the long term we think Saudi is a very good bet for Middle East operations and of course, Africa, we are very active as of now.

Moderator: Thank you. We have a question from Kripashankar Maurya from Choice Broking. One question on order book just wanted to understand the orders in pipeline and by when we can expect those order and on anti-drone what is current order book inquiry momentum and in terms of technology how we are scaling up the anti-drone technology?

Ashok Atluri: One is that there are about 500 crores to 600 crores worth of pipeline is there till FY25. So, those things will be resolved then, but for FY 26 and 27 it's a very huge piping that's developing as of now, it's not yet completely crystallized and with respect to ADS, we are absolutely aiming at becoming a globally important player in that segment. So, the R&D is being spent like we're not sparing any effort in any expense become a globally important player in that segment. So, yes, as you keep moving ahead, we'll hear more and more about the new features that we're adding on a regular basis on the products.

Moderator: Thank you. We have a live question from Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: Just one bookkeeping question, what is our tax rate because for H1 it is being closer to 30%. Last year it was 25%, just wanted to know what it will be?

Afzal Malkani: Tax rate is effectively 29.12%.

Moderator: Thank you. We have our next question from Rajat Agarwal, an individual investor. Please go ahead.

Rajat Agarwal: Just a couple of questions. One is related to the agreements or the contracts, so try, the orders that you received, specifically the export orders what kind of agreements do you sign when those contracts are these orders cancellable? Is there a penalty clause in these orders? Just want to understand the surety of these orders spanning out over the next 12 to 18 months?

Ashok Atluri: The thing is in the particular

order case we have got 30% advance, and we are in continuous touch with them. They're coming and giving us feedback we have started making products models also they are seeing and we expect the execution to happen before FY25 all the export order will be executed and I mean, there is no frivolous clause like where they can just cancel the order or anything like that, there's no clause like that. So, if we execute if we make the product we can deliver and take the money, rest of the money.

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Rajat Agarwal: Is there a currency protection clause also as in are these in USD is the currency, are we protected on the currency front?

Ashok Atluri: They are in USD. Incoming we don't hedge them, or we don't do any foreign currency operations on our thing. When the money comes, we get the money, but no aggressive profit taking on this or something like that.

Rajat Agarwal: No, what I meant is if let's say two quarters down the line, the dollar rupee goes down to 40 that is the rate that we will receive our incoming?

Ashok Atluri: Yes, that is right.

Rajat Agarwal: And just the last question, since we are at the end of October, would it be possible for you to share the approximate sales that might be booked in the month of October?

Ashok Atluri: No, I can't.

Moderator: Thank you. We have a text question from Sanika Khemani from Sapphire Capital. Sir, we have said that the growth rate for FY24, FY25 is sustainable for FY26. The top line for FY25 comes out to be 1,000 crore and FY24 is 450 crore, which means the revenue is doubling. So, am I correct when I assume this growth rate for FY26?

Ashok Atluri: I would say that in absolute, not in percentage terms, but in terms of 500 to 1,000, 1,000 to 1,500 crores be possible that looks reasonably estimate that we could be easily talking 1,500 crores in FY26, based on the strength of the thing that we are getting now, but till we actually get the orders in hand, we're not able to tell that but 1,500 crores looks like a safe prediction, very safe prediction I feel.

Moderator: Thank you. We have a text question again from Vignesh Iyer from Sequent Investments. Lot of companies who have high marketing expenses or R&D show it as a new line under other expenses category. This gives clarity to investors, where the major spending has been under other expense. Would request the management to consider the same and show line item under marketing expense under other expense?

Ashok Atluri: So, if I understood the question, what they're saying is that new product development needs to be highlighted. This can be done I think it's not very challenging, but just to go back to the very basis of R&D expenditure that we do, in terms of treating that we write it off in the period it has occurred. So, there is no capitalizing that is happening and it's a very conservative way of doing things, say almost saying that we are not sure of any some any R&D effect coming to commercial position for certain. So, the IndAS standard says that if you are doubtful you have to write it off in the same year.

So, we follow the principle that any technology that we are developing may or may not succeed even though the percentage is there, but they say if doubt write off in the same quarter so that's what we do. We write it off from the same quarter, but to your suggestion that we should actually maybe show it as separately that we are doing it for the new product, for new market etcetera I think we'll consider this. It's a nice suggestion, actually. Probably we'll consider that that also shows how much we are spending on the future probably we'll see that separately also.

Moderator: Thank you. We have a text question from CA Girish Gupta. Sir, this is Girish Gupta I think we change our orbit please explain or confirm?

Ashok Atluri: I mean we are in our orbit already and we expect another orbital shift in maybe a year from now, so yes. It's be

en again frankly this is more external environment that has changed. Zen is just adapting to what is happening externally, but Zen as already been R&D always been focusing on IDDM. These were never honored or treated

well, or you're really appreciated.

Page 15 of 15 Now in this environment, they're being appreciated. They say people who do R&D are special. We have a special category from IDDM versus people who just come and resell pimping other foreign vendors, they are showing the difference. So, I think this is a good environment to be in.

So, this is because of this environment, we have definitely shifted and as you said probably orbit also and we expect one more shift to happen maybe sometime from now.

Moderator: I now hand the conference over to Ms. Tina Virmani for closing comments. Over to you, ma'am.

Tina Virmani: Thank you, sir, for giving us an opportunity to host you and for your detailed responses for all the questions that came through, would you like to make any closing remarks?

Ashok Atluri: So, again the caveats that Abhishek gave those caveats forward-looking statement. We think that we are extremely well placed. The government is really in the direction of encouraging IDDM company to company that own IP and suddenly after the recent events in Ukraine where Ukraine has the world's most advanced equipment, Still, they are not winning the war, because they're not trained on the equipment, they have the equipment, but they're not trained and again the training has become very, very important. So, which needs to demand for our first vertical training and simulator and second the extensive use of drones in the current wars that are going on.

Also, Board well for anti-drone solutions. So, I think that plays at a very good location and we expect the growth to continue in the next three to four years. We will be in a different league altogether and thank you so much for joining this call. Thank you so much guys.

Moderator: Thank you, sir. Thank you, participants. On behalf of Zen Technologies Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Call: Feb 2024

Date: February 1, 2024

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Through: NEAPS

Symbol/Security ID: ZENTEC To

Dept. of Corp. Services

BSE Limited

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Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--oOo--

With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on January 29, 2024, on the Q3FY24 performance of the Company.

Kindly take the same on record and acknowledge the receipt.

Thanking you.

Yours faithfully, For Zen Technologies Limited

M. Raghavendra Prasad Company Secretary and Compliance Officer

M.no.: A41798

Encl: as above

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"Zen Technologies Limited

Q3 & 9M FY'24 Earnings Conference Call"

January 29, 2024

MANAGEMENT

MR. ASHOK ATLURI – CHAIRMAN AND MANAGING DIRECTOR

ZEN TECHNOLOGIES LIMITED

MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER ZEN TECHNOLOGIES LIMITED

MRS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR

ZEN TECHNOLOGIES LIMITED

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Q3 & 9M FY'24 Earnings Conference Call"

January 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to Zen Technologies Limited Q3 and Nine Months FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Bhatt. Thank you and over to you.

Abhishek Bhatt: Thank you. I would like to welcome everyone and thank you for joining this Q3 FY'24 Earnings Call of Zen Technologies Limited. The "Results" and "Investor Updates" have been e-mailed to you and are also available on stock exchanges. In case anyone does not have a copy of the same, please do write to us and we'll be happy to send it over to you. Today, we'll start the call with a "Brief Overview of the Performance" which would be followed by "Q&A Session."

As a disclaimer, I would like to remind you that everything said in the call reflecting any outlook for the future, which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainty that the company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports, which you will find on our company's website.

With that, I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you, Teena.

Teena Virmani: Good afternoon, everyone. We welcome Mr. Ashok Atluri, Chairman and Managing Director of Zen Technologies; Mr. Afzal Malkani, CFO, and Ms. Shilpa Choudari, Whole-Time Director of Zen Technologies for Q3 FY'24 Concall. Over to you sir, for your initial remarks. And once your remarks are done, we will open the floor for questions and answers.

Ashok Atluri: Good afternoon, fellow shareholders and prospective co-owners. Thank you for joining us for this Q3 FY'24 Earnings Call. Our performance in Q3 and the nine months leading up to the FY'24 have been unprecedented, setting new benchmarks for our Company. We are witnessing what is shaping to be the most successful year in Zen's history both in financial terms and also in terms of the number of orders that we have got in the order book position. In the current year, our innovation-driven focus, I always have been saying that look at Zen as an IP play because there is so much hidden asset in the IP because what happens is whenever there is a register, when we ever do R&D, we write-off those costs, but in those costs there is a hidden asset there, IP being created and we assert that through IP patents, and in this year we have a staggering 15 patents that were awarded to us, underscoring our unwavering dedication to technological excellence and innovation. This is the main thing that Zen does from creating IP, is absolutely cutting edge for the country which is not only meant for India, but we make in India for the world, that's the objective. So, this achievement also aligns perfectly with our strategic goals and reaffirms our position at the forefront of our defense industry, especially in the design and development.

During Q3 FY'24, we secured orders worth of Rs. 129 crores, increasing our order position to Rs. 1,434 crores by 31

st December 2023, out of which equipment orders are about

Rs. 1,150 crores and we expect these orders to be executed by the financial year '25.

We are still anticipating a few orders in the next few quarters to ensure that the order book position by the end of FY'25 is stronger than the order book position in FY'24. This order

Page 3 of 14 book position will help us to grow on the trajectory at which we have launched the inflection point which we continue the trajectory growth for FY'26 and beyond.

We are also optimistic about the promising prospect of the export market. Our long-term

focus has been on achieving leadership in several key areas, including development, both live and virtual wave simulators, leadership position in anti-drone market and expanding our services especially through AMC revenues. We look to expand our global presence with a particular focus on Middle East, Africa and CIS countries.

So, overall given the situation, we feel that we aim to grow at a CAGR growth of 50% at least for the financial year '26 to '28. We hope that if this is achieved, we would have hit the minimum goal post that we have set for ourselves. To support our growth, we have also initiated a lot of changes in the HR policies, technical and manpower to attract them. We started the ESOPs plan where dedicated Zen's have been rewarded with ESOPs and we want to continue doing that. We expect a lot of talent to be attracted especially who want to make a difference in the world and who want to create something durable which they can really relish when they grow old. So, this is what Zen is all about, making absolutely great inventions and innovations in the defense field.

By the way, we are also looking at opportunities to expand inorganically through acquisitions outside. I have been saying for 1.5 year, 2 years. Normally, the time to raise money is once we acquire, we look at the target typically from 90 to 120 days. So to ensure that we don't have to go starting with the board resolution, etc., we passed enabling resolution at the board to raise up to 1,000 crores and the same will be commended to you. So, these potential opportunities would definitely mean that again, I'm very, very worry

about acquisition because I know that almost 80% to 90% of the acquisitions go bad. So, I'm very, very conservative about it and we'll ensure that we will really retest, we will be very, very careful with the shareholders money, we will retest our assumptions and ensure that these are coming at a reasonable price, and with our joining hands with these acquisitions if they happen, they may not happen, very frankly I'm not very sure at this point in time, but if they happen we will guarantee that it will be a blockbuster position.

Again, we are taking steps because of this expanding that's happening, one of the questions a lot of people ask is "Operationally, how are you?" Operationally, as you can see that we are delivering what we promised, but we are looking at constantly in making it more robust, the supply chain, the procurement, the production planning, we are really on top of the situation and we continue to work very hard to ensure that there are no operational challenges and the promises that we make.

So, again, we are on target to meet at least 450 crores during this year and that's what we promised, and next year we think that based on the order book position, we should be able to achieve at least 900 crores. And again, a year after that we are expecting a CAGR growth of 50% for the next three years.

So, as we move forward, we are very confident that our strategic investments and relentless focus on our core competencies will continue to drive positive outcomes for the company and thank you so much, I'm really, really grateful to the shareholders who have stood with us through thick and thin and we'll try our best to reward them better. Afzal, you can take over from here.

Afzal Malkani: Thank you, sir. Good evening, everyone. As you just heard from our CMD, Mr. Ashok Atluri, we are thrilled to report that we have delivered an excellent quarter.

I'm pleased to provide you an update on the impressive performance of our Company in Q3 FY'24 and nine months FY'24. Additionally, we are well positioned to continue our growth momentum going forward.

Page 4 of 14 Let me begin with our standalone financials highlights for Q3'24:

Our total revenue for Q3'24 was Rs. 102.26 crores compared to Rs. 34.84 crores in Q3'23.

The growth in percentage terms is 194%. Our EBITDA for the

Q3'24 increased to Rs. 48.41

crores compared to Rs. 10.27 crores in Q3'23. In percentage terms, EBITDA is 47% of the revenue compared to 29% in Q3'23. The growth in percentage terms is 370%. Our profit after tax has increased to Rs. 31.67 crores compared to Rs. 7.58 crores in the same period

last year. Profit after tax in percentage terms is 32% compared to 23% in Q3'23. The growth in percentage terms is 318%. Out of our total revenue from operations of Rs. 98.08 crores, Rs. 89.65 crores were contributed by the sale of equipment, while Rs. 8.43 crores came from our AMC business.

Moving on to the nine months FY'24 performance: Our revenue from operations was Rs. 294.56 crores compared to Rs. 87.29 crores in nine

months FY'23. The growth in percentage terms is 237%. Our EBITDA for the nine months FY'24 increased to Rs. 143.76 crores compared to Rs. 31.83 crores in nine months FY'23. In percentage terms, EBITDA is 47% of the revenue compared to 34% in nine months FY'23. The growth in percentage terms is 352%. Our profit after tax has increased to Rs. 96.20

crores compared to Rs. 20.37 crores in the same period last year. Profit after tax in percentage terms is 33% compared to 23% in nine months FY'23. The growth in percentage terms is 372%.

Now, coming onto the revenue breakup: Out of the total revenue for the nine months of Rs. 294.56 crores, Rs. 270 crores from the

equipments and Rs. 24.38 crores was from the AMC business. If we give the breakup of the total revenue of Rs. 270 crores in export and domestic, then our revenue of Rs. 80 crores was from export and Rs. 214 crores was from the domestic. In percentage terms, 30% was from export and 70% was on the domestic side.

If we go to the segment wise revenue, then our revenue from Simulators business is Rs. 195 crores, Anti Drone system was Rs. 75 crores and AMC business as I mentioned Rs. 24.38 crores. In percentage terms 73% revenue comes from the simulators business and 27% from the Anti Drone Systems.

Moving on to the balance sheet part: Zen Technologies remains focused on maintaining strong liquidity and leveraging its asset

light business model to ensure sustained growth and value creation for our stakeholders. We continue to maintain our debt-free balance sheet. We were able to manage our additional working capital requirement from our internal accruals though we have achieved exponential growth in revenue in Q3'24 as well as in nine months FY'24. Apart from this, we have a strong liquidity position and we have cash in hand of about Rs. 192 crores. Additionally, our return on equity has increased to 31%, and our return on capital employed has increased to 45%.

On the working capital front: There is a significant improvement in working capital cycle and our working capital cycle has improved to 93-days. This is due to the efficient working capital management, particularly inventory and receivables and higher amount of advance received from the

customers.

With that, we conclude our opening remarks and we would now like to open the floor for questions and answers.

Page 5 of 14 Moderator: We will now begin the question-and-answer session. We have a first question from Girish Gupta, a chartered accountant. Please go ahead.

Girish Gupta: I am a very long-time shareholder for the company. If you remember every time you are saying that we will change our orbit and I always ask you when we change our orbit and last time when I talked to you, you told me we have changed our orbit and we are now moving to the next orbit. There are three question to you, sir, if you don't mind. Why you sold your 2% stake to the Tata AIG. Are you thinking that you get from Tata Advanced? This is a little worry. Why is the promoter sold his stake to the Tata AIG? Second question is why you come with the QIP? Why you did not come with the rights issue? It will be rewarding to the minority shareholders also. And last question is that there is a news that DRD

O also

established their anti drone system and they delegated to the private players like Tata Advanced and L&T. So, any competition from this side you are acknowledging or not?

Ashok Atluri: What was your first question?

Girish Gupta: Sir, why you sold your 2% stake to Tata AIG?

Ashok Atluri: Those are the two questions. What was the third question?

Girish Gupta: Why we are not coming with the QIP? Why not rights issue? Are you looking at any big investments from the Tata side?

Ashok Atluri: First thing is why not rights issue versus QIP is, I don't think it will be counted as insider trading or what, but very frankly if we go for a QIP to be at much higher price. So if you want to do something, you should do it now, the rights or whatever you want to do you exercise it now only in the secondary market. Second is why did the promoters sell the shares? Very frankly, we have this company 23 years listed and once or twice the sale has happened only to buy the company shares but we haven't sold the shares to take some money for us. Especially this was not done by the core promoters except for Mr. Kishore, who sold a very small segment, it was done by the non-core promoters in this. I think out of the 57%, we sold only 2% of the equity and I think you should give us that much of levy in the sense that we are taking some money off the table and that too not the core promoters but from the other promoters who have been holding for 23 years. Actually, we should congratulate their patience in this regard. So we'll give that much of a levy and by the way, we also got a very, very strong institutional investors, lot of our shareholders always say that we don't have institutional investors. So we got a Bahubali kind of as an investor into our portfolio. We expect looking at them, maybe other institutional investors will follow them. The third question was DRDO. DRDO thing, if you actually Google and see, it's almost two- year old story where DRDO actually published and invited people to be given the transfer of technology. We compete with each other. DRDO technology is given to BHEL. We have competed, we have one in some places, but our evolution, thanks to the advantage we have as a private company is much, much faster and we expect that the focus DRDO is doing and with Zen doing a little different and they don't pose a threat to us, and the technology that they have transferred. In a way whatever sales happen on DRDO technology, Zen also benefits because we are also a partner in that indirectly. So, that is the overall thing. Nothing to worry on the DRDO front. Again, that's also IDDM thing. But we have different markets and I think Zen anti drone system will be doing extraordinarily well as we go ahead.

Girish Gupta: When do we change our next orbit?

Ashok Atluri: The thing is, whenever I have predicted, I have gone wrong, so I will not predict. I think the Company with other people are doing a lot of work. You may think this is Ashok Atluri, but there are other people who actually do the work. I may be standing in front and taking all the thank yous from you, but yes.

Moderator: We have a next question from Ajinkya Pawar, an individual investor. Mr. Pawar, please go ahead.

Page 6 of 14 Ajinkya Pawar: I have two, three questions. First one is that in last concall you said that we have bidded for nearly about 500 to 600 crores of order, but in H2 we won only a couple of orders worth Rs.130 crores. So, what was the reason behind it? It will be same like that in last year we won lot of order in Q2. So, what will be the order pipeline in Q4 and next year? My second question is related to the Goa R&D plant. Sir, is it due to that customer from export that you said in one of the interviews that they want us to derisk ourselves, but currently we are concentrated in existing plant in Hyderabad? And my last question was related to the Indian government announcement that they want to pla

n anti drone system on the India-Pakistan border. So, any enquiries related to that sir?

Ashok Atluri: Appreciate your questions. The first question was the order book during the quarter has not been as strong as the previous order book that we gained. We expect that the pace of order book will vary, it will not be very consistent quarter-to-quarter. Again, I'm saying that

FY'24, we are almost at the end of it and we have about 1,400 crores worth of order. I think the orders for the current year are almost there, we may get a couple of orders, but FY'25 we expect it to be extraordinarily better than FY'24 based on what we are bidding currently based on the pipeline. So, don't focus on how much orders we got in a quarter, but overall year-on-year we should be having growth and with respect to Goa R&D plant, again, you also gave the answer that when we are building the facility, that is mostly to geographically de-risk all our risk in Hyderabad now. What happens if there is something Hyderabad rendered nonfunctional, so we have a Plan-B in that regard. So, that is where the Goa plant comes in and third was regarding the border. We are in talks with various government agencies for deploying Zen solutions, counter-drone solutions on the border. But again it's a competitive bid and there may be other players coming in for this. Who gets the orders, let us wait and see. But we are definitely one of the core runners in that.

Moderator: We have a next question from Anurag Agrawal from Agarwal Analytical Investments. Please go ahead.

Anurag Agrawal: In the previous concalls, I heard that you mentioned the market size for simulators business could be upward of 10,000 crores and right now what I could see is that our order book is around 800 crores in that part of the business, and we had also mentioned that we are world #1 in simulators in our field. So, could you just give me some views as to why do we have such low market share despite being world #1 and in what terms are we world #1 -- is it in terms of cost or capability or capacity, what is your view on that?

Ashok Atluri: The thing is that we started 30 years back, Anurag and we have been in this field for 30 years and in the initial 20 years, there was hardly any support from the Indian government in the sense they didn't have any preference for made in India or Indian made goods or anything like that. We were competing against the world's best and India is world's largest defense market and everybody wanted to come here, every company that was worth it is all set, listen, we will go and conquer India as the market, and we were competing with those guys all throughout these 20 years and we won against each and every one of them and I can name them, SA, Palace, Cubic, all these big, big companies, we competed against them and then they actually withdrew from the market because our products were technically superior. That's what my belief is and they have not come to this market. Again, we are not playing a game of getting the technology somewhere from XYZ, even DRDO or imported and trying to push that product. No, this is completely indigenously ground up from scratch developed by Zen. To assert our rights, we have filed patents not only in India but globally, US, in Europe we have filed this patent. So what do I call myself? #1 is in terms of technical capabilities. Definitely, in terms of the market what we have till now achieved is much lower in the scale and that is what the next couple of years, somebody was talking about how do I go to the next orbit, that growth will be fueled by our foray into the foreign market in a very, very serious manner which is happening at this point in time. To your question, the answer is, we are technically the #1 company in the world in land forces simulators.

Anurag Agrawal: Recently, I saw that a few other companies like Adani, Defense and DCM Shriram Industries were also ventur

ing into anti drone system and you said our aim was to be at least world #1

Page 7 of 14 or #3 in anti-drone. How do we see us sparring in that space, how do we see as compared to our competitors in terms of cost and technology?

Ashok Atluri: I think we will have competition coming up internally from the Indian companies that are collaborating or they are doing their own research. But till the last tender published by the Government of India, the Indian Armed Forces there are two tenders published and we were the only resultant single vendor in that. I really don't know, but I always tell the investors, don't look at my PR releases don't look at my statements that I make but look at the tender that the government is publishing and who has won those tenders. That is the proof of the people who are actually players in this segment. But as of now, we were the resultant single vendor for both large tenders published by the government and that orders are already with us. So, in future, what could they come up and beat us? I really don't know about it, I don't know how strongly they are working on this. But the guarantee from Zen is this, that we will leave no stone unturned to be absolute world leader, because it is in the interest of the country that we invest a lot of R&D in becoming the #1 or now #2 in the world in the anti-drone systems. So that investment we will carry and this is what I tell you, regardless of winning or losing a couple of tenders, that long term objective of three to five years are deeply embedded into the innovative mindset of the company and we will achieve that in the leadership position in the anti-drone systems in the next three to five years.

Anurag Agrawal: Could you throw some light on the order pipeline for the next year if you have any idea about that?

Ashok Atluri: Order pipeline I will not say, but orders, we have already indicated that we'll have at least 900 crores worth of orders that will execute in the next year. So, we feel confident that we will be able to achieve that. But again, I told you the order book position will be better than what FY'24 offered, FY'25 should have a stronger order book position is what my personal

view is.

Moderator: The next question is from Abhishek Shah from Ambit Limited. Please go ahead.

Abhishek Shah: Just wanted to confirm a couple of points and I had a question. Sir, you mentioned that in FY'25 we are targeting about 900 crores of revenue versus I would say about 300-odd crores that we'll end up doing in FY'24, is that correct?

Ashok Atluri: No, FY'24 is 450 crores, FY'25 will be 900 crores. We almost touched 300 crores already.

Abhishek Shah: And on that, in '26 to '28, we are estimating 50% CAGR on the top line?

Ashok Atluri: CAGR on an average. I think it will be a little high, little low kind of thing.

Abhishek Shah: Then sir, related to that, just a question we had, margins jumped up significantly in this year; if I compare Q3'24 to '23, they are at 47% versus about 27%, 28%. So, can we assume that we would sustain those margins going forward during this growth phase or any kind of color on that?

Ashok Atluri: One thing is we are very, very cost conscious, we have a cost mindset which will put even the most miser to shine. So, we have a really, really strong. But we do spend where it is required like for R&D we will spend, for doing heavy equipment we will spend where it is required, otherwise we are very conservative. So the percentage of the EBITDA target

internally set is about 35%, but this quarter we have exceeded that. But what we aim is that in a whole of the year at least 35% EBITDA should be there. That is what we are aiming for the year, but I think this year may be better than that.

Abhishek Shah: You did talk a little bit about the QIP. Any color on use of these funds would be, you mentioned acquisition, but anything else that you all are thinking of?

Page 8 of 14 Ashok Atluri

uri: As of now, our mind is that basically for the operations that we are doing for our order execution, we don't need any funds, we have enough sufficient funds internally and if this raise is activated, that means to say that we have probably identified in the past at least in the process of identifying or identified some acquisition that is very, very synergistic with the Company's operations. Only then we will be doing it. Otherwise, we may not do this raise at all.

Moderator: The next question is from Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Sir, now on the results, we are seeing that your profit margin of the company is jumping up and down quite a lot though it is extremely healthy, and even in the past, you had said that you are comfortable at 25% margin. So, how do we look at your profit margin going forward?

Ashok Atluri: The 25% has always been about that profit after taxes and 35% EBITDA. The thing is that this is what we have said that it's a conservative target. Very frankly, one thing about the Zen's accounting department is they report what is there, there is no creativity involved, that's not a profit-making division, but a reporting division. So you will get that fluctuation. Why the fluctuation is because of the combination of different products, for example if I done simulators more, simulators have a better margin, so it may be having more than that. But on an average, we expect it to even out to 35% EBITDA and 25% PAT as we go ahead.

Sanjaya Satapathy: Sir, you have given a guidance of 450 to 500 crores. Right now, you have removed that 500 crores. Is it some kind of a guidance cut or you just want to be more specific?

Ashok Atluri: We have said 450-plus crores. We have like you watching us. So we have to be very careful, but thank you, absolutely you told the right thing. We did say 450 to 500 crores, but now we are saying 450-plus crores but let us hope that we achieve the target that you have in mind.

Sanjaya Satapathy: Coming back to your guidance, sir, your QIP plan and also, this is the first time possibly as far as I know that you have given a guidance all the way to FY'28 almost. So, have you done any due diligence in terms of acquisition or this is just a matter of treatment of intent and your Company, which is asset light and also not too many employees to that extent, so are you aware of the complexities that will be required to do such a large ticket acquisition, because 1,000 crores is not really a small number?

Ashok Atluri: I'm very aware of that, Sanjay. I am like you, owner of the business. I know that anything you raise, that's a pre-met and especially if you're raising the equity, it's very, very expensive. I actually have bored in raising equity but except where really necessary. So, to your question, yes, again, as I have said that we are exploring multiple companies at this point in time, and we are not sure whether it will really convert it into actual acquisition or it is the discussions may fall through. But whenever they happen, we will intimate, we will raise the QIP and we will be very careful in deploying this QIP fund. But we will raise only if there is a target inside, otherwise, we will not be going for the QIP at all.

Sanjaya Satapathy: Or rather, to be very clear that you will sign the acquisition deal and then do the QIP, is that how it is?

Ashok Atluri: That's right. The time to raise the money when we talk about this thing, there will be exclusivity clause. The time is usually maybe 90 to 120 days. So, we want to finish everything by then. We don't want to go back and say, we cannot raise it. So, we are preparing the ground for that. It's a very low cost operation that we are doing, taking that and keeping ready, as they said, keep the dry powder ready if you want to shoot a flying bird. So, that's how we are trying to keep it.

Sanjaya Satapathy: When you are talking about

FY'28 targets, those are of course not linked to these acquisitions and -

Page 9 of 14 Ashok Atluri: No, no, no, no, to give you the comfort, no, they are not linked to acquisitions happening and then the targets coming. These are based on the current interaction that we have based on land forces and counter drone systems. Yes, that's right.

Sanjaya Satapathy: The big picture target that you have given, you will reach almost 3,000 crores kind of turnover by fiscal '28, will there be a dramatic shift in terms of your mix, both in terms of drones and training as well as India and exports?

Ashok Atluri: So I think the percentages may be maintained, but this is a very far-fetched I think very difficult to predict at this point in time, which products will actually take over. But I would typically go both say 50:50 for anti-drone systems and simulators and at least 50:50 for exports and domestic, but I expect the exports will overtake the domestic sales by that time.

Moderator: We have a next question from Manan Shah from Moneybee Investment Advisors. Please go ahead.

Manan Shah: So again, my question was on the acquisition side. When we are talking that the existing business can we scaled to 10x of what it is currently, why even look at acquisitions and when have our plate full and diversify into something which we have not built ground up and rather concentrate on our existing core competencies or do you see any gap in our portfolio that you're looking to build through these acquisitions?

Ashok Atluri: That's a brilliant question, Manan. Basically, I'm like that, less is more, do less and try to leverage it more, that's the Zen philosophy also. To your question why are we trying to diversify so much when what we have in hand is so good. Peter Lynch famously said, "For investment in stocks, don't pull out your flowers and water the weeds kind of a thing." But here in this case, we are very, very focused and what we think is the opportunities that we have, already way in auto mode and we need to protect this thing, there's no doubt about that. So, while protecting, can we add products that makes sense and almost 70% of the effort is covered by the current effort and only 30% is incremental effort. So, this is the proper definition of synergy events, most abused word in management. But only when we see that there is a synergy and we can actually push the products without compromising on the focus on the existing range of products will we go with them. Otherwise, it's not that just for the sake of showing, we will acquire some company that has no synergy with us, we have no value addition in that, we will actively avoid those kind of acquisitions. Only acquisition that make sense and will help us multiply the targets that we are giving the acquisitions will only happen.

Manan Shah: My next question was on the R&D side. So going forward, the incremental R&D spend that we'll be doing, towards which side of business are these going to be and whether these will be to develop new products or to keep updating the current products and improving the existing?

Ashok Atluri: Both will be there. For example, anti-drone system improvement if there is a requirement we want to have, we said that we want to excel it to leadership position in that. So, that's the existing product which R&D will be happening and we will be adding various weapon systems, etc., to enable for the hard kill and in the case of simulators, we will keep adding new simulators as you know the world-friendly armies ask us we will add new product, do new R&D also. But even in the case of simulators also, there may be some more R&D required for existing products for a customization for some other forces. So yes, it will be combination of both new product R&D and existing products maintenance and improve that. And this we do expect R&D as a percentage of the sales to at least reach the old percentage,

we are now at about 5% is what I think, we need to improve that bit.

Moderator: We have a next question from Dipen Vakil from InCred Equities. Please go ahead.

Page 10 of 14 Dipen Vakil: Sir, we operate in the three segments, namely, simulators, anti-drone and AMC. Sir, can you help us with the blended execution timelines for each three like how are they different from one another?

Ashok Atluri: So, simulators and anti-drone systems are actually the equipment, annual maintenance contracts are the services that we render post-warranty. So, it's a derivative of the primary equipment sale. So, our typical timeline to execute this order may be anywhere between six months to 18 months depending on the quantity and the complexity of the equipment. But that is what the typical timeline has been that we execute most of the orders within 18 months.

Dipen Vakil: My next question is on your export order book. What would be the proportion of exports in the current order book and you mentioned that export will be garnering more and more traction going ahead, so what is the kind of pipeline that you are looking at considering the competition intensity is rising especially in the domestic front?

Ashok Atluri: The export order book position is around 35%, maybe a little higher or plus or minus a bit. So, we expect that slowly the requirement from the export market is going to increase. We

see the kind of turmoil that's there in Middle East, Russia, Ukraine and other countries. So, everybody at this point in time is worried about war happening and they are worried that they're not prepared enough for the war. So, training simulation equipment comes there and the second thing is the wars that are happening are extensively using drones as the counter.

It's almost a change between swords to gun fighting, I keep saying that. So, with this happening, how do you protect yourself? Again, counter drone solutions from Zen are the things. So this increase in wars requiring combat readiness, and the second increase in drone using counter drone system in the two major factors in every country's armed forces today.

So, we have the sweet spot where we are able to use both of them for preparing India-friendly nations and India itself is to counter the threats that will emerge in case of a war.

Moderator: We have a next question from Narayan Singh from Navanand Securities. Please go ahead.

Narayan Singh: In the beginning, I wanted to ask a question about the QIP, but after so many participants asked the similar questions, I got a little bit of clarity and the purpose of QIP and let's say this is just enabler. So still I want to raise this question to you. So when I first look at your past history, you bought the shares from the market to have it for ESOP. So that clearly showed me how much you value the capital of the company and you are not really willing to let go the equity so easily of your Company. So, I still think that if you're talking about so much prospects for the company in the next three years, I just wish that whatever acquisition we make is really, really adding big value to the company and shareholders. That's all I have. I don't have any other question actually.

Ashok Atluri: Thank you. But a very good point, Narayan. Actually, I'm allergic to issuing shares and the earlier question was, if you are so confident, why are you selling the shares, somebody may be going in the mind that why did the promoter sell, why couldn't they wait kind of a thing which is connected to your question. But the fact is as a promoter, I have this thing, we should leave something on the table for the next investor who is coming. So, this is my attitude, but a very good question. Basically, if we issue shares at a low price, it's actually short changing the existing shareholders. We are actually kind of cheating them. So, the only way I could think was just let us buy back from the market whichever

is coming naturally

and then give to the employees rather than issuing fresh which looks actually very cheap, issuing new shares looks cost less, but there is huge cost involved in that. A lot of people don't appreciate it, but a very good question. Thank you, Narayan.

Moderator: The next question is from Rohit Singh from Invest Analytics Advisory LLP. Please go ahead.

Rohit Singh: Sir, my question is what is the purpose of raising 1,000 crores and how will it benefit the Company?

Page 11 of 14 Ashok Atluri: I briefly explained to other team members. Again, we are not raising 1,000 crores. This is an enabling provision. If we are able to find a target, that will benefit the shareholders and the company, we will definitely be looking at acquiring. So this was just to reduce the time to raise the funds because exclusivity period is given for a very small window. So, we wanted to be ready to raise the funds at a short notice. Again, we don't have any target in hand or in front of our eyes. But the moment we get it, we'll start moving it and we'll ensure and only after ensuring that this is very, very beneficial to the Company.

Moderator: We have a next question from Harsh M from KRIIS Portfolio. Please go ahead.

Harsh M: I just have a small question for the QIP. Most of it has been answered. What is the typical size of the target companies which you're looking at? and I understand that this is an enabling provision from your end. So, would you be open to even take some debt to fund a small acquisition or how is it which is on your mind?

Ashok Atluri: We have an enabling provision for debt also. So it probably would be a combination of debt and equity. If it's a very small acquisition probably we'll just go with debt, we will not go to raise equity. And the second thing is that what is the size of the target? I don't think they will exceed 500 crores in any case, but maybe in that region is what we are thinking, but depending on the exact target, we can actually come to a conclusion at that point in time. But I would say that 500 crores would be the kind of maximum size, but again, the reality when the actual opportunity comes, we will respond to that opportunity based on the merits of the opportunity and don't hold me to the maximum size then.

Harsh M: How many companies are you evaluating? I'm assuming these would be across the globe, right, not just domestic?

Ashok Atluri: Across the globe. There's no point in telling the number of the companies, but even if we acquire one, it should be great, but yes, we are evaluating some companies at this point in time. But, I think we should know in the next year or so what are those companies. If come to some kind of fruition, then we should be able to disclose the names at that point in time. I'm sorry, we don't want to give the numbers on that.

Moderator: The next question is from Gautam Bahl from Morgan Capital. Please go ahead.

Gautam Bahl: Sir, it's very good to hear you quote Peter Lynch. I'll ask you a Peter Lynch type question about basic arithmetic on your guidance. Sir, you've effectively guided for almost a 10x

revenue growth in the next few years, but you're still saying that your EBITDA margin will be the same as it is today. Now, that's only possible if your gross margin compresses a lot or your OPEX balloons a lot. I mean, so, tell me which one is it right or are you just being super conservative? Ashok Atluri: I am being super conservative, but very frankly when we get into bigger size things I do expect some unexpected competition to come in where we have to compete against them and then we have seen hell between '20 and '23 when COVID came and all our calculation went haywire. So, these uncertainties added to the fact that we are growing, we're going to new export markets. You are right, it's a combination of the three that we have the OPEX may increase because of unsourced factors, competition may

come in and the third point you said even that may happen in the sense that pressure may come in from other competitors also and we have been super conservative.

Gautam Bahal: No, sir, whatever your answers have been so far in this conference call and most of my questions have already been answered, but your clear preference to sort of protect the equity capital of the business is very appreciated by the shareholders. So thank you very much and best of luck.

Moderator: We have a next question from Thir Gosar from Swan Investments. Please go ahead.

Page 12 of 14 Thir Gosar: The first thing I'd like to understand is what is driving this kind of growth that you are targeting for the next five years?

Ashok Atluri: So, very frankly, I think these are the macro conditions that are helping us. Of course, the current government has really, really focused on IDDM, saying that, it should be indigenously designed and developed. You will not believe that for almost 20 years from the initial conception of the Company, we have been begging people that manufacturing is not the key area that Make in India is, indeed it doesn't matter. Even if it is made in China, it is all done. But create, own the design, own the IP of the company is what we have been saying. It doesn't matter whether Apple gives to Foxconn in China or Foxconn in India. The most value capture is done by Apple because they have designed and developed. So, we have been telling the government, please change it to a category where IP development is given lot of preference. It fell on deaf ears for 20 years but in 2015 Mr. Parrikar came and he understood just like that. He said "Okay, IP is the place where we should play the game and he introduced the category called IDDM." And that is where everything is structured and the second category was Make-II, both initiated by us and both the categories. Parrikar himself has been a small businessman and has gone through all the rigmarole of this fortuous three vendor situation, etc., he was able to get it like that and that is when everything changed for us. Of course, this government is very, very pro. One thing we understand is they are willing to implement it. So, we think that is where the benefit has come from us. This is what has changed the outlook from the government. And the second thing is the worldwide picture. The worldwide is this war was not expected, everywhere you see, it started with Armenia, Azerbaijan, first Armenian-Azerbaijan war took six years, the current one with drones took 44 days. Ukraine and Russia the war is going on and on and on, and the most used tool there is drones. Again, you see in Israel, same thing is happening. So, because of these global factors also and this domestic wonderful support from the government, we have accelerated growth currently and we expect that this is going to continue. And people are just waking up to these dangers of unpreparedness and drones. So, we think the growth is going to be significant in the next five years and hockey stick growth is just starting with what we feel. By the way also a third-party like if you see Bharatshakti Concave, the chief of army has said in many occasions that simulator training is absolutely important for us and it has just started. So, the 1,000 crores order that we have is just a starting tip of the iceberg. We think there's lot of this proliferation of simulators across the armed forces to be done, and we will be getting that business as we go ahead. So, that's the basis for my confidence for the growth in the next five years. Thir Gosar: All this growth that you're guiding will be organic, that will be from your existing business, right?

Ashok Atluri: Yes.

Thir Gosar: What kind of investments would you need to achieve this growth?

Ashok Atluri: Again, what we say is as far as the plant and machinery and the core production activities are there, we outsourced the supply chain, we

have a very, very robust supply chain, we outsourced to them and we have a team that is just loop monitoring the supply chain, expanding the supply chain and ensuring that the supply chain is seamlessly integrated with Zen's delivery system. So the growth will be taken care of that. But what kind of investments could be, one thing is R&D investment maybe accelerated. We will be requiring that for ensuring that the equipment meet the requirement of the foreign government. Secondly, the anti-drone system, we want to take it to the global level leadership position, we will be investing there and the third is when finally everything is manufactured and we get into our system, we need some place to integrate and test the system. So, there may be some kind of a

physical infrastructure. Again, we don't need land for that, we need mostly buildings for that on the land that we already own. So, this will be the expenditure that we may have to incur to ensure this growth.

Thir Gosar: So, majority of your manufacturing will be outsourced?

Page 13 of 14 Ashok Atluri: Yes, that's right, as we are doing now, 85% or more is outsourced at this point in time, we'll continue to do that.

Moderator: We have a next question from Ashish Soni from Family Office. Please go ahead.

Ashish Soni: One is from a strategic road map perspective, you are saying you will export to 50%, but what's our right to win against the global competition, because India, I think your positioning is like you own the IP, your policies are favoring, but what's our thought process regarding that?

Ashok Atluri: So, this is what I said in the earlier question, somebody said how far. For the first 20 years of our life, any preference from the Indian government actually, say two statements that were made, I want the best for my boys, and the second was, there is no runner-up in war. And these two sentences were used to buy the best equipment that was available. And they said, this is the only way to go. And there is one country in the world that used to say that even if my country's company is 60% good, we will buy from them because that will allow me to reinvest and make me a better system. And India has been following this policy forever, we want the best, no runners-up policy. And this country-B, which was following this 60% is enough, some kind of functionalities and I'll buy only from my country's company was

Israel. You see where Israel is today in terms of products and in terms of technology and where India was some eight years back. Today, we are playing a catch up game. We are trying to becoming number one in many categories. For a land for the simulators, India is number one and of course, Zen is the major reason for that. But there are other things also where we are emerging as number one. So, the export, when we go, the thing is that we are absolutely the number one, only thing is there will be more political reasons. For example, you cannot sell to any of the NATO countries if you are outside NATO. But these guys will come and preach us, you should have open policy for importing defense equipment into India. But now what is happening is that what about the other countries like Africa, Middle East, CIS countries, Southeast Asia, they would love to buy from a country like India once you are able to prove the quality and say, listen, our quality is better, we are competed with them, and these are our products, they would love to buy from us. Because India is not only in terms of quality and technology better than those companies but also we are a more reliable partner to them. So we think that export is a very, very major growth and if we then play cards, the growth projection that I'm giving will look like a joke after some time, they will be much, much higher than what we are projecting.

Ashish Soni: And in terms of acquisitions, I think any particular potential area you are looking for acquisitions in the

arms of your value add when you say like

Ashok Atluri: One thing is you know the customer value is the armed forces. So, it should be armed forces focused complete and something related to the product that we are already doing. These are the two things.

Ashish Soni: Is it like drone sort of a system or any particular area, just give us an idea of the area where you're thinking?

Ashok Atluri: I am not able to tell more than this at this point in time.

Moderator: We have a next question from Lavneesh Mohan from SAR Capital. Please go ahead.

Lavneesh Mohan: Congratulations for the best set of numbers and very hearty to listen to you about how carefully you're looking at the entire QIP process and the fact that this is currently at this point an enabling provision. The minute we saw this announcement, we were slightly taken aback as to such a large number, are we sort of chewing more than what we can gulp down our throats. But I think you have given enough clarity. Thank you for that. My question is on the Goa investment that the company is signing into. The 50 crores number, where will it be spent, what kind of products are we going to make, is it going to be for the domestic or the export market?

Page 14 of 14 Ashok Atluri: The approximate investment that we have suggested, but we will be creating the facility to supplement what we have in Hyderabad and this is also a place where we are derisking the geographical, everything is in Hyderabad at this point in time for the R&D, production, everything. So in one of the export customers, what happens is, there is a shutdown in Hyderabad. Where do I go? Forget about another part of the country in the world. But can you be on another part of the country? So they wanted to be geographical but I believe this is the question lot of big countries ask what is plan-B if something happens there. So this is just a backup kind of thing that we are looking at in Goa and this will be complementing the Zen whenever it is finished, whenever we start the operations, start building the facility there, it will be with a clear picture that this is the purpose, derisking the geography and playing a complementary role with the Hyderabad facility.

Moderator: We have a next question from Abhishek Shah from Ambit. Please go ahead.

Abhishek Shah: I was going through the numbers. On the tax rate, we're currently paying at about 30%-odd

tax. I was just wondering; shouldn't that act ually technically be lower at around 25%-odd.

Any particular reason for that?

Afzal Malkani: So, this is due to this higher utilization of the MAT credit in the first nine months.

Otherwise, we are in a tax bracket of about 29.12% including all the surcharge and all. But

yes, you are right it is a little bit on lower side due to the higher utilization of MAT credit.

Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Ashok Atluri: Thank you so much for the opportunity to inte ract with the shareholde rs. I love interacting with my shareholders and in-person meeting was one of the most looked events was the annual general meeting. But now we are becoming online, it's very exciting even still now. We are again confident that we will be able to achieve the target for th is year and we have

already given the target for the next year also and we expect that the macro factors that are

ongoing will ensure that we get the CAGR growth rate of 50% at least from FY'26 to '28. So

I hope I have answered and some of the questions that could be answered and I look forward

to your continued support and we have a lovely number of shareholders, I want them to

continue to be with Zen in the foreseeable fu ture. We think the party has just started and

there's a huge growth prospect for Zen from here on. Thank you so much for the call.

Moderator: On behalf of Zen Technologies

Limited, that concludes this conference. Thank you for

joining us and you may now exit the meeting.

Call: Feb 2024

Date: February 1, 2024

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Through: NEAPS

Symbol/Security ID: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400001 Through: BSE Listing Centre

Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--oOo--

With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on January 29, 2024, on the Q3FY24 performance of the Company.

Kindly take the same on record and acknowledge the receipt.

Thanking you.

Yours faithfully, For Zen Technologies Limited

M. Raghavendra Prasad Company Secretary and Compliance Officer

M.no.: A41798

Encl: as above

Page 1 of 14

"Zen Technologies Limited

Q3 & 9M FY'24 Earnings Conference Call"

January 29, 2024

MANAGEMENT

MR. ASHOK ATLURI – CHAIRMAN AND MANAGING DIRECTOR

ZEN TECHNOLOGIES LIMITED

MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER ZEN TECHNOLOGIES LIMITED

MRS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR

ZEN TECHNOLOGIES LIMITED

Page 2 of 14 Zen Technologies Limited

Q3 & 9M FY'24 Earnings Conference Call"

January 29, 2024

Moderator: Ladies and gentlemen, good day and welcome to Zen Technologies Limited Q3 and Nine Months FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Bhatt. Thank you and over to you.

Abhishek Bhatt: Thank you. I would like to welcome everyone and thank you for joining this Q3 FY'24 Earnings Call of Zen Technologies Limited. The "Results" and "Investor Updates" have been e-mailed to you and are also available on stock exchanges. In case anyone does not have a copy of the same, please do write to us and we'll be happy to send it over to you. Today, we'll start the call with a "Brief Overview of the Performance" which would be followed by "Q&A Session."

As a disclaimer, I would like to remind you that everything said in the call reflecting any outlook for the future, which can be construed as forward-looking statements must be viewed in conjunction with the risks and uncertainty that the company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports, which you will find on our company's website.

With that, I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you, Teena.

Teena Virmani: Good afternoon, everyone. We welcome Mr. Ashok Atluri, Chairman and Managing Director of Zen Technologies; Mr. Afzal Malkani, CFO, and Ms. Shilpa Choudari, Whole-Time Director of Zen Technologies for Q3 FY'24 Concall. Over to you sir, for your initial remarks. And once your remarks are done, we will open the floor for questions and answers.

Ashok Atluri: Good afternoon, fellow shareholders and prospective co-owners. Thank you for joining us for this Q3 FY'24 Earnings Call. Our performance in Q3 and the nine months leading up to the FY'24 have been unprecedented, setting new benchmarks for our Company. We are witnessing what is shaping to be the most successful year in Zen's history both in financial terms and also in terms of the number of orders that we have got in the order book position. In the current year, our innovation-driven focus, I always have been saying that look at Zen as an IP play because there is so much hidden asset in the IP because what happens is whenever there is a register, when we ever do R&D, we write-off those costs, but in those costs there is a hidden asset there, IP being created and we assert that through IP patents, and in this year we have a staggering 15 patents that were awarded to us, underscoring our unwavering dedication to technological excellence and innovation. This is the main thing that Zen does from creating IP, is absolutely cutting edge for the country which is not only meant for India, but we make in India for the world, that's the objective. So, this achievement also aligns perfectly with our strategic goals and reaffirms our position at the forefront of our defense industry, especially in the design and development.

During Q3 FY'24, we secured orders worth of Rs. 129 crores, increasing our order position to Rs. 1,434 crores by 31

st December 2023, out of which equipment orders are about

Rs. 1,150 crores and we expect these orders to be executed by the financial year '25.

We are still anticipating a few orders in the next few quarters to ensure that the order book position by the end of FY'25 is stronger than the order book position in FY'24. This order

Page 3 of 14 book position will help us to grow on the trajectory at which we have launched the inflection point which we continue the trajectory growth for FY'26 and beyond.

We are also optimistic about the promising prospect of the export market. Our long-term

focus has been on achieving leadership in several key areas, including development, both live and virtual wave simulators, leadership position in anti-drone market and expanding our services especially through AMC revenues. We look to expand our global presence with a particular focus on Middle East, Africa and CIS countries.

So, overall given the situation, we feel that we aim to grow at a CAGR growth of 50% at least for the financial year '26 to '28. We hope that if this is achieved, we would have hit the minimum goal post that we have set for ourselves. To support our growth, we have also initiated a lot of changes in the HR policies, technical and manpower to attract them. We started the ESOPs plan where dedicated Zen's have been rewarded with ESOPs and we want to continue doing that. We expect a lot of talent to be attracted especially who want to make a difference in the world and who want to create something durable which they can really relish when they grow old. So, this is what Zen is all about, making absolutely great inventions and innovations in the defense field.

By the way, we are also looking at opportunities to expand inorganically through acquisitions outside. I have been saying for 1.5 year, 2 years. Normally, the time to raise money is once we acquire, we look at the target typically from 90 to 120 days. So to ensure that we don't have to go starting with the board resolution, etc., we passed enabling resolution at the board to raise up to 1,000 crores and the same will be commended to you. So, these potential opportunities would definitely mean that again, I'm very, very worry

about acquisition because I know that almost 80% to 90% of the acquisitions go bad. So, I'm very, very conservative about it and we'll ensure that we will really retest, we will be very, very careful with the shareholders money, we will retest our assumptions and ensure that these are coming at a reasonable price, and with our joining hands with these acquisitions if they happen, they may not happen, very frankly I'm not very sure at this point in time, but if they happen we will guarantee that it will be a blockbuster position.

Again, we are taking steps because of this expanding that's happening, one of the questions a lot of people ask is "Operationally, how are you?" Operationally, as you can see that we are delivering what we promised, but we are looking at constantly in making it more robust, the supply chain, the procurement, the production planning, we are really on top of the situation and we continue to work very hard to ensure that there are no operational challenges and the promises that we make.

So, again, we are on target to meet at least 450 crores during this year and that's what we promised, and next year we think that based on the order book position, we should be able to achieve at least 900 crores. And again, a year after that we are expecting a CAGR growth of 50% for the next three years.

So, as we move forward, we are very confident that our strategic investments and relentless focus on our core competencies will continue to drive positive outcomes for the company and thank you so much, I'm really, really grateful to the shareholders who have stood with us through thick and thin and we'll try our best to reward them better. Afzal, you can take over from here.

Afzal Malkani: Thank you, sir. Good evening, everyone. As you just heard from our CMD, Mr. Ashok Atluri, we are thrilled to report that we have delivered an excellent quarter.

I'm pleased to provide you an update on the impressive performance of our Company in Q3 FY'24 and nine months FY'24. Additionally, we are well positioned to continue our growth momentum going forward.

Page 4 of 14 Let me begin with our standalone financials highlights for Q3'24:

Our total revenue for Q3'24 was Rs. 102.26 crores compared to Rs. 34.84 crores in Q3'23.

The growth in percentage terms is 194%. Our EBITDA for the

Q3'24 increased to Rs. 48.41

crores compared to Rs. 10.27 crores in Q3'23. In percentage terms, EBITDA is 47% of the revenue compared to 29% in Q3'23. The growth in percentage terms is 370%. Our profit after tax has increased to Rs. 31.67 crores compared to Rs. 7.58 crores in the same period

last year. Profit after tax in percentage terms is 32% compared to 23% in Q3'23. The growth in percentage terms is 318%. Out of our total revenue from operations of Rs. 98.08 crores, Rs. 89.65 crores were contributed by the sale of equipment, while Rs. 8.43 crores came from our AMC business.

Moving on to the nine months FY'24 performance: Our revenue from operations was Rs. 294.56 crores compared to Rs. 87.29 crores in nine

months FY'23. The growth in percentage terms is 237%. Our EBITDA for the nine months FY'24 increased to Rs. 143.76 crores compared to Rs. 31.83 crores in nine months FY'23. In percentage terms, EBITDA is 47% of the revenue compared to 34% in nine months FY'23. The growth in percentage terms is 352%. Our profit after tax has increased to Rs. 96.20

crores compared to Rs. 20.37 crores in the same period last year. Profit after tax in percentage terms is 33% compared to 23% in nine months FY'23. The growth in percentage terms is 372%.

Now, coming onto the revenue breakup: Out of the total revenue for the nine months of Rs. 294.56 crores, Rs. 270 crores from the

equipments and Rs. 24.38 crores was from the AMC business. If we give the breakup of the total revenue of Rs. 270 crores in export and domestic, then our revenue of Rs. 80 crores was from export and Rs. 214 crores was from the domestic. In percentage terms, 30% was from export and 70% was on the domestic side.

If we go to the segment wise revenue, then our revenue from Simulators business is Rs. 195 crores, Anti Drone system was Rs. 75 crores and AMC business as I mentioned Rs. 24.38 crores. In percentage terms 73% revenue comes from the simulators business and 27% from the Anti Drone Systems.

Moving on to the balance sheet part: Zen Technologies remains focused on maintaining strong liquidity and leveraging its asset

light business model to ensure sustained growth and value creation for our stakeholders. We continue to maintain our debt-free balance sheet. We were able to manage our additional working capital requirement from our internal accruals though we have achieved exponential growth in revenue in Q3'24 as well as in nine months FY'24. Apart from this, we have a strong liquidity position and we have cash in hand of about Rs. 192 crores. Additionally, our return on equity has increased to 31%, and our return on capital employed has increased to 45%.

On the working capital front: There is a significant improvement in working capital cycle and our working capital cycle has improved to 93-days. This is due to the efficient working capital management, particularly inventory and receivables and higher amount of advance received from the

customers.

With that, we conclude our opening remarks and we would now like to open the floor for questions and answers.

Page 5 of 14 Moderator: We will now begin the question-and-answer session. We have a first question from Girish Gupta, a chartered accountant. Please go ahead.

Girish Gupta: I am a very long-time shareholder for the company. If you remember every time you are saying that we will change our orbit and I always ask you when we change our orbit and last time when I talked to you, you told me we have changed our orbit and we are now moving to the next orbit. There are three question to you, sir, if you don't mind. Why you sold your 2% stake to the Tata AIG. Are you thinking that you get from Tata Advanced? This is a little worry. Why is the promoter sold his stake to the Tata AIG? Second question is why you come with the QIP? Why you did not come with the rights issue? It will be rewarding to the minority shareholders also. And last question is that there is a news that DRD

O also

established their anti drone system and they delegated to the private players like Tata Advanced and L&T. So, any competition from this side you are acknowledging or not?

Ashok Atluri: What was your first question?

Girish Gupta: Sir, why you sold your 2% stake to Tata AIG?

Ashok Atluri: Those are the two questions. What was the third question?

Girish Gupta: Why we are not coming with the QIP? Why not rights issue? Are you looking at any big investments from the Tata side?

Ashok Atluri: First thing is why not rights issue versus QIP is, I don't think it will be counted as insider trading or what, but very frankly if we go for a QIP to be at much higher price. So if you want to do something, you should do it now, the rights or whatever you want to do you exercise it now only in the secondary market. Second is why did the promoters sell the shares? Very frankly, we have this company 23 years listed and once or twice the sale has happened only to buy the company shares but we haven't sold the shares to take some money for us. Especially this was not done by the core promoters except for Mr. Kishore, who sold a very small segment, it was done by the non-core promoters in this. I think out of the 57%, we sold only 2% of the equity and I think you should give us that much of levy in the sense that we are taking some money off the table and that too not the core promoters but from the other promoters who have been holding for 23 years. Actually, we should congratulate their patience in this regard. So we'll give that much of a levy and by the way, we also got a very, very strong institutional investors, lot of our shareholders always say that we don't have institutional investors. So we got a Bahubali kind of as an investor into our portfolio. We expect looking at them, maybe other institutional investors will follow them. The third question was DRDO. DRDO thing, if you actually Google and see, it's almost two- year old story where DRDO actually published and invited people to be given the transfer of technology. We compete with each other. DRDO technology is given to BHEL. We have competed, we have one in some places, but our evolution, thanks to the advantage we have as a private company is much, much faster and we expect that the focus DRDO is doing and with Zen doing a little different and they don't pose a threat to us, and the technology that they have transferred. In a way whatever sales happen on DRDO technology, Zen also benefits because we are also a partner in that indirectly. So, that is the overall thing. Nothing to worry on the DRDO front. Again, that's also IDDM thing. But we have different markets and I think Zen anti drone system will be doing extraordinarily well as we go ahead.

Girish Gupta: When do we change our next orbit?

Ashok Atluri: The thing is, whenever I have predicted, I have gone wrong, so I will not predict. I think the Company with other people are doing a lot of work. You may think this is Ashok Atluri, but there are other people who actually do the work. I may be standing in front and taking all the thank yous from you, but yes.

Moderator: We have a next question from Ajinkya Pawar, an individual investor. Mr. Pawar, please go ahead.

Page 6 of 14 Ajinkya Pawar: I have two, three questions. First one is that in last concall you said that we have bidded for nearly about 500 to 600 crores of order, but in H2 we won only a couple of orders worth Rs.130 crores. So, what was the reason behind it? It will be same like that in last year we won lot of order in Q2. So, what will be the order pipeline in Q4 and next year? My second question is related to the Goa R&D plant. Sir, is it due to that customer from export that you said in one of the interviews that they want us to derisk ourselves, but currently we are concentrated in existing plant in Hyderabad? And my last question was related to the Indian government announcement that they want to pla

n anti drone system on the India-Pakistan border. So, any enquiries related to that sir?

Ashok Atluri: Appreciate your questions. The first question was the order book during the quarter has not been as strong as the previous order book that we gained. We expect that the pace of order book will vary, it will not be very consistent quarter-to-quarter. Again, I'm saying that

FY'24, we are almost at the end of it and we have about 1,400 crores worth of order. I think the orders for the current year are almost there, we may get a couple of orders, but FY'25 we expect it to be extraordinarily better than FY'24 based on what we are bidding currently based on the pipeline. So, don't focus on how much orders we got in a quarter, but overall year-on-year we should be having growth and with respect to Goa R&D plant, again, you also gave the answer that when we are building the facility, that is mostly to geographically de-risk all our risk in Hyderabad now. What happens if there is something Hyderabad rendered nonfunctional, so we have a Plan-B in that regard. So, that is where the Goa plant comes in and third was regarding the border. We are in talks with various government agencies for deploying Zen solutions, counter-drone solutions on the border. But again it's a competitive bid and there may be other players coming in for this. Who gets the orders, let us wait and see. But we are definitely one of the core runners in that.

Moderator: We have a next question from Anurag Agrawal from Agarwal Analytical Investments. Please go ahead.

Anurag Agrawal: In the previous concalls, I heard that you mentioned the market size for simulators business could be upward of 10,000 crores and right now what I could see is that our order book is around 800 crores in that part of the business, and we had also mentioned that we are world #1 in simulators in our field. So, could you just give me some views as to why do we have such low market share despite being world #1 and in what terms are we world #1 -- is it in terms of cost or capability or capacity, what is your view on that?

Ashok Atluri: The thing is that we started 30 years back, Anurag and we have been in this field for 30 years and in the initial 20 years, there was hardly any support from the Indian government in the sense they didn't have any preference for made in India or Indian made goods or anything like that. We were competing against the world's best and India is world's largest defense market and everybody wanted to come here, every company that was worth it is all set, listen, we will go and conquer India as the market, and we were competing with those guys all throughout these 20 years and we won against each and every one of them and I can name them, SA, Palace, Cubic, all these big, big companies, we competed against them and then they actually withdrew from the market because our products were technically superior. That's what my belief is and they have not come to this market. Again, we are not playing a game of getting the technology somewhere from XYZ, even DRDO or imported and trying to push that product. No, this is completely indigenously ground up from scratch developed by Zen. To assert our rights, we have filed patents not only in India but globally, US, in Europe we have filed this patent. So what do I call myself? #1 is in terms of technical capabilities. Definitely, in terms of the market what we have till now achieved is much lower in the scale and that is what the next couple of years, somebody was talking about how do I go to the next orbit, that growth will be fueled by our foray into the foreign market in a very, very serious manner which is happening at this point in time. To your question, the answer is, we are technically the #1 company in the world in land forces simulators.

Anurag Agrawal: Recently, I saw that a few other companies like Adani, Defense and DCM Shriram Industries were also ventur

ing into anti drone system and you said our aim was to be at least world #1

Page 7 of 14 or #3 in anti-drone. How do we see us sparring in that space, how do we see as compared to our competitors in terms of cost and technology?

Ashok Atluri: I think we will have competition coming up internally from the Indian companies that are collaborating or they are doing their own research. But till the last tender published by the Government of India, the Indian Armed Forces there are two tenders published and we were the only resultant single vendor in that. I really don't know, but I always tell the investors, don't look at my PR releases don't look at my statements that I make but look at the tender that the government is publishing and who has won those tenders. That is the proof of the people who are actually players in this segment. But as of now, we were the resultant single vendor for both large tenders published by the government and that orders are already with us. So, in future, what could they come up and beat us? I really don't know about it, I don't know how strongly they are working on this. But the guarantee from Zen is this, that we will leave no stone unturned to be absolute world leader, because it is in the interest of the country that we invest a lot of R&D in becoming the #1 or now #2 in the world in the anti-drone systems. So that investment we will carry and this is what I tell you, regardless of winning or losing a couple of tenders, that long term objective of three to five years are deeply embedded into the innovative mindset of the company and we will achieve that in the leadership position in the anti-drone systems in the next three to five years.

Anurag Agrawal: Could you throw some light on the order pipeline for the next year if you have any idea about that?

Ashok Atluri: Order pipeline I will not say, but orders, we have already indicated that we'll have at least 900 crores worth of orders that will execute in the next year. So, we feel confident that we will be able to achieve that. But again, I told you the order book position will be better than what FY'24 offered, FY'25 should have a stronger order book position is what my personal

view is.

Moderator: The next question is from Abhishek Shah from Ambit Limited. Please go ahead.

Abhishek Shah: Just wanted to confirm a couple of points and I had a question. Sir, you mentioned that in FY'25 we are targeting about 900 crores of revenue versus I would say about 300-odd crores that we'll end up doing in FY'24, is that correct?

Ashok Atluri: No, FY'24 is 450 crores, FY'25 will be 900 crores. We almost touched 300 crores already.

Abhishek Shah: And on that, in '26 to '28, we are estimating 50% CAGR on the top line?

Ashok Atluri: CAGR on an average. I think it will be a little high, little low kind of thing.

Abhishek Shah: Then sir, related to that, just a question we had, margins jumped up significantly in this year; if I compare Q3'24 to '23, they are at 47% versus about 27%, 28%. So, can we assume that we would sustain those margins going forward during this growth phase or any kind of color on that?

Ashok Atluri: One thing is we are very, very cost conscious, we have a cost mindset which will put even the most miser to shine. So, we have a really, really strong. But we do spend where it is required like for R&D we will spend, for doing heavy equipment we will spend where it is required, otherwise we are very conservative. So the percentage of the EBITDA target

internally set is about 35%, but this quarter we have exceeded that. But what we aim is that in a whole of the year at least 35% EBITDA should be there. That is what we are aiming for the year, but I think this year may be better than that.

Abhishek Shah: You did talk a little bit about the QIP. Any color on use of these funds would be, you mentioned acquisition, but anything else that you all are thinking of?

Page 8 of 14 Ashok Atluri

uri: As of now, our mind is that basically for the operations that we are doing for our order execution, we don't need any funds, we have enough sufficient funds internally and if this raise is activated, that means to say that we have probably identified in the past at least in the process of identifying or identified some acquisition that is very, very synergistic with the Company's operations. Only then we will be doing it. Otherwise, we may not do this raise at all.

Moderator: The next question is from Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy: Sir, now on the results, we are seeing that your profit margin of the company is jumping up and down quite a lot though it is extremely healthy, and even in the past, you had said that you are comfortable at 25% margin. So, how do we look at your profit margin going forward?

Ashok Atluri: The 25% has always been about that profit after taxes and 35% EBITDA. The thing is that this is what we have said that it's a conservative target. Very frankly, one thing about the Zen's accounting department is they report what is there, there is no creativity involved, that's not a profit-making division, but a reporting division. So you will get that fluctuation. Why the fluctuation is because of the combination of different products, for example if I done simulators more, simulators have a better margin, so it may be having more than that. But on an average, we expect it to even out to 35% EBITDA and 25% PAT as we go ahead.

Sanjaya Satapathy: Sir, you have given a guidance of 450 to 500 crores. Right now, you have removed that 500 crores. Is it some kind of a guidance cut or you just want to be more specific?

Ashok Atluri: We have said 450-plus crores. We have like you watching us. So we have to be very careful, but thank you, absolutely you told the right thing. We did say 450 to 500 crores, but now we are saying 450-plus crores but let us hope that we achieve the target that you have in mind.

Sanjaya Satapathy: Coming back to your guidance, sir, your QIP plan and also, this is the first time possibly as far as I know that you have given a guidance all the way to FY'28 almost. So, have you done any due diligence in terms of acquisition or this is just a matter of treatment of intent and your Company, which is asset light and also not too many employees to that extent, so are you aware of the complexities that will be required to do such a large ticket acquisition, because 1,000 crores is not really a small number?

Ashok Atluri: I'm very aware of that, Sanjay. I am like you, owner of the business. I know that anything you raise, that's a pre-met and especially if you're raising the equity, it's very, very expensive. I actually have bored in raising equity but except where really necessary. So, to your question, yes, again, as I have said that we are exploring multiple companies at this point in time, and we are not sure whether it will really convert it into actual acquisition or it is the discussions may fall through. But whenever they happen, we will intimate, we will raise the QIP and we will be very careful in deploying this QIP fund. But we will raise only if there is a target inside, otherwise, we will not be going for the QIP at all.

Sanjaya Satapathy: Or rather, to be very clear that you will sign the acquisition deal and then do the QIP, is that how it is?

Ashok Atluri: That's right. The time to raise the money when we talk about this thing, there will be exclusivity clause. The time is usually maybe 90 to 120 days. So, we want to finish everything by then. We don't want to go back and say, we cannot raise it. So, we are preparing the ground for that. It's a very low cost operation that we are doing, taking that and keeping ready, as they said, keep the dry powder ready if you want to shoot a flying bird. So, that's how we are trying to keep it.

Sanjaya Satapathy: When you are talking about

FY'28 targets, those are of course not linked to these acquisitions and -

Page 9 of 14 Ashok Atluri: No, no, no, no, to give you the comfort, no, they are not linked to acquisitions happening and then the targets coming. These are based on the current interaction that we have based on land forces and counter drone systems. Yes, that's right.

Sanjaya Satapathy: The big picture target that you have given, you will reach almost 3,000 crores kind of turnover by fiscal '28, will there be a dramatic shift in terms of your mix, both in terms of drones and training as well as India and exports?

Ashok Atluri: So I think the percentages may be maintained, but this is a very far-fetched I think very difficult to predict at this point in time, which products will actually take over. But I would typically go both say 50:50 for anti-drone systems and simulators and at least 50:50 for exports and domestic, but I expect the exports will overtake the domestic sales by that time.

Moderator: We have a next question from Manan Shah from Moneybee Investment Advisors. Please go ahead.

Manan Shah: So again, my question was on the acquisition side. When we are talking that the existing business can we scaled to 10x of what it is currently, why even look at acquisitions and when have our plate full and diversify into something which we have not built ground up and rather concentrate on our existing core competencies or do you see any gap in our portfolio that you're looking to build through these acquisitions?

Ashok Atluri: That's a brilliant question, Manan. Basically, I'm like that, less is more, do less and try to leverage it more, that's the Zen philosophy also. To your question why are we trying to diversify so much when what we have in hand is so good. Peter Lynch famously said, "For investment in stocks, don't pull out your flowers and water the weeds kind of a thing." But here in this case, we are very, very focused and what we think is the opportunities that we have, already way in auto mode and we need to protect this thing, there's no doubt about that. So, while protecting, can we add products that makes sense and almost 70% of the effort is covered by the current effort and only 30% is incremental effort. So, this is the proper definition of synergy events, most abused word in management. But only when we see that there is a synergy and we can actually push the products without compromising on the focus on the existing range of products will we go with them. Otherwise, it's not that just for the sake of showing, we will acquire some company that has no synergy with us, we have no value addition in that, we will actively avoid those kind of acquisitions. Only acquisition that make sense and will help us multiply the targets that we are giving the acquisitions will only happen.

Manan Shah: My next question was on the R&D side. So going forward, the incremental R&D spend that we'll be doing, towards which side of business are these going to be and whether these will be to develop new products or to keep updating the current products and improving the existing?

Ashok Atluri: Both will be there. For example, anti-drone system improvement if there is a requirement we want to have, we said that we want to excel it to leadership position in that. So, that's the existing product which R&D will be happening and we will be adding various weapon systems, etc., to enable for the hard kill and in the case of simulators, we will keep adding new simulators as you know the world-friendly armies ask us we will add new product, do new R&D also. But even in the case of simulators also, there may be some more R&D required for existing products for a customization for some other forces. So yes, it will be combination of both new product R&D and existing products maintenance and improve that. And this we do expect R&D as a percentage of the sales to at least reach the old percentage,

we are now at about 5% is what I think, we need to improve that bit.

Moderator: We have a next question from Dipen Vakil from InCred Equities. Please go ahead.

Page 10 of 14 Dipen Vakil: Sir, we operate in the three segments, namely, simulators, anti-drone and AMC. Sir, can you help us with the blended execution timelines for each three like how are they different from one another?

Ashok Atluri: So, simulators and anti-drone systems are actually the equipment, annual maintenance contracts are the services that we render post-warranty. So, it's a derivative of the primary equipment sale. So, our typical timeline to execute this order may be anywhere between six months to 18 months depending on the quantity and the complexity of the equipment. But that is what the typical timeline has been that we execute most of the orders within 18 months.

Dipen Vakil: My next question is on your export order book. What would be the proportion of exports in the current order book and you mentioned that export will be garnering more and more traction going ahead, so what is the kind of pipeline that you are looking at considering the competition intensity is rising especially in the domestic front?

Ashok Atluri: The export order book position is around 35%, maybe a little higher or plus or minus a bit. So, we expect that slowly the requirement from the export market is going to increase. We

see the kind of turmoil that's there in Middle East, Russia, Ukraine and other countries. So, everybody at this point in time is worried about war happening and they are worried that they're not prepared enough for the war. So, training simulation equipment comes there and the second thing is the wars that are happening are extensively using drones as the counter.

It's almost a change between swords to gun fighting, I keep saying that. So, with this happening, how do you protect yourself? Again, counter drone solutions from Zen are the things. So this increase in wars requiring combat readiness, and the second increase in drone using counter drone system in the two major factors in every country's armed forces today.

So, we have the sweet spot where we are able to use both of them for preparing India-friendly nations and India itself is to counter the threats that will emerge in case of a war.

Moderator: We have a next question from Narayan Singh from Navanand Securities. Please go ahead.

Narayan Singh: In the beginning, I wanted to ask a question about the QIP, but after so many participants asked the similar questions, I got a little bit of clarity and the purpose of QIP and let's say this is just enabler. So still I want to raise this question to you. So when I first look at your past history, you bought the shares from the market to have it for ESOP. So that clearly showed me how much you value the capital of the company and you are not really willing to let go the equity so easily of your Company. So, I still think that if you're talking about so much prospects for the company in the next three years, I just wish that whatever acquisition we make is really, really adding big value to the company and shareholders. That's all I have. I don't have any other question actually.

Ashok Atluri: Thank you. But a very good point, Narayan. Actually, I'm allergic to issuing shares and the earlier question was, if you are so confident, why are you selling the shares, somebody may be going in the mind that why did the promoter sell, why couldn't they wait kind of a thing which is connected to your question. But the fact is as a promoter, I have this thing, we should leave something on the table for the next investor who is coming. So, this is my attitude, but a very good question. Basically, if we issue shares at a low price, it's actually short changing the existing shareholders. We are actually kind of cheating them. So, the only way I could think was just let us buy back from the market whichever

is coming naturally

and then give to the employees rather than issuing fresh which looks actually very cheap, issuing new shares looks cost less, but there is huge cost involved in that. A lot of people don't appreciate it, but a very good question. Thank you, Narayan.

Moderator: The next question is from Rohit Singh from Invest Analytics Advisory LLP. Please go ahead.

Rohit Singh: Sir, my question is what is the purpose of raising 1,000 crores and how will it benefit the Company?

Page 11 of 14 Ashok Atluri: I briefly explained to other team members. Again, we are not raising 1,000 crores. This is an enabling provision. If we are able to find a target, that will benefit the shareholders and the company, we will definitely be looking at acquiring. So this was just to reduce the time to raise the funds because exclusivity period is given for a very small window. So, we wanted to be ready to raise the funds at a short notice. Again, we don't have any target in hand or in front of our eyes. But the moment we get it, we'll start moving it and we'll ensure and only after ensuring that this is very, very beneficial to the Company.

Moderator: We have a next question from Harsh M from KRIIS Portfolio. Please go ahead.

Harsh M: I just have a small question for the QIP. Most of it has been answered. What is the typical size of the target companies which you're looking at? and I understand that this is an enabling provision from your end. So, would you be open to even take some debt to fund a small acquisition or how is it which is on your mind?

Ashok Atluri: We have an enabling provision for debt also. So it probably would be a combination of debt and equity. If it's a very small acquisition probably we'll just go with debt, we will not go to raise equity. And the second thing is that what is the size of the target? I don't think they will exceed 500 crores in any case, but maybe in that region is what we are thinking, but depending on the exact target, we can actually come to a conclusion at that point in time. But I would say that 500 crores would be the kind of maximum size, but again, the reality when the actual opportunity comes, we will respond to that opportunity based on the merits of the opportunity and don't hold me to the maximum size then.

Harsh M: How many companies are you evaluating? I'm assuming these would be across the globe, right, not just domestic?

Ashok Atluri: Across the globe. There's no point in telling the number of the companies, but even if we acquire one, it should be great, but yes, we are evaluating some companies at this point in time. But, I think we should know in the next year or so what are those companies. If come to some kind of fruition, then we should be able to disclose the names at that point in time. I'm sorry, we don't want to give the numbers on that.

Moderator: The next question is from Gautam Bahl from Morgan Capital. Please go ahead.

Gautam Bahl: Sir, it's very good to hear you quote Peter Lynch. I'll ask you a Peter Lynch type question about basic arithmetic on your guidance. Sir, you've effectively guided for almost a 10x

revenue growth in the next few years, but you're still saying that your EBITDA margin will be the same as it is today. Now, that's only possible if your gross margin compresses a lot or your OPEX balloons a lot. I mean, so, tell me which one is it right or are you just being super conservative? Ashok Atluri: I am being super conservative, but very frankly when we get into bigger size things I do expect some unexpected competition to come in where we have to compete against them and then we have seen hell between '20 and '23 when COVID came and all our calculation went haywire. So, these uncertainties added to the fact that we are growing, we're going to new export markets. You are right, it's a combination of the three that we have the OPEX may increase because of unsourced factors, competition may

come in and the third point you said even that may happen in the sense that pressure may come in from other competitors also and we have been super conservative.

Gautam Bahal: No, sir, whatever your answers have been so far in this conference call and most of my questions have already been answered, but your clear preference to sort of protect the equity capital of the business is very appreciated by the shareholders. So thank you very much and best of luck.

Moderator: We have a next question from Thir Gosar from Swan Investments. Please go ahead.

Page 12 of 14 Thir Gosar: The first thing I'd like to understand is what is driving this kind of growth that you are targeting for the next five years?

Ashok Atluri: So, very frankly, I think these are the macro conditions that are helping us. Of course, the current government has really, really focused on IDDM, saying that, it should be indigenously designed and developed. You will not believe that for almost 20 years from the initial conception of the Company, we have been begging people that manufacturing is not the key area that Make in India is, indeed it doesn't matter. Even if it is made in China, it is all done. But create, own the design, own the IP of the company is what we have been saying. It doesn't matter whether Apple gives to Foxconn in China or Foxconn in India. The most value capture is done by Apple because they have designed and developed. So, we have been telling the government, please change it to a category where IP development is given lot of preference. It fell on deaf ears for 20 years but in 2015 Mr. Parrikar came and he understood just like that. He said "Okay, IP is the place where we should play the game and he introduced the category called IDDM." And that is where everything is structured and the second category was Make-II, both initiated by us and both the categories. Parrikar himself has been a small businessman and has gone through all the rigmarole of this fortuous three vendor situation, etc., he was able to get it like that and that is when everything changed for us. Of course, this government is very, very pro. One thing we understand is they are willing to implement it. So, we think that is where the benefit has come from us. This is what has changed the outlook from the government. And the second thing is the worldwide picture.

The worldwide is this war was not expected, everywhere you see, it started with Armenia, Azerbaijan, first Armenian-Azerbaijan war took six years, the current one with drones took 44 days. Ukraine and Russia the war is going on and on and on, and the most used tool there is drones. Again, you see in Israel, same thing is happening. So, because of these global factors also and this domestic wonderful support from the government, we have accelerated growth currently and we expect that this is going to continue. And people are just waking up to these dangers of unpreparedness and drones. So, we think the growth is going to be significant in the next five years and hockey stick growth is just starting with what we feel. By the way also a third-party like if you see Bharatshakti Concave, the chief of army has said in many occasions that simulator training is absolutely important for us and it has just started. So, the 1,000 crores order that we have is just a starting tip of the iceberg. We think there's lot of this proliferation of simulators across the armed forces to be done, and we will be getting that business as we go ahead. So, that's the basis for my confidence for the growth in the next five years.

Thir Gosar: All this growth that you're guiding will be organic, that will be from your existing business, right?

Ashok Atluri: Yes.

Thir Gosar: What kind of investments would you need to achieve this growth?

Ashok Atluri: Again, what we say is as far as the plant and machinery and the core production activities are there, we outsourced the supply chain, we

have a very, very robust supply chain, we outsourced to them and we have a team that is just loop monitoring the supply chain,

expanding the supply chain and ensuring that the supply chain is seamlessly integrated with Zen's delivery system. So the growth will be taken care of that. But what kind of investments could be, one thing is R&D investment maybe accelerated. We will be requiring that for ensuring that the equipment meet the requirement of the foreign government. Secondly, the anti-drone system, we want to take it to the global level leadership position, we will be investing there and the third is when finally everything is manufactured and we get into our system, we need some place to integrate and test the system. So, there may be some kind of a

physical infrastructure. Again, we don't need land for that, we need mostly buildings for that on the land that we already own. So, this will be the expenditure that we may have to incur to ensure this growth.

Thir Gosar: So, majority of your manufacturing will be outsourced?

Page 13 of 14 Ashok Atluri: Yes, that's right, as we are doing now, 85% or more is outsourced at this point in time, we'll continue to do that.

Moderator: We have a next question from Ashish Soni from Family Office. Please go ahead.

Ashish Soni: One is from a strategic road map perspective, you are saying you will export to 50%, but what's our right to win against the global competition, because India, I think your positioning is like you own the IP, your policies are favoring, but what's our thought process regarding that?

Ashok Atluri: So, this is what I said in the earlier question, somebody said how far. For the first 20 years of our life, any preference from the Indian government actually, say two statements that were made, I want the best for my boys, and the second was, there is no runner-up in war. And these two sentences were used to buy the best equipment that was available. And they said, this is the only way to go. And there is one country in the world that used to say that even if my country's company is 60% good, we will buy from them because that will allow me to reinvest and make me a better system. And India has been following this policy forever, we want the best, no runners-up policy. And this country-B, which was following this 60% is enough, some kind of functionalities and I'll buy only from my country's company was

Israel. You see where Israel is today in terms of products and in terms of technology and where India was some eight years back. Today, we are playing a catch up game. We are trying to becoming number one in many categories. For a land for the simulators, India is number one and of course, Zen is the major reason for that. But there are other things also where we are emerging as number one. So, the export, when we go, the thing is that we are absolutely the number one, only thing is there will be more political reasons. For example, you cannot sell to any of the NATO countries if you are outside NATO. But these guys will come and preach us, you should have open policy for importing defense equipment into India. But now what is happening is that what about the other countries like Africa, Middle East, CIS countries, Southeast Asia, they would love to buy from a country like India once you are able to prove the quality and say, listen, our quality is better, we are competed with them, and these are our products, they would love to buy from us. Because India is not only in terms of quality and technology better than those companies but also we are a more reliable partner to them. So we think that export is a very, very major growth and if we then play cards, the growth projection that I'm giving will look like a joke after some time, they will be much, much higher than what we are projecting.

Ashish Soni: And in terms of acquisitions, I think any particular potential area you are looking for acquisitions in the

arms of your value add when you say like

Ashok Atluri: One thing is you know the customer value is the armed forces. So, it should be armed forces focused complete and something related to the product that we are already doing. These are the two things.

Ashish Soni: Is it like drone sort of a system or any particular area, just give us an idea of the area where you're thinking?

Ashok Atluri: I am not able to tell more than this at this point in time.

Moderator: We have a next question from Lavneesh Mohan from SAR Capital. Please go ahead.

Lavneesh Mohan: Congratulations for the best set of numbers and very hearty to listen to you about how carefully you're looking at the entire QIP process and the fact that this is currently at this point an enabling provision. The minute we saw this announcement, we were slightly taken aback as to such a large number, are we sort of chewing more than what we can gulp down our throats. But I think you have given enough clarity. Thank you for that. My question is on the Goa investment that the company is signing into. The 50 crores number, where will it be spent, what kind of products are we going to make, is it going to be for the domestic or the export market?

Page 14 of 14 Ashok Atluri: The approximate investment that we have suggested, but we will be creating the facility to supplement what we have in Hyderabad and this is also a place where we are derisking the geographical, everything is in Hyderabad at this point in time for the R&D, production, everything. So in one of the export customers, what happens is, there is a shutdown in Hyderabad. Where do I go? Forget about another part of the country in the world. But can you be on another part of the country? So they wanted to be geographical but I believe this is the question lot of big countries ask what is plan-B if something happens there. So this is just a backup kind of thing that we are looking at in Goa and this will be complementing the Zen whenever it is finished, whenever we start the operations, start building the facility there, it will be with a clear picture that this is the purpose, derisking the geography and playing a complementary role with the Hyderabad facility.

Moderator: We have a next question from Abhishek Shah from Ambit. Please go ahead.

Abhishek Shah: I was going through the numbers. On the tax rate, we're currently paying at about 30%-odd

tax. I was just wondering; shouldn't that act ually technically be lower at around 25%-odd.

Any particular reason for that?

Afzal Malkani: So, this is due to this higher utilization of the MAT credit in the first nine months.

Otherwise, we are in a tax bracket of about 29.12% including all the surcharge and all. But

yes, you are right it is a little bit on lower side due to the higher utilization of MAT credit.

Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Ashok Atluri: Thank you so much for the opportunity to inte ract with the shareholde rs. I love interacting

with my shareholders and in-person meeting was one of the most looked events was the

annual general meeting. But now we are becoming online, it's very exciting even still now. We are again confident that we will be able to achieve the target for th is year and we have

already given the target for the next year also and we expect that the macro factors that are

ongoing will ensure that we get the CAGR growth rate of 50% at least from FY'26 to '28. So

I hope I have answered and some of the questions that could be answered and I look forward

to your continued support and we have a lovely number of shareholders, I want them to

continue to be with Zen in the foreseeable fu ture. We think the party has just started and

there's a huge growth prospect for Zen from here on. Thank you so much for the call.

Moderator: On behalf of Zen Technologies

Limited, that concludes this conference. Thank you for

joining us and you may now exit the meeting.

Call: May 2024

Date: May 9, 2024

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Bandra (E), Mumbai – 400 051
Through: NEAPS
Symbol/Security ID: ZENTEC To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai- 400001
Through: BSE Listing Centre
Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation
30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--oOo--

With reference to the subject cited above, please find enclosed the transcript of the
Conference Call with Investors / Analysts held on May 6, 2024, on the Q4FY24 performance
of the Company.

Kindly take the same on record and acknowledge the receipt.

Thanking you.
Yours faithfully,
For Zen Technologies Limited

M. Raghavendra Prasad
Company Secretary and Compliance Officer
M.no.: A41798

Encl: as above

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"Zen Technologies Limited
Q4 & FY'24 Earnings Conference Call"
May 06, 2024

MANAGEMENT : MR. ASHOK ATLURI – CHAIRMAN AND MANAGING DIRECTOR
– ZEN TECHNOLOGIES LIMITED
M R. AFZAL MALKANI – CHIEF FINANCIAL OFFICER
– ZEN TECHNOLOGIES LIMITED

M RS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR
– ZEN TECHNOLOGIES LIMITED

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Q4 & FY24 Earnings Conference Call
May 06, 2024

Moderator: Ladies and gentlemen, good day and welcome to Zen Technologies Limited Q4 and FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Mehra. Thank you and over to you.

Abhishek Mehra: Thank you. I would like to welcome everyone and thank you for joining this Q4 FY24 Earnings Call of Zen Technologies Limited. The Results and Investor Updates have been e-mailed to you and are also available on stock exchanges. In case anyone does not have a copy of the same, please do write to us and we will be happy to send it over to you.

Today, we will start the call with a brief overview of the performance which would be followed by Q&A Session. As a disclaimer, I would like to remind you that everything said in this call reflecting any outlook for the future, which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainty that the company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports, which you will find on our company's website. With that, I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you, Teena.

Teena Virmani: Good afternoon everyone. On behalf of Motilal Oswal Financial Services we welcome you to Q4 FY24 Earnings Call of Zen Technologies. We are pleased to have with us the management team represented by Mr. Ashok Atluri, Chairman and Managing Director; Mr. Afzal Malkani, CFO; and Mrs. Shilpa Choudari, Whole-Time Director. We will have opening remarks from the management followed by a Q&A session. Thank you and over to you sir.

Ashok Atluri: Good afternoon, everybody. Dear fellow shareholders and potential shareholders, Ladies and gentlemen, good day and thank you for joining us for this Q4 FY24 Earnings Call. I am delighted to share that this has been a year of strong performance for us at Zen Technologies. We have set a new record in sales and profitability. The order wins have been also extraordinary this year, about ₹ 1,350 crores. This achievement confirms that our business model focus on developing indigenously designed and developed different equipment with IP ownership, which are the world's leading in the category was appropriate for current times and looking ahead, our order book position is surpassing ₹ 1,400 crores as on 31st March and this positioning as far as sustained growth for FY25. We are not just optimistic but confident in our ability to accelerate our growth trajectory and aiming to exceed a turnover ₹ 900 crores in the current financial year.

Again, before I proceed further, I would like to say that, for the current year we had made a projection of ₹ 450 crores, in fact that was also toned down initially we had said between ₹ 450 crores to ₹ 500 crores but later we said it would be ₹ 450 crores. But we achieved only ₹ 430 crores on standalone basis. It's about 5% and for that, I have nothing to say but I may offer an unqualified apology. We shouldn't have fallen short but we made our best attempt but we couldn't reach. But the fact is that, we did not achieve the target that we gave and apologies for that and another point was that, we have been saying on many occasions that 35% will be the EBITDA margin that we are expecting and 25% is the PAT margin that we are expecting, but somehow some shareholders have expectation that it will be much, much more than that.

But, I really want to temper those expectations. Especially, given the vast product mix that we have and especially for highly commercial, dual use commercial simulators, we have the cost of production as a li

tle higher than the regular ones. So we do again assure you that 35%, EBITDA and 25% PAT is something we will be able to achieve even in the current financial year. We also expect some more order wins during the year to further accelerate our growth. We are very optimistic about not only the domestic but also the export market and we are actively exploring new opportunities in this area. As we Page 3 of 12 move forward, we are confident that our strategic investments especially in R&D and existing acquisition and future acquisition will be very good for the growth of the company and we will continue to get positive outcome for Zen Technologies.

So with this, I will pass it on to Teena for the Q&A, moderation.

Moderator: We will now open the floor for Q&A. We will take our first question from the line of Dipen Vakil from InCred Equities. Please go ahead.

Dipen Vakil: Sir, my first question is on the lines of our inventory days have risen significantly and so as our net working capital days, so sir I just wanted to understand, if this is going to be like a sustainable one going ahead or how do we expect our receivables?

Ashok Atluri: I will let Afzal answer this question.

Afzal Malkani: Sure sir. So, if you see our working capital cycle, total number of days on the basis of 31st, March 2024 is 148 days, as in earlier guidance also, in earlier call also we have given a guidance of around 130 to 150 days. So, our working capital cycle is 148 days, just for example, our receivable days are 143 days, our inventory days are 113 days and advance to supplier of raw material is around 60 days. So, total of all these three items is 316 days, less payables are around 22 days and one important thing which you are missing is advance receive from the customers, is around 146 days. So, if we reduce this two things payables and advance received from the customers, then total number of working capital days is coming at 148 days. That we would say this is sustainable going forward also our working capital cycle will be in the range of 140 to 160 days, this is number one. And number two, why this number of days have increased that our receivable is 143 days is on the higher side because of the higher sales in Q4 24. In absolute terms our receivable are ₹ 169 crores and our turnover for the last quarter if you see then it is ₹ 136 crores and again our receivables are increased by 156%, but simultaneously our turnover have also increased by 167%. Number two regarding this inventory, the inventory have increased from ₹ 41 crores to ₹ 133 crores, but also in percentage terms inventory have increased by 224% but again, our turnover have increased by 167%. So in terms of the number of days it has increased, but again, we need to execute our orders in the current year budgeted target numbers so, we have built up the inventory. If we don't invent the, build the inventory then we would not be able to achieve our target number with the current financial year. So but in nutshell, to answer your questions yes, our working capital cycle is 148 days and going forward also it will be in the range of 140 to 160 days.

Dipen Vakil: Got it sir. Thank you so much for the detailed explanation. Sir second on the strategic investment side. So, I have two parts one is what do you expect to spend on R&D for FY25 and also any inorganic acquisition planned. So you had already sought some approvals, for shareholder approvals in the form of a QIP so any update on that as to if we are still exploring any inorganic acquisition and in which area we would be looking at?

Ashok Atluri: So FY25 R&D we are expecting to be in the tune of around 30 crores but again, you should not hold me to it because we are a very opportunistically our investment R&D company. If we get a good product idea, and the customer suggests that you invest in this, we will not hesitate to invest in that little more than

what we have budgeted. So that is one, the second with respect to inorganic acquisition we have taken permission to raise up to, place up to the ₹ 1,000 crores. But, we have not yet identified any target and when and if the things become clear we may raise the bid of the, we may go for the QIP, but as of now, we have to adjust the enabling provision, which will allow us to go and raise.

Dipen Vakil: Okay, got it sir. Sir, last question. How do we see, exports shaping up for say in the near future say in FY25 and 26. So, right now, and where do you see the most traction coming in for our products, mainly anti-drone systems?

Ashok Atluri: So out of the ₹ 1,400 crore that we have almost ₹ 400+ crores are for exports. And that so, probably out of the ₹ 900 crores, maybe at least 33%, 30% maybe export in that is one thing what was the second question sorry, I missed that?

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Dipen Vakil: Sir, second question was on the line of, as to how do we expect exports shaping up in anti-drone system?

Ashok Atluri: So for Anti-drone systems, there is huge demand both domestically and internationally we expect that to scale up significantly. Again, remember the two things every country in the world is worried about, one there may be a war knocking on my door and for that I need to be prepared, it doesn't matter how much advanced equipment you have, because they have seen in Ukraine, the worlds they have gifted with them the latest equipment, but they are losing the war simply because they are not trained. So training has become an area of focus and the second is, the war has moved there is a tectonic shift, or almost as much as from sword fighting to gun fighting. The drones have taken over the warfare completely. Now you need anti-drones protect against these drones, and Zen is offering those drone systems. So keeping these two things, the preparedness and the emerging threat. Both the solutions are available with Zen Technologies, so we are at a very, very sweet spot and we expect a lot of inquiries

as we are dealing, a lot of inquiries coming in, we can feel it and we think that there will be tremendous growth in the export area from both these fronts.

Moderator: Thank you. We will take the next question from the line of Abhishek Shah from Ambit. Please go ahead.

Abhishek Shah: Just continuing on the export question, I have seen in Q4, actually we had at least what was reported on a standalone basis, nothing on the exports. So any particular reason for that, and how do we see that shaping going forward?

Ashok Atluri: We didn't do any exports in the Q4 actually, that's why we did not report anything. There were no exports in Q4, all the sales were domestic sales. But, in the forthcoming quarters you will see a significant export figures coming.

Abhishek Shah: Okay. And so does that have any impact, I know that you have always guided for 35% margins, and that's what we have come in. But does the share of exports have any bearing on the margins?

Ashok Atluri: It does, you are right, you actually hit the right spot. Actually, we have better margins in exports than in domestic. So that has definitely impacted the margin mix.

Abhishek Shah: Okay. And one last question. Just in terms of, we have always stated that we are going to remain focused on simulation and anti-drone. Anything in terms of what we are planning for product, new pipeline or anything that is in the works, that you could share with us?

Ashok Atluri: So, we are going to announce in the next, few months, weeks and months some new product, very interesting range of products and that should the end users not only in India, but worldwide will find them very interesting. We personally think that they are quite path breaking. So let us just hope, so there are some formalities to be completed with them before we can actually reveal them. So we are just hoping to complete them and then come back to

the customers and show them what we have.

Moderator: Thank you. We will take our next question from the line of Parikshit Kabra from PKT Advisors LLP. Please go ahead.

Parikshit Kabra: I wanted to understand, of course you have guided in the past that the orders come in when they do right, they come in lump sums, and so you cannot look at it quarter-on-quarter and for FY25 we are quite comfortable with the order books to hit our ■ 900 crore target. But now this subsequent year started and we need to start thinking about FY26. So, within this year, when do you think we should start being able to see the order inflows actually materializing?

Ashok Atluri: So, our impression is that, majority of the order will start, will come in the fourth quarter, but they will start in the third quarter coming in the third quarter. But even, I would not be surprised that a smaller order start coming in the second quarter itself. But we again, what we are thinking is, even if we execute ■ 900 crores worth of orders, we expect it to be replenished between ■ 1200 to 1300 crores so Page 5 of 12 that next year we have set an internal target. So we will be able to achieve that target is what our expectation is.

Parikshit Kabra: So, just to be clear, the order inflows you are expecting the bulk of them to start coming in Q3, Q4 of this year and you are hoping for a target of what ■ 1,200 to 1,300 crores of order inflow?

Ashok Atluri: That is right. I mean to say, so we will be executing ■ 900+ crores and the rest we expect to ■ 1200 to 1300 crores worth of orders coming in. Replenishing by more than 33%.

Parikshit Kabra: Got it. And this guidance of, not guidance but this target of 50% or ■ 1,200, ■ 1,300 crores, does this include the new product lines that you are hoping to launch or is this only for the existing two lines?

Ashok Atluri: This is only for the existing products, anything else happens it will be icing on the cake.

Parikshit Kabra: Got it. And these new products, are they sub products of your existing lines, for example are the new simulators or is it a completely different line altogether?

Ashok Atluri: They are not really completely different line, they are actually they will enhance the attractiveness of existing products or they may be for adjacent markets. So, these are the two things that may happen. That for example, we are already selling anti-drone systems, there may be something that we may add to that which will make it very attractive the product itself. It may be like that, or it may be a product for adjacent market.

Parikshit Kabra: Got it. So the revenue would be part of one of these two product lines itself?

Ashok Atluri: Yes, it will be enhanced, the revenues will be enhanced. We may get more orders on that equipment because of that.

Moderator: Thank you. We will take our next question from Hiral Nandu from Kalpvruksh Capital. Please go ahead.

Hiral Nandu: Just couple of questions. One is that, we see some material cost has increased compared to the previous quarters in Q4. So can you put some light on that, that any particular raw material cost has increased or it was one of the quarter where we see a material cost increase or it will stabilize near this range only?

Ashok Atluri: Yes, so this is a product mix as I was saying that when we have a dual use simulator for example track simulators, etc. they are easier to make very frankly, we don't need much R&D to make those kind of products and they have both military and civilian use, there the competition is more and typically our raw material cost is also. So depending on the product mix, the material cost will vary. That's answer to your question. I hope that satisfies.

Hiral Nandu: Okay, thank you. And the second question is, that I see some other current liability of ₹ 205 crore odd, if you can just put some light what is it about the ₹ 205 crore, last year it was ₹ 100 crore odd.

Ashok Atluri: I will let Afzal answer that.

Afzal Malkani: Yes, sure. So, out of this ₹ 205 crores, ₹ 173 crores is the advance received from the customers and ₹ 28 crores GST payable for the month of March for which the due date is 28 April. So, 173 plus 28 so, it's almost at ₹ 201 crores and ₹ 3 to ₹ 4 crores is miscellaneous. So, total is around ₹ 205 crores.

Hiral Nandu: Okay. And the last question, this insurance claim we received around ₹ 4.4 crores against ₹ 6.57 crores or something. So, that is the full and final settlement what we understand, so there is a loss or we have received ₹ 2.15 crores less for the insurance claim and we have already booked that loss in the March 24?

Afzal Malkani: Yes sir. So, this was the claim we raised in November 2021, for ₹ 6.56 crores. At that time itself we book entire loss actually, ₹ 6.56 crores after that now, we received ₹ 4.4 crores. So, remaining ₹ 2.16 Page 6 of 12 crores was due to the reason that we put up the claim on the basis of the market value of the product and insurance company agreed with the cost price of the product. And second is, as per rule so, 5% salvage value we have to bear and 2% is another thing, is adjustment. So, considering all these things, we received whatever was our expenditure we incurred actually. Only the difference, this insurance company has deducted is this difference between this market value and cost price. But entire thing was debited in 2021 itself.

Hiral Nandu: Perfect. So, this entire ₹ 4.4 crores is a current year's other income or is a part of current year's other income right?

Afzal Malkani: Yes.

Moderator: Thank you. We will take our next question from Anurag Agrawal from Agarwal Analytical Investments. Please go ahead.

Anurag Agrawal: Sir my question is pertaining to we recently participated in an exhibition in Middle East how are our products received, what kind of reaction did you get, do we see an increased demand from that country, like would you just throw in some light about that?

Ashok Atluri: Exhibition we received very positive response and very robust demand was seen there and that is one of the reasons after visiting there, we had lot of request for collaboration and developing the product in, we went for this world differential in Saudi Arabia. So, yes we think that it has really validated our belief that there is a lot of demand for both the training equipment and the anti-drone systems. And we do expect a lot of demand forthcoming from that Middle East region as we speak we are actually talking to a lot of customers there. Thank you Anurag for asking that question.

Anurag Agrawal: Okay. The second question pertaining to the new product that we are developing. You mentioned that it is an add on feature or something related to which will add value to our current existing product lines. Could you throw in some light relating to what could be the market size for that particular product, like how big that could be?

Ashok Atluri: So, I would just say that it will make our existing products more attractive, which are the add on products. There are some new products also, but in this case we will have an unbeatable combination in anti-drone systems and the simulator. So, I will not be able to attribute how much, by itself there is nothing but there will be generating cumulative demand for the products that we already have.

Anurag Agrawal: Got it. Apart from that last question sir. How do you see the competition faring up in anti-drone system, globally also like me recently went to the exhibition we must have seen other competitors as well?

Ashok Atluri: So, globally we do see we have good competition there are other countries also that are doing a good job but customers are liking our system and so they are, we are in talks with a lot of countries that are wanting our systems. And there are some people who have differe

nt requirements, they are going to different products. Domestically also we think that we stand a good chance again simulators, we know not much investment have gone from our competition so there is not real tough competition there. But anti-drone systems of course, DRDO has the technology, so they have been transferring to other companies. So there is some competition there especially because DRDO is a formidable organization with good R&D capability. Only thing, we are more nimble, we are adding more features, we are evolving much faster and we think that we have the, by product to product if we compare, Zen is a little advance than the competition. So, we hope that in domestically also we will be winning with a good number of orders and exports also there will be good orders coming in, in the future.

Anurag Agrawal: Good. Sir last small two follow up question on the DRDO part. In one of the previous calls you had mentioned that any sale that DRDO also does would somehow benefit you, there was some commercial agreement to that angle. So could you throw some light on that?

Page 7 of 12 Ashok Atluri: So, DRDO, the product developed by DRDO which is sold by BEL and other DRDO partners. So, we supply a couple of components through our subsidiary. So subsidiary has developed those components and they supply to, whoever is the DRDO partner. So every time somebody sells something we do get, our subsidiary group does get some revenue out of that.

Moderator: Thank you. We will take our next question from Gautam Rathi from CWC. Please go ahead.

Nishit: Hello Mr. Atluri, this is Nishit from CWC. On your slide no.10 of your presentation there is this mention of evaluating tie ups with OEMs. Has there been any kind of development on that part and any kind of color that you can provide?

Ashok Atluri: We have been tying up with some OEMs, and only thing is officially we would like to announce with their consent at the right time. But yes, with the Made in India coming up in a big way, in the next five to 10 years, most of the system will be bought from Indian OEMs. And so we are partnering with them to develop their simulators also. And you are absolutely right, that tie ups are, some tie ups have been done but officially we will be announcing once we sign on the dotted page, together we will announce that to the stakeholders.

Nishit: So, is my understanding correct that you have made certain tie ups but, you are awaiting clarifications or you are awaiting final consent?

Ashok Atluri: That's right, so there is some understanding but we haven't signed the documents to make it public. So once we sign it we will make it public.

Moderator: Thank you. We will take the next question from Tej Patel from Niveshaay. Please go ahead.

Tej Patel: So, you said that we are expecting inflow of around ■ 1,200 to ■ 1,300 odd crores and we have a target of achieving revenue of ■ 900 odd crores in the next financial year. So, what are the key areas of growth that we are expecting and is there a major government policy you see coming in?

Ashok Atluri: So, this year we are saying ■ 900 crores Tej and out of this ■ 900 crores, we are saying that this is based on the existing order book position that we have. And we have some internal growth targets to achieve that we would need in the third or the fourth quarter, new order inflows of about ■ 1,200 crores that's what I said and we seem reasonably confident. It is again in the two areas that we are talking about anti-drone systems and training simulators, accumulatively for both the exports and domestic. So, that is what I meant when I said that we will need ■ 1,200 crores to maintain growth rate.

Moderator: Thank you. We will take the next question from Palak Bhanushali from MIV. Please go ahead.

Palak Bhanushali: Sir, I have just one question that during the quarter our gross margins were impacted due to, as mentioned on the ca

ll, due to the spike in the raw material of some of our products. So, I just want to understand that all our order book, is a fixed price contract, or do they have a pass through mechanism clause in our contract so that with the commodity price rise we can actually adjust a final price of the products. And another thing that between the simulators and the anti-drone is there marginal difference and can you please quantify the difference left that is there?

Ashok Atluri: So, to your first question that it's a fixed price contracts, we don't have any pass through mechanism for that, because again our raw material cost are especially the metal those costs that vary are not that significant. So, typically the government and all the army contracts are typically fixed price contracts. So, that is the first question and with respect to anti-drone systems and simulators, we have lesser margins in anti-drone system compared to simulators, simulators have larger markets and when you look at the domestic versus exports, exports have larger margins than domestic margin.

Palak Bhanushali: Can you quantify the difference and the margins, if it is possible for you?

Page 8 of 12 Ashok Atluri: Again, as I said simulator varies very, very widely in worst case the bill of material can go as high as 50% but typically most of the raw material cost are between 15% to 35% and in the case of anti-drone systems they are typically around 35% and, so that's the approximate ballpark for you.

Palak Bhanushali: Okay, understood. Another question I have is that during the year we guided for ■ 450 crores of revenue, we delivered slight below that. So, what were the challenges that we faced during the quarter of further year that we were not able to achieve the guidance?

Ashok Atluri: So, we had some issue in Chennai, there floods were there because of which some of our supply chain got impacted. And that was one of the causes, but there are some supply chain related issue, but now they have been resolved and this year is going to be much, much better than the last year challenges that we faced.

Moderator: Thank you. The next question is from Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: Sir just wanted to know on the revenue side, you have given some target of ■ 2,000 crores by FY27 is it right sir?

Ashok Atluri: So, we have said that there will be a CAGR of 50% from next year, FY27 will be ■ 2,000 crores that's right.

Prathamesh Dhiwar: Okay and the export contribution will be around 33%, 35% right?

Ashok Atluri: Yes, about 35%.

Moderator: Thank you. The next question is from Ayush Didwani an Individual Investor. Please go ahead.

Ayush Didwani: I had a question regarding the order book that you seem to be exhausting at least 70% of your order book at the start of the fiscal, even the last fiscal you executed more than 100% that you reported in April 23 the order book, so my question was that when will we as investors see it one, two years stability that you won't face order issue. Because half the questions are coming on orders?

Ashok Atluri: So, I get your point, the thing is we are able to extraordinary supply chain reconfiguration, people typically take three years to execute the order, we have been executing them in 12 months to 18 months. So, that's a plus point about it and the second so, we will be for you to see a three year visibility of orders is actually a challenging so that means we say, we will have to actually slow the order execution which we don't want to do. So, we want the money, today's money is better than tomorrow's money so we will be.

Ayush Didwani: Sure. But then what the growth you guided for you will have to seriously like take orders at a higher pace in the next say two, three?

Ashok Atluri: So, it's more than we taking, Ayush the orders will come, the demand is increasing exponentially for these products. So we are almost passing this.

Ayush Didwani: Because if I see this year also like two third your order book will be executed?

Ashok Atluri: That's right, yes absolutely.

Ayush Didwani: So, the orders you don't foresee a problem, they will keep coming?

Ashok Atluri: Based on what we have, what we based on discussion and our pipeline at this point in time. It should not be very difficult, it's going to be pretty easy.

Moderator: Thank you. The next question is from Rudresh Kalyani from Kalyani Private Business. Please go ahead.

Page 9 of 12 Rudresh Kalyani: I got to know about you were on the shop floor program of Bharatshakti, the forecast was very insightful. So coming to the questions, I have got a few of them, most of the defense work on the secrecy and confidentiality, how will you maintain it when we outsource the manufacturing to third party?

Ashok Atluri: So, by the way all the defense companies including the very, very big name BEL, VDL they all outsource it to their supply chain. But your question is valid in the sense, how all these defense company maintain the confidentiality. So, typically, one thing Rudresh is that the products that we make, we have 80 vendors, so, what would we give to them for manufacturing, the hardware part for example the mechanical, the electronics but the software, the heart of any system is actually retained with us, which we pour in the last time when we are assembling it, till then nobody knows about the software. So, what is going is anyone some fraction part of the product, some component or some subsystem that is finally integrated at our place, and then it becomes a meaningful product. So, people who are actually making a component just cannot design the whole product by themselves. So, that is what, so it's pretty safe and it is pretty proven we have been in this field for 30 years, and even the vendors with whom we are there, we have a good relationship. So, that risk is almost nonexistent.

Rudresh Kalyani: Coming to my second question. So can we leverage our skill in the simulators to build them for any other domain, just like we did for the healthcare, can we do the same thing for, let's say sports or something like that?

Ashok Atluri: So actually, we have done this one was a medical care and earlier we had also done for a game development, we spent almost a million dollars and our experience is, has been very bad, very poor, and we have not made any progress in both the cases, what insight that has come to us is, this is the value chain that we have created, is created specifically to cater to the needs simulation and anti-drone needs of the armed forces, both in India and overseas. And the moment we try to shift our focus, it's very, very difficult, we don't have, so we see but in this area, it's very, very difficult to compete with Zen because we have extraordinary strengths. But to get into sports, or into medical devices or into games, it's something that we would be very, very cautious about. I'm not saying you will never say never as they say, I'm not saying that we will never do that. But, we will be very, very cautious about going in that, diversifying into those fields.

Rudresh Kalyani: Okay. My third question is, what is the end goal, leaving behind the number, let's say 5 or 10 years down the line?

Ashok Atluri: So, we are, as somebody said FY27 is going to be ■ 2,000 Crores. Let us see, that's a very, very aggressive goal they have already given us so, but overall Rudresh the thing is, we are even though we are talking as financial stakeholders we are talking about numbers, what Zen wants to do is leave a legacy, Zen was contributed in a meaningful way to the country's self-reliance goals, that we have developed not only products to which serve the Indian armed forces, but we are exported from us and created net export capability within the country. So that is the goal that we have in the long t

erm. That

inspirational goal will actually, probably take again, when you look at Elon Musk, what does Elon Musk say, so he is the inspiration for me at least personally. Elon Musk says that there is a possibility that earth can be destroyed by nuclear war or meteor hitting, and he says listen, if it is destroyed we want to preserve the human consciousness, how do I preserve human consciousness, I have to colonize some new planet, and which is the planet, that is Mars, and the only planet that's colonizeable is Mars. But if you want to colonize Mars, I have to build rockets and he is building rockets from that. So, our vision should be over arcing, over extraordinary and exciting. So that way our Zen's goal is, how do we make India completely self-reliant in defense field. So we are doing our bit in contributing, and we are helping other companies which are into IP, I'm not much into this production, and TOT kind of a thing, unless the company can absorb it, many times people just get the technology and they don't care whether it's absorbed or not, they just manufacture and push it to, almost box pusher kind of thing. So we really need to focus on creating great companies within India, for self-reliance. Zen is such a great,

such a kind of a company and we hope that in the next 5 to 10 years we can make a reasonable impact on self-reliance goals in the country.

Rudresh Kalyani: Okay. My final question is, can our anti-drone system neutralize the stealth drones?

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Ashok Atluri: So, there is a set of drones that we have tested including the so called drone that cannot be detected, but we have been able to detect them through various methods and been able to neutralize them. But this is an evolving field Rudresh, by the time I'm saying listen, we can detect these drones, somebody else manufacture some new drone with new technology and we are trying to improve the technology to detect those drones. So this cat and mouse game keeps going on, one upmanship keeps going on this. And that is the precise reason the government of India is saying listen, this technology has to be developed in India, because tomorrow new threat comes, I don't want to go running to a foreign country and say boss, the new threat has come help me now. So they can actually dictate us guys, this is a threat please give a solution to this. So that is the precise reason that IDDM is a category that is the most sacred and most important, and it should be the most encouraged category so that we have these capabilities within the country. And not only that, we will be able to help other friendly countries with this technology.

Moderator: Thank you. The next question is from Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: Sir two questions, I was asking about the investments made in AI Turing Technologies?

Ashok Atluri: Mr. Ohri, so I will answer your question to the extent that I have understood, AI Turing the thing is, we were looking for completing the anti-drone product because the product has typically the detector, the radar, the camera, the jammer and the command and control center. Of course, it also requires interface with the hard skill thing but in this the camera was something that we thought would be available easily off the shelf. And then we start and we actually ordered to couple of guys but the order did not come and there was a lot of pressure from the customer that where is our anti-drone system, and that's when AI Turing came up to us and they offered a solution which was much better, easily integrated for the camera solution, electronic optics and, it worked very well with our system and others were struggling to deliver a system that we wanted. So when we looked at them and they had offered at a fantabulous price. So, we basically wanted to get the camera that they are supplying and integrate with our system, and they were giving it a price that was very reas

onable and we thought we have to protect their bandwidth, because they were doing too many things and they were little stressed for money so invested in them, so that we can preserve this anti-drone system as a complete product, in terms of the electronic optics also, we become a one point source for that. So that was the reason we invested in that company. But, that company doing some other stuff also exciting stuff that, we will take a call on that as and when the products are ready, we will definitely share with you.

Rohit Ohri: Sir do you think that this will become a substantial proportion of your revenue going forward. So, that was the question, can mitigate the issues of lumpiness of the business?

Ashok Atluri: No. So, the thing is, very frankly we have always said that, the quarters will tend to be lumpy while years may not be lumpy, yearly we would be almost assured, but lumpiness in the quarters maybe there. So all the long term shareholders in Zen are prepared for the lumpiness in the quarter as long as the year-on-year growth is at least predictable and we can hope. So, to your question is lumpiness completely eliminated, No, the answer is no. There may be some lumpiness but even though I don't foresee in the near future, but definitely given the nature of our business, some quarters in the future will be lumpy.

Moderator: Thank you. We will take the next question from P Krishna an Individual Investor. Please go ahead.

P Krishna: Sir, my first question is regarding the anti-drone market of ship, airport, refineries, steel is our anti-drone capable to be deployed in the ship, airport, refineries?

Ashok Atluri: Yes, we can deploy them on the ship, airport, refineries, monuments, VIP protection, assemblies and installations. But the point here is Krishna, we should be aware that again my value chain is fully tailor made for armed forces. Where do I get a guy to go and market to the refineries, where do I get the ability to go and refinery will buy one of the anti-drone systems, so, what I'm saying is, I am not averse to selling number one to your first question. Yes, our product will suffice for their needs. To your second question, what are we doing about it, if somebody comes and buys from us, here is the cheque, Page 11 of 12 take the money and give you the system, we are willing to do that. But this is a new market, we really don't want to push into that. Again, it's a very, very fragmented market, it's not as big as the different market. So we are focusing on the armed forces market. But if these orders come to us, we will definitely supply to them against payment. So we don't have any resistance to them. But do you have a

marketing team, are you creating a value chain to support this. No, we are not creating a value chain to support this, because we are not into that market.

P Krishna: How much our current anti-drone range capability sir in terms of distance our capability?

Ashok Atluri: It's about 10 kilometers.

P Krishna: Some lights on Zen Medical Technologies Private Limited subsidiary sir, because as I have read lot of conference call. You have not said about that, what is any future plan something like this?

Ashok Atluri: I mean to say that, actually there is no activity happened in the last year in anti-medical devices. I don't foresee anything happening in that medical devices in the near future, but if there is some development in the medical simulation field or something like that, we will update you but very frankly, the medical devices business doesn't look very promising at this point in time.

Moderator: Thank you. We will take a text question from Ish Mohit Arora from SOIC Research. What is the order pipeline that we have. When are we expecting new orders to come in. for FY26 guidance to be met we need minimum ₹ 900 crores to +1,000 crores of order wins. How confident are we, which new products are we launching?

Ashok Atluri:

uri: So, with respect to the order book, we know we have given the figure that ₹ 1,400 crores and with regards to the existing the order pipeline that we have which we think the high probability that we will win is about ₹ 900 crores, already we are working on 900 crore worth of orders. There are very, very large projects that we are not talking about which will significantly improve the revenue for us. And the probability of those orders also coming up very, very good, but they are very, very drawing board stage. But we eventually think that they will come. So, yes to your question, we feel confident that we will be able to replenish ₹ 900 crore, another ₹ 300 crores worth of thing our target is be around ₹ 1,200 crores of replenishment, we expect that to happen by the fourth quarter.

Moderator: Thank you. We have one more text question from Deepak Sharma an Individual Investor. My question is, there is a dip in Q-o-Q operating profit margin and Y-o-Y basis too. Also there is 33.3% material cost versus 20% to 26% trend in last some quarter. Why the such rise in the material cost and what you are expecting the operating cost in the next one or two quarters?

Ashok Atluri: Mr. Malkani will answer that.

Afzal Malkani: Yes, sure sir. So, there are two things, one is that the margin depends on the product mix as we discussed in one of the earlier questions that. And second is, when we achieve the scale of operations, then we cannot maintain the same kind of raw material cost of 25% to 27%. Last year, our total revenue was around ₹ 160 crores and we achieved the scale of operations and with a growth of 167% it is ₹ 430 crore revenue. Number three, the proportion of AMC business is not increasing simultaneously in the same proportion of the equipment cost. So, considering these three factors that we understand that this raw material cost will be around in the range of 35% to 40% we need to consider on that.

Moderator: Thank you. We will take one more question from Sanjeev Panda an Individual Investor. Sir as your guiding for 35% EBITDA margin, in terms of margin would you be able to give us a sense of margin for training simulation equipment and what range for counter drone solutions. And second question is on acquisition we are looking at is it to expand market or gain technology?

Ashok Atluri: Afzal you may answer this.

Afzal Malkani: Yes, so the first question is regarding the margin, we can consider that on an average we are saying 35% as a EBITDA margin. Here, if we want to differentiate then as we mentioned in simulators it is a Page 12 of 12 little bit on the higher side in that case you can consider 40% from the simulators average and 30% from the anti-drone. So, overall average is coming at 35%. And what is your second question, can you repeat?

Moderator: I will repeat sir. On acquisition we are looking at, is it to expand market or gain technology?

Ashok Atluri: I will answer that. So we are looking to gain market and acquire technology both will happen in this case.

Moderator: Thank you, sir. We will take one more question from Panay Khata from Pink Wealth Advisory. Hi sir, wanted to know out of ₹ 1400 crores how much of the order book is from the government?

Ashok Atluri: It is completely from the government, either Indian government or foreign government. Almost everything is from the government, so no private orders in this, almost no private orders in this. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, we will take that as last question for today. I now handover the conference to Mr. Ashok Atluri for closing comments. Over to you sir.

Ashok Atluri: Thank you so much. In conclusion, I want to say that, we have never felt so confident about the company ever before. And we think the path to growth is very visible to us, even though we are not able to show how FY26 will do, how FY27. But internally, we know

what kind of things are happening

at the ground level and we thank you for all this 23 years you have been with us, we really appreciate especially the old time and existing shoulders. We think the inflection point has come, I keep giving example of the Chinese bamboo tree that five years it goes underground and in the fifth or sixth year it grows 80 feet. That time, the hyper growth time has come to us and we want you to continue this journey with us and look forward to a very, very exciting time. Thank you so much everyone.

Moderator: Thank you, sir. Ladies and gentlemen, thank you for your participation. You may now click on exit to disconnect.

Call: Aug 2024

Date: August 2, 2024

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051 Through: NEAPS

Symbol/Security ID: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers Dalal Street Mumbai- 400001 Through: BSE Listing Centre

Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
--oOo--

With reference to the subject cited above, please find enclosed the transcript of the Conference Call with Investors / Analysts held on July 29, 2024, on the Q1FY2025 performance of the Company.
Kindly take the same on record and acknowledge the receipt.

Thanking you.

Yours faithfully, For Zen Technologies Limited

M. Raghavendra Prasad Company Secretary and Compliance Officer

M.no.: A41798

Encl: as above

"Zen Technologies Limited

Q1 FY2025 Earnings Conference Call"

July 29, 2024

Analyst: Mr. Abhishek Mehra – TIL Advisors.

Ms. Teena Virmani – Motilal Oswal

Management: Mr. Ashok Atluri – Chairman and Managing Director – Zen Technologies Limited

Mr. Afzal Malkani – Chief Financial Officer– Zen Technologies Limited

Mrs. Shilpa Choudari – Whole Time Director – Zen Technologies Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Zen Technologies Limited Q1 FY2025 Earnings Conference Call. Please note all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Mehra from TIL Advisors Private Limited. Thank you and over to you.
Abhishek Mehra : Thank you Inba. Welcome everyone and thank you for joining this Q1 and FY2025 earnings conference call of Zen Technologies Limited. The results and investor updates have been e-mailed to you and are also available on the stock exchanges. In case anyone does not have a copy of the same, please do write to us and we will be happy to send it over to you. Today, we will start the call with a brief overview of the performance and product demonstration, which would then be followed by the Q&A session. As a disclaimer, I would like to remind you all that everything said in this call reflecting any outlook for the future, which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainty that the

company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports. With that, I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you, Teena.

Teena Virmani : Thanks, Abhishek. We welcome the management team of Zen Technologies for Q1 FY2025 results con call. We have with us Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani, CFO and Ms. Shilpa. So, over to you, Sir, for your opening remarks and after that, we will open the floor for question and answer.

Ashok Atluri : Thank you, Teena. Hello, fellow shareholders and prospective shareholders. Thank you for joining on the call. I think the results were on the expected lines and we think we are on track to meet the 900 Crores target that we have set for the year of the turnover. As we have been saying on various calls that on average we expect the EBITDA to be around 35% and PAT to be around 25%, so this may keep varying depending on the product mix and the export and domestic mix, so in exports we have higher margins and with in the simulators and counter drone system, simulators have more margins and within simulators also there is variance depending on training systems and simulators, there is different margins for different products. But overall I think we will be easily able to sustain the 25% PAT that we have been suggesting. The two main markets for us have been the training and simulator and counter-drone markets and what we see is that in the initial years we were very much focused on the technical training aspect of the simulators and training systems, which basically makes you a good marksman, but does not prepare you for actual war things where there is another intelligent being in front of you and he or she is attacking you. So that requires some specialized training called the tactical training. Now we see that not only in India but overseas also, there is a movement towards tactical training simulators, which is actually helping us. Again we think that we are the best in that category. Because of this realization as the war is progressing between Ukraine and Russia, we can see that people have come to the conclusion that it does not matter, you may have the world's latest equipment, but still if you are not trained, you will lose the war. So people are okay with having a little older equipment, but training has become paramount now. That is a big win for us in the sense that we have been saying the same thing for many decades now and now the world's armies have come to that conclusion. The training market is exploding now and more and more inquiries are coming from both the Indian customers and the

overseas customers, which is very good and very, very heartening for us. Second product that we have are the counter-drone systems. We see that in every place the drones are playing havoc and people are looking for systems to neutralize the oncoming drones and that is where a counter-drone system works very effectively. And what we have seen is that the enquiries are accelerating at a very very healthy pace and initially it was

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mostly soft kill and anti-drone systems. The enquiries are coming now it is moving to hard kill. And fortunately again we are in the forefront of hard kill and again our target is to lead the market both in soft kill and hard kill. We have supplied one hard kill system now to the Indian Army, but we expect this to really scale up. So when we look at the whole scenario, the two major product segment that the world is actually really thirsting for, one is the training to upgrade their skill set, and second is the threat to neutralize the drones. So we are in the sweet intersection between both of these. And I think the patience of fellow shareholders is paying off now.

In addition, recently we launched a few new products, which were from the recent acquisition investment in AI Turing Technologies and we see there is a lot of scope for this product. And what I thought was that even the press release did mention and we did share the link there. I would like to actually physically show the products once. I just did some informal survey and there was a lot of interest in seeing the products in action. So what I will do is I will just take a few seconds break and then I will just walk down to the products and try to show you how the products actually look and how they work and then again these products will take some time to generate revenues but what we see is extremely healthy demand for these products.

We have been talking to the armed forces and one of the products has been demonstrated to them and they said this is exactly what we want and nobody has been able to give it. So we look forward to this. It started as an extension of anti-drone system, the camera side, but now we see that it is a complete whole market by itself. So as we go ahead into the next few quarters, we will be talking more about it and explaining how the market is panning out for us. So, I will just take a break and I will start the thing there. Thank you.

So, this is the product that we had originally. We had it some few months back, we had shown it. This is actually a remote control weapon system and this could actually fire at the target, but what we found out was that this is so heavy, it is very, very difficult to actually move the system around. And so then we went into the new product that we were launching. So we are looking at the remote control weapon station. Now the weight of this compared to the earlier one which was 250 kilos, the weight of this was less than 40 kilos and we think that this is the world's lightest system. Again in a typical combat scenario, the soldier moves through narrow lanes and is behind

the weapon and when he wants to lift it, this is the way they can actually lift and go and place it. Otherwise for a typical weapon system, you would actually require a crane or something like that. Another advantage is you can use the joystick and the ruggedized display to fire at the weapon. So this will help to move the thing and again, how do we save the life of the soldiers? Keeping the soldier out of the harm's way has been our main focus. So this is another advantage we have. This can be integrated with our anti-drone system and the radar can give the cue and it can automatically fire. And it can also be used by any soldier who is going on duty to go and check the thing and it can also be used for firing the weapon.

So this is the Hawkeye and this camera is the one that we have already supplied to the Indian Army along with the anti-drone system

em. Actually the one we had supplied was little scaled down version. The Hawkeye, the current one which you are seeing has a range of 40 kilometers. So, that is a very good range, for humans it is 15 kilometers but this is something that we feel is having lot of demand. So, camera has got the mid-wave infrared thermal imaging sensor, CMOS sensor and laser range finder and in the recent trials this site we were able to engage the UAV at more than 1 kilometer range with the L70 gun and we were able to bring down the drone. Good thing about this thing is, it can be used as a vehicle for tracking the drone, but also it can be used as a surveillance camera on ships, vehicles, and standalone system and even for border surveillance.

Next, we move to the rugged sight. This is our latest innovation actually. We call it Durgam the

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rugged sight and this is designed especially for armored and artillery forces. The gunners and commander site in tank and artillery system need to be very rugged and capable of withstanding shock, heat plumes and erosive dust. Currently, the Indian armed forces are using foreign-made fire control systems and expensive Indian alternatives to solve this problem. We have developed Durgam to provide our armed forces. It is a state-of-the-art indigenous capability while increasing its lethality. This is very light camera, which is less than 15 kilos, can withstand 800 G-shock for 6 milliseconds and can be submerged under water. The camera is ready to plug and play and can be integrated with any fire control system of the tanks and artillery.

Finally, the robot of Prahasta. So, this is the force multiplier and protects the soldier and can be used in actual operations. Anyway if you look at the typical operation like when 26/11 happened, we had a lot of casualties. So, this is the kind of a thing that can actually take out the terrorist, go to the places and take out the terrorist without the soldiers being put into harm's way. So this is the AI powered and as it is walking, it sees obstacles, it learns those obstacles, masters it and then tries to improve it further. And with LIDAR, the versions that we are experimenting include a LIDAR where we can send the robot dog inside and we can map the whole building for the operations that are there. So, these are the things again, we are trying to integrate it with 12.7 BMG also. So, these are the kind of weapon system that can be used on the robot dog in the future. Overall, these are the products, but there are many others under R&D, but these are the product that we will be launching soon and one of them we already sold. So with this I will end the new product introduction and we will get into the Q&A mode. Thank you.

Moderator : Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from the line of Mohit Motwani from Tara Capital. Sir you may unmute your connection and ask your question now.

Mohit Motwani : Thank you for the opportunity. Sir, my first question is for the anti-drone systems and these new products that you have spoken about, can you give us a sense of what is the future opportunity you are looking at maybe three to five year perspective and also what you could have seen in other markets, what is the future of these spends and what is the opportunity size for the company? If you can you give a broad sense of that?

Ashok Atluri : In terms of product, what we have done is recently there were EUROSATORY exhibition that we went. Our team went and assessed and, we actually feel that we are in absolute top range in the anti-drone space. And again, coming to the demand side, we think that the demand is increasing. We have earlier indicated that the demand is 10,000 Crores for the next three to five years, but we would be revising that upwards significantly pretty soon when we get more data. But the demand is very

high, not only from India, but even from overseas market. We started the R&D at the right time. Around 2018-2019, we started it and now we have come to a very, very mature stage. Again, this is a relentless R&D product. We have to keep doing R&D because the threats keep emerging. They keep evolving and the product has to keep in pace with the threats. I hope I have answered your question, Mohit.

Mohit Motwani : My second question is on the export revenues. I think if I understood correctly in the presentation, there were no export revenues recognized during the quarter. I think from the previous quarter, export revenues. So I just want to understand, is it like the execution times are a

bit longer on that front or is there a spillover maybe for this quarter and next quarter.

Ashok Atluri : So the execution is going as per schedule Mohit and we expect the next couple of quarters to recognize exports in a major way. So that will maybe become a little heavier than the domestic. But yes, export there were no revenues during the current quarter and that is usually expected. You will have to see the balance between simulators and anti-drone system. In some quarters,

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anti-drone system may be very dominant, in some the simulators and in some the exports may be very dominant and in some domestic. But overall, it will be in line with the projections that we have given about the required deliveries that we have to make.

Mohit Motwani : Basically, timeline was in line with the expectation it was not a separate asset right like in terms of revenue, finances.

Ashok Atluri : Absolutely it was not separate, not at all.

Mohit Motwani : Okay and Sir last question for me you have mentioned in your presentation, you are looking at some acquisitions. So anything that you can speak about or maybe the size of the acquisition or the capability area that you are looking at for the lines that you are looking to add to your product.

Ashok Atluri : So two areas that we are looking at is electronic warfare and training and simulation. These are the two. We want to have more even though it is inorganic, but the absorption should be easy for us. So we are looking at those two areas. As of now, we have not definitely committed to anybody to acquire, but as usual we are looking around very, very aggressively so that we can increase the attractiveness of our product by creating some kind of synergy with the acquisition.

Mohit Motwani : Thank you Sir. Thank you for taking my questions.

Moderator: Thank you. We take the next question from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit : Good evening everyone and thanks for the opportunity. First of all, congratulations for a very good set of numbers. I have two questions. The first one is on order inflow. So while I understand that order inflow cannot be linear in this business, it will be lumpy and last three quarters prior to that we had a very good order inflow. Just wanted to understand what kind of order inflow we are looking at in this financial year, some of the major platforms that we can expect in the ensuing quarters, that is the first question.

Ashok Atluri : So, Amit, the order inflow, this question was asked earlier also and what I have indicated is the fourth quarter will be where we will get substantial order, but they will start from the end of third quarter. So, this is the order flow that is expected during the year and we are confident looking at the pipeline that we should get reasonable amount of orders and we will be able to execute also in the next year. So that is our outlook on the order flow.

Amit Dixit : Yes, the next question is essentially the four platforms that you showed just now, and it was in the press release also. Pretty interesting platforms and things you are combining your capabilities into solutions, and they go beyond that actually. You cannot classify them as

anti-drone, cannot

classify them as simulators. I mean, they are going into artificial intelligence based systems. And you hinted that you would be providing some more colour in the ensuing quarters. Just wanted to understand the broad opportunity as we have been highlighting that, okay for simulator, for example, we know that 15,000 Crores is the opportunity in next five years. If you can let us know a similar number for these kind of platforms, that is the first part. Then the second is what kind of new things we can expect from this particular unit going ahead.

Ashok Atluri : So, you know again your intuition is right that this system is not only about anti-drone system, increasing the effectiveness and the attractiveness of the anti-drone system which will be substantial but you know for example the sites that are there that can be used in artillery and even tanks etc. So yes this is a huge market again, I personally think that it is going to be a third source of revenue, but I do not want to commit because we did a lot of in-depth review when we were

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predicting the market for both anti-drone and simulators. But again, it will definitely run into thousands of Crores of market that we are talking about this. And in terms of new things that are expected, we think that in this area, there will be some more announcements as we go ahead. We have an extremely hardworking R&D team working as we speak to build a lot of AI capability into the product so there is less of human intervention required, less of human role. The humans are taken off harm's way and the machines take over the work of wherever there is a danger to human life. So that is the actual agenda.

Amit Dixit : Okay, I have a couple of more questions but I will come back in the queue. Thank you.

Moderator: Thank you. We will move to our next question that is from Abhishek Shah of Ambit. Please go ahead.

Abhishek Shah : Hello. Good afternoon Sir and again and congratulations on another superb quarter. So I think the

question on order flow you have already answered. Just wanted to get a sense in terms of these new products you mentioned that they were from the recent acquisition. So is there anything else in terms of the pipeline that you are looking at and can we expect more expansion in this current market of products from this acquisition also the QIP funds that were raised, I am sure that there is still a significant amount of that remaining. So any thoughts on how you are looking at that?

Ashok Atluri : So again, new products this is going to be a third stream of revenue for us in terms of sites and surveillance. Again we want to carefully come into this field. This is a very established field, unlike anti-drone system and simulator, which were almost greenfield venture and nobody was there and we came in but in this case, there are players who have been there, but what we have seen is that they have not been able to deliver the system that the customer wants. So we are delivering that system, and we will definitely go deeper include more software into it, and almost like a Tesla kind of model, we will keep updating on a regular basis the software. So, we are very excited about this. Regarding the second question about the QIP funds before the enabling provision that was passed, but no funds have been raised. So, the provision stays in place and as and when the raising happens, we will keep you informed about it.

Abhishek Shah : That is it from my end. Thank you so much and good luck for the future.

Moderator: Thank you. We will take a next question from Dipen Vakil of Phillip Capital. Please go ahead.

Sir you may unmute your connection.

Dipen Vakil : Congratulations on great set of numbers. Sir, my first question is on the lines of your margins.

Sir, can you help us understanding your margins in terms of between export and domestic and also between anti-drone and training as to how your margins move?

Ashok Atluri : Again I will broadly tell you in the sense that ADS, we talk about, EBITDA of around 30% or so and in training simulators we talk about EBITDA of 40% or so. So, on an average we get about 35% EBITDA margins and in terms of domestic and international exports, export is a much higher market and that will depend on the kind of customer that is, is the customer buying a huge number or what are the risks involved, what are the requirements for maintenance, etc. When we take the kind of product that we have, we add an additional margin that requires us to go out of the country and maintain it. But we have seen that over a period of time, the export margins are much higher than the domestic markets, very broadly. So, I hope I have answered your question.

Dipen Vakil : Yes, Sir, absolutely. I am sorry I missed your opening remarks. So have you mentioned regarding your order pipeline for this year?

Ashok Atluri : We just said that it will start from the third quarter and fourth quarter we will get the bulk of the

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orders. So that will keep us on track for the growth that we have spoken about in the past meetings.

Dipen Vakil : Got it Sir. So this year, our guidance remains intact for about 900 Crores of revenue and for following years. So you had also mentioned that you have a target of close to around 2000 Crores revenue in next two to three years. So that also remains intact.

Ashok Atluri : Yes, that is right. So we have been talking about average CAGR of about 50%. So, I think that should get us to 2000 Crores in about two years' time.

Dipen Vakil : Sir, lastly on the bit of an exclamation part of it. Sir how do you get orders for training and simulator? I mean do government places the orders or is it included in the platform that government places orders with the respective agencies? So, how are the budgetary allocation happen for training and simulators?

Ashok Atluri : So typically what the government has been doing till now is they already have the systems and they are buying training simulators for them. So that is happening as a special allocation and they also issued a framework for simulators mandating the transition to simulator training.

So based on that the conventional training is being discontinued where we see that they actually use the actual weapon, there is wear and tear, actual ammo is being fired, ammunition is being fired. So all these things are actually kind of pushing the government to get away from conventional training to simulator training and there have been policy initiatives in that direction and recently TERI did a report in which it is clearly mentioned the positive impact of using simulators over conventional training where ammunition and actual equipment is used and in a staggering statistic, they said if you spend as much as 30 Crores on simulators over a period of next 30 years for a particular weapon platform, the savings can be as much as 380 Crores. So that is a 12x or a 13x kind of a saving. So it is a no brainer. Till now, it was like you want to do just for modernization but now we can see that the savings are good. Forget the carbon footprint, just the ammunition; the logistic saving that is happening is phenomenal. So yes, the government is really, really going towards simulator procurement and in a recent video the just retired Chief of Army Staff, General Manoj Pandey was asked this question that how fast are the simulators being inducted, so his response was it is being inducted and it has just started. So, whatever we have got the orders are just fraction of the total demand and we feel that based on the statement by the Chief of Army Staff I think it is going to be very very huge.

Dipen Vakil : Got it Sir. Got it. Thank you so much for answering my questions and all the best.

Moderator : Thank you. We will take a next question from Hiral Nandu from Kalpvruksh Capital. Please go ahead.

Hiral Nandu :

Congratulations for the great set of numbers. And today's call was very exciting to see you showing product live on the call. So that was a very unique experience we faced. So thank you for that. Just one question. My couple of questions got already answered earlier, but one question that when we estimate 900 Crores for the current year, do we expect any additional revenue for these four products, new product or that will come in next financial year onwards?

Ashok Atluri : It will start in the next financial year at the earliest actually. By the way we have something, it is being sold as part of the anti-drone system.

So, one system we have sold, but we think major sales will happen in the next year onwards.

Hiral Nandu : Okay. So that 2000 Crores milestone what we have thought for next two years down the line does

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that include this revenue from these four products or that will be additional?

Ashok Atluri : No, it does not include that. This was not there in the reckoning then, so we will have to add this separately.

Hiral Nandu : Okay, great. So, hoping for a next revised growth target from your end in next couple of quarters.

Ashok Atluri : Let us see. Let us hope for the best.

Hiral Nandu : All the best and thank you.

Moderator : Thank you. Our next question is from the line of Harshit Kapadia from Elara Capital, please go ahead.

Harshit Kapadia : First of all congratulations for a very strong performance in this quarter. Just a few questions, on the simulation side, I understand you have a very strong market share on the army side and you are looking to enter into the other services as well. So have you made any inroads into that? So we understand in the simulation side, we have a very strong market share on the army side. We have been there for more than three decades and we are now trying to enter into Air Force and Navy. As in, do we have a product ready? Right now doing an R&D on that? And what kind of size it could be like we have 10,000 Crores for simulation market majorly for army, anything for Air Force and maybe if you can give colour to?

Ashok Atluri : So Harshit, you are absolutely right in that, Army we have a dominant market share. With respect to Navy and Air Force, they are our customers. We have sold them various other simulators, the simulators that are used by the army and we have a very good relationship with them. And in addition, Air Force, we have also sold anti-drone systems and they are actually seeing the product grow in front of their eyes and meeting extraordinarily demanding requirements.

Air Force, as a customer actually believes in Zen very much and then they floated, they categorized the anti-drone system as IDDM product. IDDM means it is indigenously designed, developed and manufactured by Indian company. Till then they were not willing to classify the IDDM product. Once something becomes IDDM, then you have to go and buy from Indian IP owned company only and there are two companies in that space, which is Zen and BEL. There are no other companies in that space to best of my knowledge. So to your question, we have the customers, we know the customers, but we have not done specific products for them like a flight simulator or a bridge simulator. So that is one area that we are focused on and we are doing some R&D and we are looking at collaborations in that space. So we expect that will be definitely happening in the next couple of next few quarters definitely.

Harshit Kapadia : Okay, great to hear any size if you have already done your study if you can share something that this could be the opportunity size for us that we can enter and right now it is all imported right?

My sense is right.

Ashok Atluri : Majority of them is imported and very little is done by India, especially Air Force, everything is imported but I think there are some players who are coming into this field and I would not be surprised that if

there are some Indian players also. But with respect to the size again, I would be just hazarding a guess especially for the Air Force it runs into thousands of Crores and Navy also it is a huge market coming up especially because of the demand, the threats that are being faced in the ocean, especially naval ships. So I think there is a huge, huge demand for both the air force and the navy simulators also.

Harshit Kapadia : Understood Sir. The second question is, there has been a thought that every product which is

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developed by our armed forces also needs to have a simulator when they are delivering it. Is it a correct understanding that going forward any new product which is developed by the armed forces a simulator will be a must thing and which will give a tie up. So you have to probably tie

up with let us say the OEM and then also be part of the simulation and then you will deliver your simulator. Is that a correct understanding?

Ashok Atluri : I think that is a fair understanding that in some of the products they are asking that it should be supplied along with the simulator, but not in all the cases, but most of the cases, but I think it will progressively move towards simulator. So, they may ask the same. Again, what we see is that OEMs are extraordinarily good at making the product and they always partner with somebody else to do the simulator. And because of the complexity involved in not only making of the simulator, simulator is not just a mechanical, but there is lot of software mechanical and electronics in it and even if your product works it really does not matter because what will happen is your product has to work for 10 years. That mean to say if I supply the system today somebody may say listen I can make the product, even if you make then what happens. We have seen that in multiple cases where some competition accidentally wins a product then what happens is that they do not sustain in that market. Why do not they sustain? Because the product that they have supplied has to be maintained for next 10 to 15 years depending on the life of the product. Typically, because these are electronic products, after three years the display fails. And when the display fails, they send us, they say okay change the graphics card when we change the graphics card, the graphics does not fit the motherboard and when we change the motherboard the old operating system does not work, they say upgrade the Windows operating system. We upgrade the Windows operating, then our app does not work on that so we have to rewrite the app, so the people who are bidding they should know that the team that has developed this three years, five years back, should be able to rewrite the code for the new operating system, even after five years. So, this is typically a very, very specialized job. Especially in the overseas market, they say, boss, do you have a track record for maintaining this 10 years? So, this is a very specialized market and the experienced buyers like to go with experienced simulator manufacturers. To your question, yes, we are also tying up with OEMs as we speak to deliver whenever they are being asked to deliver a simulator along with that even for export market, we are doing the tie-up. So yes, that is another thing that we are fully focused on.

Harshit Kapadia : Nicely explained by you, Sir. Similarly, if you can also help me understanding the counter-drone system, what is the edge where Zen has over other players? This is a place where a lot of competition is entering. So what is Zen's edge over the others?

Ashok Atluri : Last year when these tenders were floated, the government is again very, very focused but more than buying Indian is, buying Indian with indigenous IP ownership. So when you talk about indigenous ownership of IP. This was actually when the tender came for one of the things. The questions came from other guys. There are a lot of people who

came for that pre-bid meeting and

the question was asked by them, what do you mean by IP? I will say that I own the IP, I may collaborate with someone and say, then they very specifically mentioned, listen we are going to go through your software, compile it, we are going to test it for various things. For example, we will ask you to identify and track a drone and will fly the drone on a particular frequency and then we will say okay now rewrite the code so that it is not identified. It is a friendly drone, do not show it on the thing and then we will check your PCB Gerber file. We will see your mechanical drawings both the CAD drawings and the exploded solid works drawings. So when

all this came we had only two people who actually came for the trial. There were some 12 people initially, more than 12 actually. They said this is the way we are going to do. They said okay then only two people came. So two organizations participated in that. So the point here is that nobody has done the required R&D to develop their own indigenous system. And again, what we are saying is, when we recently went to EUROSATORY and saw what are the things being offered

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by others. They are pathetically underprepared for actual kind of counter drone operations. So, we think we are definitely at the top of the ring in this and this indigenous completely. The key components of any anti-drone systems are the following, the detector, which detects and the radar, which again will be helping in the detection, then the camera, and then the radar, and then the command and control system. Now, we are one of the few companies that own all the IP in all these five of them. Thanks to the recent acquisition, UTS did the actual major part of that, which is the anti-drone system, jammer, detector, radar, and the command and control system, now the camera was not available, the camera also will. Now with this remote control for the hard kill, we needed something near the remote control weapon station that is also developed. We developed it was very high, 250 kilos. Now we have reduced it to 40 kilos. Actually, a man can actually carry it, use it along with anti-drone system or by itself it can be used again multiple option. So we think that in counter drone we are really, really far ahead in the thing but again we will let us wait for more tenders to come and we will see if there are any surprises.

Harshit Kapadia : Understood Sir, fair enough. And just continuing on the QIP that you proposed whatever the amount that you raised will this be used for acquisition, will it be used only in simulation or counter, can you give us some colour what is it that you will be wanting the use of this funds

towards.

Ashok Atluri : It may be premature to do that, but again primarily the part of it may be used in acquisitions and we are also looking the kind of scaling that is happening with sales also, we may require some for the working capital also and again we are looking at doing some high, high level the R&D for simulators and anti-drone systems. So these will be the major headings but let us cross the bridge when it comes.

Harshit Kapadia : Fine Sir wishing you all the best for all your targets. Thank you, Sir.

Moderator : Thank you. Our next question is from the line of Ashish Soni from Family Office. Please go ahead.

Ashish Soni : You recently did a press release for some of the products, right? I think I will just read that. The Hawkeye anti-drone system.

Ashok Atluri : Ashish I know. please go ahead.

Ashish Soni : Does it improve our market size in any way? And do you see any potential revenue coming in this year or next year for this?

Ashok Atluri : Already one of the products we already sold along with our anti-drone system, but we do think that next year onwards there will be incremental contribution to our sales through these products.

Ashish Soni : Okay, but market size wise does it like im

prove the micro site or is like subset of whatever market size you already had?

Ashok Atluri : Of course we are going deeper with our product. For example, this product can be integrated with the anti-drone systems, but there is the additional revenue stream that is being generated with these sites and remote control weapon station, the dog etc. So it will be additional income for us. And I think as to your question can you estimate the size of the market, we do not have the exact figures, we are doing some R&D on that as it becomes clearer we will definitely share the market size also, but it runs into thousands of Crores.

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Ashish Soni : Okay and regarding order book any specific reason it is coming only in Q3, Q4 because of tenders or something else?

Ashok Atluri : We have been saying from the beginning, in fact Q3 of the last year itself, we have started saying that next year the orders will be predominantly in the Q3 and Q4. In fact, they will be very heavy in the Q4, starting in Q3 is what our expectation is. Typically, this will be the regular way of getting the orders. Last year there was some emergency procurement, so we got orders little scattered across various quarters but the regular way of orders is typically based on the fourth quarter.

Ashish Soni : Any ramp up in exports you are seeing? Because I have been hearing that it will go up substantially sort of thing from few quarters. So any indications on that export market?

Ashok Atluri : I mean, we are really talking to some big, big customers and we are getting a lot of support from the Indian government. So something happens it will be very big but in the meantime we do expect some smaller orders to come, but let us cross our fingers and wait for a couple of quarters. I think you will hear some very good news in that.

Ashish Soni : Okay Sir thanks and all the best.

Moderator : Thank you. Our next question is from the line of Raj Mohan Vaikundaraman Please go ahead, Sir.

Raj Mohan : Thank you for the opportunity and congratulations on the phenomenal results. Also, thank you for a uniquely explosive presentation at the start, which is quite unique because in none of the calls do we have this kind of a direct presentation that happens on the products. My questions are largely related to the order book. On order book, you had indicated to around 1200 to 1300 Crores of order inflow by the third and fourth quarter this was in the previous earnings call. On completing one quarter after you indicated to this target, is our clarity stronger on we attaining to the target of that 1200 to 1300 Crores?

Ashok Atluri : Yeah it is. We are on track with that. With our ear to the ground and our interaction with the customer, this looks absolutely in target and on time kind of inflow that we are expecting.

Raj Mohan : Okay as a continuation to that and my more important question, based on the huge demand for simulators as well as anti-drone, would it be fair to expect our year-on-year growth in order book for the next three to five years to resemble a linear trajectory of say 300 or 400 Crores incremental or the previous order inflow of the previous year or is there an inflection angle and order inflow could have a J curve as you indicated to in your opening remarks to explosion and demand. So broadly some guidance on order inflow over the next three years on an approximate basis because basically this year you have guided us to 900 Crores. Next year 50% will be 1350 Crores. So based on the orders that come in this year of 1200-1300 Crores additional, we would have leftover orders of about 350 Crores. So then to achieve from 1350 Crores of sales in FY2026 to 2000 Crores, we need a huge order inflow. So will there be an inflection angle and based on the existing trends that are happening with in the company as well as in the ecosystem as

such, do we see an inflection in order book by say FY2026?

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hok Atluri : Very frankly, I think that there are going to be really some pleasant black swans on positive events for us. And while this linear projection of 50% CAGR is something that we feel reasonably confident about but with ears to the ground, I think somehow Indian defence market is completely on a different trajectory where government which has been buying forever from outside from foreign markets suddenly realized that there is so much of skill set internally available that we need to do that. That is one thing and the second thing is that at the export

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markets when we are going and talking to customers they are flabbergasted at the skill sets that we have. For example, I do not know whether I mentioned before last November there was ITSEC, stimulation defence exhibition in Orlando, that is the world's largest simulation exhibition.

We went there and we had a stall there. Because there the army comes and actually pleads with the customer, pleads with the people who have stalls, can you develop this for us, can you develop this for us, this is what we have in future in for our requirement. One of the requirements what they were talking was a containerized tank simulator. Their question was can you develop a containerized tank simulator for us because that is there in our next five-year budget. So Mr. Kishore who was there with the thing, in a container you want to fit it. He said, we want to transport it and wherever the troops move, we want to train them. Because tank simulators are so big, they are always stationed and routed to the ground. So then Kishore connected to the simulator center and he actually showed the tank simulator in a container and he said the Indian Armed Forces are using them for more than a decade. So they were flabbergasted. They said, listen, this is exactly what we want and wanted to develop. And the second point they were flabbergasted about was about they said, what is the time now in India? We said it is around 2 am. And he said, your team is still working at 2 am. So our team actually works 24 by 7. If there is a requirement that is the greatness of our team. So they were actually kind of really, really shocked that they were talking about something which we have developed a long time back ago. And second thing was the reassurance, they were kind of flabbergasted that somebody can work at 2 am just to show demonstrations. So I think in the export market also we are really, really big in that. So again, to come to your point, we do expect some pleasant surprises, but very frankly are not able to put a thing, but you get a feel about that with your ear to the ground.

Raj Mohan : Thank you very much Sir and I think we need to salute you with a thanks for all the efforts you are taking and thank you very much and best wishes.

Moderator : Thank you. We will move to our next participant that is Sanjay K an individual investor. Please unmute your microphone and ask your question.

Sanjay K : Mr. Atluri congratulations on great set of numbers and really impressive demonstration there. Sir my question is about you have guided about 900 Crores revenue for this financial year. In Q1 we already crossed 250 plus and Q4 is generally a stronger quarter so are we saying that Q2 and Q3 is going to be smaller than Q1 to cross 900 Crores?

Ashok Atluri : Sanjay, do not get into the quarterly guessing game. Just stick to the yearly projection only please. I am telling you will be very unhappy investor. I know a lot of investors who have jumped out of Zen because one quarter went here and there. Even though I am very positive about the next few quarters but what I am saying is, just look at the macro picture in this case and do not try to be extra. I know you are trying to be microscopically intelligent, but this has really not served our investors at all. So all the investors that are there in Zen are there because they really believe that Zen

is a big story. They develop the IP, they own the IP, and they are playing a big role in India's indigenization efforts I mean I do not want to sound very arrogant or anything like that. Very frankly, we do not play the quarterly games and we do not know how to play it also. We will just report good or bad to you as it is. Again we are saying two things that yearly revenue will be about 900 Crores and we are expecting a PAT of 25 % on that. So we stick to that but I will not try to say that you are right or wrong about your predictions.

Sanjay K : Sure I understand. I just want to get the idea because I was expecting definitely that you will revise it definitely more than 1000 Crores, but yes it may take some time as you have more clarity on the business maybe in next quarter or so.

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Ashok Atluri : Last time we predicted 450 and we reached only 430 Crores be careful about that, mindful of that.

Sanjay K : Definitely and in the presentation is mentioned about AMC of 261 Crores and export revenue of 437 Crores remains to be consumed. So, all this revenue, I mean how much of AMC will be

consumed for this financial year or it will go in to next financial year as well?

Ashok Atluri : So typically you can divide little more than five perhaps and 40 to 50 Crores is recognized during the year and I think exports most of the order may be executed. I think the whole of the export may be executed during the year.

Sanjay K : Yes, that is great and my last question is about Goa facility, the work is already started when is the facility going to be functional?

Ashok Atluri : So it is still in the blueprint stage. We are just designing the buildings etc., and that will take some time. In fact, the access roads still have to be made by the government. So we are just requesting them to ease in the work so that we can start our work as soon as possible.

Sanjay K : Thank you very much and wishing you all the best.

Moderator : Thank you. We will take the next question from Mr. V. Aditya Ravindran from Sowilo Investment Managers. Please go ahead.

Aditya Ravindran : I mean I had a good look at the products, but on a components level like how much of this is indigenized and how much of this is imported? Because I am just trying to understand how susceptible you are to see any supply chain shocks and if say relationships sour between the countries from where you are importing, especially something like as niche as your camera modules, the lenses and things like that.

Ashok Atluri : Again what I can say very broadly is that most of the software, the components, even in our simulator, when we look at the hardware part of it, most of the hardware would be like, a motherboard or a graphics card, this is mostly commercial off the shelf available. So they are not very, very technical or something like that but the software that is developed over there that is what adds value to the product. So similarly we think that the software element, the AI part of recognizing objects, tracking them, moving it, the engine design, the way it moves, the design to make it so lightweight. So that is the IP that we own but again to your question if Taiwan is taken over by China, will it impact us? It will definitely impact us. I mean, it will impact us significantly even though actually as we speak, we are trying to get a little away from at least developing alternate designs, where suppose Taiwan is taken over so as of now, we are still struggling with that solution but the point is if the TSMC, Taiwan Semiconductor Manufacturing Company is taken over it stops working, what will happen? We think the most of the world system will come to a standstill, but still we are trying to find some alternate solutions to that. But again, we will always try to maintain the bill of material as very minimal at a minimal level and the IP content, the software content will be significant for us.

Aditya Ravindran : I

mean I am just asking this as a follow on because how vulnerable you will be to any malicious factors for example would it be easy for somebody to track your supply chain and then say with some malicious intent cause, I mean let us say some kind of back door entry, which we would say in a real war like scenario render the product useless how vulnerable are we to that.

Ashok Atluri : One thing is that the systems that we are supplying, some component is not available. This has exactly happened to us during COVID with the product that we design some component disappeared from the market for whatever reason. So if the people who were paying very high

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premium so whatever could be manufactured, if high margins were manufactured low margins item disappeared from the market. So, what happened was we came back to the drawing board and we redesigned the boards with the available things because we bought something for testing, will this work? It worked. And when we went to manufacturing, the thing that we had tested with, disappeared again. So we had to go back to this drawing board two or three times actually. Because the software, the heart of the system is with us, we are able to rewrite the software to accommodate disappearance of any component. So to your question whether a bad factor can actually, I do not know what you have in mind but if he stops something or he does something again we can rewrite the software and do it.

We do not think that we are dependent on any one vendor in such a way that they can really harm us in our ability to supply and again when we supply our goods, the Indian Army is the world's toughest army by the way. The Indian Army you just cannot supply something which is one rank lower than acceptable limits. This is the reason why we are able to sell abroad also. The first question they ask is have you sold to the Indian Army? We say yes, they say okay fine, let us procure then. I hope I have answered your question Aditya.

Aditya Ravindran : I mean partly you answered.

The part which I was looking about is not just procurement, it is also like, say suppose you get a system which is tampered with, it may work fine, but then because of the presence of a backdoor, eventually in a war-like scenario, they can render it useless. From that point of view, are there any safeguards you adopt to ensure that in a real world scenario, you are safeguarded like you have a fence and there is no scope for that.

Ashok Atluri : Suppose you want to activate a malware, you should be connected to the internet or something like that. That is what my understanding is so typically they are completely air gap in these

systems, they do not have connection to the internet or anything and even if they have internet connection, even if they are part of a network those networks are not connected to the internet so they are completely irrelevant. I do not understand how they will be activated but this would be a thing but to your question we do enough input, output checking, all kind of tests we put to ensure that there is no malware and but to your question is there any remote possibility, I do not think there is any remote possibility given the kind of tests we go through and by the way also remember the Indian Army also tests at the component level to see if there is any malware in the software. They have extremely smart people working with them so these things I think even if it slips by us I think even at the army level these will be filtered and they will be caught. So, I think we are on a safe wicket in this area.

Aditya Ravindran : Thanks.

Moderator: Thank you. Ladies and gentlemen, we take that as a last question for today. For any other unanswered questions, please reach out to the investor relations team of Zen Technologies. I now hand over to the management for their closing comments. Over to you Sir.

Ashok Atluri : Thank you so much, participants. I really

appreciate extremely intelligent set of questions.

Always a pleasure to interact with the current and the prospective shareholders of Zen Technologies and again I am fully available please reach out to our IR team, ask any questions and they will be answered. We would be more than happy to answer. I am very sure there are so many people on the line and Abhishek next time onward we should do a 90-minute call boss.

Moderator : Thank you. Ladies and gentlemen on behalf of Zen Technologies Limited that concludes today's conference. Thank you for joining us and you may click on the leave icon to exit the meeting.

Thank you for your participation.

Call: Nov 2024

November 12, 2024

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Dear Sir/Madam,

Sub: Transcript of the Conference Call held on November 08, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the Conference Call held on November 08 , 2024 , to discuss the Q 2 FY2025 performance of the Company .

This is for your kind information and records.

Thanking you

Yours faithfully,
For Zen Technologies Limited

Sourav Dhar
Company Secretary & Compliance Officer

Encl: as above

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“Zen Technologies Limited
Q2 FY20 25 Earnings Conference Call ”

November 08, 2024

Management: Mr. Ashok Atluri – Chairman and Managing Director –
Zen Technologies Limited
Mr. Afzal Malkani – Chief Financial Officer – Zen
Technologies Limited
Mrs. Shilpa Choudari – Whole Time Director – Zen
Technologies Limited

Analyst : Mr. Abhishek Mehra – TIL Advisors Private Limited
Ms. Teena Virmani – Motilal Oswal

Zen Technologies Limited
November 08, 2024

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Moderator : Ladies and gentlemen, good day and a warm welcome to Zen Technologies Limited Q2 FY2025 Earnings Conference Call. Please note all participant 's lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. I

now hand over the conference to Abhishek Mehra, TIL Advisors Private Limited and over to you.

Abhishek Mehra : Welcome everyone and thank you for joining this Q2 and H1 FY2025 Earnings Call of Zen Technologies Limited. The results and investor updates have been e-mailed to you and are also available on the stock exchanges. In case anyone does not have a copy of the same, please do write to us and we would be happy to send it over to you. Today, we will start the call with a brief overview of the performance which would be then followed by the Q&A session. As a disclaimer, I would like to remind you that everything said in this call reflecting any outlook for the future, which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainty that the company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports, with that said I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you Teena.

Teena Virmani : We welcome the management team of Zen Technologies for Q2 FY2025 results call. We have with us Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani, CFO, and Ms. Shilpa. Over to you , for your opening remarks and after that we will open the floor for questions and answers.

Ashok Atluri : Good afternoon evening fellow shareholders , great to connect with you on this earnings call. I will not talk much about the earnings. I have tried to describe because all the presentation is shared with you and any Q&A with regard to that or any questions you have please ask me and we will try to answer them to your satisfaction. Beside the earnings , we continue our efforts to maintain our leadership position in training and stimulation and we continue to invest to develop more products and improve existing products. The demand for these products continues to grow and there is a very large market for this segment and especially as we have told that because of the Ukraine - Russia war which hopefully will end now , people have discovered that it is training which is more important. It is the man not the machine that matters in a war so we are trying to protect that leadership position as Peter Lynch famously said "do not pull the flowers and water the weeds ," so we are trying to preserve what we have and continue to maintain that leadership and ensure that this leadership continues. As we look into the future , we are also looking these capabilities to get into Navy and Air Force and in Zen Technologies Limited
November 08, 2024

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these two segments we want to get in both organically and through acquisitions and so this are the two areas that we are expand into in terms of market. Now, again, we have seen some gross margin drop and we feel that it is mainly due to the evolving nature of the new products that are coming in. As we speak, threats are evolving so we are requiring the customers asking changes and we are accommodating those changes and very, very important for us to do and take the short-term hit because we need to ensure that the product is absolutely world class at this point in time and we cannot have any compromise in this.

We have been spending a lot of money on the R&D for the customer deliveries and we see that the product that we exhibited in 2021 was the product now actually two generations ahead. The recent market survey tells that we are absolutely in one of the top anti-drone systems

currently. Again, both these margins are impacted both by the geography and the product mix and both have contributed to that but again because of the operating leverage, what our earlier promise has been that we will have 35% of EBITDA and 25% of PAT, we strive to maintain those margins. Again, when we look at the anti-drone systems, our acquisition with AI Turing is playing out very well. AI Turing, the remote control weapon station is really becoming a very sought-after equipment in various armies . What we have estimated is both the AI Turing, the remote control weapon station and surveillance system have a market of about a billion dollars in India and outside India , it is much much larger market and we are very , very extremely excited about the products in the coming future. Again, I want to go to export very quickly and what we see is that the current focus markets have been basically Middle East, Africa and CIS countries. We have had a presence in US, but not very active presence in the sense that we are not really done any sales from there, even though we were very hopeful of the sales. But now we see dramatic change is happening there and we are planning to double down on our US investment and especially for the North American and South American markets. We think large countries like Argentina even smaller countries like El Salvador are very, very actively looking at solutions which are very, very modern and we are looking to penetrate into those markets. Mr. Donald Trump 's win is a good news for Zen because now we think

that the Make in America will become a big thing there and as usual Mr. Trump actually pushes for sales of his own country's products. Again, coming back to the fact that we have raised through a QIP Rs.1000 Crores it was subscribed more than five times , part of the proceeds we intend to deploy for acquisitions and we have in view both Indian and overseas targets. A typical size we are looking at is between Rs.100 to 300 Crores . Again typical size will not restrict us going after larger acquisition if they make strategic sense , we will go after the larger acquisitions also. By the way, we are Zen Technologies Limited
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very conscious about the failure rate of such acquisitions. As Harvard Business Review pointed out as high as 90% and every acquirer thinks that they are an exception and their acquisition will go , but in my defense, I can say only one thing that I am not an MBA and I am not an MBA from Harvard so that should be a risk to a large extent , so I will be unfettered by any case studies we are looking at. We will be looking at actual value of these businesses for Zen and we will always keep in mind that the hard-earned money for the shareholder is what we are betting. I should always keep in mind that, if we do a bad decision, it is the promoters who suffer the most almost all of our net worth is in these shares and if we make a bad decision, we are the biggest sufferers in this, so that should kind of assure you that we will not do any misadventure with the money that we have.

Again, coming to the order book position, with the order stand executed, but the order inflow has been slow but I have been telling from the beginning of the year that the order inflow will start towards the third end quarter and end of third quarter and the major orders will come in the fourth quarter. Even though the order pipeline is almost Rs.3500 Crores , we expect about Rs.1,200 Crores to come in by the end of this financial year, which we will be able to execute in the next year , so with this brief introduction, I will open the field for question -and-answer sessions, and I look forward to answering them to your satisfaction.

Moderator: Ladies and gentlemen, we will now begin with question -and-answer session. Anyone who wishes to ask a question may click on the raise hand icon at the

bottom of your

screen. We request participants to restrict their question to two and then return to the queue for more questions. To rejoin the queue, you may click the raise hand icon again. Now , we will take our first question from Mr. Akshay, CD Integrated Services Limited. Please unmute your mic and proceed with your question.

Akshay : Congratulations on the very good set of numbers. I mainly have two questions. The first question is we have been guiding for Rs.900 Crores revenue in FY 2025 and we have already done around Rs.500 Crores in the first half so even if we do the same amount of revenue in half two then we will cross easily to Rs.1000 Crores , so any change in the FY 2025 revenue guidance? The follow up question on that would be what is our FY 2026? Can you give some colour on how our performance will be in FY2026 over FY2025? That is my first question,

Ashok Atluri : The first question was when we have already done Rs.500 Crores , should not we do at least as much in the second half and cross Rs.1000 Crores ? Again, last year when we projected Rs.450 Crores , we fell short by Rs. 20 Crores and we achieved only Rs.430 Crores
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Crores . This time we have been cautious and we have set a target of Rs.900 Crores and we hope to cross Rs.900 Crores , but by how much, let us wait and see. Again , it is not that more execution will happen in the second half ; it is not like that. These are all orders that we have. And typically what we do is, in Zen, we try to execute orders as fast as possible. We do not try to smoothen the curve or anything like that because money today is much more worth than money tomorrow , so the execution will happen as soon as we can. With respect to the FY2026 projection, we have said that we will have an average CAGR of 50% over the next three years and we are confident, given the huge order pipeline that we have, that we will be able to achieve the 50% average CAGR over the next three years, based on the 2025 figure.

Akshay : My second question is about the order book. We did not get any order in Q2 , so how should we look our order book in the second half of FY 2025 and then in FY 2026? Can you give us a split between our expected anti-drone system and our simulation system order book split in future? Also, can you please give some colour on the EBITDA margin front as to split between anti -drone system and the simulation system?

Ashok Atluri : As I indicated just now that we are expecting the order towards the end of the third quarter and in the fourth quarter the orders will start coming in and we are expecting about Rs.100 Crores worth of orders to come in and with the existing, almost Rs.300 Crores of pending orders, we should be able to achieve the target that we are aiming at. With regard to EBITDA margin, I would say that, on a consolidated basis, we have about 35% and you also asked for the order book split between simulators and the future order book position. We will not be able to exactly predict that at this point in time, but again, we expect a 40 -60 split to be there . Last year it was there and maybe probably that will continue in this year also.

Akshay : Okay thank you for the answers. And last one short question is what is your long -term view like how we should see Zen Technology in the coming 5 to 10 years? Can you give some color on the long -term views and what type of products and solutions we are providing to the military systems?

Ashok Atluri : Long -term view is we basically want to get into various other simulation segment , training and simulation like Navy and Air Force and become a leading player as we are in the Army and second is globally we want to become a one -stop solution for all anti-drone solutions. Everybody should prefer coming to Zen. So these two are the target that we have for the next five years and opport

unistically, we will probably diversify and go into something else, but this is the main target that we have.

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Akshay : Thank you so much and all the best for the future.

Moderator : Our next speaker is Mr. Dipen Vakil from Philips Capital. Please, unmute your mic and ask your question.

Dipen Vakil : Thank you for the opportunity and congratulations on a great execution. My first question is in your opening remarks, you mentioned that right now you are present in the US market but not very active and you are looking for growth coming in or rather you are planning on expanding in that geography , so can you expand a little bit more as to what areas you are seeing opportunities in America? Are you planning to set up a manufacturing facility over there or just a plain exports from here to US?

Ashok Atluri : What we think is that there is going to be a lot of changes in the US market and a lot of bureaucracy will be removed. Whenever , we do a huge layoff, we call it Twitter ed, so Elon Musk is expected to Twitter the bureaucracy in US and this we think that will help not only the established players the big brands , but also new companies to make a big entry into the thing. With this of course the manufacturing for the product that we are supplying to US has to be in the US , so this will involve setting up of manufacturing facility also, at least therefore to qualify as a Make in America it has to be 51% and we want to be true to the spirit and do the 51% manufacturing there. We think that the products that we have are absolutely world class. They are the best in the world. We believe in that as a training simulator and antidote systems , so this is a great opportunity to go and offer our solutions to America and through America to the rest of the countries in North and South America.

Dipen Vakil : Got it and another question, you mentioned that your order pipeline right now is Rs.3,500 Crores and of which you expect Rs.100 Crores of orders in this year. Is it possible to give some more details as to which areas are these orders expected from and what kind of long -term orders are there in the pipeline also?

Ashok Atluri : I really do not want to, because there are certain orders which are single vendor, certain orders which we are competing in, and I really do not want to disclose it because it will not be in the interest of the company to do that , but yes, the order size, we expect the order pipeline to explode as we speak from 3500 to multiple times of that. Again, this is a combination of simulators and anti -drone systems, but it will be heavily biased towards simulators at this point in time , but this is the overall picture, but I really do not want to give the finer split in terms of products where which products we are going to get.

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Dipen Vakil : Got it , so right now we are just catering largely to the requirements of Army and now we are planning to expand towards Navy and Air Force, so, is that the right understanding?

Ashok Atluri : Yes, absolutely, in terms of training and simulators, yes, we would want to do that yes.

Dipen Vakil : Got it and any major R&D which has happened in this quarter apart from what you

mentioned in last quarter?

Ashok Atluri : We keep doing the R&D and what we typically do is only when the product is realized and the customer kind of sees and says, listen this has a lot of market and we want to buy it . In fact, if you look at our track record, we have a lot of failed products that we have done R&D, but then we have not taken it to the market , so, it is premature to talk about R&D products as such. But one thing I can tell you is these are all asymmetric bets in the sense that we invest a very little money if it fails we do not feel the pain but if it succeeds it

gives you enormous revenues , so yes we are doing a lot of it and basically we are IP company R&D based company so we are doing a lot of products at this point in time and we think some of them are really really path -breaking but again till we actually develop it fully and unveil it to the customers confidentially, and then they say yes, this is the product, we will not be able to share the detail with you.

Dipen Vakil : Got it. Just last small question , which is the area where you are seeing the growth potential exploding between, say, training simulation, ADS, and some of your new AI-enabled products that you are catering to or right now you are developing , so which is the area where you think is the most growth potential right now?

Ashok Atluri : In terms of short -term pain everybody is feeling the pain of the drone attacks. The drones are becoming very, very severe problem. Drones with the AI -enabled remote control weapon stations and surveillance system is the complete solution that they are looking forward. These are going to have a very, very big market in the immediate term. Those will be the larger orders , but again, people who are really long -term oriented building capabilities so that they can sustain any war over a long period of time would require training and simulation as the go -to solution. Both the things are required for right thinking armed forces and depending on what is the urgency, if they think there is a war coming, they would probably invest in anti -drone systems.

Otherwise, training and simulation again, it is a very, very large market.

Dipen Vakil : We got it. Thank you so much for your time and all the best for second half.

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Moderator : Our next speaker is Mr. Raja Mohan. Please unmute your mic and ask your question.

Raja Mohan : Good afternoon. Thank you for the opportunity and congratulations on another great quarter. On the US front, you have been indicating in the course of this call that maintaining the principle of this 51% manufacturing is something you are going to be very particular about in respect to their rules. You also indicated previously our products are cutting -edge worldwide , so does that make it easy for our manufacturing entry in a big way under the new administration of Mr. Trump?

Ashok Atluri : What we are betting is that the new administration would be buying the best products and they will not be worried about whether it is the way the big prime or they do not care. See this merit -based acquisition starts happening we stand a very good chance . In an exhibition last year when we were in ITSEC in Orlando that is world 's large st...

Moderator : We request you to reconnect and please rejoin the queue. Till that time, we will take the next speaker. Our next speaker is Mr. Amit Dixit from ICICI Securities. Please unmute your mic and ask your question.

Amit Dixit : Good evening and t hanks for the opportunity ; just a couple of questions. The first one is that there are two or rather four very interesting products we introduced. Two among them are Prahasta and Barbarik and we have been hearing a lot about them , so just wanted to understand whether they are being sent for testing and a nd if anything further on that front has been done to commercialize these two products.

Ashok Atluri : Prahasta is undergoing more R&D at this point in time to meet the requirements and there is a lot of excitement around it. With respect to Barbarik the army has seen it, they have tested it and they have found it to be very useful. We expect requirements to come up in the next few months and we will be waiting for that. Again , Barbarik requirement will be very huge and we have estimated the complete, I mean, it is not only Barbarik but other remote control weapon stations all put together and, surveillance system put together almost billi

on dollars, more than Rs.80,000 Crores , so

I think the exciting time for these products are surveillance and remote control products or weapon stations.

Amit Dixit : What will be the time to market for Barbarik ?

Ashok Atluri : We expect orders to come in the next year.

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Amit Dixit : Next year, okay. The second question is around your opening remarks again on Navy and Air Force , which you have expected since you are strong in army now and Navy and Air Force , we are seeing many new platforms coming , so is it possible to explain a bit further what kind of platforms you are looking at? Are you looking at specifically new submarines that are coming up? Are you looking at, let us say, in case of Tejas, the new avionics system that has come up. Can you explain a little bit more in detail, what kind of training and simulation systems we are looking at?

Ashok Atluri : Largely it will be ship -based and aircraft -based simulator that we are looking at because we are very good at weapon platforms. The ship along with the weapon stations what will be required because we already have the weapon station capability to just acquire the ship and we have the motion platform for them for both the Air Force and the Navy . It is a generic statement I am trying to make . I do not really want to get into Tejas or anything like that, but it will be largely, these simulators that we will be getting in.

Amit Dixit : Any market size you can give on this?

Ashok Atluri : These are going to be large. Again and we would be expecting at least a couple of billion dollars worth of business in the next two years in this.

Amit Dixit : There will be export opportunities also .

Ashok Atluri : Large export opportunities in these segments, yes. They are going to be very big, yes.

Amit Dixit : Okay great. Thank you so much and all the best.

Moderator : Our next speaker is Mr. CA Amit Kumar, investor. Please, unmute your mic.

Amit Kumar : Thank you for the opportunity and congrats for good set of numbers. So Rs.3500 Crores is a bid pipeline or we are expecting in few months or could you please give some bifurcation of the Rs.3500 Crores ?

Ashok Atluri : It is an order pipeline , so it includes a mix of simulators, training systems and anti -drone systems.

Amit Kumar : Is it submitted or we are expecting to submit?

Ashok Atluri : Out of this , I would say about Rs.2000 Crores are submitted another Rs.15 Crores have to be submitted.

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Amit Kumar : Okay. Could you provide some bifurcation how much is anti -drone how much is for simulators?

Ashok Atluri : I will avoid this at point of time .

Amit Kumar : Okay that is the only question.

Moderator : Our next speaker is Mr. Ashish Soni from Family Office. Please, unmute your mic and ask your question.

Ashish Soni : Regarding US manufacturing how long it will take because you said Make in America . If at all you have to set up the approval policy from Trump administration so how long it will take us for us to set up? Because we do assembling in India technically and you have supplier chain for 85% of our work, right , so what is the timeline or thought process at this stage ?

Ashok Atluri : We are identifying the supply chain there as we speak at this point in time and we would take about eight months or so to identify and set for any production or orders that we get. Again we expect the orders to come not in the next financial, they may just start in the next financial year, but probably FY2027 is what we expect large orders to come from there.

Ashish Soni : Will it cater only to US market or Argentina, El Salvador also it will be catering from US.

Ashok Atluri : The whole of America's, the North and South America s.

Ashish Soni : From Make in America theme you are saying.

Ashok Atluri : Even from

there it is also easy to tackle the other NATO countries like Europe, most European countries , so, it will become a hub for these NATO countries and North and South America.

Ashish Soni : Okay. Regarding this Navy and Air Force order, any time line you are looking which financial year they can start?

Ashok Atluri : We are looking at acquisitions in this regard and we are looking at organic opportunities also and we think orders may be coming in the next year . Definitely by next year we will start getting orders in this regard.

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Ashish Soni : Okay , thank you and all the best.

Moderator : Next speaker is Mr. Rudresh Kalyani. Please , proceed with your question.

Rudresh Kalyani : Good evening. In India, we are outsourcing everything and we do just IP and when it comes to America, we are diverting from the strategy. Is it just a policy direction , which is forcing you to divert that strategy or what is that?

Ashok Atluri : Rudresh thanks for the question. What Rudresh is asking is in India as a scaling up strategy what we have done is we have outsourced almost 85% of our manufacturing to the supply chain that we have and we do the final integration and testing and final assembly , software integration and dispatch and post -services we do. Are we going to have a different strategy in US? No, Rudresh, we are going to have the same strategy. What we are doing is we are identifying the supply chain with the same capabilities in US and they are available by the way there are a lot of SMEs, very , very competent SMEs in US too and with the focus by the new president on complete domestic manufacturing, it is only going to be ramped up those capabilities , so we will do the same principle . We will try to get it manufactured with the existing supply chain there and then we will integrate; it is going to be the same. There is no different strategy there and here . We will not be able to set up the system and start manufacturing next year itself so we have to identify , test them out and be ready for the orders that we get and execute them.

Rudresh Kalyani : Okay and when it comes to the acquisition of the startup which you talked about so most of the startups which works in this domain will be burning cash , so are you open to those kinds of startups and have an EPS dilution at our concentrated balance sheet or how do you look at the equation ?

Ashok Atluri : What we have seen Rudresh, whenever we look at the company, what we look at is two things. One is extremely competent technical team and the second is they already have developed some considerable IP based on their strengths , so when we acquire the company, we already have some products in mind. These are the products that they are going to do and this is where the market is. What we have seen is typically the startups try to do too many things , so our job as an investor is to guide them and saying, listen, you are doing this 20 projects, but 19 of these projects do not make sense or 18 of these projects do not make sense for these reasons. They do not have a market; they have competition or something, some of the reasons , but this one product has a huge market, huge potential, and very little competition , so why do not we focus on that? This is what we have done in the two acquisitions that we have done and then what happens is Zen Technologies Limited
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they really put all their strength. Basically it is the dispersed light versus the laser that you have completely focused and trying to cut into one market. Again, we put in a lot of money. There is no doubt about that. We do not hesitate to put in a lot of money, but for the specific purpose. We just do not go along and say okay you keep burning the cash as you are going on 20 projects. What happens is invariably there is a good product tha

t comes out of that and we are able to go and offer it to the customer , but to your question, in a way what you are asking is, if there is a big opportunity and there is a EPS dilution in the short term, would you be willing to do that the answer is yes , but we have not seen anything like that but this is what is happening in reality that they are too dispersed . We try to make then concentrate efforts and make best on one or two things so that they can realize and become profitable very soon.

Rudresh Kalyani : Okay thank you and do you foresee any headwinds ?

Ashok Atluri : The world is going to be a little peaceful with the new change in the US Government. I think the wars will come down. But that will give a very good opportunity for people to get trained because now everybody has discovered that training is the most important part and the only way to become unbeatable is by training and becoming very strong. Second is the drone threats are becoming very, very real. They are becoming real by the day and they can do asymmetric damage . The threat of war will come down which may seem like a headwind but we think it is a tailwind because we will be able to sell more training equipment and anti -drone systems.

Rudresh Kalyani : My final question is are we qualified for all the projects, will the qualification criteria lies on the project s order which we have executed as well?

Ashok Atluri : In the sense that whatever RFPs are coming or the tenders are coming are typically they assess the capability of the Indian companies and based on that only they issue the RFP. Based on that we typically get qualified in most of the projects and very rarely

they ask for something which we do not have in those rare cases we may not be bidding for that but typically in the anti-drone space and in the army simulator space, we are there in almost in every bid.

Rudresh Kalyani : I asked that because in most of the EPC projects unless you have executed Rs.500 Crores order they would not allow us to bid for Rs.1000 Crores order so I was asking in that aspect.

Ashok Atluri : In this case what they do is one thing is the company should have 5% of the net worth of the project that is being executed so that means to say today we have Rs.1500 Crores

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of net worth so we can execute almost Rs. 30,000 Crores worth of tenders we can bid for. Second thing is, unlike the EPC projects where the capability has to be demonstrated in the Army thing what they do is they actually ask you to show the product and demonstrate the product and show it is working fully before they place the order on you, so that means to say a company that is participating in the bid has already invested and proven the product. Once you prove the product, it is just replication after that, which is very easy, that is not very difficult. Here it is not 50% of the EPC, but the actual product being tested in a trial, so if you have the product in the trial and you have the 5% net worth capability, then you can go ahead and you win the contract. I hope I have answered your question, Rudresh.

Rudresh Kalyani : Yes you did.

Moderator: Our next speaker is Mr. Raja Mohan. Can you please unmute your mic?

Raja Mohan : Mr. Atluri, the question was answered to a different question about the US front, but here I just generally wanted to understand whether the products that we have always mentioned in the past that global leaders have also looked at our products with awe.

Our products in the US environment under the new administration would be welcomed to set up manufacturing capacities is what you feel, right?

Ashok Atluri : Again it is a good question in the sense Raja Mohan what we have done till now, our simulators are typically more oriented towards what the equipment that we have. Their equipment may be different but we have the edge in the

sense the underlying software

that is there is the same. In the sense, how the tank behaves, the physical appearance may be different, but the algorithms that run the tank are the same, so we can adapt our software to their technology. We are developing that, we have such capability and we are manufacturing in the US, the US will definitely welcome us with open arms.

Raja Mohan : Fine. On product granularity, I wanted specifically on these three products, one is you have talked about the hard kill in anti-drone and you already supplied one unit to the Indian Army, have you seen more orders on that trend or are you on the verge of having more orders there? Similarly on space anti-drone systems, I wanted to understand where you stand, yes these two products.

Ashok Atluri : What was the second question? Space anti-drone systems.

Raja Mohan : You said in anti-drone, you said till now we have a large land presence, so on space also you are looking at exploring the opportunities, if I understand it.

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Ashok Atluri : Actually, the second was for simulators, we are focused on the Army, the land forces till now. We are also looking at Navy and Air Force to expand into those two segments.

With respect to the first question, near the hard kill, we have been able to prove now based on our capability we are expecting more requirements to come up and since we are a proven company, we expect the orders to be placed on us. No orders have been received till now, but we expect more orders to come in the future.

Raja Mohan : Sorry I mistook. I wrongly phased it as anti-drone for space. I understand now. On this sites and surveillance as the third potential revenue stream for you, when you see it materially happening for you?

Ashok Atluri : Next financial year. There are two things, one is the remote control weapon station and the other is surveillance systems. Both the things we expect next year to be the year when we will start getting orders in this.

Raja Mohan : Okay, one final question, in this whole backdrop of explosive order opportunities, would you have an internal estimate to share on the FY 2026 order inflow that you see over this Rs.1200 Crores for this year?

Ashok Atluri : Again, Raja Mohan what I would restrict myself to is that, we are expecting on an average a CAGR of about 50%. The order book should be upwards of Rs.2000 Crores

if you want to achieve that. Again, we think that the order book in FY2026 is going to be really big for orders that we are expecting. It may be a little more than that, but I think FY2026 is going to be very exciting for us in terms of order inflow.

Raja Mohan : Okay. Thank you very much for entertaining me again and wish you the best.

Moderator : Our next speaker, Mr. Sanjaya. Please unmute your mic and proceed with your question.

Sanjaya : Thanks a lot for the opportunity and we are glad to hear that you are about to get a lot of new order some Rs.1200 Crores. I was just trying to understand one thing that what really the order cycle is for you ; is it like one year , six month because you have been fairly confident about winning all these orders for almost a year now. You must be having this pipeline by back then. So, is it that it is very long to convert the pipeline to order?

Ashok Atluri : I mean to say that typically if it is not emergency procurement , it could be as much as 18 months or so.

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Sanjaya : 18 month, okay and that is the reason why you were also talking about billion dollar kind of order inflow in a year or time, right?

Ashok Atluri : I never said about billion dollar order inflow. I do not remember saying that sorry.

Sanjaya : You said that in a couple of years because you were getting into several new areas and several new markets and the opportuni

ty size that you were opening up for yourself you

may at some part of time starting seeing billion dollar worth of order inflow?

Ashok Atluri : At some point in time definitely see but at which point of time is something which need to say but again we have said that we will be growing at a CAGR of 50% on an average basis and we think that is something. Again Sanjay very frankly these kind of things may happen. I would not say that they will not happen but it may happen and then it will be all positive black swan events for all of us so we look forward. I hope your predication comes true.

Sanjaya : The last thing I am sure you might have already explained this quarterly volatility in margin particularly in this quarter your revenue was so fairly high and also exports which I thought that has better margin but your overall EBITDA margin was lower than Q1? Can you please repeat it for me if you do not mind?

Ashok Atluri : I will let Afzal our CFO respond to that. Afzal please go ahead.

Afzal Malkani: Sanjaya , we request you to not to look at the gross margin on quarterly basis , but consider for the whole year. You are correct that in H12025 our gross margin is 50% which is quite lower however it is partly offset from the benefit of scale of operations and despite the lower margin we were able to maintain our operational margin of 37% in H1 , though the Q2 , it is on a lower side but in H1 this operational EBITDA is around 36.80% which is above our guidance given for 35% and PAT is also 28%. Because there was a substantial reduction in labor and overhead cost in execution of these orders due to which we were able to maintain our EBITDA and profit margin and apart from this as mentioned by our GM, this is that evolving stage of a raw material cost is on a higher side due to higher allocation of R&D expenditure and after that, our raw material cost will be coming down and within our expected range. Also, there is a change as mentioned by you that there is a change in the geography mix and our export in H2 will be significantly higher and will get a better margin in the export business. Additionally, there was a slight change in the product mix also in stimulator itself in H1 due to which our gross margin was slightly affected in H1. I hope I answered your questions.

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Sanjaya: You are saying that your margin profile in second half will be better?

Afzal Malkani: I am saying export will be higher in that. We generally give guidance whatever may be the margin, but it will be partly offset with the operating leverage and we will be able to maintain our EBITDA and PAT that is for sure.

Sanjaya: Got it. Thank you.

Moderator: Our next speaker is Ms. Smita. Please unmute your mike and ask your question.

Smita: I have been following your company since a very long time and congratulations on a great set of numbers. I just wanted to ask two questions. First of all, you have been talking about a war for quite some time and you feel that because of that there can be a good opportunity for our company. However, post Trump there, and as US was the one

time king in the defense equipment market, do you feel with the competition that we have from the US in this segment, do you feel you have competition in your product in US and you will be able to do good with the competitor?

Ashok Atluri : Yes, we expect, the competition that we have from US, we again, we are the best in the world at this point in time. We do not think American products are better than us and we know for sure, because we have seen them in various exhibitions. Post Trump, our thing is that, we want to have a setup in US, a manufacturing setup and we want to sell from America to both for America and outside to American allies and South America. We think that, again, the competition will be there, but we think our products are the

best in this category.

Smita: So, again, I wanted to ask one thing that how much percentage wise if you put decipher for us, that how much would US be of your entire revenue going to FY2026 or FY2027?

Ashok Atluri : Again this is a difficult question to answer. Very frankly, with the figure that I have is America spends almost \$4 billion every year in terms of training for the Army itself , so that is a very large market and even if you are looking at a couple of hundred million dollars, it is going to be big for Zen. In FY2027, it could be as little as, about 10% to 15%, but it could go as high as 50 %. By the way, we have not factored this into our growth plans and this would be completely additional revenue that we will be getting.

Smita: Okay, now my last question, Looking at India's order book, we have seen in many areas, government has gone down with its order, whether it is related to defense or is it Zen Technologies Limited

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related to, railways or anything where government infrastructure is required. So, do you also see that same slowdown in government order book in India?

Ashok Atluri : No, we do not see any slowdown in the defense orders. We expect the orders to come through, but definitely there may be some delay in action, but definitely not any complete elimination of the orders or anything like that. The government is moving and they are very, very conscious about making India very, very strong and unbeatable in case of a war. We think there is no slowdown in that sense that the order procurement will be lesser than what is projected.

Smita: Okay, on a lighter note, just one simple question as a citizen of India, do you see actually Third World War taking place as you were talking about war for so many years and for so many quarters?

Ashok Atluri : Actually had Trump not come, I would have probably worried that there was a Third World War might happen , but with Trump coming, he is a very strong guy and he will really push everybody to shut up and then as a half -time ask them to buy something , which is good news for us because they are having American setup. It is a very, very good news in the sense that wars will come to an end and because he is a very smart guy. He looks little commercial oriented but the very, very smart guy and the team that he has is a dream team, whether Vivek Ramaswamy, Elon Musk, or my God, such a powerful brain to have with him and J D Vance is, Vice President. I would not have said much about J D Vance, but he is married to a Telugu girl , so that actually puts him on the top and then, you have Tulsi Gabbard. It is a fantastic team and a great president and it is good news all over for all of us. I look forward to, and there is going to be no third world war. I hope I am not wrong, but I feel very confident that world will be a much peaceful place now onwards , but again, people will prepare for war. I am very sure that after this lull, the sudden wars that erupted have actually kind of shaken people's confidence that wars have ended altogether so they will prepare for because Trump is not going to last forever what happens after Trump goes will be something that will be bothering everybody and so the preparation for war and for new threats will continue.

Smita: Do we see any competition from Israel?

Ashok Atluri : No, Israel has never competed with us in any of the segments that we are there in India. Very frankly, we have not collaborated with Israel also much, but the anti -drone system, they are active, but because of the India's extreme policy of, Make in India, IPO, India known thing, they have not been able to compete with us. But again, we are

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going abroad and we are trying to supply. We think we are even in anti -drone space, we are absolutely now reaching the top of the table.

Smita: A

bout your new products that you are launching, for that also?

Ashok Atluri : Yes again we feel very confident because the ultralight remote control weapon station that we have launched, we are claiming it to be the world's lightest at this point in time and that means a person can carry it up. Typically, a crane would be required to lift it. Now it is a man portable kind of thing , so those kinds of things we have not seen anywhere, but again, the world is full of surprises. We are just looking forward if anybody will come up with anything , but again we think that we are absolutely, those products also will be the best in the world.

Smita: Then do we expect our cash conversion cycle to go down?

Ashok Atluri : Sorry, I did not understand the question now. What was that?

Smita: Cash conversion cycle. Can we expect it to go down further?

Ashok Atluri : To realize the payments earlier is what you are asking?

Smita: Yes.

Ashok Atluri : That may not happen because either for exports or for domestic market typically it has been four months or so I think that will continue but Afzal would you like to add something there?

Afzal Malkani: Yes, so if you see in the current it may again go back to the last financial year March 31, 2024 in which our working capital cycle was around 148 days. Currently, it is about 200 days in H1. This is due to this increase in receivable is. In H12025 it was on a higher side because the higher size in H12025 and in absolute terms also receivables are Rs.411 Crores and our turnover for H12025 was around Rs.496 Crores. However , just we would like to inform you that out of the total data of Rs.411 Crores, Rs.350 Crores is for the below six month, below 180 days. Going forward, we can say that by end of this financial year, it will be again down to 160 to 170 days. This significant realization will happen in the current quarter.

Smita: That is all from my side. All the best for your future.

Moderator: The next speaker is Mr. Anurag Aggarwal. Please go ahead with your question.

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Anurag Aggarwal: Thank you for the opportunity. I have three questions. You mentioned you were very positive about AI tuning of our subsidiary. Could you highlight a bit more about the capabilities of that company?

Ashok Atluri : Primarily , they are doing two product ranges. One is remote control weapon station and the second is surveillance systems . These are their capabilities and these are the products that they have launched. We will be doing a range of, for other weapon systems also, we will be doing the remote control weapon station and we want to really establish . Again the whole point is while we started it as adjunct to anti -drone systems , we see these remote control weapon stations and surveillance system as independent products by themselves and it is going to be interesting.

Anurag Aggarwal: Got it. Another question is , you mentioned that out of the Rs.3500 Crores order pipeline, we are expecting about Rs.1200 Crores to come in to our company. Considering that we are one of the best producers of anti -drone systems and simulators in India or maybe in the world, do not you think the conversion ratio is very less like out of 3500 only Rs.1200 Crores?

Ashok Atluri : No, what I am saying is that is the order book. It is not the conversion. What we are saying is out of that Rs.1200 Crores we would have actually been decided so remaining Rs.2000 plus Crores would not have been decided so again we think our conversion ratio will be much, much higher. It will almost like 80% plus kind of thing.

Anurag Aggarwal: Okay that is good to hear. Thirdly, when we say 50% CAGR, do we include the acquisitions that we are planning to do or do we include these new products that we are planning to launch or are in the midst of launching?

Ashok Atluri : A bit of that is fact

ored in a bit of the especially anti -drone system when we integrate the remote control weapon station or a thing that is factored in but not the independent sales that may come through that and the acquisition that is not factored.

Anurag Aggarwal: Acquisition is not factored in?

Ashok Atluri : Acquisition income is not factored in.

Anurag Aggarwal: So, acquisitions involving Navy or air simulators, aviation simulators are not factored in?

Ashok Atluri: They are not factored in.

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Anurag Aggarwal: Okay, thank you so much.

Moderator: Our next speaker is from Mr. Sanjay Kai. Please go ahead with your question.

Sanjay Kai: Congratulations on a good set of numbers. My question is about you mentioned that most of the orders will start flowing in Q3, end of Q3 and Q4, so those orders are mainly from India domestic orders or even you are talking about export orders?

Ashok Atluri: A combination of both.

Sanjay Kai: Okay. Right now, this export orders which are like to be executed to be paid is about Rs.400 Crores right pending for almost now we got order may be before start of the financial year and it is still pending, is it, they are scheduled to execute by Q3 or Q4?

Ashok Atluri: Afzal, you may take over this question. I think last quarter also we did.

Afzal Malkani: Last quarter also we executed around Rs.64 Crores and remaining export order will be out of the remaining order 80% of the export order will be executed within this financial years only.

Sanjay Kai: Okay. My last question is about, you mentioned the target for this financial year is about Rs.900 Crores and considering Rs.500 Crores is already done by H1, in the remaining quarters you are saying that the revenue will be lesser than H1 or there is a possibility that we will hit Rs.1000 Crores?

Ashok Atluri: We will definitely exceed Rs.900 Crores. I will not say that whether it will be a hit Rs.1000 Crores or not, but to your question, again, we are projecting, if you go quarter - on-quarter, that is actually dangerous, defense companies are very dangerous so go on the yearly basis and try to say year -on-year growth that will be a best kind of test, so do not go on quarter and quarter because quarters can be very uneven in defense business.

Sanjay Kai: All right yes thank you for that and wishing you all the best.

Moderator: Our next speaker is Mr. Kush Nahar. Please unmute your mike and proceed with your question.

Kush Nahar: Thank you for the opportunity. My question was, after we have established a US facility, do you think our cost structure will change significantly in terms of our employee cost affecting the EBITDA margins going ahead?

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Ashok Atluri: Again what we try to do is, the model that we had in India for the past 30 years, keep your fixed cost to the minimum so that, even in the worst cases where there are no even dry period, you are able to sustain and that is the reason we never invested in huge manufacturing setups or, and huge plant and machinery or even employees required for that and that is the same model that we will continue there, where we will have a supply chain that is built and that is ready to execute orders, rather than taking on the complete setting of the plant and machinery and having a number of workers to do that, man that thing. Yes, we are very conscious about that, because otherwise, as we would not have survived in the Indian environment 10 years prior to that, 20 years before that it was a very, very hostile environment. The cost will not go up dramatically and will not impact us significantly.

Kush Nahar: Okay.

Moderator: Our next speaker is Mr. Vansh Singh. Please unmute your mike and proceed with your question.

Vansh Singh: Thanks a lot for the numbers. I just had a question on the hard -kill thing that

we had

deployed already to the Army. How many more of those are they required and do we have any exports potential for that as well?

Ashok Atluri: Very quickly basically when we look at soft kill and hard kill, soft kill basically means that you use signals to bring down the drone and you do not try to shoot at it and kill it but in the case of hard kill you actually shoot at it. They call it kinetic energy and use kinetic energy and destroy it but the danger is that if there is explosion in that it may explode and it may put collateral damage, so lot of people at the border areas or areas where they do not care, where they feel there will be no collateral damage, they typically shoot it down. This hard kill demand is really dramatically increasing as we speak. We expect that there will be lot of orders not only in India, but also overseas for this hard kill and again when we talk about hard kill so there is the anti -drone system and there is a hard kill which is interfaced with anti -drone system will so lot of people are saying listen we have when you are integrating the hard kill system, the hard kill weapons will be given by us which is perfect problem because we do not do deal any lethal system we are completely non -lethal company so what so we have the company that is saying give us your weapons and we will integrate it with our anti -drone system and we will give the platform on which you can keep your weapon system, so this is the dream solution for most of the armies where they do not want to invest again in the weapon system, maybe laser or anything like that. They want to use the existing

system. Here we have an adapter for the weapon system, a remote control weapon
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station, we have a camera that is hooked down to that and we have an anti-drone system, so their costs come down dramatically and I think there is a huge, huge demand for these kind of hardware system where we are not pushing the weapon system and we are saying give me your weapon system and we will integrate with our anti-drone system.

Vansh Singh: Okay, so just the last question on my side since 85% of our manufacturing is outsourced in India, so what percentage of our components are used as a precision manufacturing like on CNC machine and how do we ensure quality control in the supply chain for choosing these vendors?

Ashok Atluri: Of course, we have a new vendor development division that goes and actually checks these guys and sees their capabilities. Again, we have a very simple technique, typically worldwide what people do they send people to go and check whether the system is there or not, do the test there or the site product comes to their site to the buyers location and they test it there. What we have done is we have given the testing methodology to the vendor and our guys view from the video on like the WhatsApp kind of a thing, they do online checking and they say okay guys it is approved, so rejection rates are very low and the efficiency and the training of the vendors are helping us in really reintegrating it very fast. Yes, we have these simple techniques which ensure that we get quality products and we are able that is how we are able to monitor and also when we as we speak we are trying to expand our supply chain for precision, fabrication everything, so we are looking to so this is how we can integrate very fast.

Vansh Singh: Thanks, that is all from my side.

Moderator: Next question is from Mr. Ashish Soni.

Ashish Soni: Regarding you have good plans for the US, so any capex requirement for the new plant in make in America?

Ashok Atluri: As we speak, we are estimating it, but it will depend on the location of the factory that we keep, possibly get. We have not yet identified the location, even though we have an office in Orlando now. We have not identified the location for setting up the

manufacturing. Actually we are waiting for these elections to get over to identify the place where we will be keeping the location. It has to be a very, very careful decision because it can make or break your company if you have set up in a wrong location. Yes, again, the cost, we have estimated it should be less than \$10 million, maybe about
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Rs.80 Crores or so. That will be the total expenditure that may happen for our setup and cost over the next it may be for the FY2026.

Ashish Soni: The last question what is making you so optimistic about US pitch, is it like policy in like India we have own IP based in the glass product and anything bureaucratic control which is getting a hopes and just throw some light on that please.

Ashok Atluri: One thing is that we have been going to the US, the largest US simulation exhibition for many years and last year when we went, they were talking about R&D. For example, one of the product they were talking about was the containerized tank simulators that they want to build in the next five years, and they want to finance R&D for that and we actually had an online connection to the Indian office, Indian demo center and we showed it to them that, this is the simulator tank simulator that the Indian Army is using for the last 12 years and they were flabbergasted because it was a containerized simulator. They said, you have containerized simulators and in India has been using for the last 10 years and they are planning to use in the next five years, so, these kind of, so we felt that, this has given us very good confidence and we have been seeing other simulators also in the US, and we think that, we have a fair chance, very, very good shot at becoming a dominant player in the army simulator there. Again, typically they do not have a full-fledged solution, so we think that we cannot only, in terms of product selling, but we are looking also at as a service, can we sell training as a service there, TAS, we call it. These are the factors. Again, why we are confident is because we see that we are very well placed versus the competition what we have in US now.

Ashish Soni: My more point was like in India, the policy change was like IP and make in India. Is

something like that happening in the US I want to understand that piece in the US?

Ashok Atluri: They have the make in America policy, which is, I think we ought to understand is 51% should be made in US. We want to very, very seriously comply and maybe do more than that there, especially, if it makes financial sense to us and try to sell there. That we will comply with the existing policy that is there, which is, the manufacturing should happen in the US.

Ashish Soni: Okay. All the best.

Moderator : That was the last question for today. I now hand over to the management for closing.

Ashok Atluri: Is anybody there moderator? Is anybody on the line in the queue?

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Moderator: There are two participants in the queue.

Ashok Atluri: Let us finish them. We have maybe two, three minutes. We will just finish very quickly.

Moderator : Next speaker is Mr. Amit Kumar. Please proceed with your question.

Amit Kumar : Thank you Ashok very much for the opportunity again. My question is we have Rs.1100 Crores cash sitting in the balance sheet , how much it is used for acquisitions and capex any.

Ashok Atluri: Our budget has been about Rs.400 Crores for acquisition and capex would be less than Rs.100 Crores that is what the plan is.

Amit Kumar : Rest Rs..600 Crores ?

Ashok Atluri: Some of it will be useful because of the extreme growth that we are having. almost Rs.300 to Rs.400 Crores will be used for the working capital requirements.

Amit Kumar : Okay, after we spend Rs.400 Crores for acquisitions, how much top line we can expect? The same asset t

urnover ratio or just if you could give some idea?

Ashok Atluri: Afzal, you can take over.

Afzal Malkani : Definitely , it will be in line with what it is the current parameters of the Zen in terms of revenue fixed asset turnover as well as return on equity and capital employed. Yes, that you can consider.

Amit Kumar : Okay, and who are the competitors of Zen in anti -drone and simulators in India and global scenario?

Ashok Atluri: Again , Bharat Electronics Limited in India, it is a big anti -drone simulator system manufacturer . We have competition from them. Globally, there are three or four players in simulators. For example, Thales, Saab, Cubic Defense Systems, and Rheinmetall Germany is one of the companies that has this simulators which compete with us.

Amit Kumar : In anti-drones?

Ashok Atluri: Anti-drones, Aaronia is one company in Germany. We think that they do very well in terms of aesthetic presentation and we really need to catch up with them and there are a

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couple of companies which maybe in the US and in Israel that are there, but we have not really seen them competing with us anywhere.

Amit Kumar: Thank you very much.

Moderator : Our next speaker is Mr Rudresh Kalyani. Please proceed with your question.

Rudresh Kalyani Thanks for the follow up. See, did we ever had a product recall?

Ashok Atluri: Product recall means? On one occasion we have had, yes.

Rudresh Kalyani: Okay, what was the reason and what are mitigation measures which we took?

Ashok Atluri: The reason was that that we felt that the customer was being unreasonable and we felt that this was a no -go situation. Sometimes you have to fire your customers. It was one of those times that we had to fire the customer but anyway, so the thing is still not resolved. We actually kind of said that, this is a difficult customer to handle , so that was the reason otherwise the product is a proven product and been used by many customer but this particular customer was very difficult. In terms of your question when you talk about product recall , you are saying was there any process in the deficiency in the product which has never been the case of deficiency , but unsatisfied customer we have had.

Rudresh Kalyani: You meant to say that because of the ROI which we were expecting and that customer was too aggressive and he was pulling each of the nickel from us so we could not deliver.

Ashok Atluri: Listen , the thing is if you decide d not to be happy with the product you can always keep finding a lot of issues with that, it was that kind of a customer it was.

Rudresh Kalyani: Okay. My final question is, can our anti-drone system be compared to the Iron Dome of Israel or is it entirely different system?

Ashok Atluri: If we add the hard kill part, then we can create the Iron Dome here, yes.

Rudresh Kalyani: Okay that is it.

Moderator : Next question is from Mr Anurag Agarwal.

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Anurag Agarwal : Thank you for the follow-up chance. I just wanted to ask two more questions. When do we think we can close the acquisitions? Second, the product recall the client we fired, what was the size of the order that he had given to us?

Ashok Atluri: Again acquisitions we are giving it one year time. We hope that we will be able to do it kind of thing. The product size, I am not able to recollect the order size, but I think it was a few Crores not very big.

Anurag Agarwal : Okay, thank you so much for the details.

Moderator : The next question is from Mr. Vipin Abraham. Please proceed with your question.

Vipin Abraham: Congratulations on a very good set of numbers and also appreciate your patience in answering all the different questions raised to you. My question is generic. I would ask for simulation. Typically on simulations, right just take the case of aircraft

simulator,

right? Every pilot needs to get trained in a simulator. Given everything actually is becoming autonomous and automatic and so on, right where you need much human intervention. What would you think about the relevance of simulator training in the years to come?

Ashok Atluri: You are saying versus the aircraft training, what kind of level of training is required in the army?

Vipin Abraham : No. Aircraft training was an example. I just wanted to ask you that generally people need to get trained in the aircraft simulators, and every pilot needs to get trained on that. It is just a general example, not typically specific to you, but my question to you specifically is that given everything is becoming more autonomous right with AI and so on, where people may need not be trained much compared to what it was earlier, what do you think any risk to our business given that scenario in 5 -10 years down the line as far as simulation is concerned?

Ashok Atluri: In fact, we are extreme users of AI for our software, for our target identification, etc., so to your question, if it becomes autonomous, whether the training would be required, we have not yet seen autonomous tanks being driven anywhere in the world. We have not seen these things. Eventually, if they happen, there will be still some training required even to operate those autonomous systems is what we think. Again, by the way we are getting into autonomous system as we speak. The remote control weapon station is an autonomous remote control weapon station. We are getting into robotics, the Prahasta, it is a robotic dog. We are getting people out of harm's way. We are taking

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advantage of the autonomous system that are coming and as these things evolve we will be looking at how to respond to those situations, but again we do not see anything happening in the next at least five to six years in this regard.

Vipin Abraham: Thank you.

Moderator : As there is no further question, I now handover to the management for closing remarks. Over to you.

Ashok Atluri: Thank you very much shareholders. It is always a pleasure interacting with existing and potential investors and I look forward to your continued support. Thanks to all our employees and thanks to the government for being so encouraging and so helpful. With this, I will hand it over for closing.

Moderator: On behalf of Zen Technologies Limited that concludes today's conference call. Thank you for joining us and you may click the leave icon to exit the meeting. Thank you for your participation.

Call: Feb 2025

February 21, 2025

To
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Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on February 17 , 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed the transcript of the earning conference call held on February 17, 202 5.

This is for your kind information and records.

Thanking you

Yours faithfully,
For Zen Technologies Limited

Sourav Dhar
Company Secretary & Compliance Officer

Encl: as above
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“Zen Technologies Limited
Q3 FY2025 Earnings Conference Call ”

February 17, 202 5

MANAGEMENT : MR. ASHOK ATLURI – CHAIRMAN AND MANAGING
DIRECTOR – ZEN TECHNOLOGIES LIMITED
MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER -
ZEN TECHNOLOGIES LIMITED
MS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR–
ZEN TECHNOLOGIES LIMITED
Zen Technologies Limited
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Page 2 of 27 Moderator : Ladies and gentlemen, good day and a warm welcome to Zen Technologies Limited Q3 FY 2025 earnings conference call. Please note all participants lines will be in the listen only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. I now hand over the conference to Abhishek Mehra, TIL Advisors Private Limited . Over to you.
Abhishek Mehra : Thank you moderator . Welcome everyone and thank you for joining this Q3 FY2025 earnings conference call of Zen Technologies Limited. The results and investor updates have been e-mailed to you and are also available on the stock exchanges. In case anyone

does not have a copy of the same, please do write to us and we will be happy to send it over to you. Today we will start the call with a brief overview of the performance, which would be followed by the Q&A session. As a disclaimer, I would like to remind you that everything said in this call reflecting any outlook for the future, which can be construed as a forward-looking statement, must be viewed in conjunction with the risks and uncertainty that the company faces. These risks and uncertainties are included, but not limited to what we have mentioned in our annual reports. With that said, I will now hand over the call to Teena Virmani from Motilal Oswal. Over to you, Tina.

Teena Virmani: Yes thanks, Abhishek. We welcome the management team of Zen Technologies for Q3 FY2025 Results Con Call. We have with us Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani CFO, Ms. Shilpa, Whole Time Director. So over to you Sir, for your opening remarks and then we will open the floor for questions and answers.

Ashok Atluri: Good afternoon everyone and thank you for joining both existing shareholders, past and potential shareholders. Very briefly, I would like to reiterate that the earnings for the year on track, we do not see any change in our target of 900 Crores for the year. I think we still feel very confident that we will achieve that. On the downside, we expected orders that would have started trickling down from December onwards. And we said the end of third quarter and the fourth quarter we will start getting the orders that have not materialized as expected. And we think that the orders will start coming during this quarter and they will most likely spill into the first quarter and probably a little later into the second quarter. So, domestic orders worth almost 800 Crores are in this pipeline and we think that before the second quarter we should be having it on our order book. And this excludes

the export

order, which will be separately accounted for. So I think we have some visibility on these orders. And we are ramping up our execution capabilities so that most of the orders that we receive are executed within the same financial year. So, that was on the news that was not that encouraging but the good news is that our estimate of the size of the market that then can address has grown tremendously over the past few months. That means the prediction that we had made for the average growth of 50% CAGR over the next three years seems

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Page 3 of 27 achievable. And when I mean achievable in the sense that even if we were to fall short in the FY 2026, the 2027-2028 figures look very, very encouraging.

And we expect more than to cover any deficiency which may arise in FY 2026. And our expectation of course is that government will accelerate the procurement process and place orders on the industry sooner than later. And as we are very extremely transparent, we will update you on the orders as soon as we receive it. On the other news, President Trump's ascension is great news for India. Again, my stance has been very clear. We should use this opportunity to ask for technologies that will help us win the war. And they should be willing to sell it. Rather than outdated white elephants like F-35. A lot of people are talking about F-35. I am quite surprised that there are some people who are actually recommending buying it. The smartest person in Mr. Trump's team, Elon Musk has said a lot about F-35. One of the few remarks that he has made is F-35 fighter jets are obsolete in an era dominated by drones. They have design flaws. What he actually said was broken at the requirements level and are an expensive and complex jack of all trades and master of none and have the worst military value for money in history. So we should be very, very careful for what we use our taxpayer's money in buying, and they should be only technologies that will help us win the war. As you will look, what have we got into, what are the technologies we have in the new acquisitions, what are we doing, you will be very happy to know that we are going in that direction. So having said that again we think that government should insist on having private tie-ups, with private sector companies, which can absorb the future technologies and they can actually help us co-develop for the next generation of technologies. We should not aim to be just manufacturing coolies or a value chain partner kind of thing which is typically lot of people say but we should be actually co-creating great products with them for the world market. So that should be our agenda and I hope the message is taken by the Indian government. So now I am switching to the acquisitions that we have done. Our philosophy when looking to acquire any company is this - if we buy something, if we invest in this company, can they create absolutely world-class products or not? If the answer comes no even by investing and waiting for time, they cannot create world-class product, they cannot attain global leadership, we let go of that investment. So in this thing, I think we have been able to really identify some great companies and I am very, very happy that the acquisitions went through. Again, I am very, very conscious of the fact that 10% to 25% only work. Almost 75% to 90% of the acquisitions mergers and acquisitions fail. I am very aware of that. So I am hoping that I am an exception but I will be very, very open to the questions that you will ask in this regard. About our largest

acquisition to date is ARI. ARI is very frankly, the co-founder, Mr. Shravan Rewari, he is a very good friend of me. I had a long relationship with him. And in fact, we have been talking on and off about it for the past two years that we would like to acquire them. But Zen Technologies

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Page 4 of 27 finally, Shravan agreed to do it. And again, I very much respect the work and achievement Shravan and his extremely team of talented professionals have done. And what they have created is very, very complimentary. I would say that like Zen is in the army simulation market, ARI is the leader in the marine simulation market. The majority of their income comes from marine. Now, very quickly, the difference between marine and naval simulators are this. The fields are, marine is typically commercial, naval is typically armed forces but one thing which is very significant and the majority of the revenues for ARI have been coming from marine simulation and naval simulation has been little less. So I think that they took a conscious decision that they will focus on the commercial sector rather than the government sector because of various issues that they have had. So I think here is a great company and the DNA required to be number one company in the world in naval simulation and marine simulation is there in that. And fortunately Shravan was able to professionalize it to such an extent that the team led by Partha Sanyal and his extremely talented team almost run the operation independently and very competently. Fortunately, Shravan will continue to be on board and will give us strategic inputs, including opportunities for further acquisition, as Partha will continue to lead the team.

I will talk about Vector Technics. And the last company I will not talk about. I am a little concerned that the whole of the time should not be taken in the presentation, but we should give time to interact with the shareholders. So I will keep my presentations not so long, but try to keep it brief so that I can answer your questions. The third company, Bhairav Robotics I will probably take up in the next one. But Vector Technics again, this was a company that came to us on our radar a few years back, but then for some reasons it did not happen. I do not know whether you have heard about the story about the Jataka tale about the brahmin who is taking the goat on his shoulders and some thieves decide, there are many versions of it, but I am telling one of the versions. Three thieves decide to steal the goat from him. So they go to the guy who is carrying the goat on his shoulder and say, Panditji, why are you carrying the dog on your shoulder? And he says are you mad? It is not a dog, this is a goat. He says, are you sure? Because it sure looks like a dog to me. He says, you are definitely mad. He is little confident shaken. But few steps later, the second guy again repeats. The second thief comes and says, Panditji, what are you doing? You are carrying a dog on your thing. So this guy actually starts suspecting, this is a dog and he says are you sure? No, this is not a dog. This is definitely a goat and he is confidence shaken. By the time the third guy says, why are you carrying a dog? This guy actually throws the goat and runs away and the thieves take it. So why am I explaining this story is for a long time Zen was being said as a drone company, drone company, drone company. But as we said we have been saying that, no, we are not a drone company, we are anti-drone company. But now the reality is that we are becoming a drone company and Vector Technics is a company that we are investing is our first step towards becoming a drone company. Thanks to all the Zen Technologies Limited

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Page 5 of 27 investors saying that are equating us with drone company. Recently we started talking to few drone companies in which we wanted to invest. Again, our criteria has been very, very simple, that we do not want companies that get Chinese parts. We recently saw some news articles also, in which Chinese parts were found. And the danger of having Chinese parts is that when the war happens, your drones can be completely dis

abled by the Chinese. So we

have to be very, very cautious about getting any parts. So government acting very harshly on people who have Chinese parts in the drones, I think is very, very justified. So we see that DJI drones do not fly in the border areas because they are denied the flight. Because again, we have also seen that when Israel war happened, Israel was able to actually use the pager technology to kill so many of the Hamas targets. And strangely India still continues to import these electric cars from China. And these electric cars can become absolute weapons when the time of war comes, because the software is given by them. The software can be updated to be very, very restrictive on Indian traffic and Indian roads. The whole point is that we should be very cautious of a neighbour who has time and again backstabbed us. So coming back to the thing, when we started approaching the drone companies, almost everybody said, listen we are indigenizing and the technology that we are using to

indigenize is from a company called Vector Technics . And, in a strange coincidence around that time Vector Technics approach ed us for investment. And we immediately lapped up and almost it was a completely cordial tie up and happened very, very fast. That is one of the things that we will definitely do , if we like you, there will not be a one year due diligence and all that who are by which time typically the people who need the funds actually die. So we will act very fast. In fact, this is also an open invitation to any of the shareholders who directly or indirectly know some companies that are looking for investments in related segment that Zen is exploring. But having said that, I am inviting Pruthvi to come in and briefly explain about the products and what they have done about this. If they will be around here, if you want some additional question, they will say, so what is so really is cutting edge, it blew my mind away. It blew the mind of very, very technical people we know. But Pruthvi, please come and you can explain it.

Pruthvi: Hi, Good afternoon, everyone, and thank you for the opportunity. So we are very thankful for Zen. We have been in the space since past five years, putting our brains together for research and development and we have been struggling to find the right investor. Let me put it that way. So when we approached Zen a couple of years back, we had just one product. And, and we were not market ready at that given point of time. Given the last two years, we had a very good success in capturing the right markets both domestically as well as internationally. At our core, we are a motion control company. So we did our research into motion control that is into two different segments. One is a brushless DC motor technology for UAVs and robotics. And the second one is IC -engine based propulsion for drones. So I will show you some of our products.

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Page 6 of 27 This is our motor, which can be repurposed either as a commercial drone motor or a defence drone motor or even a man carrying drone motor. And it can be used as a robotic motor as well. Similarly, we have part of the core electronics of a drone. This is simple. If I need to do it in simple terms , this is almost similar to a motherboard of a PC. So it powers up with the batteries and it also gives distribution to the other sensors, payloads, as well as propulsion. So this is also a key part of our drones. I will show very briefly our second revision. It is a four cylinder UAV aircraft engine for UAVs. This is extending the range of the drones which are currently operating. It can be used as a regular commercial aircraft as well as high altitude. So we had designed very strategically that it can be modular. Our patented technology can make the same engine as a two stroke four cylinder engine, two cylinder engine and a six cylinder engine.

I will just show you quickly how a two cylinder smaller engine looks like. So if you see our vertical integration of the technology, it is the same motors that we develop which we repurpose as generators. So on board, it can generate power, and you do not need big batteries to carry or you do not need very, very big batteries to go for extra long range . The engine on board an aircraft can deliver that power . It can be a redundant power supply for all the electronics as well. Having said that, there is one more final trick up our sleeve, which is our counter rotating motor. So these are our counter rotating motors. What it does is we have a patented licensed technology with 13 patents globally . It increases the efficiency by 30%. And it can change the game of UAVs within a long span. So our small technology can propel a drone 30% longer, faster, and can be a beautiful alternative for a regular standard motor and increase the flight times up to 30%. So this we are currently exporting and we are very soon launching in India as well. So having said that with the opportunities that we had from Zen, so far we have about five different product lines. We are going to scale up all of those product lines into about 23 different product lines. We will be targeting markets both domestically as well as internationally. We have our distribution channels across Japan, US and UK. We are expanding into Middle East and Europe this year, and we are looking for bright talent to expand. And thanks to Zen for investing and trusting in us for such a big expansion that we never dreamt of that will happen so quickly. Thank you, Sir.

Ashok Atluri : The rule is that whenever somebody speaks so smoothly, you should be very, very careful. So the actual technical guy is not Pr uthvi, the actual technical guy is Karna. So he is not very articulate. So that is the plus point that we have here. So overall, I think we are very, very excited with the acquisitions that we have done. And one thing, even in recent Aero India, we launched a product called Vyom Kavach , shield in the sky. Now this is one of the most advanced anti -drone systems in the world now. It has four layers of protection. The first layer starts with just the jamming soft kill. And then the second level is typically the kamikaze drones. The third is the missile attacks.

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Page 7 of 27 And finally, the fourth is the gatling gun or regular gun that can be used to destroy swarm drones. So this has been developed specifically for swarm drones. And we are evolving our products at a furious pace to keep with the requirements of the country. So I think overall, most of the points have been covered by me. And I will hand it over to Mr. Afzal Malkani, CFO for presentation on the figure so that he gives a good perspective on the figures. After that we will open for Q&A so that we can have a proper interaction.

Afzal Malkani : Thank you Sir. So good evening everyone and welcome to the earning conference call for Q3 and nine months ended December 31st 2024. As you just heard from our CMD Mr.

Ashok Atluri , we would like to report that we have delivered reasonably a good performance for Q3 FY 2025 and nine month FY 2025. Additionally, we are well positioned to continue our growth momentum. Let us begin with a quick update on the standalone performance for the Q3 FY 2025. Our revenue from operation was Rs.141.52 Crores compared to Rs. 98.08 Crores in Q3 FY 2024. The growth in percentage terms is 44%. Our EBITDA for the Q3 FY 2025 increased to Rs.58.68 Crores compared to Rs.48.40 Crores in Q3 FY 2024. In percentage terms EBITDA is 35.90% of the revenue. The growth in percentage terms is 21%. Our profit after tax has increased to Rs.38.62 Crores compared to Rs.31.66 Crores in the same period last year. Profit after tax in percentage terms is 27% compared to 32% in Q3 FY2024 . The growth

h in percentage terms is 22%. So now coming

on to the out of our total revenue of Rs.141.52 Crores , Rs.130.82 Crores were contributed by the sale of equipment, while 10.70 Crores came from our AMC business. Coming on to the nine month performance for December 31st 2024, our revenue from operation was Rs. 637.17 Crores compared to Rs.295.56 Crores in nine months FY 2024. The growth in percentage terms is 116%. Our EBITDA for the nine months FY 2025 increased to Rs.252.77 Crores compared to Rs.143.76 Crores in nine month FY 2024. In percentage terms EBITDA is 37.69% of the revenue compared to 46.95% in nine month s FY2024. The growth in percentage terms is 75.82%. Our profit after tax has increased to Rs.178.03 Crores compared to Rs.96.20 Crores in the same period last year. Profit after tax in percentage terms is 27.94% compared to 32.61% in nine month s FY2024. The growth in percentage terms is 85%. Now coming on to the balance sheet part, Zen remains focused on maintaining a strong liquidity and leveraging its asset -light business model to ensure sustained growth and value creation for our stakeholders. With that, we conclude our opening remarks and we would like to open the floor for the questions and answers. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session.

Anyone who wishes to ask a question may click on the raise hand icon at the bottom of your screen. We request participants to restrict their question to two and then return to the queue for more questions. To rejoin the queue, you may click the raise hand icon again.

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Page 8 of 27 Now we will take our first question from Mr. Lokesh Sabharwal. Mr. Sabharwal, please unmute your microphone. Please go ahead.

Lokesh Sabharwal : Thank you so much for giving me the opportunity, Sir. Mr. Ashok Atluri I have been a big fan of yours, invested in your company for over two years now. I have basic two questions.

So what is the current order pipeline? And by when do you expect it to start coming on papers because as of now we can see it is around 116 Crores so and you had projected around 1200 Crores for next financial year. So how would you be able to achieve that and second is the profit margin has been very good in your company in the recent years. And after the acquisition, what do you think that the profit margin would be , when the revenue of the existing companies start coming in?

Ashok Atluri: Okay thanks Lokesh. Thanks for asking and thanks being a co -owner with me for Zen Technology. Really appreciate that. The first question is the order pipeline again we had indicated that we will get about 1200 Crores during the year. But we have about 800 Crores in the pipeline at this point in time. And we expect that the most of the results should come out by Q1 , if not Q1 then Q2 definitely. We are not factoring the exports that is a little iffy thing. If it happens there are large orders there. And with respect to the profit margin post acquisition, acquisition margins are not as big as we have, but we expect them to improve . Again very typically, I want to say that when ARI has marine simulators and Zen is saying that we will move to naval simulators, what does it mean? Basically marine simulators for example, the bridge simulator, the engine simulator, all those simulators are similar in both the cases. There are some simulators that are mutually exclusive , naval simulators are a superset of marine simulators in most of the cases, again there are exceptions. So here what happens is why is the naval simulators are different kind of, different beast to a handle is, one thing missing is the weapon simulator that are required to make them actually a naval simulator. So with the marine simulation leadership that ARI has under the leadership of

what they have developed with Shravanji. And the sim

ulator that we have, the weapon

simulator, if we combine them, they make perfect naval simulators. So this is an absolute synergy creating opportunity. So we are very, very excited about this. And I think the margin profile, once we integrate both the companies will continue to remain the same and maybe better in some cases.

Lokesh Sabharwal : Thank you Sir. Thank you so much.

Moderator: Thank you. We will have our next question from Mr. Dipen Vakil.

Dipen Vakil : Hi Sir congratulations on a decent quarter and congratulations on acquisitions.

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Page 9 of 27 Sir we have early on guided that we will be on track to do a revenue of close to around 900 Crores . So are we still on track with the same guidance or is there any material change because we have already passed on with even the first half of fourth quarter. So would you like to state the same guidance for this year?

Ashok Atluri: Dipan we are confident that we will be able to achieve 900 Crores . Again thanks for saying that it is a decent quarter but not everybody is saying that . Actually in Q1, I said please do not go on quarter on quarter, because somebody said, you are very heavy, you will do 1000 Crores . I said, no, do not go on quarter on quarter but just as we said 900 Crores , we are very confident, whatever is the gap, we will be able to fill that gap to hit the 900 Crores target in this quarter.

Dipen Vakil : Sir you mentioned that the pipeline is of close to around 800 Crores , which will get fulfilled likely by say first half of next year. But Sir, can you give us a little bit more about the ordering environment that is there currently because your equipment orders currently at 0.4 times the sales. So how do you think that the ordering will happen in say next 15 days? Are there any advanced talks that are happening when it comes to orders?

Ashok Atluri: Very frankly Dipen what has happened is after 30 years of experience I projected a very, very conservative figure and the team had said that, we will start getting orders much, much earlier. But we took a very conservative approach and said, we will start getting from December. But even that proved to be very optimistic and still the orders are yet to come. But to be very fair with you some orders are at a very advanced stage, and they may happen this quarter itself. But again, I do not want to give any figures on that Dipen. I hope you understand that. They are at an advanced stage. Thank you.

Dipen Vakil : Got it Sir. So we are very positive on it. So all the best for fourth quarter and FY 2026.

Ashok Atluri: Thank you Dipen. Thank you. FY 2027 and FY 2028 too. Thank you.

Dipen Vakil : Thank you so much Sir.

Moderator: Thank you. Our next question will be from Sandeep Agarwal from Kohinoor Investment.

Please unmute your microphone and go ahead with your question. Mr. Agarwal, please unmute your microphone.

Sandeep Agarwal : Hello Ashok Sir. We have taken over this company ARI where the revenues are around 92 Crores . Can we get to know what is the EBITDA margin in that company?

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Page 10 of 27 Afzal Malkani : So, currently in the current year, ARI will achieve a revenue of more than Rs.100 Crores and EBITDA will be around in the range of 18 -19% and P AT would be around 13 -14% in the current financial year.

Sandeep Agarwal : Like we are attending to a lot of exhibitions and fairs so we do not get any clients giving us orders on the same quarter because we have been waiting for three quarters and no orders have come in. So we do not get orders when we are exhibiting in fairs.

Ashok Atluri: Not really Sandeep. I think it is a little complex process. Indian government has its own long process, but even foreign delegations that visit; these are all visits to actually explore what are the technologies available for acquis

ition in India. So when they come here, they

look at it and then they tell us that these are the technologies that we are interested in. In some cases, where they are already in touch with us, they come and say, listen these are the things that we will be placing order in the coming couple of quarters. So yes but we typically do not get any orders because they are government orders. So they are extremely process driven. The orders come after they come, go back, float a tender etc.

Sandeep Agarwal : Donald Trump is coming out with a lot of news like we might have to do defence deals, the Indian government might have to do defence deals with the US government. So, we buying more of defence equipments from US will that affect our performance in any way?

Ashok Atluri: In the sense that we do anti -drone systems, and I think we do much better than most of the companies, including American companies. So Indian government will be very, very

cautious . I think they will be using technologies that are not available in India . They will not buy something that's already available in India; it does not make sense at all. And even when they buy it, that would be only to build ourselves into winning a war, not just to oblige President Trump. I think we are at a very good spot. And definitely there are technologies that America has that can help us become a stronger nation. Zen does not see any threat at all from this. In fact, we think that opening of office in US was very opportune and with all the setup, we had recently taken permission to invest in US , we are going there. As we speak, we are identifying the place with the new Trump administration in place. We are identifying where we will be setting up our factory. And I think the US will contribute significantly from FY 2027 onwards. I am very sure about that. So I think that is a good news for people who are setting up manufacturing facility in the US that they will be able to take advantage of President Trump's bargaining tactics.

Sandeep Agarwal : Thank you. Congratulations for the future.

Moderator : Thank you. Our next question is coming in from Ms. Smita Mohta from Kredent InfoEdge.

Ms. Mohta please unmute your microphone.

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Page 11 of 27 Smita Mohta : So two questions. You sound very optimistic about the business moving forward. Still, I wanted to ask two questions. One was as a DNA, you have changed from being anti -drone to drone and you sound very optimistic about this joint venture, whatever you are doing, but looking at the financials, which the order book is showing us and the last two quarters growth that we are seeing that has gone up for a toss and making us think that actually will 2025 and 2026 will be a bit muted and 2027, 2028 will be forthcoming. And how do you like that this drone system addition that you are doing to your wallet as a product mix, will it benefit you more or the company that is coming more which will be taking your market also for the product sale of them?

Ashok Atluri: So Smita, thanks for the question. So, your first question was the moment from anti -drone to drone. Very frankly, I think we are in a very, very good space in anti -drone systems. I think the ones we are supplying are extraordinary and absolutely world class. The second question, why are we getting into drone systems? This is a very, very cold -blooded decision that we took. In fact, we avoided getting into drone space for a very long time because we were thinking we will get world -class technologies at some point in time.

But what we have seen is even now the products being supplied to the Indian armed forces still have Chinese parts. They are really not cutting edge. Again, I do not know why this has happened, but the actual drones that are being developed are really, really lacking in world class position. Again anti-drone is one part of the total equation.

If you do not have cutting edge drones, you just can not win a war. Again, we are not trying to reinvent the ground up. What we are trying to get is the smartest and the best and the deepest player, deep tech players in this segment, and getting them together to develop the world's most advanced drone systems. Again, as we always do, we are not focusing only on Indian Armed Forces because we do not want to give something to Indian Armed Forces just to satisfy the RFQ requirement. But we want to give them absolutely world class product that is absolutely leading in the world. So, this is what I have in mind. And this is the reason we are getting into drone systems, because without drone, absolutely cutting edge drone, we cannot win a war. And what we have seen till now is pathetic. And we are very, very unhappy with what the drone ecosystem has delivered. So we are hoping that we will fulfill the gap that is there to ensure that we are not found wanting when any conflict happens in the future between India and any other country.

Smita Mohta : So basically Sir, I wanted to know that are we benefiting with an increase in this or is the company which is coming new, which will benefit because currently we do not know if we will be having that drone orders from the government?

Ashok Atluri: Smita actually, I am a little amused by the question. The thing is when two people get together, there is a synergy. It is not that one guy is benefiting, the other guy is losing. It is

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Page 12 of 27 not a fixed pie, it is actually the pie is growing extraordinarily big. It is multiplying. And I think both of us will benefit significantly from this. And most importantly, the customer will get absolutely cutting edge technology from this collaboration. So I do not think there is anybody who is taking advantage or getting something while the other guy is losing. I do not think in that way at all. I hope Smita you are getting my point.

Smita Mohta : Yes Sir. Just wanted to end my query with one last question. That is I have seen your shareholding going down. So with so much of optimism in the company, why is the promoter shareholding going down?

Ashok Atluri: Smita very frankly, always we have had the same shareholding for a very, very long time. And only in recent times, we have sold 1% of the holding, not much. Me and my co-founder and my brother, we sold 1% each take some money for various. Again, we have been very, very conservative. And very little has been taken off the table and majority of the holding continues to be in the family's name and there is no sale other than one sale that has happened.

And we do not even intend to dilute any further. So, that was actually announced at that point in time. We do not intend to dilute in the near future or even the late future.

Smita Mohta : Thank you Sir. Thanks for the question. All the best.

Moderator : Thank you. We will have our next question from Ashish Soni, Family Office. Mr. Ashish, please unmute your microphone.

Ashish Soni : From this acquisition, how much revenue you are seeing in next two to three years scaling up and what margin because drone seems to be a commoditized business to me at least. You said I think what I heard he has an IP and all, but will we get the good margins in drone business also?

Ashok Atluri: Again if the competition was like, everybody was getting parts from China. And when everybody gets parts from China. I mean again, there are some players who are really, really, who do Indian production or do not include any Chinese part. But typically, when everybody is getting from the same source and just assembling and selling, then the war becomes very, very difficult to win. But in this case, what we are doing, we are bringing a whole new level of technology. It is a different technology, different level of indigenization that

is happening. So I think with these kinds of indigenization and the different technologies, the counter-rotary technology and the engines being completely indigenized, specifically for the drone companies, we think we are not only going to supply to India, but this will become an absolute manufacturing hub for the world. So we will be exporting a lot
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Page 13 of 27 from here to other foreign countries. And I am not talking about Africa or Middle East. I am talking about North America and Europe. So that is where a lot of exports will happen. And I think my personal belief is that the margin profile will improve after this collaboration starts happening in turnover. So with respect to the turnover, I will just defer it. We have some figures, which are very, very conservative, which are like 50 Crores, 100 Crores kind of thing. But I think in the long term, this will be significantly I would say wait till FY 2028 or something. I think it is going to be really, really mind blowing. The figure that we will get will kind of compete with what we are doing in anti-drone and simulator space.

Ashish Soni : And you seem to be more optimistic on the US business. And you were there in air show also so I just want to understand qualitatively how much revenue are you having like from discussion in terms of orders with the customers like what is your optimism coming from at least for the US business when you set up a manufacturing plant because last quarter you were optimistic right now also optimistic. So give qualitative color what is happening and how much revenue scale up at least from US business you can do manufacturing from US in FY 2027.

Ashok Atluri: What is happening at this point in time there are many foreign countries that are actually asking us for these products and they would prefer that we do the manufacturing in the US and made in USA branch and especially with the new administration in place, they are saying that we are under pressure to buy from the current administration. So they would love to buy the product that we have mostly from US at this point in time. And these markets typically, they are easy to service from US that would include the South America and North America market. And typically, some customers are there who will not buy from India and they prefer to buy from their own allies for example the NATO forces. So NATO allies of some other market that we are looking at from US. So given these are the kind of things so again I will not put a figure on this because again, this will be too premature. At this point in time, it is actually not very, very clear. The numbers are very large. But I think as we go into FY next year, and mid next year, we should be able to give a good color to the FY 2027 figures.

Ashish Soni : And lastly, any guidance on FY 2026 because you said your order book is getting shifted and but you are still hopeful. But guidance wise, do you think you will meet the 50% CAGR expectation for FY 2026?

Ashok Atluri: So FY 2026 if there is any shortage, given the current situation, we think there will be some shortage. We are very sure that that will be filled up in FY 2027.

Ashish Soni : So you are saying it will just move into FY 2027. But your overall guidance will remain the same.

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Page 14 of 27 Ashok Atluri: I probably use this figure . It is going to be average CAGR of 50%. We still stand by that estimate.

Ashish Soni : Okay thanks and all the best.

Moderator : Thank you so much. Our next question is coming in from Ne el Mehta from ICICI Securities. Please go ahead.

Neel Mehta : Very hearty congratulations on a good quarter . Just wanted to ask you a few questions. Our revenue guidance was 1400 Crores . With these acquisitions is it still staying at 1400 or are we revising it upwards? I understand that the orde

r book has come at a delayed so it might be a spillover effect to 2026-2027 but for 2026 are we still on 1400?

Ashok Atluri: No we will be revising that Neil as we speak . As the orders come in during the Q4 and Q1, we will get a very clear picture. And I think by end of Q1, we will be able to do it. But again, if there is any shortfall, we are reasonably sure that F Y2027 and 2028 will more than make up the shortfall and we still stand by the average CAGR of 50% over the next three years.

Neel Mehta : And Sir, the new acquisition that we had in the new simulation area, how many patents do they have already?

Ashok Atluri: They have applied for the patents . I think they applied for a few patents . The patents are yet to be granted so that is the profile. Again, they have generated extraordinary amount of IP, but they have not been very aggressive in asserting that IP but as we speak they have started the process and I think at least 10 patents will definitely be coming out if not more than that.

Neel Mehta : Okay and Sir the new acquisitions that we have had, what would their order book tendering number come up to?

Ashok Atluri: I think for the new two companies, they are just starting . They have just developed the deep tech, but they have not sold much. But in the case of ARI, I think at least 100 Crores will be the addition that we will have without the naval simulators coming into place. Once naval simulators start coming into place that will really, really, I think, double, triple, or something. Again, I personally feel that, again, one of the thing is that , in India, we are so obsessed with the two borders. On the east side, we have a friendly neighbo ur. On the west side, we have a large friendly neighbo ur. So we are just obsessed on those two borders. Just imagine, turn the map upside down. You see the whole Indian Ocean completely open and India standing there is a small triangle there. So this is what is opening up for India. Indian Zen Technologies Limited
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Page 15 of 27 Ocean is going to be the future of all our issues and conflicts and dominance that are required. If we are able to establish ourselves in Indian Ocean, then we are absolutely the world power. And for that, we require tremendous amount of training on the latest technologies. And this is exactly what ARI's collaboration is bringing. And our collaboration is getting the weapons onto the ships and bringing the absolutely latest naval training systems. So I think the 100 C rores that they are adding is not the thing, but the few 100 of Crores which this collaboration will get will be the key in getting to the next level.

Neel Mehta : Okay and if I may just scoop in the last one . If we are going under acquisitions, I understand it will take time to ramp them up for at least the next one quarter or the next two quarters, a hypothetical guesstimate on EBITDA margins somewhere between 40 to 50 we were standing at , where would these acquisitions take us to?

Ashok Atluri: At the EBITDA margins, we should be able to maintain at 35% that is our target. So, 35% EBITDA and 25% PAT is something that we feel that we should be able to maintain if we are extreme IP value add company.

So if we fall below that, I mean then I think we are doing something wrong. So we are very conscious about that and again PAT 25, EBITDA 35 is our target.

Neel Mehta : Okay Sir thank you so much. All the best.

Moderator : Thank you. We will have our next question coming in from Abhishek Shah from Ambit. Please go ahead.

Abhishek Shah : Hi, good evening Sir. So just one thing for the last year or the last few quarters, tank simulators was also a pretty significant part, both tank and battlefield training simulation was a pretty significant part of our revenue. And we have not spoken much about that. Also, the first three quarters of the year, order flow has been also quite weak a

s we have discussed

on the call. So anything from the Indian government in terms of this segment, like is it saturated? What are we thinking about that part of our business going forward?

Ashok Atluri: Again Abhishek in fact, we have been telling that the orders typically come towards the fourth quarter and we have been guiding that . It will start towards the end of the third

quarter and come in the fourth quarter. And we were conscious that the order flow may not happen in the first few quarters. Even though our team was saying that the orders may come through but we are conscious about that. And with respect to tank simulators and battlefield simulators there is lot of demand at this point in time and some of the orders that we are talking in the order book position include the tank simulator. Now battlefield simulator, I do not know what that means, but we have combat training centres that is the complete training

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Page 16 of 27 on the battles. So, those simulators have a very huge demand and they are a complex combination of all the simulators. So, that is actually very few companies in the world can do that. In fact, I do not think of any company that can do in the world, the kind of all the equipment simulators put together, working in sync to trying to simulate the war is something that Zen can do very well. And I do not know of any other company that can do it. So yes, these are the two very big opportunities. And we expect these to come. Again one of these will actually blow our minds away. And they would be an absolute black swan positive event. So we hope it may happen in FY 2027 if not in FY 2026. That would be a very very large order when and if it happens.

Abhishek Shah : Sir so any impact of the elections in terms of the order of flow, you think that has had any impact?

Ashok Atluri: I think that has had an impact Abhishek even though I would like to say that there was not any impact, but we saw that orders slowed down. The government was working at a little slower pace than they would have worked. But I think those issues are getting resolved as we speak. They are catching up. Even though we would love to them do it at a faster pace. Because remember that government placing few orders can really rejuvenate the whole capital market for defence. And this is the cheapest kind of funds the Indian government can get for the defence market. I wish they get the message and they really, really start giving the orders and rejuvenate the defence sector very soon.

Abhishek Shah : Thank you so much Sir, and good luck.

Moderator : Thank you. The next question is coming in from Ashutosh Garud from Ambit Wealth. Please unmute your microphone.

Ashutosh Garud : What I was asking is that at the start of FY 2025, we had an order book of 14 00 Crores and we are now about to deliver a 900 Crores top player. Now, entering the end of FY 2025, start of FY 2026, we are having a lesser order and unless we get some really big orders, it will last only for an hour. So would it be fair to say that the growth as far as FY 2026 is concerned will be flattish and the 50% growth rate which you are mentioning would be fairly back-end-type as far as that is concerned.

Ashok Atluri: I think we feel that there should be growth. It may not be flattish, but again what I have been saying from the beginning that whatever is the deficit in FY 2026, we will make it in FY2027-2028, more than make it.

And we still stand by the statement that we made that average CAGR of 50% will be achieved. And I understand your concern that our order book is less than the order book

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Page 17 of 27 which was in the end of FY 2024. So we are concerned about that but the fact is that the orders have been little slow in coming. But again, we see that government is moving very fast and o

order position will become little better by end of Q1. And we will keep you updated about it. But overall, we have been never more optimistic about placing orders on Indian defence industry. They are acting very fast. They are creating the budgets which are required for them. And they want to buy from Indian players notwithstanding the fear that President Trump is pushing Prime Minister Modi. Prime Minister Modi is not a guy to be pushed around. He may act with all the decency and diplomacy that is required, but he will completely act in the interest of the country. I do not know if any other leader would do that. So we think that the orders will come to Indian companies and in large numbers as we speak.

Ashutosh Garud : Thank you and all the best.

Moderator : Thank you so much. We will have our next question from Mr. Manan Vandur from Wallfort PMS.

Manan Vandur : Thank you for the opportunity. Sir, my first question is on can you please update us on the Goa facility? Last quarter you said that we were at the blueprint stage. Now, where are we?

Ashok Atluri: We are waiting for permission from the government of Goa. And we were supposed to start the construction as we speak by February 15th but I think there is some delay in giving the permissions. But the moment the permission comes, we have the blueprint, everything ready. We will start the construction. We hope to operationalize it probably before the end

of this calendar year.

Manan Vandur : Okay got it. Sir the next question would be that last call you had said that we might have around 1100 to 1300 Crores kind of an order , but you are now saying that the pipeline is of 800 Crores .

Ashok Atluri: That is only for domestic orders.

Manan Vandur : Okay so earlier when you had mentioned 1200 to 1300 that was including international?

Ashok Atluri: I am assuming that I meant the total order inflow would be over 1200 Crores . So yes, I had assumed that it included exports also , yes.

Manan Vandur : Okay got it. Then Sir two more questions. Can you please also give us the margin profile for Vector? I know it is a very small as of now, but still some margin or are we like losses in that company?

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Page 18 of 27 Ashok Atluri: The thing is listen this is at a R&D position now. I think we will start the sales starting next year. I think in six months or so we should start getting the sales. The margin profile in no case can be less than 25% PAT. I think the amount of value they will be bringing . The amount of uniqueness that they are bringing to the products and the amount of power per rupee that they will be giving to the customer will be extraordinary. If they were to buy, even at current market prices the same thing, the margin profile will be very, very good.

Again, all companies that add IP, they are not just buying and assembling that create deep IP, they can demand and they do get margins the way Zen is getting. So, I think that will be a good margin profile. They will definitely not dilute our margin profile. If they fail to improve the margin profile, I would be very surprised.

Manan Vandur : Okay got it. Sir, I asked because in the press release I can read that it did around 1 Crores something of turnover in 2024, which is why I just asked.

Ashok Atluri: This is just experimental product that they sold to somebody. Actually it could have been given away something like that. The actual commercialization of the products will happen in the next year. It will be very large . I think the orders will increase by FY 2027 and 2028.

They are going to be very, very large business for us.

Manan Vandur : Got it so just a follow up question. Sir even as you said that we do not look for anything which is below 25 %, but one of the participants asked about RE and Afzal Sir said that they are doing PAT of 13 -14%. Then how do we look at that?

Ashok Atluri: We do not acquire companies based on PAT profile. We invest in companies based on their uniqueness and the value they bring to the customer. That means that they should be unique and a potential to become a global leader. So once these uniqueness and deep technologies available, the margin profile automatically has to be very good. Because it is not a commodity product. It is a deep IP research product. That means the profile will be good. So that is right, the 25% will come automatically if these things are fulfilled. So at present, the profile is at 13% or so. But when we mix our weapon simulator with marine simulator, what I said was that the profile will improve to at least 25%. So when we start going to the naval simulators, I think the profile will be much much better than what is there in the commercial marine segment.

Manan Vandur : Okay understood. And Sir, my last question would be that Sir, even as we are now going into drones that you said, who would be your competitors in the listed space?

Like Optiemus could be one or something because they are also doing so. What do you think? How would you compare yourself with someone who is listed?

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Page 19 of 27 Ashok Atluri: I will not compare myself with anybody who is listed. We want to create a market in which we want to absolutely help Indian government become unbeatable, the Indian armed forces become unbeatable. So for example the counter rotary technology that is there, it is 30% more efficient, it is very responsive. So what it can deliver is something unfathomable, can we create underwater swarm drones . So there are multiple applications as we speak. And again, there are two things. One is the drones that we may create ourselves, which will not be done by this company. This company is a dedicated ecosystem supporter, ecosystem supplier, the engines, the counter rotary technology etc. So they will be doing that and they will be absolutely, I think they will be number one in the world without exception. So we will be trying to look at some companies that can use these technologies and other technologies to create the drone. So we are not yet a drone. What I am saying is we are probably on the way to become a drone company sometime in the future.

Manan Vandur : Okay got it. That is it. Thank you so much.

Moderator: Thank you. We will now take the last question for today from Mr. Abhay Jain from Hem Securities. Mr. Jain, please unmute your microphone and go ahead with your question.

Abhay Jain: Okay thank you for the opportunity. Ashok ji, like we have been really optimistic about Zen and that is partly because of your optimism about the market. So, considering that there have been really big statements by our Honorable Minister Rajnath Singh about calling 2025 as year of reforms and we have been hearing good things about Defence Acquisition Council as well, DAC as well. But that is not getting realized into orders and this is not about Zen, this is about all other companies as well. There has been a slowdown. So is the opportunity real or how big is it for Zen for the next three to five year horizon? Even if it is getting shifted maybe from one quarter to the other, it is okay, we understand that it might be due to elections and all but is the opportunity really that big? And how much are we trying to achieve out of the total addressable market present for anti-drone simulators both of these businesses combined as on today. And sorry, just one last line that when he talks about year of defence, I mean like year of reforms for defence, he is also indicating about technologically advanced combat ready force. So, they are focusing a lot of technology. I am pretty sure we are, we must be one of the front runners in getting a pie out of that. Is our understanding correct and what are your comments on that? Thank you.

Ashok Atlur

i: I think you are very much on track Abhay. The fact is, the market is really, really big. I really do not want to tell because that will sound obscene in this forum. But what we have seen is in the last few months, the market size has been increasing both for simulators and for anti-drone systems only for India. When we say that we will grow at a CAGR of 50%, we are saying that in a very, very conservative manner. To your question, Zen Technologies Limited
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Page 20 of 27 why is the order slow? I think the orders have slowed. I think there are some bad players in the industry in the sense that, if you supply products that do not work in the border, like Chinese things, there is some kind of reservation. There is some disappointment by the armed forces that we have let them down. I think that is the overall feeling. But companies like Zen, there are some very great like Avantel, Solar. These are the companies that are really, really doing something, which is very, very unique. And we think that we will overcome the negative impression being created by these assemblers and importers. And we think that when he says the year of reform, this exactly means that we need to weed out the bad players so that the good players can flourish. And the good players, especially those, not the manufacturing coolies who say we are part of the value chain of some big company, not those guys. We are really talking about the innovators and the IP creators and people who do deep R&D. That is what Mr. Rajnath Singh was referring to when he said that this is a year of reform for getting high tech technology into the armed forces. I think your intuition is absolutely right on that point.

Abhay Jain: Okay nice to hear that from you.

Ashok Atluri: Thanks Abhay and moderator if you do not mind, can we extend it by 10-15 minutes if there is somebody. It is 5.37. Let us do till 5.45 if you do not mind.

Moderator: Sure Ashok Sir.

Ashok Atluri: Thank you so much. If there are people in the queue, some people are in the queue.

Moderator: Yes, we will announce the next participant's name. We will wait for a moment while the question queue assembles. We have the next question coming in from Jatin Jadhav from Sahasr Capital.

Jatin Jadhav: First of all thank you so much for extending the time. So I have two questions. First on the anti-drone system, the Vyom shield, which you are talking about, and which has four layers. Sir based on my research, I have heard a lot of companies making claims that they have the best; they have the best X, Y, Z. You for sure must have been hearing them as well so in detail and in a very crisp manner could you explain what are these four layers and how are we so different because as far as my research goes one of the most effective ways of countering any drone or a swarm of drone is basically EMP directional weapons so that is the first question.

Sir and second I want to understand since you have acquired ARI, I do believe it is a very good strategy of acquiring someone in the naval simulation sphere. When will we see some good traction going there? So can we easily manufacture a destroyer's simulator, an aircraft Zen Technologies Limited
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Page 21 of 27 carrier simulator or the subsystems of an aircraft or a destroyer? Are we targeting those or a whole simulator system for those? Thank you.

Ashok Atluri: So with respect to the Vyom Kavach. Again very frankly, we have been hearing these claims about companies that have been very active in the space of anti-drone systems.

When I meet investors, they keep saying Ashok, this company is there, they have developed this, about more than a year back, there were two tenders floated by the Indian Armed

Forces. Now, there were only two or three companies that came to the trials. There were 20 companies that came to the pre-bidding meeting and

there were six companies that put in the bid. But who came to the trial? The question is we will not discuss what I have, what you have. The final proof of the pudding is, are you actually getting your equipment for trial or not? And then who got qualified. Only two tenders floated by the Indian Armed Forces. In both the tenders, Zen was the resultant single vendor situation. So that is what. If there are any other companies that were there in 2023 with better technology, they did a fantastic job of hiding the technology from the Indian Armed Forces. We will wait. I am not saying that there is no better technology. But the proof is, when the tenders are floated, please get your equipment there and show to the Indian Armed Forces. And again, the Indian Armed Forces are saying their IDDM that they are going to go through your software code. They are going to see the software. They are going to see your Gerber files for the electronic PCBs that you have done. They see how you have designed the thing. Then they are going to see your solid works, exploded views of the product, the CAD profile, everything. They are going to deep search. If you are just going to come and pimp for somebody, resell somebody's product, they are not going to accept it. And even then, our confidence is even if you are reselling, you do not have a better product than us. So this is based on our experience at the ground level. By having said that, again, in the case of this multiple layer thing, we are aware of the EMP technology. How do we do create anti-drone system that can effectively destroy only the enemy's drones. Now what we are doing is, when we are talking about the four layers, the first layer is our software, soft kill, where we send the soft kill signals to disable the ground communication and do everything, deny the GPS signal, etc. And only the drones that are able to pass that stage come to the next one in which we actually send kamikaze drones to go and destroy them. Now if I had an EMP active at that point in time, it will destroy both my drones and the competitor's drones. But I can be smart enough to use the anti-drone technology, the soft-scale technology in such a way that my drones are not impacted, but the other drones get completely impacted.

So the third stage is of course we use missiles. Again, these missiles are something that we will buy it from third party and integrate into it. The fourth are the actual weapons that we are in the process of manufacturing, licensing, etc., which can be integrated at the final stage. But in the final stage, we can also integrate existing weapons like L-70, therefore the Zen Technologies Limited

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Page 22 of 27 air defence that we have done already. We can use any existing weapon that is there, but in case they want something very versatile weapon like 12.7mm cannon or a 20mm gun or a gatling gun, we can incorporate, we are planning to offer that and give it as a standard offering choice to the customer.

Jatin Jadhav : Sir regarding that does not it make more sense to add an EMP directional weapon in the second? I am saying because there is a company in United States who have deployed Leonidas, which essentially is a directed energy weapon, which is I think deployed in Afghanistan also. So according to them, their logic is key, let us cordon off six, seven kilometers of entire airspace where any drone of whatever size might come through. And then the airspace where we see our drones also flying or let us say enemy drones might also, there we can have a more hard kill, let us say, gatling guns or Zen kamikaze drones. So that is where the question rose up.

Ashok Atluri: The technical person, Karan. Karan, can you just very quickly reply to the technical question?

Karan: Very good question and you have done your homework well. The first thing is direct energy weapons are very fun to hear

and they need very good tracking. They need good visibility that is weather conditions and they can be obscured with smoke and other systems they are deployed in that area, is direct energy is basically light, microwave and such stuff, which can be dissipated very easily. So they are a research in progress. Zen is also doing some direct energy experiments in-house, along with CHESSE. It is our DRDO's very own direct energy unit. So yes as these things become viable, there are very good news clippings that are coming out for their companies. But Railgun is one, Direct Energy is one, EMP is one. They are on the horizon but not yet completely proven. So a mix of all is what Zen is doing and let us hope that works out.

Jatin Jadhav : Got it. Yes, yes. It cleared my doubt. Thank you so much.

Ashok Atluri: I hope you have noticed both of them are bald. So unless they are bald, we are not acquiring those companies. So I think we will go with the question answer. Let us go till 6 o'clock.

Are there still people waiting, moderator, in the queue?

Moderator: Yes, Ashok Sir we have.

Ashok Atluri: Moderator let us go till 6 o'clock if you do not mind.

Moderator: No problems.

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Page 23 of 27 Ashok Atluri: Thank you so much. Appreciate that.

Moderator: Our next question is coming in from Mr. Arman Nahar from Blue Sky Capital. Mr. Arman, please go ahead.

Arman Nahar: First of all Sir thanks a lot for again extending and second thing with your words because most of the companies like the way we hear you that gives us a conviction that you are not just working for the company but you are working for our country. The way you passionately told that tell about that we want to give a quality product for our Indian Armed Forces that brings in not just goosebumps, but a feel good factor that we are associated with you. And third thing practically to be around like order book as we have said that it might get into Q1 or Q2. The company we acquired is that 800 Crores pipeline we are talking about those companies acquired order book is also included in that and what is their pipeline?

Ashok Atluri: So they are not included in this Arman. Arman thank you so much. Really appreciate, we love to have people who love the country as shareholders, but we want to make money also for you. But coming back to this, we think there is order book for them, but it is not very large. It is probably around 100 Crores or so. So it is not very large. But again, when we actually add more products, when we add more, mix our technology, I think we will be exposing ourselves. Again the more I dig into it, the whole world is moving towards, this blue ocean security. They want more security there. They are thinking various ways and we see that in Philippines and all this nasty behavior that is going on. I think this is really, really becoming a big opportunity and it was very opportune that we were able to get this great company that Shra van had built over the past two -and-a-half decades but again the order book is not so significant it is only 100 Crores but we expect to collaborate with them and improve it significantly.

Armaan Nahar: Okay thanks a lot. That is it from my side.

Moderator: Thank you. Our next question is coming in from Mr. Rudresh Kalyani from Kalyani Private Business. Please go ahead with your question.

Rudresh Kalyani: On the one hand, you said you told that we have increased the manpower, but when we see the panel statement, sequentially the manpower cost has come down by somewhere around 7.5% so what is the reason?

Afzal Malkani: Rudresh, so you are right that in the last quarter it was Rs.14 Crores and in this quarter it is around Rs.12.10 Crores, but if you see in the current quarter, there is a reduction in turnover by almost 70 to 80% compared to Q2. In Q2 our turnover was around 241 Crores and

in this

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Page 24 of 27 quarter it is the Rs.141 Crores. So against this 70 to 80 % reduction in turnover. There are some reductions in the contractual employees to the extent of Rs.2 Crores. Otherwise our employee cost remains the same only.

Rudresh Kalyani: Okay and one more thing is our other income has increased exponentially. So what is the reason?

Afzal Malkani: If you see, we raised Rs.1000 Crores in the month of August 22nd 2024. So there is an interest income at the rate of 7.5% on a quarterly basis. So if you see in Q3, our EBITDA was around 58 -68%. It is around 35%. If we reduce this other income and other income is at Rs.22 Crores out of which Rs.19 Crores is the interest income. If we deduct this Rs.19 Crores then also our EBITDA is coming around Rs.39 Crores. So there is a reduction of around 8% in EBITDA. But this 8% as I explained to you that there is an increase in expense actually compared to Q2. If you see our manufacturing cost, employee benefit cost and administrative and other cost was 15% in last quarter Q2. And in this quarter Q3, it is 23%. So there is a delta of 8%. So that is why this total EBITDA has come down to 8% so it is 27% but again if we add the other income it is coming at 35%, so this is in absolute numbers, overheads remain the same, but if you calculate the percentage of expense on turnover of Rs.240 Crores, then it is coming to 15%. And in Q3, if we consider the same overhead on the basis of percentage of 141 Crores, it is coming at around 23%. So there is an increase of 8% in the expense. But again, this 8% is compensated by the increase in the other income in the form of interest income. But again, what we say is that if we compare, we generally give the guidance for the full year. If we compare the margin for nine months, then also in nine months, our turnover was 637 Crores. Again, this we have achieved the EBITDA of around Rs.252 Crores. This is again 37.94%. And even if we deduct this, interest income for this nine months is Rs.29 Crores. If we deduct this Rs.29 Crores from

Rs.252 Crores then it comes at Rs.223.72 Crores. And if we apply the percentage on 223.72 Crores divided by 637 then also EBITDA is coming exactly 35%. This is operational EBITDA. So on a nine month s basis everything is on track only on that. And even Q3, it is only due to the reason that our turnover is below average. Again, in Q4, our turnover will increase, our EBITDA will again increase. So overall, we will be at the end of the year, we will be more than 35% EBITDA and 25% profit after tax.

Rudresh Kalyani : Okay, thank you. And my last question is see we talked about the CR Tech. So can that tech be sold as a model for the other drone guys to increase their efficiency?

Ashok Atluri: That is the only purpose of that . Vector will be focusing on selling these subunits to support the drone ecosystem in India. So they are completely focused on that . They will not be doing any drones by itself. They will be supporting. So drone is another acquisition that we are negotiating with somebody at this point in time, but that is a different discussion
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Page 25 of 27 altogether but this will be the drone ecosystem supporter for India and there will be a lot of exports to most advanced countries in the world from India to those target countries.

Rudresh Kalyani : See you talked about Bhairav Robotics but you did not tell anything about that. So since we are not into manufacturing what is the use of this?

Ashok Atluri: What is your question? I did not understand.

Rudresh Kalyani : I meant that robots are meant for the automation.

Ashok Atluri: Rudresh I am giving more time for Q&A. I did not want to go talking about product otherwise we would have exhausted the whole hour discussing that. So Bhairav I will talk about them in the next ea

rnings call definitely. We will go deep into it, show what they are doing. Okay.

Rudresh Kalyani : Okay. Thank you.

Moderator: Thank you. We will take our next question from Mr. Gopalakrishnan Subramanian from Uthranush Investments. Please go ahead with your question.

Gopalakrishnan : Excellent evening to the team. Hope you are able to hear me. Now Sir, one thing I see that there is a performance deterioration in the trading 12 -month period when I compare it with the three -year period. In the three years, sales growth has been 100 % whereas profit growth was 257 %. Whereas in the trailing 12 -month period, sales growth is 100 % but profit growth is only 92 %. That is profit growth is trailing the sales growth percentage. Any specific reason for that that is point number one. Point number two is this promoter holding, somebody raised that point. Actually, when I observe, when compared to March 2023 till date, the promoter holding has come down from 60% to 49%. There is 11% reduction in promoter holding. When I see there is a cash of Rs.1100 Crores in the book, I am not able to understand why promoter holding has to go down when there is so much cash in the books.

Ashok Atluri: I will answer the promoter question. The cash in the company is not with the promoter. So, that is one thing. The second thing is, again between March 2023 and now in addition to sale by the promoters, I think we sold about 40 lakh shares in all. Me and my brother sold 1% each, other promoters sold 2%. So there was a 4% drop. But the reason why it has dropped by 11% is there was a QIP done for raising this 1000 Crores .

So that caused the dilution , the overall share capital increased and that caused the dilution and that has resulted in the promoter's equity coming to 49%. The other question Mr. Afzal will answer.

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Page 26 of 27 Afzal Malkani : So Gopal, you are asking about the growth, right? So growth at the beginning of the year in Q1, we gave a guidance of around Rs.900 Crores against the last FY 2024 turnover of Rs.430 Crores. So we already gave a guidance for a growth of 110% considering that. I think that it is a good growth, 110% considering the current environment. And considering total nine months, we are on track. So we request you to look at it for the whole year turnover. And as we mentioned earlier also that currently we have achieved Rs.637 Crores in nine months . First in H1 it was 494 Crores in Q3 it was 141 Crores . There is some deferment of shipment in Q4 but that will be makeover in Q4 and we are on track and we will achieve our guidance of around Rs.900 Crores we gave at the beginning of the year.

Gopalakrishnan : No, my question was different. I am talking about sales growth and profit growth. See the sales growth in the three year period 100%, profit growth 257%. In the trailing 12 -month period, the sales growth 100% but profit growth is 92% that is the profit growth is trailing the sales growth. You understand my point? I am not talking about your growth and guidance and all that. No, no. I am only talking about the variance , sales growth is 100%, profit growth has to be more than that right .

Ashok Atluri: Gopal very briefly this is a result of the product mix. Simulators, we have very good

margins actually but in the case of anti -drone system, we bid very aggressively because we perceive some competition is there and that is the entry strategy that we have done. So whenever we have drones as a turnover factor, our profit do not grow as much as the sales growth. So that is what the difference is.

Gopalakrishnan : Now I have actually some more questions because there is no time, who I should address those questions. So maybe I will send a mail , maybe I can get a response.

Ashok Atluri: Send it to CFO of Zen technologies.com or investors at Zen technologies.com , we will respond immediat

ely on that.

Gopalakrishnan : I know the time is limited. You already extended the time. I thank you very much for that. I was wondering . I was anxiously waiting for my opportunity. So thank you for that.

Moderator: Thank you. We will take that as the last question for today. I will now hand it over back to the management for closing remarks.

Ashok Atluri: We have two minutes. Last one question please moderator . Please take somebody.

Moderator: Okay Ashok sir. We will take the question from Mr. Deepak Sharma. Mr. Deepak Sharma, who is an individual investor. Please go ahead.

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Page 27 of 27 Deepak Sharma : Thank you very much for the opportunity. Just my one question. Despite having a very good order book of 900 plus CR in the Q2 we have executed only the 150 something figure.

So what is the gap?

Ashok Atluri: So the thing is that out of the 900 you know we have almost about 300 is annual maintenance contracts. So this is the September 30th figure you are giving. I am very sure about that. So out of that if you take the 300, we have about 600 Crores that we need to execute. So we think that out of that we have executed 150 and in the Q4 we will fill up the gap whatever is there to execute the 900 Crores thing and whatever is remaining will be executed in Q1 and Q2. The whole thing will be executed.

Deepak Sharma : So I am summing up that within next two quarters means Q4, Q1 and the Q2 of next year you will complete the remaining I think 850 Crores something order book right?

Ashok Atluri: If you remove 300 Crores , maybe little 250 to 300 Crores of AMC , 600 Crores is remaining. Out of that 150 we have executed, you are saying. 450 will be remaining. So that 450 we will execute in these three quarters in addition to the new orders that we are getting.

Deepak Sharma : Okay. Thank you.

Moderator : Ashok Sir, you can continue for the closing remarks.

Ashok Atluri: By the way, I love interacting with my co -owners of the company and I think this is a very, very sacred time. I am sorry if some of you have not been able to answer your question.

Again, please address them to investors @zentechnologies.com. All will get answered without exception or CFO @zentechnologies.com. Afzal will be promptly replying to them.

And I look forward. I have never been more optimistic about the defence sector as such. I think the next three years will blow our minds away. And let us support the Indian government in achieving their objectives or become absolutely unbeatable in the world.

And we thank you again for the fantastic support that you have given to us. I appreciate.

Thank you so much.

Moderator : Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call.

Thank you for joining us and you may click the leave icon to exit the meeting. Thank you for your participation.

Call: May 2025

May 23, 2025

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Symbol: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on May 19, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , please find enclosed the transcript of the earning c onference call held on May 19 , 2025.

This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar

Company Secretary & Compliance Officer

Encl: as above

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"Zen Technologies Limited

Q4 FY2025 Earnings Conference Call "

May 19 , 2025

MANAGEMENT : MR. ASHOK ATLURI – CHAIRMAN AND MANAGING
DIRECTOR – ZEN TECHNOLOGIES LIMITED

MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER –
ZEN TECHNOLOGIES LIMITED

MS. SHILPA CHOUDARI – WHOLE TIME DIRECTOR –
ZEN TECHNOLOGIES LIMITED

MS. ABHILASHA ATLURI – INVESTOR RELATIONS – ZEN
TECHNOLOGIES LIMITED

Zen Technologies Limited

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Page 2 of 20 Moderator : Ladies and gentlemen, good day and a warm welcome to Zen Technologies Limited Q4 FY 2025 earnings conference call. Please note all participants lines will be in the listen only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. I now hand over the conference to Teena Virmani from Motilal Oswal . Thank you and over to you.

Teena Virmani : Thank you moderator . Good afternoon everyone and thank you for joining us for the Q4 FY2025 earnings conference call of Zen Technologies Limited . We are pleased to welcome the management team of Zen Technologies to this call . Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani CFO, Ms. Shilpa, Whole Time Director and Ms. Abhilasha Atluri from Investor Relations. We will start today's call with brief overview of company's performance after which we will open the floor for question and answer . With that I now hand over the call to Mr . Afzal first for the compliance related disclosures and then to Mr . Ashok for his opening remarks . Over to you Sir.

Afzal Malkani : Good afternoon everyone so the results and investor updates have already been e -mailed to you and are also available on the stock exchanges . If anyone has not received a copy please let us know we will be happy to send it over . Before we begin, I would like to remind you that today's discussion may include forward -looking statement which must be viewed in conjunction with the risk s and uncertainties that the company faces . These are detail ed in

our internal reports and other public disclosures . We will start today's call with a brief overview of the company's performance after which we will open the floor for the question and answer with that I now hand over to our Chairman and Managing Director , Mr. Ashok Atluri for his opening remarks . Thank you .

Ashok Atluri : Good afternoon to fellow investors and other participants here . I am assuming that you have seen the presentation and I will not go delve into the presentation itself but I will talk about some peripheral points , which may be of interest to the investors . One of the questions which should be worrying investors is about the order book position . I have indicated that we should be getting about 800 Crores worth of orders by H1 . I think we still are on to it . In addition to that there may be some other orders because of the recent operations there may be something additional in those areas . These orders that I am talking about in course are all simulators so the other segment orders may be activated due to the recent actions

that our

neighbors have taken against us . To understand the anti -drone systems that we have , we started R&D in 2018 . In fact , we were the only private company to the best of my knowledge , everybody else was screaming drones and we were thinking why is not anyone talking about anti -drone systems and complete silence on that regard and we saw the signal in the silence and we decided that we should focus entirely on that .

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Page 3 of 20 Around that time , we acquired UTS team of extremely competent experts led by Srinivas Raju Raju and Nagendra Prasad . Our bet proved very very prescient and while they were doing lot of other projects we tried to focus exclusively on anti -drone systems and the results have been very very encouraging . Again this was a long four , five year kind of research and it is still ongoing , extreme amount of investment and still ongoing because the threats are evolving the new threat that are coming are being accommodated in the product . Even though we initially started the product typically has lot of components . We initially started with detector and jammer but later we added the radar which was again created which is a multi -year at least five, six years of effort which was created in less than a year kind of situation because we were really hard pressed for time , the electronic optics everything is now in house so we are completely giving design developed and made in India . I always hate just made in India because I like design developed also to be added to that so yes this was a complete design developed and made in India solution to it and in the initial , in the first tender that was floated by the armed forces had by Indian category . You could get a foreign collaborator . In 2023, when they floated their RFP they insisted on IDDM that means to say th at even the technology and the IP in the product should be owned by Indian companies . Even though initially we had about 12 companies finally only two companies came for the trials and only one company emerged as a resultant single vendor in that because we were the only company that was able to comply with the requirements there . What were the requirements ? The requirements were in the sense , typically most of the anti - drone system in the world handle only two frequencies 2.4 GHz and 5.8 GHz , which are basically commercial frequencies . Our bet was that the actual war when it will happen it will not be the commercial frequencies that will be tapped , but it may be any frequency , so we have to develop anti -drone system that was band independent not band dependent so that is a solution that we were able to make and now we have that solution and that solution has been very very helpful to our armed forces so I think the bet was very, very taken early on . As we speak lot of improvements , lot of feedbacks are being incorporated and I think we will absolutely have a world -class anti -drone system , which will help India to be absolutely unbeatable in any war . India and its allies which our Indian government feels we will be supplying to them too , so this is the statement with anti -drone system . Again we are hearing lot of statements about anti -drone systems but we really have to see whether this is indigenously designed , developed , and made . Again we have been tested and we have been proven beyond doubt by the Government . We qualified in I DDM case so we know that we have been tested . We have to see any competition in this regard from any other vendor . I have been always saying that 50% average CAGR growth is expected . My confidence still is there that the average rate will continue , but again because of the delay in receiving the order this year may be muted . Prediction was made when it was 900 so on 900 if you take that as the base , 1350 , 2,000 and 3,000 Crores so it will be little m

ore than 6,000 Crores in the next three years .

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Page 4 of 20 We still feel confident that we can achieve those figures . As a company this is what we

could do but Government we feel should be doing a little more aggressively in the sense . After the pager incident in Israel which happened in which Israelis gave the pagers to Hamas and activated it after a few months probably a little longer than that and they were able to kill them so we actually believe that lot of these Chinese stuff which is there in India is actually that kind of stuff , their cars , their weapons because they control the software especially electric cars are very , very dangerous . At least the Government should take control of the software . The mobile phones they are very dangerous . They should be probably looking at the software and try to take control of the software otherwise we will be in big trouble with China . I am very sure, you might have read the article where even solar farms can be switched off by the Chinese when they want because they have switch in the panels which can be activated and put off . I will open the floor for question and answer and if there is any clarification required , I will be more than happy to answer them . The floor is open now .

Moderator : Thank you Sir. Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We will wait for a few minutes until the queue assembles . Ladies and gentlemen please stay connected .

Ashok Atluri : Moderator I think we should keep in mind that we want to end this in one hour . There will be no extension . We should treat the time very precious and try to close it , see that everybody accommodated and can you request the questions to be , let them be long, but as brief as possible .

Moderator : Sir we will take care of that. Ladies and gentlemen we will have our first question from Mr . Amit Dikshit from ICICI Securities .

Amit Dikshit : Good afternoon everyone and congratulations for a good performance record quarter and record year . I have couple of questions . The first one is that in the proposed revisions to DAP we have seen that there was a mention of simulators being contemplated for reducing the testing time , have you seen any traction around that particular aspiration of the government and anything you hear on that front that is my first question .

Ashok Atluri : So the simulators are actually now being used in the shipping acquisitions especially for products where it is very very difficult to do NCNC because they are actually built to purpose . It is already there but I think they want to make it more generic . This is one of the suggestion . DAP was released in 2016 and then in 2020 , now it is due for revision and the suggestions are coming in .

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Page 5 of 20 One of the suggestions is using simulation as a way to do the trials instead of actually doing the equipment . I have owned my own reservations but I feel that it should be applied very very fairly and to your question what would be our involvement . We may get involved as the opportunity evolves , but at this point in time we do not see much role for Zen to play in this kind of simulated evaluation .

Amit Dikshit : Okay, the second one is essentially on the delay in ordering that we have seen so do you attribute this to the general delay that we saw last year , I mean because of general elections are there some more structural element to it because we saw few bulky orders being expedited but unfortunately I would say gamut of products or services did not kind of evolve but after this conflict do you see some more chance of at least ADS happening . You mentioned in your prepared remarks , but just

it wanted to get little bit more clarity on it .

There is a budget of 40,000 Crores emergency procurement being talked about so just wanted to get a little bit more color on that aspect .

Ashok Atluri : To be fair to the government they were actually consolidating the requirements of the anti - drone systems to really understand how much is the requirement , when to procure etc , bulky orders were placed on other equipment , but even though as an industry we do feel that they could probably have placed but the fact was they were trying to assemble but this is fortunate for us , Operation Sindoor has been I would say a stroke of luck in the sense for the dastardly act what was committed that was a really really bad act but post that what happened was a stroke of luck for us in the sense we were able to actually go destroy you know 10 times of the what damage they did to us and then we were able to test our equipment and government was able to see what happens in the real war and of course it was also almost like a PR and a marketing plan for the Indian equipment where we proved beyond doubt that our equipment works . I think post the horrific incident what has happened is actually very good in my estimate and now we see that there is absolute sense of urgency to acquire these new age war equipment , the drones and the anti -drone stuff . Yes to your question the short answer is yes , we think the Government has really really appreciated the role of the drones and anti -drone systems and they are accelerating the procurement and we think companies like Zen will benefit from this new sense of urgency

that the Government has .

Moderator: Thank you Sir. We have our next question coming in from the line of Mr . Krishna P . Mr. Krishna please go ahead with your question .

Krishna: Good afternoon. Sir my first question is regarding the DRDO anti -drone. We are part of the DRDO system , how we are part of that Sir, anti-drone system , what we are supplying to them ?

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Page 6 of 20 Ashok Atluri : Zen does not supply anything to DRDO. Our subsidiary which has developed anti-drone system , they have also collaborated with the DRDO and they supply the jammer and the detector . Maybe little part of that but these are the two major elements that UTS has collaborated with DRDO to supply to them .

Krishna: Okay Sir. My second question is regarding the chip . Are we designing the chip Sir for what we are using in our systems ?

Ashok Atluri : No Krishna we are not designing the chip ourselves . We are making use of ready made chips so again our dependency is not on a particular chipset what has happened during COVID and Ukraine war, there was shortage of chips so we had to design multiple times the same chipset the same PCB with different chipsets so we are chip independent we are not tied to any chip and of course the chips are not made by us . They are procured from foreign sources . It is like think of the product like a windows operating system or the Intel chip , we buy it from outside , we build the applications around that . The chips are still procured from abroad . We are hoping that with the new policy that the Government has done for semiconductors some of these chips will be made in India eventually but as of now most of the chips are procured from abroad but again from non -Chinese sources .

Krishna: Okay Sir, thank you Sir. Sir Bhairav Robotics they have any patent Sir. You have not mentioned anything about the patent .

Ashok Atluri : They have applied for some patents and I think the patents have yet to be granted . They have been applied I think , yes.

Krishna: Okay Sir one more last question is there. Sir in anti -drone now we are saying with the laser technology the drones are killed off , are we working on that .

Ashok Atluri : No laser technology we have not integrated . I think the laser tech

nology was found wanting

in the current operation so but we have integrated the L70 weapon and we have launched this remote control weapon stations through AI turning and those weapon stations can be integrated with anti -drone systems and also those remote control weapon stations can be used independently of the ADS so this is the market that is showing lot of interest in our products and so we look forward to those accretive sales also as we go ahead .

Krishna: Okay Sir. Thank you Sir.

Moderator: Thank you . We request participants to restrict to two questions and then return to the queue for more questions . To rejoin the queue you may click raise hand icon again .

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Page 7 of 20 We will have our next question coming in from CA Garvit Goyal from Invest Analytics Advisory , LLP.

Garvit Goyal : Good evening Sir. Congrats for a good set of numbers . My first question is on your guidance like you mentioned FY2026 is expected to be muted one although medium to longer term guidance is very much aggressive so can you put some color on why we are looking for a muted FY2026 despite the current environment that you mentioned the Government is increasing the procurement , emergency procurement particularly after the incident happened with our neighbor country so that is my first question Sir.

Ashok Atluri : So Goyal the thing is that while the orders decline , we think the order book position will improve significantly and that may happen by end of H1 and by that time if we get the orders how much of it can be executed during the current year is a question so that we will come to know as we go ahead in the in the couple of months I think we will be in a better position but we are saying that by the end of H1 we should definitely have a very clear picture , possibly a clear picture and as soon as we get we will share this year's thing . Even if lot of orders come the execution will spill into the next financial year so that is the reason we are saying that this year will be muted .

Garvit Goyal : When you say this year will be muted , can you put any number to it , like 10% kind of growth or anything like that .

Ashok Atluri : I am not putting any number to it Goyal. Unfortunately, the thing looks tentative at this point in time and I am a very aggressive number giver , if I have even a slightest inkling I go ahead and give the number but at this point in time I am restraining myself from doing that .

Garvit Goyal : And 50% CAGR is intact for next three years right .

Ashok Atluri : Yes cumulatively we think yes , if it comes to about 6,000 Crores plus of turnover in FY2026 to FY2028 and we think that is achievable .

Garvit Goyal : So that means for FY2028 you are looking for 6,000 CR kind of turnover right .

Ashok Atluri : No, no it is a cumulative turnover .

Garvit Goyal : Cumulative turnover .

Ashok Atluri : But our prediction was the base is 900 Crores so FY2026 would have been 1,350 which we think will not happen .

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Page 8 of 20 Our FY2027 would have been 2,000 and FY2028 would have been 3,000 Crores so when you add up it is a bit more than 6,000 Crores .

Garvit Goyal : Got your point Sir. G ot your point and just last one thing on the margin side Sir. A re we able to maintain the kind of margin that we are doing currently ?

Ashok Atluri : We have given a guidance of margins of you know 25 % and 35% , 25 PAT and 35 EBITDA and even if you see this time even though it looks little more . If you take out the interest income that we have got from the QIP raise the net comes to around that region only 25 for PAT and 35 for EBITDA margins .

Garvit Goyal : And you will maintain that right .

Ashok Atluri : Yes we feel very confident about those margins , yes.

Garvit Goyal : Understood Sir. T hank you very much Sir for your time . All the best for the futur

e .

Moderator : Thank you. O ur next question is coming in from Mr . Akshay Patel from AK Investment .

Akshay Patel : Hello congratulations Sir on the great set of number . Sir my first question is that recently BEL gets order of 572 Crores for counter drone system so are we also expecting some modern flow to also come in this quarter as now the government has expedited the procurement for the defense equipments and all these things .

Ashok Atluri : Yes we are expecting orders to come during this quarter and next quarter at least in the H1 we are expecting some orders to come through for anti -drone systems yes .

Akshay Patel : Okay Sir just in the context of the industry so how many players currently are in India that is developing the anti -drone system and what might be our market share in the anti-drone solutions in India and also can you put some light on the global anti -drone defen ce solution .

Ashok Atluri : I think the indigenously developed I DDM category in India . I am not aware of any other company than Zen where all the products like detector , jammer , radar , EO any hard kill integration has been done so we are the only company in the private sector for sure . Again to the question in 2023 we participated in a tender , a year -and a half back and that was open tender with specs , which were absolutely suitable for actual operations and there is no public sector or private sector company even qualified in the trials . We were the only company that qualified so to your question the answer is that Zen is way ahead in terms of technology in these products and if they want war tested technolog ies Zen is the way to go but again to your question who are the other players , DRDO has transferred technology to Zen Technologies Limited

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Page 9 of 20 some five six companies so they are the other players with DRDO technology but again no one has done the self -funding like we have done and no one has the technology that we have and nobody has been tested the way we have been tested in actual situations .

Akshay Patel : Alright Sir and can you please put some light on our US business expansion and what is the traction over there . We are expecting significant orders to come in FY 2027 so are these things intact ?

Ashok Atluri : So yes the work with the US is going . I think he is getting a lot of business for US and our move to US was well planned . We have now at least four people working there for us , very senior resources who are going and meeting customers , attending exhibitions , and we think we will be getting some business . FY2027 should be the year in which we should get the orders , the plan is intact.

Akshay Patel : Okay Sir alright and consolidated order book , it consist s of all three recently acquired companies like ARI , Bhairav Robotics and Vector Technics or is it our standalone or der book.

Ashok Atluri : 692 Crores is our standalone thing . They have additionally I think at least 100 plus Crores so that would be another 100 Crores, consolidated would be way bigger than that yes but the 692 Crores is standalone only .

Akshay Patel : Okay Sir thank you so much and best wishes for the next year .

Moderator: Thank you . Our next question is coming in from the line of Mr . Rajamohan Vaikuntaraman who is a professional investor . Please go ahead .

Rajamohan : Thank you for the opportunity and congratulations on a great set of numbers . Basically, in the anti -drone, especially in the light of Operation Sind oor. Y ou had also indicated t o use of

our equipment in an interview . Could you quantify the value of anti -drone of Zen that got used was our hard kill used? There were mentions of D4 anti -drone so I was just trying to understand how did Zen fit in terms of value as well as in terms of quality .

Ashok Atluri : Obviously Rajamohan these are the questions that we will not be able to answer the specific use.

So again, my feedback is based on the ground feedback that we received from the forces. And where was it used? How much was it used is something that I do not know. And even if I knew, I would not be able to share that because of the restrictions that we have. But broadly, our systems were used and we have got a lot of thankful notes from the people who are there. And there were significant interceptions. We know that if they were

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Page 10 of 20 not there, probably it would have been a bad situation. But yes, significant intervention were done by our ADS.

Rajamohan : That is really great. Congratulations on that. Next on the acquisition, especially on ARIPL, and the synergies that Zen would provide. From your internal assessment, does it feel combining weapon with commercial simulator could create a scale multiplier different to the growth trajectory of ARIPL . Like Zen from what it was three, four years back about 150 odd Crores company to 900 Crores now, could a similar thing play out here in ARIPL?

Ashok Atluri : Rajamohan it is a very insightful question. I think you are really doing a good homework on this. So this is exactly the plan that what we did for the army, we want to do in the field of naval simulation also. And there is a lot of demand for the naval simulation. And the ARI has all the products that are required minus the weapon simulator which Zen has, which are used in naval products. And navy is certainly acquiring very, very big role.

Maybe I shared earlier, but we just focus with the land borders that we have but when you turnaround the map of India, the huge ocean that is there, where everyone from America, US, Russia, everyone is interested in that part of the ocean . It has a lot of trade that is happening. So, yes, I think this is a very good acquisition that we have. And I really want to thank Shravan who built that company. So we really, really think that this was a great acquisition. And it is going to be very good for the country and also for the friendly navies around the world. Yes, I think it is a very big story. If we crack the code, this could really run into multiple. Of course, 900 Crores includes anti -drone systems also. So this 400, 500 Crores kind of turnover is something that can be achieved with ARI. I definitely feel may be much more than that.

Rajamohan : That is great. One final question similarly for say Vector Technics. Basically what is the kind of market opportunity they indicated to 23 product lines in the last quarter call?

Generally wanted to understand in terms of scale of opportunity that this company provides.

Ashok Atluri : So as we speak, post the recent event, these guys have won, they are going really big and they are getting lots of calls as we speak for the components that they are developing and they are also getting pressure to develop new R&D. So one is the developed products, they are setting up the manufacturing facility so they can deliver on scale. Second is developing new products which they have a prototype to be into commercially available products. So, Rajamohan, I think it should be tens of Crores in the immediate future. But eventually it is running into at least 300-400 Crores kind of thing.

Rajamohan : Thank you very much Sir for your insightful answers and though I understand there is a lot of pressure in terms of objectively determining and expressing, you are trying to be as best

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Page 11 of 20 as possible trying to give us answers. Thank you very much and best wishes on bagging quicker orders.

Moderator: Thank you. We will have our next question coming in from the line of Mr. Mehul Panjwani from 40 Cents. Please go ahead.

Mehul Panjwani : Sir thank you so much for the opportunity. And first of all, I would like to congratulate the entire Zen team, because, we are talking

about that we are playing a very significant role in the nation's defense system. So that is amazing to be associated with such a great company.

Sir I have a question on UTS, which is, you mentioned that primarily the anti -drone system developed by UTS was provided to the DRDO. So when did we acquire UTS? And how much is it contributing to the turnover of Zen?

Ashok Atluri : The acquisition was between 2018 and 2019. We acquired the company and we started developing these anti -drone systems.

And in terms of the turnover, I think the exact turnover, I will ask Afzal to share but yes, UTS has single -handedly developed the complete anti -drone of all the components of the

thing. Of course, the electronic optics, which is now becoming very important, have been developed by AI Turing but the other part, including the radar, because radar is a decade - long project. But these guys pulled it off very, very fast. Of course, we started the effort and we kind of lagged between but it was a really short term that Raju and Nagendra were able to pull it off. So again, Afzal would you just share the figures?

Afzal Malkani : So out of the total revenue, it is around 125 to 130 Crores.

Mehul Panjwani : This is around the contribution .

Afzal Malkani : Yes.

Ashok Atluri : For quarter.

Afzal Malkani : Total for the year.

Mehul Panjwani : I am newly tracking this company. So I would like you to please list down all the subsidiaries which we have and how much is our holding? Is it like we are 100% holding each of the subsidiaries or much we hold .

Ashok Atluri : You are asking holding of how much we hold in each of the companies, right?

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Page 12 of 20 Mehul Panjwani : Yes list of the companies and what are they specializing in , sorry.

Ashok Atluri : I will tell you . UTS is there of course, and then we have ARI which is into naval simulation, then we have AI Turing that is into remote controlled weapon station. And then we have

Bhairav a that is into Robotics, and then we have Vector that is into the drone ecosystem. So these are the major ones . Of course, we have subsidiaries in the US, and these companies also have their own subsidiaries but these are the major segments that we play in.

Mehul Panjwani : Right and do we hold 100% of the subsidiaries ?

Ashok Atluri : No some are 51. In fact, Bhairav a is 45% or so. It is different. ARI is 100%.

Mehul Panjwani : Right Sir. Sir last question from my side. So where do we see that some of the defence areas where we do not have products, where are the gaps which we have still? I mean I know defence is a very wide area, but pardon my ignorance.

Ashok Atluri : There are a lot of things, artillery, tanks, we do not do a lot of things. But what we have taken a call is what is the Pareto focus? Initially, we were just focusing on training, because training was the most feared , but now we are trying to focus on two areas. One is the drone ecosystem, anti -drone systems and drone. We think these will absolutely determine who is going to win a war. So we are really focused on that. The second is the robotics part of automated weapon system and robots themselves. So these are two things we think are really, really Pareto in determining who is going to win a war. And so we are focused on that. And the rest of the thing, we do not have any plans as such. And so we will be just focusing on them.

Mehul Panjwani : Right, Sir. Thank you so much. And once again feels great to be associated with this organization. Thank you.

Moderator: Thank you. We will have our next question coming in from Rudresh Kalyani from Kalyani Private Business. Please go ahead.

Rudresh Kalyani : Recently Indian government project from Armenia. So, have we got anything from that bucket?

Ashok Atluri : You are saying, did Zen get any orders from Armenia? So again, Rudresh unfortunately, we can

not name the countries from which we have got the orders but we have done almost 300 Crores worth of order execution this year of exports. And typically other countries that we deal with are Africa, CIS, and Middle East. So this is the broad classification that we have but when they sign the contract, they tell us that we cannot share the details of what we
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Page 13 of 20 have purchased, how much we have purchased, and we honour because they kind of gives away some kind of preparation levels. So that is the point.

Rudresh Kalyani : With our products being tested in Operation Sindoor , so you get any inputs from the Indian Army about products so that when we re-launch the next version, we can make use of it and come up with a better product?

Ashok Atluri : Rudresh absolutely. As we speak the inputs are helping improve the products that we have and typically what we do is not only for the new products but existing products also we try to give the technology away free so that the Government is better prepared and they do not have to buy new equipment. So yes the inputs some have been gathered they are still being gathered and as and when we get the things they will be incorporated into the new systems and you know to make them absolutely state of the art.

Rudresh Kalyani : I think this is the first time we use product in domestic market. So, what are the lessons for us from this versus the lessons which we got when we used it in Armenian region?

Ashok Atluri : I do not know , you are so sure your intelligence says that we are in Armenia, I cannot help

that. I would not say that what was the gap there. But here what we got is really, really good imports. And again I think that this is not the end of the war and this is just a pause. And this is the pause where we should really, really regroup and put in our best efforts to upgrade our systems. And next time, it is not going to be a simple war. I think it will not be with one neighbor, but it will be a multi-front war. And we should be prepared to handle multiple enemies at the same time. So that means to say that we really need to ramp up from domestic technology only we cannot import this technology. If we import, we are on our own. We have seen this time. No one came to our aid. Everybody is busy with their own life, or they will not help you. So this has to be indigenously developed. And Zen is moving earth and heaven to see that these technologies are developed. Our teams are really sweating out the days and night to ensure that we have the absolute number one technology in the world. I think we are on track for that, Rudresh.

Rudresh Kalyani : And my final question is, if you see Zen five years or 10 years down the line, how will be our revenue breakup like between the simulation, drone like that.

Ashok Atluri : I think anti-drone when you start adding the hard kill and the EO and all the other options, we think that anti-drone will become a significant segment and of course, we have drones also now. We will be getting into drones also. So that will, I think, probably be around 70% of the business. Drones, anti-drones, and hard kill options will be about 70% and five years time, maybe 30% will be training and simulation.

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Page 14 of 20 Rudresh Kalyani : Okay thank you. All the best.

Moderator: Thank you. Our next question is from Gyan Prakash Yadav, who is an Individual Investor.

Gyan Prakash Yadav : Hi Sir. Congratulations for the good set of number. Just wanted to know what is the present cash balance we have on hand and what is the plan for the utilization of same. Secondly, then I would like to verify what was the revenue from the ARI? That is all Sir.

Ashok Atluri : I will pass it on to Afzal to answer this question. Afzal the floor is yours.

Afzal Malkani : Yes, sure. So total cash balance is

around 1037 Crores. Out of which Rs.410 Crores is from the proceeds of the QIP and Rs.625 Crores for the Zen's internal accruals. So total cash balance is 1037 Crores. Most of the cash balance we are going to utilize for this organic and inorganic growth, both. And financial year 2024-2025 ARIPL revenue was 137 Crores.

Gyan Prakash Yadav : So Sir ARI got included to us, I think only in February.

So, 137 is for them for the whole year, right, Sir?

Afzal Malkani : Yes, for the whole year, yes.

Gyan Prakash Yadav : Okay and Sir any acquisition planned in future because we have lots of cash in hand?

Afzal Malkani : We have been working on that. Okay.

Gyan Prakash Yadav : Noted Sir thank you. That is all. Thank you, Sir.

Moderator : Thank you. Our next question is coming in from the line of Raj Rishi from DCPL. Please go ahead.

Raj Rishi : This constant news flow of defence spending being increased or being forced to increase. After this Trump administration has come in. The talk of EU upping the percentage of GDP to almost 5% that is what Mr. Trump is asking them to do. Some people say it is like a sort of defence super cycle world over so how do you stand to benefit from say Europe upping the defence spend the way it is being talked about?

Ashok Atluri: I think the impression was that wars have ended and there will be no significant war. So, that belief has been completely upended by Ukraine and Russia and prior to that, Armenia and Azerbaijan. The thing is a strong neighbor is a good neighbor kind of thing. It is better to have stronger neighbors. So this spend of GDP of 5% is a welcome change because

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Page 15 of 20 especially if it is defensive and not offensive use. And how is Zen going to benefit out of this? One is that we are setting up our office in US and I think the decision was little cliché and we are going to benefit a lot from that and asking EU to spend and EU themselves said that we are going to spend \$800 billion and it will be mostly internal so the good news was we are talking to somebody, a NATO consultant and what they told us was that this is a very good opportunity for Indian industry not only for Zen because there will be a free trade agreement that may be signed with them. So we are trying to prepare for that free trade opportunity with EU. So I think this is a very, very big opportunity, especially if your products are world class. And like we feel our simulators, naval simulators, and simulator and anti-drone systems are world class. And as we speak for the drone ecosystem, Vector is being approached by European and American companies. So I think we are there to take advantage of this.

Raj Rishi : Sir one more question. Like what is your vision about Indian defence spend? Like right now

it is around 1.9%. What would be your perception over the next year or so?

Ashok Atluri: Raj, very frankly, there is X and a function of X. The function of X is how much am I getting out of the total spend? So, I would be really focused on that. They should spend smart. I do not think they should just increase for the sake of increasing. Somebody was saying they should buy F35. F35 is the worst kind of aircraft. Elon Musk has gone on record and saying it has broken that requirement, it is jack of all, worst value for money in military history. But still, some people are talking about it. So if they spend smart, I think they really do not have to increase the thing. Spending smart would be the key to thing. So I do not have any wish list that from 1.9, they should spend 5% or 3%. I do not have any wish list like that at all. The only thing is they should spend strategically on Pareto technologies. And I think we are in that field. If they act in a focused and Pareto way, we will benefit from that.

Raj Rishi : Thank you Sir.

Moderator : Thank you . We will go forward with our next question from

Aryan Oswal from Fintest

Capital. Mr. Aryan, please go ahead.

Aryan Oswal : Yes, congratulations on a good set of numbers, sir. Sir my question is on the line of cash conversion cycle. We have seen a significant decline in the last couple of years. So are we expecting further decline or where do we expect the cash conversion to be for the next year?

Ashok Atluri: I will let Afzal answer that.

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Page 16 of 20 Afzal Malkani : So last quarter, our cash conversion cycle was around 237 days. On March 31st 2025, our cash conversion cycle was reduced to 160 days. If we give the further breakup, then the receivable was 148 days, 20 days for the inventory, nine days for the advance to supplier. The total of this three comes to 177 days. And if we deduct five days for this payables and 12 days for the advance from customers, then net working capital cycle is 160 days. And going forward, we are expecting in the range of around 135 to 140 days.

Aryan Oswal : 135 to 140 days? Is that correct Sir?

Afzal Malkani : Yes for next year.

Aryan Oswal : Okay and Sir one more question how much are we looking to spend on R&D for next year and FY20 26 and FY20 27.

Ashok Atluri: There is a 70 Crores expenditure that we are doing for setting up the R&D facility and another 5 Crores for the equipment, etc. But again, Aryan, the thing here is that we are very opportunistic .

Even though people give five-year plan budgets and all that. We do give the budgets but as and when the opportunities arises. As and when some gap is seen in our product we go after that. At present we are doing already R&D expenditure of around 35 Crores. We expect this to go to 50 to 60 Crores on a consistent basis, but there may be a large investment when required to ensure that we are able to supply the required technology that is asked by the armed forces.

Aryan Oswal : Okay thank you so much Sir. That is all.

Moderator : Thank you . Next question is coming in from Dipen Vakil from Philip Capital.

Dipen Vakil : Thank you so much for the opportunity and congratulations on a great performance and also on in your role in operations in Operation Sindoor . So, my first question is on the line of your fourth quarter performance was largely driven by the export segment, which has even more or less dried your export order book now. So, any outlook in terms of export orders that you are expecting in near term? So how do you see your export business panning out in FY2026 ? How is the visibility on export business?

Ashok Atluri: So export business, our discussions are ongoing and I think post the recent crisis, we think that the conversations have changed and they want the equipment that we were initially offering, but they said we do not want that. They were trying to buy, the commercial drone neutralizing version. It was only a toy, actually. And most of the 90% of the companies

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Page 17 of 20 make that anti -drone system, which only neutralizes 2.4 and 5.8 GHz DJI drones. But now with this thing, people have come to know that this is a band independent field, and people will come after us. So that has changed the conversation in the export market for us. And the export guys have been now asking about this information. So, once we are able to fulfill the extraordinary need for the Indian Armed Forces, then post that we will definitely be focusing on exports also. But the conversations have started and there is a huge demand for anti-drone systems in the road. And of course, the training simulator demand is still going on. We are talking about the army simulators and naval simulators. There is a lot of demand for naval simulators, a lot of conversation. ARI themselves have a very large export setup.

For a 100 Crores they have a very robust export setup. Even though it is more commercial focused, we are,

leveraging them to get into Navy also in various foreign countries. So I think the exports, we will start getting the order, we do not have orders in hand, but we should start getting orders sometime, maybe a couple of quarters from now.

Dipen Vakil : Got it, Sir. Apologies for the repeat question, but possible for you to reiterate your order inflow guidance?

Ashok Atluri: We think by end of H1, we should be having about 800 Crores. Out of that 150 Crores we already received another 650 Crores we will be receiving by H1 and that is our expectation.

This is what I have said earlier also and still we feel that holds good.

Dipen Vakil : And that is largely coming in from the simulator side.

Ashok Atluri: Yes it is all simulators as of now.

Dipen Vakil : Got it Sir. So thank you so much for answering my question and all the best for FY 2026.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we will take questions from two more last participants. Our next question is coming in from Ajay Surya from Niveshaay .

Please go ahead.

Ajay Surya : Sir, thank you for the opportunity. Sir, looking at the recent war, the necessity along with the opportunity size for anti -drone is quite big and important. But Sir, if you can break the opportunity size and share more details, because even under the anti -drone, there are several type of components and based on the requirement of Indian Army, maybe like the radar, sensors, jamming, hard kill, command control, etc. So, I wanted to understand if you can break the opportunity side and does the Indian Army give order as a single segment order or a multiple segment order? Like maybe they require just a jamming anti -drone so they will give an order to a player like someone like us or do they want jamming plus hard kill? So is Zen Technologies Limited
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Page 18 of 20 it a multiple segment order? So, if you can also share details on how does the order cycle or order procurement happens?

Ashok Atluri: There are different kind of necessities that they have. For example, they may have a very, very small portable requirement where they say, listen, I just want to neutralize commercial range of drones. So that is a different thing . It is good that you brought up command and control center also, that is the software that binds all the hardware together. And it is the soul and heart of the thing. So, I have not been speaking about it but that is a very very major thing that we also we have developed and we use that. So when I need a comprehensive solution with the radar, detector, jammer, electronic optics , and a hard kill with a robust command and control center and ability to handle non -commercial band independent drones, Zen is the vendor to go to. We do not think anybody else is doing that at this point in time. And again in 2023, there was a tender and we did not have anyone qualifying there. So, I think Zen is positioned for these high-end kind of simulators. To your question, if somebody just wants to buy a radar or a jammer or a detector, typically, they would be very useless in case of an attack, especially from the armed forces point of view. And given the fact even now there are a lot of drones that were coming through with a ground control kind of situation.

But in future, we expect them to be autonomous. So, for handling the autonomous, it is a different game altogether because the videos are also very advanced. To handle autonomous, we will probably be doing a hard kill kind of situation. No longer soft kill will work. So that evolution is happening as we speak. But I think as on today, Zen is the go to company for giving this full-fledged solutions to the Indian Armed Forces.

Ajay Surya : So Sir, based on this, the bigger opportunity lies in maybe the hard kill and command control is my understanding, right? And this is the area which Zen is dominant and want to focus

going ahead.

Ashok Atluri: No, no, command and control center is a software which binds together. So it has to go along with the system. Some people say that our command and control is independent.

Maybe it is, think of Apple versus PC. PC world, you can keep buying everything and assemble but Apple gives a complete full -fledged solution. Think of it as Apple, Mac kind of a solution and yes we think the whole has a lot of market. What was your second question? We do not sell CNC separately . We sell it only as a package.

Ajay Surya : Okay so just like breaking the opportunity , the larger opportunity even in the anti -drone segment wise if you can break that up like maybe like its a 5 000 to 10,000 Crores market so maybe the hard kill would be a 1000 Crores kind of market or?

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Page 19 of 20 Ashok Atluri: You are right Ajay . The thing is moving towards hard kill is absolutely right. So that thing is right. But we got the estimate for this project to be around 10,000 Crores, this was about two or two -and-a-half years back, but that figure is no longer valid, it is much, much larger than that at this point in time. And it is a multiple of that not just a percentage. So we think that market size has increased tremendously as we speak. And we think that we should be getting some reasonable chunk out of that.

Ajay Surya : Okay Sir, all the best for future.

Moderator : We will take our last question from Manan Vandur from Walfor t PMS. Please go ahead.

Manan Vandur : Hello Sir. It has been a pleasure speaking with you for so many quarters. So Sir, in Q1 you all had a SIM expo, which happened in Orlando. And you said that you had a stall over there and you got enquiries for containerized tank simulators in that expo and you said that that in Orlando the next five -year budget of Orlando they are having huge demand for that and you said that we are already making it for the Indian Army for the decade and you said that we might start exporting etc. etc. So it has been a year. Any update on that Sir?

Ashok Atluri: This was last November, December . The expo is called IDSEC. It is a simulation exhibition. So in that, they came to approach with R&D proposal for doing R&D for the next five years, they are having R&D budget, they said, can you make containerized tank simulator with our funding? So we said, we already have it and we connect ed to India and showed it live to them. The fact that we have is going to them now. So the budgets are being formed and we have informed them that these are the things. So now we are waiting for them to actually float a tender. The tenders may be floated next year, not earlier than that. Typically, that is a one, one -and-a-half year cycle before the tender.

Manan Vandur : Okay understood. And the last question we had numerous new products like Hawkeye, Barbari k, Vastra, Sthir Stab 640 . All of those we have, all those new products we have started supplying?

Ashok Atluri: Some of them we are conducting trials and we think that during the years, some orders will start trickling in, but they will become much, much larger next year. But this year, we should definitely be getting some orders in the segment that you spoke of RCWS and surveillance stations.

Manan Vandur : Okay because for those products itself, you had said that these new products itself will become new revenue streams and thousands of Crores.

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Page 20 of 20 Ashok Atluri: Eventually they will, if you are able to integrate them into anti -drone system, they will be the hard kill part of the thing and they can become very, very big for us. There is no doubt about that.

Manan Vandur : Okay understood. Thank you so much, Sir. All the best.

Moderator : Ladies and gentlemen, that was the last question for today. I will now hand it over back to Ashok Sir. Over to

you Sir.

Ashok Atluri: Thank you fellow investors and other participants who are here. It is always a pleasure interacting and the questions that I asked usually are high quality. And I am pleased that the tradition continues. Again, we are open. The investors@zentechnologies.com is the e-mail address, if any of you have not been answered the question, you can send your questions there. And we look forward to your continued association with the company. Thank you so much.

Moderator : Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call. Thank you for joining us and you may click the leave icon to exit the meeting. Thank you for your participation.

Call: Aug 2025

August 01, 2025

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Symbol: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call held on July 28, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the earnings conference call held on Monday, July 28, 2025.

This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar

Company Secretary & Compliance Officer

Encl: as above

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“Zen Technologies Limited

Q1 FY2026 Earnings Conference Call ”

July 28, 2025

MANAGEMENT : MR. ASHOK ATLURI – CHAIRMAN AND MANAGING

DIRECTOR – ZEN TECHNOLOGIES LIMITED

MR. AFZAL MALKANI – CHIEF FINANCIAL OFFICER –

ZEN TECHNOLOGIES LIMITED

MS. ABHILASHA ATLURI – INVESTOR RELATIONS

OFFICER – ZEN TECHNOLOGIES LIMITED

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Page 2 of 20 Moderator : Good morning ladies and gentlemen and thank you for joining this Q1 FY 2026 earnings conference call of Zen Technologies Limited. The results and investor presentation have been uploaded on the stock exchange. To take you through the results of this quarter and answer your questions, we have with us today Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani, Chief Financial Officer and Mr. Abhilasha Atluri, Investor Relations Officer. We will be starting the call with a brief overview of the performance which will be followed by the Q&A session. I would like to remind you all that everything said in this call that reflects any outlook for the future which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainty that the company faces. With that said, I will hand over the call to Mr. Ashok Atluri for the opening remarks.

Ashok Atluri : Good morning, fellow investors and friends . Just to come to brass tacks, this quarter has been kind of disappointing even for us. And we expected a little better than what we had done. And around I think 60 Crores or so because of some design changes asked by our end user, because of the evolving reality of war, we had to accommodate these changes in specifications and our execution has spilled over for that particular product into Q2. So we expect that it will be reflected in the Q2 but overall our feeling is that the government is very serious. And again while Operation Sindoor has hastened some purchases, the regular purchases like simulators, they took a little backstage kind of thing but again, we do feel that the simulator that we said by H1 we should have another 650 Crores , we still feel that orders will come through by end of September but the reality is that the regular

procurements were kind of a little slowed down because of the new emergency procurement happening after post Operation Sindoor. And one bright spot in the whole thing, if we can say that the subsidiary ARI has been performing well. And we feel that this year, they will ask almost 170 Crores of top line to our turnover that will be 100% subsidiary by the end of the year. Now we hold 76%, but it is transitioning. And the UTS will again at least add 80 Crores even if we were to take out our cross transactions. So another expectation was EBITDA and PAT were in line with our expectations and what we had indicated to the customers but this is the overall picture. And I will request Afzal to run through the financials. And then I will continue from there. Afzal can you take over, please?

Afzal Malkani : Good morning everyone. As our CMD, Mr. Ashok Atluri has mentioned that in Q1

FY 2026

results reflects a temporary execution timing adjustments with the quarter subdued revenue and profitability largely attributable to the deferred loss of significant amount worth of equipment segment to Q2 FY 2026. Despite this softness, the consolidated performance was supported by the strong contributions from our subsidiaries UTS and ARIPL. And now coming on to the results, let's begin with a quick update on standalone performance for the Zen Technologies Limited

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Page 3 of 20 Q1 FY 2026. Our revenue from operation was Rs.111 Crores compared to Rs.253 Crores in Q1 FY 2025. The degrowth in percentage terms is around 55%. Our operational EBITDA for the Q1 FY 2026 decreased to Rs.38.05 Crores compared to Rs.103.20 Crores in Q1 FY2025. Though our total EBITDA is more than 40%, but operational EBITDA is reduced to 34.26% compared to 40.64% in Q1 FY 2025. Our profit after tax has decreased to Rs. 37.12 Crores compared to Rs.74 Crores in the same period last year and profit after tax in percentage terms is still 33.44% compared to 29.20% in Q1 FY 2025. So here there is an increase of around 4%. Out of our total revenues of 111 Crores , 101 Crores were contributed by the sale of equipment, while Rs.9.78 Crores came from our AMC business. Now coming on to the consolidated performance, our consolidated performance is much better than standalone performance. So our revenue from operation was Rs.158 Crores compared to Rs.254 Crores in Q1 FY 2025. The degrowth in percentage terms is 38%. Our operational EBITDA for the Q1 FY 2026 decreased to Rs.64.70 Crores compared to Rs.111.35 Crores in Q1 FY 2025. In percentage terms, operational EBITDA is 40.90% it is above our benchmark of 35%, compared to 43% in Q1 FY 2025. Our consolidated profit after tax has decreased to Rs.47.75 Crores compared to 76.81 Crores in the same period last year. Profit after tax in percentage terms is 30% compared to 30% in Q1 FY 2025, the same. With that we conclude our opening remarks and we would now like to open the floor for question and answer.

Moderator : Thank you very much Sir. Ladies and gentlemen, we will now begin the question and answer session. The first question is from Jai Chauhan from Trinetra Asset Management. Please go ahead.

Jai Chauhan : Good morning and thank you for the opportunity. So I just have one question. Given Zen's dominant position in anti-drone systems with ITDM qualification and successful field testing during Operation Sindoor , like how do you see the competitive mode evolving as more players enter this space? And what specific technological differentiators will maintain, Zen's leadership in the next three to five years.

Ashok Atluri : In 2023, there were open tenders, IDDM category from Indian Air Force and other tender from Indian Army. And in both the cases, we were the resultant single vendor. And again, at that point in time, there was no other player who was able to demonstrate what the Government of India needed in terms of wideband requirement. Now, typically most of the anti-drone systems that have been developed in the country, they are meant to handle commercial frequencies and not non-commercial frequencies. What Zen had done much earlier , they had lot of R&D investment in anti-drone systems to expand the scope to be band independent. It does not matter which band whether commercial or military or any other band. We should be able to detect and jam it. That was a mandate that we had given.

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Page 4 of 20 Because as Zen Technology always said that it is not just winning RFPs, but winning wars for the country is important. And fortunately, at that point, they did go for a wide band because most of the customers were going only for commercial band. The Indian Armed Forces did go for wide band and they bought it. So what we see is even recently, very recently

, couple of months back, there was a demonstration of this indigenous system. And we did not come across any company that has indigenously designed and developed

wideband. So they are trying to cheat in terms of wideband. One of the guy was saying that listen, we are doing wideband. What do you mean by wideband? And they said, in the wideband, we do 902.4 and 5.8 gigahertz. In the wideband, you have to do anything from 100 megahertz to 6 gigahertz or 8 gigahertz or whatever the condition. So they are trying to play around with the word wideband. Wideband means anything. And to the best of my knowledge, none of these companies have that. So we still stand a good chance if they really go for the product with what is actually being used and will be used in future. We stand a good chance. There are a lot of people who are coming and saying, even the last time the RFP was called, there were 12 people who came for the pre-bid, but only two came to the actual trial. So a lot of claimants were there even then in 2023 and 2025, they have still increased but we will have to see who will actually come to the trial getting the equipment. Because Government of India is very, very serious. If somebody gets foreign technology or some pretended technology and tries to sneakily qualify it as indigenous, the government will really, really go after them. And in 2023 also during the pre-meeting lot of people asked, how are you going to verify that the technology is ID DM, indigenously designed, developed, and manufactured? So the officers there were very, very clear. Listen, we are going to go through your software code. And you have to explain each major blocks in that. We may dig deep wherever we want. Then you compile in front of us the whole software. And then you will run the anti-drone system in front of us. And the electronic, all the PCBs, designs, the Gerber files, everything will be taken. And we also want a GitHub, the version control system that you have in place. When was it started? What are the different versions? Similarly for mechanical engineering, CAD drawings, exploded solid works, used simulations, which we have done. So I think with all these strict checks in place, Zen has a very, very good chance of getting substantial anti-drone system orders. So I think, yes that is the confidence we have but only as things open up, we expect the tenders to come up pretty soon. And we will see who are the participants but again, they have to physically demonstrate and prove that it is indigenously designed, developed, and manufactured. I hope I have answered your question, Ja i.

Jai Chauhan : Yes Sir understood. And Sir, the core competency that you mentioned, is this product patented?

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Page 5 of 20 Ashok Atluri : So what we do is in terms of patent, there are the technologies that can be easily copied and done . We look at the product and we say listen, this can be easily patent, this can be easily copied, you get an intuitive idea about it, those kind of IP is typically patented by us but when the IP is extremely cutting edge, like where the algorithms are very, very hard for complex we do not patent that because we do not want any foreign country to copy that and create that product so yes some parts are patented but some parts are not patented due to the sensitivity in them but as you said yes it is patented.

Moderator : Thank you. Our next question is from C .A. Garvit Goyal of Seven Islands PMS. Please go ahead.

Garvit Goyal : Hi good morning Sir. First question is on the execution side. Like you mentioned, some of our contracts are deferring to Q2. So I want to understand here, like when you are writing in the PPT, like this year is going to be a muted year. So what does that mean? Like, is it in line with FY 2025?

Ashok Atluri : Very frankly, that will all depend on the order book that we have by end of

Q2. And we are not able to put a real figure onto this, whether it will be as much as or little less or a little more. We are not able to put a figure on that but again, as I have been saying on many occasions, that our confidence of the overall revenue for the next three years, including this year, FY 2026, 2027, 2028, we still feel very confident that we can achieve the 6000 plus Crores target but to your question we are not able to give the exact figure for this year at this point in time.

Garvit Goyal : Okay and you mentioned in the PPT, like we are expecting a significant orders in next couple of months. So what is the execution timeline for the existing order book and along with the orders that we are looking to get?

Ashok Atluri : So whatever orders that we are planning to get by Q2, our intention is to execute it within the same year. So that is what the preparation is going on. And again because of the internal policy of the company, we do not buy the raw material in advance till we get the order, especially government orders. And even though it has never happened, but we have seen companies going down, where preemptively bought raw material in anticipation of orders because the order never came through and these companies went bankrupt. So, we are being cautious in the sense, but everything non-related to actual procurement, getting the drawings ready, every discussion with our vendors, making them ready for taking the orders from us, all that work is being done. And so, our anticipation is if these orders come, how

much of it can be executed in the next two quarters, Q3 and Q4? Our ambition would be to execute all of it, but I think some of it will get into the Q1 of the next year.

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Page 6 of 20 Garvit Goyal : Understood. And just a follow up on your reply, you mentioned about raw material procurement. Are you facing any challenges in the terms of uses of any rare earth metals, which is currently restricted by China?

Ashok Atluri : We do not have any such problem in our products till now. And our raw material s are clear as of now. So the Chinese banning has not impacted us . I think most of our products are electronic -based, and China -dependent is almost zero so we will not be having any impact on that, except our subsidiary Vector Technics , I think they may be having some impact on there because of the magnets that you were talking about but they are also working on creating alternate sources at this point in time. But for Zen's order book or order execution, it should not pose any problem.

Garvit Goyal : Understood Sir. I will join back the queue Sir. Thank you very much and all the best for the future.

Moderator : Thank you. Our next question is from Dipen Vakil of Philip Capital. Please go ahead.

Dipen Vakil : Hi thank you for the opportunity. Sir my first question is in your presentation you mentioned that out of 750 Crores , 600 Crores is from your co re business which we believe consists of simulators and ADS. So can you give us a breakup as to how much of it is simulator ADS and amongst the rest of 150 Crores what would be the breakup?

Ashok Atluri : Sorry, this is the order that we are expecting in the Q2 you are talking about?

Dipen Vakil : No it is your current order book.

Ashok Atluri : If you take out the AMC out of that, that is about 200 and some Crores , the actual anti -drone systems is 64. And the training simulation is about 2 82, 282 Crores is training simulators and anti-drone system about 64.

Dipen Vakil : Got it. Sir now I wanted to understand a little bit more on your order wins. So you are expecting 650 Crores of order wins in next two months. So are those on the advanced stages of negotiation and or there is a bigger pipeline which is at play and from which you are expecting 60 Crores because this also excludes the emergency procurement as per your opening r

emarks , so I wanted to understand a little bit more on to the ordering. So which segment are these purely from simulators or even the anti -drone system as a part of that?

Ashok Atluri : So this is purely simulators. I will tell you where we are with it. W e are the last man standing as of now so the likelihood of order is coming is almost certain. We do not think there is anything in that. It is only when will they actually sign and give the order to us. So
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Page 7 of 20 there is no other competitor in this at this point in time. So we expect that the order will come through but again, as I said earlier, because of the emergency procurement, this was little slow ed down or probably by now we would have got it , but otherwise to your question to the all simulator related and we are already the only person who was qualified. And so our expectation is that we will get the order for sure.

Dipen Vakil : Got it Sir and just a small follow up on the previous participant's question, what could be the lead time for you from the time you win the order to commencing on the deliveries?

Because since you mentioned that you will be executing most of the products in the same year itself, I just wanted to understand the lead time from winning the order to execution.

Ashok Atluri : Typically the lead time is around four months for simulators, but anti -drone system it is little larger , it can go up to six months or a little more than that because of the electronic and certain components that need to be ordered. But otherwise, ye s the maximum lead time for any raw material is typically four months for simulators and six months for anti -drone systems.

Dipen Vakil : Got it Sir. Thank you so much for answering my question and all the best for your 6000 Crores target.

Moderator : Thank you. Our next question is from Akshay Patel from AK Investments. Please go ahead.

Akshay Patel : Thanks for the opportunity Sir. Sir, my first question is that despite the fact that we are the single vendor for government of India, and currently for the past one year, we have not got significant order inflow. So what might be the reason for the same?

Ashok Atluri : One thing is that the simulators are in the process. They are being processed. And actually orders have been very, very slow. They have been reduced to a trickle. We think that the cycle has slowed down a bit. I think inclusion says that and even the facts say that, that these were orders that we should have probably got a little earlier. And again, as I said that, government has some emergency things to do. So the regular procurement is a little on the slow track but again, this should have happened much earlier to even Operation Sind oor.

And we should have had a very good order book position and the execution should have started by now. But again, in the case of anti-drone systems, we understand that it is a very, very evolving field. And as we speak, government is making changes to the specs, because now they have been proven in war and the kind of threats they actually happen and the ability of the country to have this technology in house, because everything that is happening is evolving. Earlier, we used to think soft kill is enough, because all the drones are controlled from ground to the drone, there is always a control going on. And then we did the soft jamming where you can block the frequencies by using jammers but then the drone

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Page 8 of 20 guys came up with another thing called autonomous drone that could go just by the GPS. They do not need any ground control. They would be pre-programmed with the destination, and they could go. And then we came up with spoofers, where we can spoof when the drone is in India. We can spoof that it is in some other country, maybe in China or something like that and it would get lost. And t

hen to come out of the spoofing, they came up with AI-based technology, like vision-based technology with waypoints, etc. And now we are actually saying that to ensure that the waypoint is eliminated, we have to use hard kill techniques, like shooting it down, using various weapon systems, etc. So this cat and mouse is going up, that is why it is very essential that when the government buys this product, they buy from an Indian IP ownership company because in any upgrade of this software level, and all that can be done very, very fast if it is indigenously designed and developed. Just imagine if you buy it from a foreign country, they are going to ask for an arm and leg. For all you know, they will say, listen, I cannot upgrade your product. So what do you do? You go and buy new products but in India, I think we have a very open architecture where these evolving threats are accommodated very easily. And they are upgraded. Even if it is a hardware upgrade, we are talking to them at a reasonable price, we upgrade them. So that is why I think this is very essential that the country goes on the same path as the IDDM procurement. Because of these changes that were happening, they are still finalizing, I think, but thanks to Operation Sindoor the actual threat is now crystallized, the specs are finalized. And when they come out with this, I think significant orders will come in for even anti-drone systems.

Akshay Patel : Thanks for the elaborate answer. Can you assume that there is no scarcity of the demand, but just order has been delayed by some time because of some geopolitical issues? And if your answer is yes, then can we assume that after this first half, order inflow will pick up. And for the next year, we will have good amount of inflow and also you we have previously talked that from FY 2027 we will also receive some on order inflow from US as well because we have set up in US as well so can you put some light on this .

Ashok Atluri : So your first question was yes , I think H2 will have significant order inflow . There is no doubt about that. And we expect the order inflow considerably for anti-drone systems in addition to simulators. And we hope that we win as many as possible out of that. With respect to the USA thing, I think in USA very interesting developments are happening as we speak. As y ou know, we acquired this company called ARI. They have a full fledged setup of network of dealers in America, in South America and other countries. So we are interacting with them in fact, they also have in Japan, Far East also, they are pretty strong. So we are talking with their vendors who are actually already engaged with the armed forces there to push our products from US and even from India. So we expect that by

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Page 9 of 20 FY2027, there will be significant orders coming in and we will be able to supply to not only to US but South America also through the US contact .

Moderator : Mr. Patel may we request you to return to the queue. There are several participants waiting for their turn . We now move to our next question that is from Darsh il Jhaveri from Crown Capital. Please go ahead .

Darshil Jhaveri : Good morning Sir. Hi Sir so a lot of my questions are nearly answered. So I just wanted to know like in terms of order flow, so you are already in negotiations and those parts are delayed, but what about the emergency procurement? Is there a sizable opportunity available there also? And what would be the timeline for us out there, Sir?

Ashok Atluri : They government issue s the RFP under REP; typically they will have to finish the procurement by March. Even though there have been cases where they have extended it to June and September. But typically the mandate is that please complete the placing of the orders by before March. And most of the time it so happened that they are able to complete the order

placement in sometimes even in Q3 . They issue the thing and within 45 days they try to complete it. There have been cases like that. So our confidence is that all the orders will be concluded before March end and whatever orders then they should be placed by then. Did you ask any other question other than this?

Darshil Jhaveri : No, one more question I have is regarding our export opportunity, like I think last day was very good for our export and this year we have 100 Crores I think our order book for export. So, I understand Indian Government has been a bit slow, but what about other places? Because I think drones right now are in thing where every country wants them, right? And it is a big threat also to every country. So how are we placed in being able to get a newer market in export? Are there any plans? Can you just elaborate a bit more on the export opportunity and what is our role in that?

Ashok Atluri : We have been getting a lot of inquiries and a lot of visits in the past few months and especially after Operation Sindoor, the Government of India has been doing a considerable job and we are getting inquiries for anti-drone systems also. And we think that H2, the second half we should be getting some orders in export, but FY 2027 will be a significant year in terms of exports. So yes, exports will start coming in H2 is what our feeling is. And they will be in both for simulators and for anti-drone systems. But a big year for us will be FY 2027 for in terms of exports.

Darshil Jhaveri : Sir could we quantify which all countries are there? Is there some qualification required or we have this qualifications like in general in pharma USFD or something like that like we Zen Technologies Limited
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Page 10 of 20 have for any country that we are qualified to be able to provide to these and what all countries are we targeting to exports to Sir.

Ashok Atluri : I will broadly speak in terms of regions . We talk about Africa . We talk about Middle East and we talk about CIS countries and we also now looking at Southeast Asia. So these are the major regions . For obvious reasons, some countries do not like being named if the negotiation is going on or something like that. Again, there is secrecy involved in that in the sense that if they know that we are buying simulators for this product, they will know we have this equipment. And if they know that we have this equipment, they will also be able to assess that this is the strength of our equipment. Even though most of the times Wikipedia gives a good rate, but they expect us not to reveal it. So we honor that. So we never name the countries. We think that in these four regions significant order will be coming. Of course, the US and the South America market and the NATO countries will be something that next year we expect some orders to come through in that region also.

Moderator : Thank you. Our next question is from Amit Dixit of Goldman Sachs. Please go ahead.

Amit Dixit : Good morning and thanks for the opportunity. A couple of questions from my side. The first one is that recently defense secretary has been on air mentioning that simulators are the way forward for expediting the procurement of defense equipment and part of reforms in DAP. Are we seeing some traction from the government, some feelers? I know these are early days, but still, are there some feelers that in long term, say there would be an enhanced use of simulators in various platforms, including air and navy? That is my first question.

Ashok Atluri : I think there is no doubt about that. If you go little earlier in 2021 September, in the government website, the government issued a framework for simulation policy. So in the simulation framework, they very clearly said, you have to start moving all the training and if simulated equipment can be done, then we should simulate the equipment and go ahead faster with the pr

ocurement cycle. So I think there is no doubt about that. And we have seen that growth in fact from 2021 if you see 2022, 2023, 2024, 2025, we have really, really grown 60, 160, 430 to 930 Crores . So the growth has been significant for us. And we expect this thing to continue , again as I keep cautioning our investors, that the quarter and quarter growth and even sometime year on year may not happen. But overall, the trajectory is set that the government is going to increase more and more. And I personally think maybe we have done 7-8% of the simulation market till now . There is another 92 -93% that still needs to be bought in terms of simulator. So there is a long game still there for both the anti-drone and simulators. And of course, in anti-drone system, you are asking for simulators . I think there is a huge market pending to be tapped there.

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Page 11 of 20 Amit Dixit : So the second question is on the recent acquisition that we have done for the company in UAVs and loitering munitions. Now while it dovetails nicely or complements our existing offering in ADS, but what is the use case over there? I mean what kind of UAVs, loitering munition market we are trying to enter and how much time it will take us to commercialize that particular product. And if you can highlight some of the products that we are actively

looking at in this particular domain. Again, just to go back in a little in time, we looked at the field in 2018. We wanted to get into drones but we saw there were so many players there. And we thought, listen, I think this is a winner's curse. Even if you win, you will never make money in drones. And we moved to anti-drone systems. And there again, nobody was working on that. As we say, sometimes silence is the signal. So we went into that and that paid off well but in terms of drones in 2024, when we looked, government was blacklisting companies for using Chinese parts. And we think, why was R&D not done? Why was this not done? And we consciously took a decision that we have to get into this field. And when we started looking around into the ecosystem, almost everybody said, Ashok these parts are not available, except from a company called Vector Technics who are actually supplying, but their supply is on and off. But in a strange coincidence, a week later Vector approached us for investment and we looked into them. We saw their capabilities and we said we will go ahead and invest. So our intention was to get into drone system to accelerate the indigenization of complete systems. So now we are firmly into the ecosystem of drones. Now we were looking at what are the other things that the Government of India will need in case of war. So we were looking at loitering munitions and TISA has a proven track record. They have executed order with the DRDO. So they have the technology. They have the product but again, we are doing some very, very high end. Again, as I say, that we do not want to sell to the Indian Government that is just doing well, but we aim to become world global number one in that. So we are investing a lot of money now as we speak. And we expect that in a year and a half, the loitering munitions version should be ready for full fledged demonstration and for competition with other players in the field. And we obviously expect it to do better than others in terms of specs, etc.

Amit Dixit : Sir what kind of drones we are looking at? We are looking at kamikaze drones?

Ashok Atluri : Kamikaze drones. At this point in time, only kamikaze.

Amit Dixit : Okay, got it. Thank you so much Sir and all the best.

Moderator : Thank you. Our next question is a follow up from Garvit Goyal of Seven Islands PMS.

Please go ahead.

Garvit Goyal : Hi, thanks for the follow up. Regarding the emergency procurements which are happening now due to which regular procurements are delayed. So at the same

time we are saying we

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Page 12 of 20 will get some orders in future in emergency procurement. So I am not understanding why did not we get these orders and emergency procurements are currently happening, right?

Ashok Atluri : They have just started, Garvit. And it is not that they have exhausted all the funds. We expect that orders will continue in Q2, even Q3, the orders will continue. And typically, they have to close the placing orders by March of the year. If they have placed, they have placed for very few emergency procurement till now but the real emergency procurement has to go in a big way which will be starting in the next few weeks.

Moderator: Thank you. We will take our next question from Sanjeev Zarbade of Antique Stock Broking. Please go ahead.

Sanjeev Zarbade : Thank you Sir for taking my question. Sir, could you give us an idea about what kind of opportunity is there for us in the emergency procurement plan of the government?

Ashok Atluri : Our expectation is, the emergency procurement will happen in the field of anti-drone systems significantly. There is one thing and they would prefer anti-drone system with hard kill capability. So Zen has been able and typically unmanned hard kill would be better in the sense that you do not want people to be actually holding a weapon and firing because you become a target very easily. People detect where you are. So you should be able to shoot and scoot, they call it. They shoot from your weapon and then you move from there. So we have this remote control weapon station which are easily loadable onto the vehicles. And we have tested them with most of the vehicles that the Government of India is using. And they are working perfectly. I mean remotely you give the coordinates of the drone through the anti-drone system; it is able to point and shoot them down. So I think the soft kill and hard kill system of anti-drone system is where the big market is going to be. And I think they will form part of the emergency procurement. And I think there we stand a good chance of getting some of fers.

Sanjeev Zarbade : But would you be able to quantify the overall?

Ashok Atluri : In fact, we do not know how much of procurement will be going on this field so till tenders come out we will be able to compute our likelihood and then maybe come up with a figure.

Sanjeev Zarbade : And Sir my question regarding the other expenditure which has fallen very sharply on a quarter on quarter basis. So are there some expenditure that we book in the fourth quarter largely?

Afzal Malkani : So reason for reduction in the other expense, if you see in percentage terms, it is 7.35% in Q1 FY 2026 and in Q1 FY 2025 it was 5.5%. So in percentage terms, it has not reduced. So

Page 13 of 20 most of the other expense are semi variable in nature so other expenses reduced from 14.10 Crores to 8.16 Crores . In last quarter, it was on a higher side significantly on higher. So the reasons are in the last quarter in Q4, there was a substantial amount of professional charges and incentives, which was a variable in nature and linked with the revenue. And also last year, consumptions of stores and spare parts was on the higher side. Last year, there were some exceptional one of expense like impairment of investments, written off advances, provision of expected credit loss , provision for the warranty charges. So these are the five to six reasons due to which in Q4, it was on the higher side but compared to Q1 FY 2025 it is in the same level only.

Moderator : Thank you. Our next question is from Aditya Moona from YES Securities. Please go ahead. Mr. Moona, could you please unmute your microphone and ask your question?

Aditya Moona : So my question one was regarding the translation of order book towards execution in Q2. Currently our order book is about

750 Crores . Out of that, what are we expecting to be executed in Q2 FY2026? Second question was towards the order book. One is the 650 Crores of orders that we are expecting in the next two months. Other than that for H2, what is our order intake that we are expecting and the execution timeline for that?

Afzal Malkani : So Aditya, so on question of Q2, we would not be able to give the specific guidance on a quarter on that. And order wise , as we discussed, if we are expecting around 650 Crores by September for the simulator's order.

Aditya Moona : Other than 650 Crores in September order is there any other orders that we are also expecting in H2?

Afzal Malkani : As we mentioned apart from this anti -drone system that is under the emergency procurement, that we do not know whether it can happen or not by September.

Aditya Moona : Okay and for FY 2027, what is our order expectation? Is it something that is going to be much larger than FY 2026?

Afzal Malkani : FY2027, we expect the orders to be much, much larger than what we have done in FY2026. Again, we have to accommodate what we are projecting that by implication when we are saying 6000 Crores , we do expect 2027 and 2028 to be very, very large years compared to 2026.

Aditya Moona : Okay that will be all.

Moderator : Thank you. Our next question is from Jatin Jadhav from Sahasr Capital. Please go ahead.
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Page 14 of 20 Jatin Jadhav : Actually, all my questions have been answered. I just had a small suggestion Sir. So there is a company called in US called Duality AI. And I have been to your facility and I have seen how beautiful simulator software's you make. So what their product is essentially they make a digital twin of the environment and use that to generate synthetic data for test training and testing AI models for counter drone and as well as they use it as a simulators for the FPV drone pilots also. So this perfectly fits in Zen Technologies foray and while doing research a lot of US military, what do you call it, the bases have given them orders. So it does two things. It gives you data to train AI models also and it gives you a simulation platform also for your FPV and kamikaze drones. So it is something you could look into, Sir. That is pretty much it from my side. I had no particular questions. They all have been answered.

Ashok Atluri : Thank you so much. I just noted it down, Duality AI. And you just send an email also, just to give more information but we definitely love the suggestions from our investors. I think we are looking out much beyond what others are doing. We will definitely try to track on this but again, just to get everybody up to date, we are extremely focused on AI at this point in time. And we have launched a programme within the company called Transforming Zen into an AI native company, where everywhere, just not the products, just not the R&D, but across operations, across finance, across IT infrastructure, across logistics, everywhere AI is being used and everyone one is getting used, some of the results, something which used to take weeks is being done in few minutes, if not seconds. So things are really, really exciting on the front of AI. And everybody is in a learning mode at this point in time. And I think you will see the benefits of AI find tech in terms of not only just the product and building LLM within our simulators, which are learning and becoming better as the customers interact with them, but across board, across finance, and I think this will be a very, very exciting time at Zen. And we as Zenists are very, very hypercharged but thanks . We really appreciate these inputs. They give us ideas , sometimes we can also not only get the idea but also collaborate with these kinds of companies. Appreciate it Jatin . Thank you so much .

Jatin Jadhav : Just I had a question. So where should I

ail you the details on the IR?

Ashok Atluri : It is investors @zentechnologies.

Jatin Jadhav : Got it. Thank you so much Sir. All the best.

Moderator : Thank you. We will take our next question from Harshad Kapadia of Elara Capital. Please go ahead.

Harshad Kapadia : Good morning so just a few questions from my side. So you mentioned in the start of the call, some orders got some revenues got deferred because of which you were not able to

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Page 15 of 20 meet your target. I probably have missed it. Can you quantify that value? And secondly, is this that you have already done the production and the customer has not taken that delivery of that? That is the reason why it got deferred or is it that you are expecting some orders to come in and you will execute and then it was supposed to deliver?

Ashok Atluri : The o rders have been almost executed by this time as we speak . The delay in order execution was because of the change specs from the customer. So they were changing till the last moment and we had to accommodate that. So it was the revenue defers , not the order revenue, it is actually revenue recognition. So now we will be recogniz ing it in Q2, whatever we have deferred in Q1.

Harshad Kapadia : So can you quantify that number Sir?

Ashok Atluri : A little more than between 60 to 70 Crores is my estimate on that.

Harshad Kapadia : Okay. Secondly Sir on the 650 Crores simulator order, what kind of simulator orders you are expecting Sir in this particular quarter?

Ashok Atluri : So these are army -based simulators. I do not want to mention the product for obvious reasons, but they are army they are not navy or air force, but mostly army simulators.

Harshad Kapadia : Any particular area in Army you can specify? Is it guns, tanks or anything, any colo ur you can provide?

Ashok Atluri : I think as the orders come across . They are little sensitive things, Harshad and sometimes the government does not like it. So let us try to get the orders in hand and then check with them and then announce it.

Harshad Kapadia : Fair enough Sir. This was all from my side. I wish you all the best. Thank you.

Moderator : Thank you. Our next question is from Nirmal Rawat Singh individual investor . Please go ahead.

Nirmal Rawat Singh : I am an individual investor not from Axis. Sir my question was on kamikaze drone and there was this article in ET about a startup from BITS Hyderabad, two guys, they made kamikaze drone and they sold it to Indian army. So my question was that we also have got order on kamikaze drones or not?

Ashok Atluri : This was our DRDO project that TISA, our acquisition had done . They had executed for DRDO so that has to be productionized and then offered to the end user who bought it from

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Page 16 of 20 them and to other Indian users and overseas also but we have not sold anything to the end user till now. It is in R&D stage at this point in time. I t is BITS Pilani Hyderabad, even we have seen the article. We are pretty excited if they have achieved what they have said, which looks very, very exciting actually.

Nirmal Rawat Singh : Definitely you could consider collaborating with them.

Ashok Atluri : One thing again, very frankly, Nirmal, what we want to do is if there are companies that have a better product than us, we would definitely want to collaborate with them. We do not want to offer something that is second grade or which is not the best in the world. At least best in India that is the minimum criteria. So definitely, if BITS they have a product that is better than us, we would love to collaborate. And it is quite surprising because Vector is the only guys who do the indigenous components in India. They are also not aware of these guys. So we need to really know , where did they get the components from, etc but if they have achie

ved it is quite significant. We would love to collaborate with the best in the field.

Nirmal Rawat Singh : Yes Sir that is my question. Thank you.

Moderator : Thank you . Our next question is from Manish Gupta of Equinox Investment Advisors.

Please go ahead. Mr. Manish Gupta, could you please unmute and ask your question?

Manish Gupta : Yes Sir thank you very much for taking my question. Sir with wars evolving more towards drones and anti -drones, particularly hard kill, so does Z en have the capability and technology for hard kill, Sir? This is my first question.

Ashok Atluri : There was a kind of a semi -trial where they called all the capable companies in India for demonstrations. Army had called. And we were the only company that actually took hard kill system with guns and all that to that particular trial that , maybe they called it a demonstration . They called it actually trials , so yes, we are not only having anti -drone hard kill system, we are demonstrating it to our end users. And this capability is very deep with

us. And it has been at various commands . We have seen the product, the remote control weapon station with surveillance and they have really appreciated it. And I think hard kill is a area that we are really focusing on. As we go into the next few quarters, you will see some very good announcements in this area, that these are the new products that, again, these are all in consultation with the customers. Customers have been saying that we want this, and so we are going and accommodating their request. The hard kill is one area we really want to dominate by offering the best in the world. So to your question, yes, Zen is in a big way into hard kill and I think that will be a significant area of investment in the coming few quarters for us.

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Page 17 of 20 Manish Gupta : All right Sir. Just as a follow up, Sir, in coming years and quarters Sir, what do you feel more optimistic in terms of contribution to top line, whether it is going to be stimulators or it is going to be anti -drone systems?

Ashok Atluri : I personally think in anti-drone systems will keep catching up . We will keep increasing and we may go as much as you know 40% or even 50% of the simulators. So I would say, even hard kill when we say anti -drone system, we are trying to add other things also, like the hard kill system, including surveillance, everything, the camera, the electronic optics. So when we start adding the non -simulator revenues, even robotic automated systems, I think they will become a significant part compared to simulators. So I would like to classify not as simulators and anti -drone system, but simulators and non -simulators. I think they may become as big as 50 :50.

Manish Gupta : All right Sir. And my second question is a pretty layman kind of a thing. I mean, compared to some advanced countries like Israel's Iron Dome, and we read them in media, how efficient they were. So where does India and particularly Zen stand in this kind of capability, Sir?

Ashok Atluri : So the feedback that we have got from our end users is very, very positive, very encouraging in the sense that they were able to thwart all kind of drone attacks. And we have so many testimonials saying that the products work extraordinarily. And we are very grateful that the products have been developed by Indian company with completely indigenous technology. We got a lot of testimonials like that. And again, they also commented how focused and committed our staff were. They were there helping them, wherever there were gaps, our guys were trying to help them. So I think overall, it has been a very, very good experience. And to your question, we definitely think we are in the top two or three in the world. It is not that we are number one at this point in time but that is our objective. How do we become number one? We definitely need to impr

ove the hard kill

game, where we try to integrate as we go ahead. Again, I said hard kill is the area of focus for us. How do we improve the missiles and other higher technologies to bring down the drones when we once we detect them, and especially they are now becoming AI based drones, where they are doing vision -based attacks, etc so given all this, I think we are not there. But we will definitely be there in the next maybe one or one and a half year we should be there at the top of the game.

Moderator: We will move to our next participant that is Krishna Doshi from Ashika Institutional Equities. Please go ahead.

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Page 18 of 20 Krishna Doshi : Thank you for the opportunity Sir. Since we have already mentioned the NATO countries in our con call today, I just wanted an update as to how much of an opportunity are we seeing from that side now that we know that NATO is planning this massive rearmament plan.

So what kind of opportunities are we seeing there, i s it possible to quantify? And also it will be more inclined towards which segment of us?

Ashok Atluri : So one thing is, NATO countries, difficulty simulator is a big thing, in the sense that their training and requirements have gone up. And one hard reality that has hit all the NATO countries is that even though Ukraine has been really given world's latest equipment and in terms of whatever you say, the tanks, the missiles, the hand -held missiles, everything they were given, but still they did not stand a chance against Russia, which predominantly using very old equipment. And, the realization is that because of training, and we feel that because of that, there is a lot of focus on simulators as a requirement to take on any formidable enemy in the future. So yes, that is there. The second IS even anti -drone systems and drones also, as we speak our subsidiary Vector is talking about exporting to both America and Europe and very, very big names at that. So I think the opportunity is there. And of course, anti -drone systems is something that we will be pushing a lot. And again, once we expose it to their environment, we will get a real -time feedback. And I think our

agility and speed of customizing the product to their needs is much quicker than any of the competition that we have. I think in overall holistic approach all our products will be pushed in the NATO and US market and South America also.

Moderator: Thank you. We will take the next question from Hitesh Choudhary of ULJK Financial Services. Please go ahead.

Hitesh Choudhary : Thank you for giving me opportunity Madam. Actually, I am seeing on the operational side the margins are fluctuating. So can you give light on which segment is fluctuating this EBITDA margin? Is it from anti-drone system or training simulators?

Afzal Malkani : So, if you see the operational EBITDA margin is around 34.27% on a standalone basis and overall EBITDA margin is around 52%. So if we exclude the other income that it is coming around 34.27%. Our guidance is around 35%. As we guided earlier in the simulators, the EBITDA margin is a little bit on the higher side and anti-drone system is a little bit on the lower side but on an average, it is 35%. So in this quarter also, we achieved around 34.27%, almost near to 35% EBITDA. And on consolidation basis, yes, this time EBITDA margin itself is around 40% due to the good contribution from our both the subsidiaries ARIPL as well as UTS.

Hitesh Choudhary : Thank you, Sir. That is it from my side.

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Page 19 of 20 Moderator: Thank you. Our next question is from Nikhil Purohit from Fident Asset Management. Please go ahead.

Nikhil Purohit : Yes thanks for the opportunity. My first question is just a follow -up on early participant's question. So in the existing order books, 750 Crores what are the timelines for execution?

A

and how much is executable by this year?

Afzal Malkani : So if you see, our total order book position is around Rs.754 Crore out of which 148 Crores rupees is for the subsidiaries. For the Zen standalone basis, it is around Rs.605, out of which AMC is around Rs.260 Crores. If we deduct this 260 from 606 Crores , then total equipment order is around 346 Crores . This is purely equipment orders only. So this will be executed by at least Q3. Maybe most of the equipment orders will be executed in Q2, but yes a few equipment orders will be spilled over to Q3 also.

Nikhil Purohit : What order book are we targeting by year end for us, if you could also give a breakup for the order book of these subsidiaries and throw some light on numbers, like any EBITDA, PAT for ARI, Unistring , TISA for FY2026.

Afzal Malkani : Whatever is a standalone numbers in this year you can add Rs.250 Crores in the consolidation as a top line maybe from the ARIPL 170 and another is from the other subsidiaries around Rs.80 Crores. Obviously it will be more than 250 but there will be an Ind AS effect which will be knocked off. So after knocking off this effect, at the consolidated level you can add Rs.250 Crores revenue from the subsidiaries. And EBITDA , this will be in line with 35% and as per the Zen's benchmark and profitability will be also 25% as per the benchmark of the Zen and we have seen this in Q1 also they have achieved the same.

Nikhil Purohit : Got it. Just one last question, what will be the capex for FY 2026?

Afzal Malkani : In FY 2026 there is no significant, maybe Rs.40 to 50 Crores capex will be there.

Nikhil Purohit : Okay, got it. Those are my questions. Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I hand the call back to Mr. Ashok Atluri for closing comments.

Ashok Atluri : Thank you fellow investors. I really appreciate the interaction. And again this year, we expect it to be muted but next two years, I think we are very, very hopeful that they are going to be very exciting. As a further update, thanks to somebody bringing up the AI part . We are really, really working and getting AI into our products, our operations, everything

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Page 20 of 20 and that will start yielding significant results in the next few months and we will probably keep you updated on that too. And thank you so much for the interaction and looking forward to the next earnings call with you. Thank you.

Moderator: Thank you very much. On behalf of Zen Technologies Limited that concludes today's conference. Thank you for joining us and you may now click on the leave icon to exit the meeting. Thank you for your participation.

Call: Oct 2025

October 30 , 2025

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Symbol: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call held on October 27 , 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , please find enclosed the transcript of the earning s conference call held on Monday, October 27, 2025 .

This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar

Company Secretary & Compliance Officer

Encl: as above

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“Zen Technologies Limited Q2 FY202 6
Earnings Conference Call ”

October 27 , 202 5

MANAGEMENT : MR. ASHOK ATLURI - CHAIRMAN & MANAGING
DIRECTOR

MR. AFZAL MALKANI - CHIEF FINANCIAL OFFICER

MS. ABHILASHA ATLURI - INVESTOR RELATIONS
OFFICER

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Page 2 of 19 Moderator : Ladies and gentlemen, good day and a warm welcome to Zen Technologies Limited Q2 FY2026 Earnings Conference Call . Please note, all participants' lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the management's opening remarks. I would like to remind you all that everything said in this call that reflects any outlook for the future, which can be construed as a forward -looking statement, must be viewed in conjunction with the risk and uncertainty that the company faces. Please note that this conference is being recorded. I now hand over the conference to Ms. T eena V irmani from Motilal Oswal. Thank you, hand over to you.

Teena V irmani : Thank you. Good afternoon, everyone. And thank you for joining us for Q 2 FY2026 Earnings Conference Call of Zen Technologies. We are pleased to welcome the management team of Zen Technologies to this call. Mr. Ashok Atluri, Chairman and Managing Director, Mr. Afzal Malkani, CFO, and Ms. Abhilasha Atluri, Investor Relations Head. So we will start the call with a brief overview about the company's performance, after which we will open the floor for question and answer. With that, I now hand over the call to Mr. Ashok Atluri for his opening remarks. Over to you, sir.

Ashok Atluri : Hello, fellow shareholders and potential investors and friends. Thank you for coming on the call. And as you see that Q2 results have come out and one of the main expectations during the Q2 was in addition to results, which were not as encouraging as I would want it to be, was the order book position did not build up as we had sought out. Again, as explained in the press release, this delay in orders has been attributable to the government's extreme focus on emergency procurement post -Operation Sind oor. And while part of that was good news because in that we had our anti -drone systems also, but the regular procurement of

training and equipment and simulators were delayed. But again, I want to assure you that this is just a question of when, not a question of if the things are moving in the right direction and we expect orders to come. So having said that, I would like I request Afzal Malkani to just brief you on the financials key points in that and then we can actually dig deep into the Q&A and try to answer your questions.

Afzal Malkani : Yes, thank you, sir. So, good evening, everyone and we welcome to our earning conference call for the Q2 FY 2026 and H1 FY 2026. Let's begin with a quick update on standalone performance for the Q2 FY 2026. Our revenue from operation was Rs.124.65 Crores, compared to Rs.241.69 Crores in Q2 FY 2025. However, in Q2 FY 2026, this is much better than Q1 FY 2026. Our Operational EBITDA for the Q2 FY 2026 decreased to Rs.42.10

Crores compared to Rs.79.69 Crores in Q2 FY 2025. In percentage terms, Operational EBITDA is 34% of the revenue compared to 33% in Q2 FY 2025. Our total EBITDA is Rs. 64.79 Crores compared to Rs. 87.84 Crores in Q2 FY 2025. In percentage terms, EBITDA is 52% of the revenue compared to 36% in the last year. Our profit after tax has decreased to
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Page 3 of 19 Rs. 46.16 Crores in Q2 FY 2026 compared to Rs. 65.24 Crores in the same period last year. The profit after tax in percentage terms is 37% compared to 27% in Q2 FY 2025. Coming on to the half yearly performance for the H1 FY 2026, our revenue for the H1 FY 2026 is Rs.235.71 Crores compared to Rs.495.64 Crores in H1 FY 2025. Our operational EBITDA for the H1 FY 2026 decreased to Rs.81.27 Crores compared to Rs. 183.73 Crores in H1 FY2025. Operational EBITDA in percentage terms is 34% compared to 37% in H1 FY2025. Our total EBITDA for H1 FY 2026 is Rs.122.72 Crores compared to Rs.194.08 Crores in H1 FY 2025. So in percentage terms, it is 52% compared to 39% in H1 FY 2025. Now coming on to the profit after tax, our profit after tax has reduced to Rs.83.28 Crores compared to Rs.139.42 Crores in H1 FY 2025. In percentage terms it is 35% compared to 28% in H1 FY 2025.

Now coming on to the consolidated financials. Total consolidated revenue for the Q2 FY2026 is around Rs.173.57 Crores compared to Rs.24.84 Crores in Q2 FY 2025. There is a degrowth of 28% on a consolidated basis. Our consolidated operational EBITDA for the Q2 FY2026 has decreased to Rs.65.54 Crores compared to Rs.80.31 Crores in Q2 FY 2025. The operational EBITDA on consolidated basis is 38% compared to 33% in Q2 FY 2025. Consolidated EBITDA for the Q2 FY 2026, total EBITDA is Rs.90.05 Crores compared to Rs.88.48 Crores in Q2 FY 2025. The consolidated EBITDA in percentage terms is 52% compared to 37% in Q2 FY 2025. And consolidated profit after tax, after adjusting non-controlling interest, has decreased to Rs.59.40 Crores compared to Rs.62.67 Crores in Q2 FY2025. In percentage terms, it is 34% compared to 26% in Q2 FY 2025. Coming on to the consolidated half yearly performance for the H1 FY 2026, our consolidated revenue is Rs. 331.79 Crores compared to Rs.496.46 Crores in H1 FY 2025. Our consolidated operational EBITDA for the H1 FY2 026 is Rs.131.47 Crores compared to Rs.192.53 Crores in H1 2025. In percentage terms it is 40% of the revenue compared to 39% in H1 2025. Our total consolidated EBITDA for H1 FY 2026 is Rs.176.55 Crores compared to Rs.202 Crores in H1 FY 2025. In percentage terms it is 53% of the revenue compared to 41% in H 1 FY20 25. Coming on to the profit after tax for the H 1 FY2026, after deducting non-controlling interest, reduced to Rs.107.15 Crores compared to Rs.139.48 Crores. In percentage terms, it is 32% compared to 28% in H1 FY 2025. Now moving on to the balance sheet part, Zen remains focused on maintaining a strong liquidity and leveraging its asset light business model. Our net cash position as on 30th September 2025 is Rs.1103 Crores and we continue to debt free status. With that, we conclude our opening remarks and would now like to open the floor for question and answers. Thank you.

Moderator: Thank you, Sir. Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We will wait for a moment until the question queue assembles. We have Manish Gupta who would be asking his question. Manish Gupta of Zen Technologies Limited
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Page 4 of 19 Equinox Investment Advisors. Manish Gupta, please unmute your microphone and you can go ahead with your question, please. Mr. Manish Gupta, please unmute your microphone.

Manish Gupta : Sir, am I audible?

Moderator: Yes, please go ahead.

Manish Gupta : Sir, thank you for the opportunity.

Sir, as per media reports, Iranian Shahed -136 drones

which cost about only \$35000 to \$40000 each are being seen as a game changer in UAV warfare. And Zen has always been at the forefront of technology and cost effectiveness.

Does this low priced and highly effective drone undermine drone and anti-drone companies globally including Zen, sir?

Ashok Atluri : Yes, great question. So the thing is we are not doing drones at this point in time, we are focusing exceptionally on anti-drone systems and anti-drone systems, I think there are no cheaper versions than, what we have been supplying are very cost competitive globally and we have not seen any country including China making anything as competent and as cost effective as we have made. So there is no competition with respect to our anti drone system globally. So to your point about, what is our answer to those drones, I think that is something the drone companies are working on and Zen has acquired vector techniques that are trying to make something better than the Shah ed kind of drones, which are really cheap and the cost to neutralize them is very, very high but the anti-drone system, which are basically soft kill like the ones we have, are very effective solutions and can block those kinds of drones effectively. And there is no, when you look at the cost for bringing down these kinds of drones, as long as it is not a hard kill, it is just a soft kill blocking, jamming the signal, which is being sent from the ground station to the drone that is almost negligible. There is no cost involved. Only when we try to shoot it down by sending multiple missiles or very expensive solution, then it becomes very expensive. So that is not the case. That is not what we are doing in Zen in the capability, we are doing a hard k ill, but we integrate it with L 70 and other weapons system that we have and they are not as expensive as one would, not very expensive. So they are also very effective solutions.

Manish Gupta : All right, sir. Just a follow up, sir. In your opinion, these drones are amenable to soft kill or they require only hard kill, sir?

Ashok Atluri : No, so it depends if the weapon systems are if the ground control, so what happens is the most of the drones, they work in both the categories. One is through the ground control, they work and at some point in time, they can become autonomous based on maybe a GPS system, or maybe some kind of AI based waypoint, where they see the physical characteristics and keep going. So, if it is a ground control thing, then the soft kill works, Zen Technologies Limited
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Page 5 of 19 where the drones become independent autonomous there either we have to do GPS spoofing to make mislead them over the geographical location, or the second option is actually shoot them down. So it will depend on so to your question, the y may work in a hybrid mode, both ground control and autonomous modes.

Manish Gupta : All right, sir and sir my second question is that you have always encouraged investors to stay put in Zen for the long term and not look at short-term aberrations, particularly due to the peculiarities of the defense industry, the lumpiness of the orders and other stuff. In your opinion, sir, has anything fundamentally changed, which makes you worried about the long term prospects of the Indian defense industry, including Zen?

Ashok Atluri : No, no, not at all. I think in the long term, the story is intact, and I personally believe that we have it is after the dot-com bust happened in 2000. The really serious, deep tech companies actually emerged the Google and all that. I think that is what is happening now. Companies with indigenous R&D, their own R&D, with long-term game plan, a lot of products in the pipeline, they are the companies that are going to survive this thing for the long term. And typically, again, we are prime contractors. While there is

a downside to

being a prime contractor, the prime contractors for which one of the customers is the Indian armed forces, but Indian government is pushing us to go and sell to friendly allied nations. So we have multiple customers and we are de-risking ourselves that way. But again, to your question, has it fundamentally changed? I think the change is this, that the government is looking not for me-too guys or people who are just reselling other technology or just setting up a Make in India label manufacturing for becoming a manufacturing coolie for some high-end foreign technology developer, but actually developing in-house technology for India complete IP ownership. So they are looking, I think for them the story is improving now. And the government is saying that we want Indian IP, because they are really worried about what will happen if the software inside has a malware. We have seen again as I said earlier, the even the pager incident with the Hezbollah was a wakening call in the sense, you could even program them to be destructive. So whatever we are getting from outside is a question mark.

How do you know that it will not turn against India at some point in time? It does not matter which country it is. So any country may be having a malware which is to turn on the switch and all our software will go. So Indian government is very, very aware of that and they are insisting that the software be ours and we should be able to read it, compiled in front of us, all the electronic designs, mechanical design should be our own and I think that

is good news for companies like Zen which believe in this IP ownership and own R&D so I think fundamentally it has changed in a way, which is very positive for companies like that.

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Page 6 of 19 Manish Gupta : Thank you sir, thank you sir, I will join back in the queue.

Moderator: Thank you. We have our next question coming in from Pritish Urumkar of ICICI Securities. Please unmute your microphone.

Pritish Urumkar : Hello, this is Vikas Singh from ICICI Securities. Sir, just wanted to understand our cumulative revenue guidance of Rs.6000 Crores, given the first half has been pretty weak. So how should we look at this Rs.6000 Crores cumulative revenue guidance? Should we think that it will spill over to FY 2029, given our order is also pretty low as compared to our historical rate.

Ashok Atluri : So Pritish, our feeling is that based on the pipeline, order pipeline that we have, that the orders will start accelerating in the edge to especially towards the end. And in 2027, also the acceleration will continue. There will be a lot of orders that will keep coming and what we are saying is cumulatively these orders will be executed in 2027 and 2028 at this point in time. I do not think that what as of now our feeling is that all the Rs.6000 Crores whatever 6000 minus whatever we execute during FY 2026 will be executed in FY 2027 and 2028, assuming the order book will be in place as we are assuming. So I think the chance of this Rs.6000 Crores going to FY 2029 is not there as of now and I feel personally very confident that I think 2027 and 2028 are going to be great years for Zen.

Pritish Urumkar : Noted sir. Sir, last year had been a year of acquisition for you. Given those four verticals which you have acquired, how should we look at your total addressable market right now because since we are looking at Rs.6000 cumulative and how much you think that those four divisions would contribute in this cumulative Rs.6000 Crores?

Ashok Atluri : So the four companies that we have acquired, the thing is the Zen's acquisition strategy has been very, very clear in the sense that first we are saying that we should become strong in training and simulation. And one of the acquisitions in that regard was ARI, for the naval simulation. So it is a very, very, almost even though

it is inorganic, but organic in terms of

strategy. And then we are also looking at now, we are trying to build our own air force simulators, but we are also looking at some interesting acquisitions in that regard. So this is the training and simulation. The second was in the area of anti-drone systems. And anti-drone systems, we are already doing soft kill kind of a thing. Now, how do we add the hard kill portion of that? AI Turing made the remote control weapon stations, and they were able to integrate weapon and they were tested in the, by the way, they are trusting the recent trials. And I think we were the only one stop shop solution for the complete hard kill requirement. And the end user really appreciated what we have offered. It is not like we are getting a raft of five, six items and trying to put it together and try to offer, a very, very integrated and very intuitive solution we have given. And again, we are looking at the

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Page 7 of 19 vector. So we are also trying to understand the ecosystem of the drones. And in that regard, we have invested in vector techniques. And TISA is another thing that are required. Again, when you look at the robotics, for robotics, we have invested in Bhairav Robotics, which is again a very integral part of the what would I say automated weapon system, the RCWS kind of a system. So these are not verticals, but they are actually very, very accretive in nature to our strategy. So I think these acquisitions, when we are talking about the 6000 Crores, we are adding all whatever solution we are offering, the incremental solutions being offered by these companies are included in that, subsumed in that.

Pritish Urumkar : Noted, sir. And sir, just one thing, this we are talked about a lot on the anti-drone system, soft kill and hard kill, but as we know that this space is also getting crowded. So what is the differentiator for you?

Ashok Atluri : So, one thing is the software, the hardware, everything is indigenous. What we are developing is completely IP owned by us. And we have seen in 23 when tenders were issued that under IDDM, it is very difficult for any other Indian company to qualify. So they are getting it from outside and they are trying to collaborate with partners and try to pass it. So the first thing is that the IP ownership and second is the amount of the coverage that we give. Most of the guys are giving coverage of commercial frequency drones and they were saying, when they say commercial frequency, typically, they are 2.5, 2.4, 5.8, 900 megahertz, etc. They are commercial frequencies in which the DJI all these Chinese drones, third rate Chinese drones fly. So those we are able to actually do those were being stopped earlier by everybody, including Zen. But when the war started, when the actual requirement

came, we realized that they will not be flying in commercial frequency. They will be flying in any frequency in between. And that is where when we started doing wideband anti -drone system, we were the only people who qualified in that. During 2023, when this was done, 2024, 2025 was supplied, we were the only guys who were able to do it. So even now if IDDM requirement, the IP requirement is there, there is no way we feel that any company can do it. Because we have done research for three to four years, very, very heavy research in this and it is very important that the IP in this company should be owned by India, we cannot have anybody else owning it because at the time of war, the software may fail. And you know, may means will, Murphy's Law comes into operation in wars. So we have to ensure that these are completely India owned. And, and the third point was that we are doing a complete solution. It was hard kill a lot of people are saying, but where are they getting the remote control weapon station from? Where are they getting the weapons from? So all these ar

e question marks, actually, in that, but we are, as one company, as one group, Zen and their subsidiaries are giving one integrated, comprehensive, non -negotiable solution. So I think that is what is the standing. But again, you are right in the sense there are a lot of claimants at this point in time. And because there is too much of decentralization happening in the armed forces, there may be some orders that the others are picking up. But
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Page 8 of 19 in terms of quality and the comprehensiveness of the solution, Zen is way ahead of the competition. Again, we think that if it is IDDM, where the government actually verifies the software, the electronics and the mechanical hardware, they will immediately know that Zen is the only serious player in this segment.

Pritish Urunkar : Thank you sir.

Moderator: We will now move to our next participant, Akshay Patel of AK Investment. Please unmute your microphone sir.

Akshay Patel : Hello sir. Sir, my first question is regarding government procurement. So as you said that government is on the fast track procurement of defense equipment and our anti -drone system is one of them. So why are we not getting orders since the Operation Sindoor and earlier we had talked about Rs.650 Crores of order flow in the first half that is getting delayed. So can we expect this in the second half of FY2026?

Ashok Atluri : Yes, so the thing we are very positive Akshay that these orders will come through again. It is a matter of time and not whether we will get it or not. And, so that was those Rs.650 Crores that we talked about were related to simulators and training equipment. So that has got pushed because of the government's focus on post -Operation Sindoor on operational equipment. And so that will come through, we are very sure. We were actually very sure that it will come by September 30th. But we were very wrong about the slowness with which things would happen. But now, they will definitely come in. So, there is no doubt about that. To your second question, why no orders with respect to even anti -drone systems? So, the thing is, anti -drone system tenders have just been floated. As we speak this is it is almost a week in terms of government time. May this thing happened, they started doing it in June, July, August. Now we are in September, it is the three or four months after the Operation Sindoor. But we think that in the next couple of months, most some of the results will come through and you will probably hear good news. If the government sticks to its own proposed timeline and this emergency procurement, typically even the delivery has to happen within 12 months or so. So I think we are waiting for the evaluations to be over, RFPs to be floated, evaluations to be open, orders to be placed. But they should happen in the next couple of months is what our expectation is.

Akshay Patel : Ok, sir. And sir, my second question is, what is the total addressable market for simulators and anti -drone system, particularly in India? And my follow -up question on that would be when do you expect these segments, both these segments to get stagnant? That is when all the area will be covered by anti -drone systems or all the simulation has been placed. When do we expect this segment to be stagnant and since the growth will be flat tish over the how many years?

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Page 9 of 19 Ashok Atluri : I think next four to five years, the growth will continue Akshay and two things. One is for simulator market simulators will be required, they will have a typical lifecycle of 10 years. And after 10 years, they need to buy again. So as we grow and keep supplying the simulators, I think the growth will keep happening but those old simulators are required to be refurbished. So there is a recycling of the market that is happening. Second is the anti -drone system. Aga

in, they also have a very limited life cycle of 10 years. But not only that, in addition to having a limited life cycle, they also, the threat is evolving in almost every year. When we started, everybody was saying that we want a soft kill. We do not want hard kill, they would say, where they said we are not worried about hard kill, only soft kill. And we made the soft kill system. And then they said, Listen, we want soft kill but now we also want autonomous, there are autonomous drones, when they ground control to drone, there is a communication link, we break it through jamming, but then the adversary came up with something called autonomous, I will not use the ground control, after it reaches the enemy destination, we will move into GPS, the drone will go through GPS and no ground control will be there, so the jamming will not work. So we had to come up with something called as GPS spoofing, we did the GPS spoofing. And then they then now they are coming up with something called as autonomous just not even GPS, they look at the waypoints, AI vision based drones. So now we have to do nothing but shoot them down. So our systems are evolving. So we think this cat and mouse game will come but they keep they will try to overcome us and we will try to overcome what they overcome so this thing will keep going on and the systems will be required every two to three years upgradation will be required almost like our PC or laptops I think this is going to be a continuous market for us.

Moderator : Thank you sir. We have our next question coming in from Balasubramanian A. of Arihant Capital. Please go ahead with your question.

Balasubramanian A : Good evening, sir. Thank you so much for the opportunity. Sir, my first question, you talked about AI. We are transforming through AI. Beyond using LLMs in simulators, what specific proprietary AI models you are developing for core products like anti -drone systems, especially for threat classifications or loitering munitions, it is like for autonomous targeting. How much of the increased R&D spend in H1 nearly Rs.12.3 Crores allocated specifically to this AI initiatives?

Ashok Atluri : Yes, so AI has become a real obsession within the company. So when we look at AI, there are two types of AI we are talking about. One is within the company, how do you implement AI across processes, where you are buying or when you are trying, procurement, R&D, the operations, after sales service, the CSB. So all this value chain, how do you apply the process so that things become more faster and the bottlenecks are resolved? So that is the process -based AI that we do. Second that you are alluding to is the product -based AI, where we put AI into the product. And for example, take simulators. One of the better, Zen Technologies Limited
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Page 10 of 19 when we are looking at simulators, the best way to train somebody in simulators is, one on one is what we would say the best kind of training is. So, we build that one on one training with the AI experts being developed into integrated system. So I think that is that is what we are trying to achieve, we will be able to do one on one expert. So unless the AI is integrated into the product, Once AI is integrated, what happens is, what is the best kind of training? This is a one on one training where an expert coaches a training. So that is the best kind of training. And the second thing is, how do we ensure that so AI is that kind of a coach, if there are 100 people, it will detect what is th is guy's weakness, and it will be able to coach the guy as an expert. So similarly, in anti -drone systems also threat classification, everything is being integrated in a large way. So we are actually eating, drinking, breathing air at this point in time, we are at a very, very basic level, the AI is completely integrated. Sorry, Bala, please go ahead with your next question.

Balasubramanian A :

Yes, sir. So my second question for that equipment order book nearly Rs.346 Crores, but the major execution is happening in Q3 only. And any further like significant new orders are we are expecting, especially for new anti -drones? And what is our current production capacities?

Ashok Atluri : So we have adequate again remember Bala we do not do most of our production in -house we have a value chain that addresses the production issues. So we have enough bandwidth within the supply chain that to execute the order. So we do not think there is any constraint there. With respect to the order book, yes, I think in H2 we will be executing considerable part of the order book that we have. And we see some more accretions also happening. And whatever accretions are happening, we will try to execute them also. So I think that way H2 will also be, it will not be as good as last year, but it will be muted. The whole year will be muted. But again, we think that 2027 -2028 will more than make up for the deficiency in the current year.

Moderator : Thank you, sir. We have our next question coming in from Bhawna Singh of Yes Securities. Please go ahead with your question.

Bhawna Singh : Yes, thank you so much for taking my question. First is I obviously would like to understand the muted macroenvironment that we are sitting on with the product mix that we have. So what is the expectation in terms of, a product mix, kind of an outlook maybe for a mix between simulator and anti -drone system or with the new acquisitions that we have

done, is it that we are trying to pivot in terms of a product mix segment? You did mention earlier in the call that Rs.650 Crores simulator order was expected which is obviously pushed to sometimes for the next quarter or so. So one is obviously trying to understand on the product mix for this year that we should look at it probably the guidance that you have

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Page 11 of 19 given out for Rs.6000 Crores of a top line say, in the next two years or so. So what would lead the contribution or which product would lead the contribution over there?

Ashok Atluri : Thanks, Bhawna. So, in terms of product mix, we are looking only between simulators and anti-drone systems and the simulators would be across three services and anti -drone system again Indian and foreign, India and exports, Indian armed forces and friendly allied nations and simulators also similarly domestic and international markets. So what you are saying out of the Rs.6000 Crores , what would be the breakup between simulator and anti -drone systems, I will make a very wild guess, and so I may be off the mark. But typically, we are thinking, we are thinking 40 –60, but now we are starting to think maybe it is 50 -50 kind of thing. So it is evolving situation, but the pipeline for the anti -drone systems has become very strong post -Operation Sindoor and I think that is going to lead the demand for the product that we have. With respect to, are we going to pivot to something else because of the acquisitions or not? They are very, very, focused acquisitions. And very frankly, first 25 years of our existence, you are just focused on one line that was your training simulator for the Army, not even for the Navy or Air Force. We were just doing that. Now, after that, we added the second line, which was you know, anti -drone systems. And again, that has been eight years and we are not really, we are trying to consolidate. So what we feel is that whenever you are, if you are in a field in which you have some lead and some kind of a leadership position and there is a lot of markets still left untapped. Do not try to make yourself spread over many avenues. So we really want to go deep into these things, simulation and anti -drone systems and we do not want to pivot unless there is a very, very good acquisition that has deep capabilities and can help us have a leadership pl

an to become

a global number one or number two in the next three to five years. We do not want to really pivot. So the short answer is that we will go deeper into what we have because these markets have a lot of potential. Somebody was asking the, addressable market, again, we think a couple of billion dollars in both the cases, at the minimum markets are there, and we want to exploit those markets rather than spread, go across something else.

Bhawna Singh : So just to follow up on that, obviously as you mentioned, but if you probably can give a little bit overview on what is the mix that you are probably looking to have even on the geographic side of it, be domestic or exports. Earlier on the call, I think sometime last quarter, you did mention that H2 probably will pivot more towards export oriented segments. So just like to probably understand on how you are placed for the year in terms of the order pipeline and for the next year on that front.

Ashok Atluri : So, again, in terms of geographic focus, we have, Africa is one region that we really focus on, we are looking at Middle East, we are looking at CIS countries and now with our acquisition of ARI, they have a very strong presence in Southeast Asia, we are leveraging their connections there and they have office in Singapore. So we are trying to leverage that

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Page 12 of 19 to actually get entry into those markets. So we think that, again, the efforts, H2 in the efforts are being accelerated. And we do hope that between H2 and H1 of next year, there will be very, very some very nice pleasant surprises in exports market and we will get a lot of revenues in that regard. So again, we think simulator is our big part of the exports demand that we are getting, but also anti -drone systems, we see a lot of inquiries coming. So again, this will be a mix of both the anti -drone systems and simulators, which will be leading our efforts into exports. Thank you.

Moderator : We have our next question coming in from Rupesh Tatiya of Long Equity Partners. Please go ahead with your question.

Rupesh Tatiya : Yes, hello sir, am I audible?

Moderator: Yes sir.

Rupesh Tatiya : Yes. Thank you for the opportunity. Just following up on the previous participant's question. So you said 50 -50, Rs.6000 Crores order book, rough guess is 50 -50, but is it fair to say that the competitive landscape in simulator is very favorable, but the competitive landscape in counter -drone system may worsen? So the margin profile will be significantly different? Any qualitative or quantitative comment if you can provide around the margins of the two segments?

Ashok Atluri : Again, I think just to explain to you, you know the value cap, where does the value capture

come, where do the margins come from is deep R&D. If you are actually done a tremendous amount of R&D in a product, and you are able to offer features, and you are able to give them at a price which is the best in the world though to the customer I think customer is willing to pay so what we are saying is these margins that we have are in competition with the similar kind of system that are being done and now how much they have spent R&D typically their cost of actually achieving this system is much, much higher than what we are able to gain, and we operate very efficiently, R&D is very efficient, our productions are very efficient. So all these also add up to the savings that are there, which are not possible with two other companies. And for example, we know one very large company that has got about six vendors together to offer an offering that we were given. Again, it is a broken system that they are offering. But the fact is, everybody is adding their margins and finally, by the time they come and actually compete with us, they will not be able to become cost competitive to us. And, even if they are trying to match us, they would

d

not have any margins. So these margins are because we have created deep R&D and in-house R&D. So I think that is why we are able to think and so to your question, the answer is that these margins are sustainable, at least in the next couple of years, we do not see any threat of margins being compromised. But again I will let the market speak in the next two

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Page 13 of 19 and three years and let us see how, how again, again, you are right in the sense that if they become very aggressive, we will also become very aggressive and try to compete with them. But as of now, we see no threat to the margins that we are having.

Rupesh Tatiya : Okay and sir counter drone system tailwinds, I think I understand and most of us understand based on what is happening around the world. But what, what is the, what are like two, three things that are driving this big order inflow in the simulator segment? Because I do not think we have ever seen such large quantum of orders in simulators. So what is driving this?

Ashok Atluri : So Rupesh, what has changed is this, five years back, the wars were not happening at all. I mean, there were no wars, people were not, before Armenia, Azerbaijan, nobody was even thinking about war, somebody said, what happens with war, they did not want to prepare for war. And then you know, Armenia, Azerbaijan happened, then Russia, Ukraine happened. Now, everybody is wishing to go for a war, right was saying that 17 or 18 skirmishes or wars, battles going on in the world. And who would have imagined Thailand and Cambodia fighting? So, the thing is, now war is no longer looking like a distant fantasy, but it is knocking right at the door of every nation. And for that, they need to prepare, they need to be really trained efficiently in a shorter time and in a continuous manner. So preparation for war is no longer an option, but an absolute necessity for every nation at this point in time. So this shift of, wars happening, potential threats, somebody coming and attacking them is very real. And that is why we see the simulator, the tailwinds in the case, as you said, for anti-drone systems, they are also there for training and similar simulation equipment.

Moderator : Thank you, sir. We have our next question coming in from Dipen Vakil of Phillip Capital. Please go ahead with your question.

Dipen Vakil : Hi sir, challenging times but EBITDA margin resilience has been something which is positive. Sir my first question is, in this quarter out of Rs.94 Crores worth of new order wins, almost Rs.90 Crores have been from your subsidiaries. So can you tell us about which subsidiaries are contributing to such order wins and the kind of execution that we can expect from subsidiaries also going forward and the kind of split that is there in the order book right now. So Rs.675 Crores between say equipment, AMC and subsidiaries.

Ashok Atluri : Yes, I will let Afzal handle it.

Afzal Malkani : So if you say, Dipen, so total order book position is on a consolidated basis, it is under Rs.675 Crores, out of which Rs.375 Crores is equipment and remaining is for the AMC. Out of this Rs.675 Crores order book Rs.484 is Zen, UTS is around Rs.98 Crores, ARIPL is

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Page 14 of 19 around Rs.92 Crores and Vector is around Rs.1 Crores. So total subsidiaries is Rs.190 Crores.

Dipen Vakil : Got it sir. So also recently there was some news flow around so basically an RFP for something like your Prahastha product so any progress or any RFP that has come out for your product on that front?

Ashok Atluri : Yes we have some RFPs that have come up again, for various reasons, we cannot really get into that. But they are largely anti-drone systems tenders have come out and they are actually kind of, going to increase in size and the size are pretty big. But again, not now, but in 27, I think

the size of the orders are going to be very, very big. And we expect that the demand, especially in the anti-drone segment is going to be huge. But again, simulators also, they are going to be huge. To your question, yes, there are some new tenders that have come up.

Moderator : Thank you sir. We will take our next question from Akshay Jogani of Xponent Tribe. Please go ahead with your question.

Akshay Jogani : Thank you for the opportunity. I have a few questions on the drone side. Sir, a few days ago you gave a press release of getting a contract for a hard kill system. Can you just give some color on what exactly in terms of, is it a full system and what are the specs of that particular hard kill system that we are supplying?

Ashok Atluri : So, I will not go much into details. But typically the system consists of detector, jammer, radar, electronic optic, which is the camera, and then a hard kill weapon, that is a remote control weapon station, and the actual weapon which is required. So all this put together make up the system and we are able to supply we were able to win the thing again, this was a typically single vendor situation, resulting single, nobody else could even come up with the offer to the government. So this is what the configuration was.

Akshay Jogani : Sure. So this is one system or multiple systems?

Ashok Atluri : Please come again.

Akshay Jogani : So this was one system like this is connected to one L70 gun or is it like multiple?

Ashok Atluri : It was not L70, it was some other weapon.

Akshay Jogani : But one, this is a one system.

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Page 15 of 19 Ashok Atluri : Yes, I am not sure about it. Maybe it must be two systems or something like that. Not sure about the quantity.

Akshay Jogani : Sure. The reason I am asking is I sort of want to kind of extrapolate to get a sense of kind of how, because we have a bunch of air defense guns, right? And we, the conversations are to kind of retrofit these systems to the air defense guns as a hard kill system, right? So the objective of kind of asking this is, if we have 1000 guns that you have to attach this one to multiple is sort of what?

Ashok Atluri : Yes, so again we have already integrated our system with the L70. It has been proven so it has been, it actually on trials to shoot down or shot down and been used at many places. So the ability to integrate with air defense guns is proven in the case of Zen simulators. Do you know to for you to say, listen, these many guns are there. So if all get integrated, what is the size of the market pertaining for a two air defense gun , then simulator, then anti-drone systems, I think it is a little difficult exercise to do. So we will, but one thing we know is that we are, we know, L70 Zen is the only company that has the mainstay of air defense, Zen is the only company that is integrated and demonstrated to the armed forces.

Moderator: Thank you, sir. We will take our next question from Harshit Kapadia of Elara Capital.

Please unmute your microphone.

Harshit Kapadia : Yes, hi, am I audible? And I know it is a tough time, sir, but margins remains to be healthy and we think the order book should see some ramp up going forward. In relation to that, just wanted to check with you, sir, we were expecting the simulator order for Rs.600 Crores to Rs. 650 odd Crores. Now, considering what you understand, do you think what will happen in Q3 or Q4? What could be your best guess? Or could there be a slippage going to FY2027?

Ashok Atluri : No, sir I think the orders will definitely come in H2, we are very confident about that. And so there were not only these orders, there are some other orders that have to come through. And we see that the government is now, again, because of this emergency procurement push, we are not able to really commit by when they will get the order. But we think it will be sooner than later

. But given the experience of H2, our confidence level, we are kind of a little reticent to actually give it with so much of confidence. But I think orders are on track and we should be getting them, sooner than later, probably, but definitely naturally, there is no question of it spilling out to 2027.

Harshit Kapadia : Great, so great to know this. Secondly, sir, you mentioned about emergency procurement, any clarity by when do you expect the emergency procurement orders or any announcement

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Page 16 of 19 to happen or has it also started? Secondly, what could be the size of order that Zen could get within the emergency procurement? Any tentative idea would be of great help.

Ashok Atluri : So, one thing is each size, each order should be less than Rs.300 Crores because this emergency procurement, the size is typically limited to less than Rs.300 Crores and especially if it is within the, IFS power, which is the vice chief in this case. And the second one is with respect to when the orders will be concluded, I think they have to be concluded

before March of 2026, unless there is extension given to the EP. But it may happen even earlier in some of the cases but not later than March 2026.

Moderator : Thank you so much, sir. Our next question is coming in from Shrenik Mehta of Indoalps Wealth. Please go ahead with your question.

Shrenik Mehta : Hi, you can hear me?

Moderator: Yes.

Shrenik Mehta : So my question was about the ADS orders that you received and also some media reports which were showing that a large part of these orders are going more to the defense companies like BEL and DRDO compared to the private companies like Zen. So we get orders probably for faster deployment areas. And the BEL and the DRDOs are probably getting orders for the bigger deployments which are not very time critical. Do you have some comments which reflect on what is really happening here?

Ashok Atluri : So, anti -drone systems, I think we are in a very good position. Any end user who is very serious about protecting the border or whatever it is, if they really dig deep, there is only one company that can actually deliver a very serious system that is Zen Technologies. And with respect to DRDO, typically the orders are placed on BEL, because DRDO is the R&D organization, very rarely orders are placed on DRDO, except for maybe trial or something. But BEL would be the when they get it, I do not think they are getting anything in this area, but they are getting a lot of other orders. But again, one of the benefits of being, public sector is that you can place you get direct orders from the government. So that is a plus point that they have, which we do not have because even though under IDDM, we get single vendor benefits but most of the time we will never be nominated so yes but an anti -drone systems again I think we are by far the best solution available in India and most of the other places and so that is the answer. Please go ahead with your next question.

Shrenik Mehta : So we are looking little worried about the scale up to Rs.6000 Crores in three years' time. This will really mean that from something like Rs.100 Crores order in a quarter, we will have to scale next year to maybe Rs.500 Crores in a quarter and then going forward to Zen Technologies Limited

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Page 17 of 19 Rs.750 Crores in a quarter. So that kind of scale up looks very difficult if you look at what is happening in the last 3 -4 quarters. Is it more like a hope that we will get to the Rs.6000 Crores by FY2028 cumulatively or is it you feel that there is a very strong reality that it could happen ?

Ashok Atluri : So the two things Shrenik, one is the will we get the order book, will the order book scale up to that? And second is your will you be able to execute the orders? So I think the first is given the pipeline that we have with the order pipel

ine is very, very strong, and we should

be able to get it. Second is as we speak, we are scaling ourselves to execute these large orders, whether you are saying exactly, it is Rs.500 Crores and Rs. 750 Crores per quarter, that is a very, very strong order. And given the fact that we have done Rs.250 Crores – Rs. 300 Crores, let us not take this as an exception, but we have done Rs.250 Crores - Rs.300 Crores, will we be able to scale to Rs.500 Crores? I think that is easy. 750 would require some changes, but we are hopeful that we will be able to achieve that.

Moderator : Thank you so much sir. We will take our last question for the day from Abhijeet Singh of Systemati x. Please go ahead with your question.

Abhijeet Singh : So my question is, like in drones, we have capabilities that we can define in terms of altitude, endurance, payload, etc. Similarly, in terms of counter drones, is there any objective capability that we can define in general to understand the competitive landscape that we are operating in, both in the domestic market as well as exports. So right now, what I understand is that we are working on solutions which will counter the capabilities of our main adversary. But like going forward, if we talk about the global landscape, what are the capabilities that we are looking at, adding to our portfolio to be able to compete.

Ashok Atluri : In the anti -drone segment, Abhijeet, we look at, distance and how far can you detect it and how can you disable the incoming drones? And what are the different ways you can do?

Can you do, jamming? Can you do spoofing? Can you do actually hard kill? Can you shoot them down? So these are the different characteristics that that are there. And then there also what kind of frequency ranges you can do. So initially, it was just commercial drones, then it became from, 400 to 6 gigahertz. But now when I went to the DSEI, we know that our adversaries are procuring drones in the, 100 megahertz, 200 megahertz categories. So those drones are not detectable by the previous anti drone systems. So how do we make our anti -drone systems that are capable of detecting drones from 100 megahertz all the way to 12 gigahertz, that is the kind of, drones that were being purchased by our adversaries. So these are the capabilities that we be able to jam them and bring them down. So those are number one, that is the thing that we are looking at. Globally, when we are looking at what we think is that the game is changing now in the sense that the detection capabilities will be vastly

different at some point in time. For example, we are talking about incoming drone at a
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Page 18 of 19 height of 10,000 or 20,000 feet. But what happens if a mother ship, which is very large and flies at 45,000 to 50,000 feet, it comes just above us and then leaves a lot of drones down. So how do we handle those kind of drones? So these kind of threats are emerging. And companies like Zen are really, really preoccupied with how to solve these issues. And that is one of the reasons I am saying that, if you as a country, you will have to buy it from Indian companies, because that is the only way that you will be able to upgrade when the problem peaks . If you were to buy something from a foreign company, and you go to them and say, listen, this is not working, the new threat has emerged, will you upgrade me? They are saying, sorry, you have to buy a new system, or they will just refuse to upgrade if there is a war going on. So this is a capability that the Indian government should really, really focus on trying to get it solved with indigenous technologies.

Abhijeet Singh : Right, sir. Sir just a last question. So in line with the first question, are we looking to partner with some global company or a technology provider in order to scale up to these higher frequencies and adding up more capabilities? So is there a plan in that

sense or the plan is to

do a significant amount of R&D and IP in -house?

Ashok Atluri : So the thing is, Abhijeet that these capabilities are already there what I am talking about the drones of 100 to 12 gigahertz all these capabilities are already , there which most of the companies in the world do not have. So when we are looking to if you were to partner with somebody what are we going to partner for? We do not need the technology and not only that, as we speak now, we are working on more futuristic technologies, which other people may not even be wondering that this is a threat which should be coming up in the future. So, we are working already in those technologies. But to be very frank, if India needs us to partner with somebody because that technology is not available with zen, we would be open to it but we are looking for such an opportunity where the technology that we do not have somebody else has and we can partner with them. But as of now, again, we are way ahead of the game and we are still investing in more futuristic R&D. And, let 's hope that, we as India are able to export this to our friendly nations. But again, to your question, if there is some capability that Zen does not have and the country needs, we will be willing to partner with a technology partner to deliver the solution to them. Again, we would like to indigenize that solution rather than being their manufacturing coolie and keep manufacturing for them. We would definitely learn to partner with them because Zen is very strong technically and if some technology partner comes we would do R&D with them to create the next version of their product , which would be much much stronger than what they were to do by themselves. So I think yes we are open to technical partnership as long as it is a technological partnership not a relationship of master -slave kind of a thing where they throw the technology at us and ask us to manufacture. We do not do that thing but definitely we will collaborate on doing R&D together.

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Page 19 of 19 Moderator: Thank you sir. Ladies and gentlemen that was the last question for today. I will now hand it over back to Ashok sir for the concluding remarks. Over to you, sir.

Ashok Atluri : Thank you, friends. Thanks for being patient and asking questions. I really appreciate shareholders who continue to be with Zen, thick and thin. And we think that the big picture is playing out now, the version two of the growth, the way dot -com bust happened, and then the actual companies came up. The version two of the defense thing is coming up and which are the companies that will really flourish are the companies that have the in -house R&D, not just the partnering and doing a jugaadu job for each tender, but actually having a long-term strategy to develop some deep capabilities in some verticals, which is what Zen is doing and I think we will be big beneficiaries of the government's focus on IDDM, indigenous IP, and we will also be significantly addressing friendly nations from India and do a good job of exports, both in simulators and anti -drone systems. Thank you so much.

Moderator : Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call.

Thank you for joinin g us and you may now click the L eave icon to exit the meeting. Thank you all for your participation.

Call: Feb 2026

February 06, 2026

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Symbol: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call held on February 02, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , please find enclosed the transcript of the earnings conference call held on Monday, February 02, 2026.

This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar

Company Secretary & Compliance Officer

Encl: as above

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“Zen Technologies Limited Q3 FY2026
Earnings Call ”

February 2 , 2026

MANAGEMENT : MR. ASHOK ATLURI - CHAIRMAN & MANAGING
DIRECTOR

MR. HARI HARAN CHALAT - CHIEF FINANCIAL
OFFICER

MS. ABHILASHA ATLURI - INVESTOR RELATIONS
OFFICER

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Page 2 of 20 Moderator : Good day everyone and welcome to Zen Technologies Limited Q3 FY2026 earnings conference call. All participant lines are currently muted and this session is being recorded.

The management is with us today to share their update on the quarter. Once their remarks conclude, we will open the floor for questions. I would like to remind you all that everything said in this call that reflects any outlook for the future , which can be construed as a forward -looking statement must be viewed in conjunction with the risk and uncertainty that the company faces. Please note that this conference is being recorded. I now request Mr. Abhishek Mehra to lead the discussion. Over to you.

Abhishek Mehra : Welcome everyone and thank you for joining this Q3 FY2026 earnings conference call of Zen Technologies Limited. The results and investor updates are available on the stock exchanges. In case anyone does not have a copy of the same, please do write to us and we will be happy to send it over to you. To take us through the results of the quarter and answer your questions, we have with us today Mr. Ashok Atluri, Chairman and Managing Director, Mr. Hari Haran Chalath, Chief Financial Officer, and Ms. Abhilasha Atluri, Investor Relations. With that said, I will now hand over the call to Mr. Hari Haran Chalath. Over to you, sir.

Hari Haran Chalath : Good evening and a warm welcome to all. Thank you for joining us on our Q3 FY2026 earnings call. It is my pleasure to take you through our financial performance for the

quarter. Zen has delivered a resilient performance for the quarter reporting a 16.8% growth in consolidated revenue and a healthy profit after tax growth of 30.6% despite headwinds in terms of the timing of the order inflows of the last nine months. The profitability for the quarter is driven by favorable product mix and a continued focus on cost discipline. Consolidated revenues for the quarter stood at Rs.177.8 Crores , which is a growth of 16.8% year-on-year and 2.4% sequentially. Operational EBITDA for the quarter stood at Rs.66.8 Crores , reflecting a year -on-year growth of 51.1% and a sequential increase of 3.2%. Operational EBITDA margin stood at 37.6%, higher by 870 basis points year -on-year and 30 basis points quarter -on-quarter. The quarter -on-quarter growth in profitability was partially offset by higher employee benefit expenses, which was driven by the recognition of salary areas following the completion of our annual appraisal cycle across the group, increased ESOP expenses on account of fresh employee stock grants, and a one -time impact arising from the implementation of the new labor codes. As a result, the profit after tax for the quarter stood at Rs. 55.7 Crores . Profit after tax as a percentage of revenues was at 31.3

%. Now coming to the year -to-date consolidated performance, revenues for the nine months FY2026 was at Rs.509.6 Crores , a decrease of 21.4% year -on-year. Operational EBITDA stood at Rs.196.2 Crores , a decrease of Rs.39.3 Crores or 16.7% year -on-year. Operational EBITDA margin was at 38.5%, which was higher by 220 basis points year -over-year. The consolidated profit after tax stood at Rs.170.68 Crores , which is lower than the Zen Technologies Limited
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Page 3 of 20 same period last financial year by 8%. Profit after tax as a percentage of revenues was at 33.5%. Now coming to the order book. As disclosed in the investor presentation, Zen has received orders aggregating to Rs.931 Crores in the past four months. The consolidated order book position as of 31st December 2025 was Rs.1,082 Crores and as on 31st January 2026 was Rs.1,427 Crores . The liquidity position of the group continues to remain strong with around Rs.1,188 Crores available in cash and cash equivalent and a net debt position of zero as of 31st December 2025. This is the brief highlights of our financial performance up to Q3. We can now take questions. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We request participants to restrict to two questions and then return to the queue for more questions. We will wait for the question queue to assemble. We request all participants, please click on the raise hand icon to ask a question. We will take our first question from the line of Rajamohan Vaikuntaraman , who is a professional advisor. Please go ahead with your question.

Raja Vaikuntaraman : Yes, thank you for the opportunity. Am I audible?

Moderator: Yes, please go ahead.

Raja Vaikuntaraman : Yes, thank you once again. And congratulations on the order wins for the last quarter. They were pretty heartening in terms of the visibility that you had given us. My first question is based on your expectation of executing Rs.6000 Crores in three years, most of which would happen in FY2027 and FY2028, you had indicated to having capacities to execute up to Rs.2,000 Crores annually currently. In FY2028, when you look at the math, based on your execution plans, you would have to execute in excess of Rs.2,000 Crores annually. Could you give an overview of how do you see capacity expansions happening in terms of annual revenue executability post expansion, like currently it is Rs.2000 Crores , so post the expansion, what would be the capacity in terms of annual execution, then the capex involved and the time frame ?

Abhilasha Atluri : Thank you, Rajamohan , for asking the question. And just to recap what we have been saying, that for FY2026 , FY2027 , FY2028, we had indicated that we would be able to do a turnover of Rs.6,000 Crores . And based on that, the question from Raj amohan is, if you were to execute whatever the execution, do you have the capacity to execute the remaining 5,000 plus Crores ?

Ashok Atluri: So, at this point in time, we are revisiting our order book and the future. And what we have said is that this year, if you are not to take this at the base here, but the last year at the base
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Page 4 of 20 here, and you assume that 50% growth in the next two years, it even though it will be about 3300 or so, but we expect about Rs.4000 Crores of execution we actually scaling down our targets at this point in time and with respect to the Rs.4,000 Crores that we are the new target that we have set for ourselves, we do think that even if we were to execute some part in the FY2027 and the major part in FY2025, we do have the supply chain to take the order book and execute the order book. So yes, to your question that we already have scaled up

with our

supply chain that this Rs.4000 Crores kind of ability. But what if the orders are much larger? I think as we go into the next year, we are building additional capacity. We are investing in both machinery and plant and, of course, even product R&D facility we are investing. So that should create a good pipeline and also enable us to execute the orders if the FY2028 becomes very large.

Moderator: Mr. Raj amohan, please unmute your microphone.

Raja Vaikuntaraman : Yes. So, Mr. Atluri, based on your answer of Rs. 4,000 Crores that you are expected to execute over the next two years, can one presume that around Rs.1,500 Crores would be what we would achieve in FY2027 and say another Rs.2,500 Crores in FY2028? And you would be able to have the capability to execute over Rs.2,000 Crores, that is Rs.2,500 Crores in FY2028?

Ashok Atluri : Yeah, that is right. I would not give the exact figures between the two years. But yes, I think you are right on the scale that between the two years, we should be executing. And if it were to exceed 2000, we should be able to execute, we should not have any operational challenges in delivering on the order book.

Raja Vaikuntaraman : Okay, my second question is again a strategic perspective from someone who is sitting at a vantage point. When we look at anti-drone and simulators in general, with nuances like hard kill, combat training zones, naval air force simulators, etc. Could you give a top level view of what kind of budgets India has been historically running on? And how much growth over that one can expect over the next three to five years?

Ashok Atluri : You know, in the case of training simulators, the training have preparedness thanks to the current situation world over. At least 6-7 years back, nobody would think about war happening. And then in 2020, Armenia-Azerbaijan happened, then Ukraine-Russia happened. Now I believe there are some 20 wars going on. And one war which people could never imagine is between Thailand and Cambodia. So everyone is, I do not know, everyone is fighting or eager to fight. But suddenly preparedness has become very, very valid. And in that case, in the Indian scenario also, Indian government is really, really scaling up and they are allocating large funds for the training budget. And of course, they are also and with respect to the anti-drone systems, we have seen more than Rs.300 Crores

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Page 5 of 20 worth of upgrade orders, operational requirements are immediately required and then the hard kill requirement has come. I think this will be almost on an emergency basis. The procurement will keep going on. So to your question, I think not only in India but worldwide, both the segment, the training segment and the anti-drone are scaling up. And to your question, how much funds are being allocated, that is a figure that the government has not shared with us. But we think this is much, much more than what we are estimating for what Zen will be getting the orders for. It is a much larger figure. I would say that is running into thousands of crores. So yes, I think there is to your question whether there is enough allocation happening for what Zen is planning, the answer is yes.

Raja Vaikuntaraman : Can I squeeze in one last question?

Ashok Atluri : Please go ahead.

Raja Vaikuntaraman : Yes. Generally, when you look at this Ana wave acquisition that recently happened and in synergies with, say, ARIPL, which you previously acquired, what is the outlook on naval and hence associated simulation? Assuming, is it basically as a combination, Ana wave and ARPL, are they carrying you into a different dimension of sorts? So objectively, when we look at the combine, can it evolve into a say Rs.500 Crores entity over the next three years or four years or whatever?

Ashok Atluri : So, one thing is that in the training segment, one of the order we ex

ecuted and we got was

something called as combat training node for 100 plus crores. And that is actually a breakthrough thing that we have been trying to market for almost a decade, telling to everybody that this is how integrated training between various arms of the army is carried out. So this was the very, very big thing in the sense it is the first order that we got. And this will become a showcase not only for India but worldwide. And we personally think they will sell in tens if not in hundreds. So, this is only for the Army. A similar thing for the Navy is also on the way, that we are creating a completely full-fledged, integrated Naval Training Center. And with this, and Anawave actually had two of the very, very crucial simulators that we were trying to build ourselves. One is called the Tactical Trainer, the second is the Submarine Simulator. Both of them have been developed and delivered. So they are very, very complex simulators. And as you are speaking, the Anawave simulator for tactical trainers and submarines are having a huge demand in the overseas market. In fact, we were in I/ITSEC in the US, that is the world's largest simulation exhibition, and

there was almost a lot of interest in this A nawave simulator that you are saying. And so what is the synergy being unlocked by the combination of A nawave and ARI is that the gentleman who is heading Anawave was Commodore Ahluwalia. He has become the chief technology officer across all the naval effort and air force effort. Commodore Ahluwalia , even though he is a naval officer, he is an aviator. So in addition to doing the efforts with Zen Technologies Limited
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Page 6 of 20 respect to naval simulator and complete set, he is also building air force simulator. So, I think to your question whether it will be fine. We already are, I think crossing Rs.200 Crores or something like that. But I think Rs.500 Crores will be a very conservative estimate in three years. It will be very, very conservative. And we are very, very, I mean, happy that these both the acquisitions are very, very synergistic. Thanks for the question, Rajamohan.

Raja Vaikuntaraman : Great, Mr. Atluri. Thank you very much. Best wishes.

Moderator : Thank you so much. We will take our next question from the line of Bala Krishna of Oman Investment Advisors. Please go ahead with your question.

Bala Krishna : Yes. Hi, good evening. I hope I am audible.

Moderator : Yes, please.

Bala Krishna : Yeah. So, Mr. Ashok sir, regarding this guidance of Rs.4000 Crores in the coming two years. So, how do you plan to achieve by introducing some new other products or some acquisitions as we are sitting with approximately Rs.1000 Crores of cash? So we had a lot of acquisition in the past. So how this will shape up?

Ashok Atluri : So the visibility for the Rs.4,000 Crores , we have a strong, I mean, the way we are looking at is that we were saying that the order book would be about Rs.1,500 to Rs.2,000 Crores by this financial year. And we still are very hopeful that it will happen. Maybe there will be a slight spillover, but the way we are seeing things I think that looks very likely. So the Rs.4,000 Crores , looks reasonably we look reasonably confident at this point in time and we are hoping that it exceeds that by a larger number and with respect to , are there any future acquisitions since we are sitting on almost Rs.1100 plus Crores of cash the answer is yes we are looking very aggressively for investments and not only in India but overseas we are talking to various companies and again if you see this the FTA with EU is a very, very big deal for India and it is a bigger deal for Zen Technologies because we know the simulator that we have are absolutely world class. The anti -drone system that we are talking about are also very, very highly advanced and the amount of R&D that we are doing currently in both these segm

ents is staggering. And if we are able to actually pull it off, we get a proper access and we are able to tie up with the EU partners, this thing would be very, very big. I mean, we look forward, this is a fantastic move that the Government of India has done and companies like Zen will benefit tremendously from it. So yes, we are also and because we have the gunpowder to actually go and expand our marketing efforts into Europe. This also gives us opportunity to buy companies , which have deep technologies which can be used both to sell overseas as well as back in India.

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Page 7 of 20 Bala Krishna : Good sir, good to hear that. So regarding the order book execution, we have completed that one order before the head timeline. So the existing order book also so we can expect maybe as it is a 12 months of timeline, but still maybe we can expect it to be executed in 6 to 9 months' timeframe.

Ashok Atluri : Yes, I think most of it should be executed within the timeline. And we think that with respect to the so it should be the annual maintenance contract do not get executed, the complete order book will not get executed. So if you see that we will be differentiating between the equipment and the actual AMCs and the AMCs annual maintenance contract are typically between four to five years of execution. So on an average, they may get probably absorbed in three years. So with this, I think otherwise, typically we should execute most of the order book within 18 months.

Bala Krishna : Lastly are there any new products other than ADS and our simulation one. So we are talking about Nav al also. So do you see any other big product like ADS that is in code or in pipelines and also about Nav al products, futuristic Nav al? How big it could be we can say that it could be near to be equal to ADS or any can you throw some light on the upcoming products or the new products which are getting matured.

Ashok Atluri : So to your question, is there any big blockbuster product like ADS? The answer is no. That is a too big a product. But your question, are we launching some new products? I think there are going to be very, very interesting launches in the next, I would say, one year. So I think but I do not want to preempt my team by saying what they are going to be, but I think

some of them will really literally blow people away. And we expect them to be launched in the next few months. So keep tuned in. So again, the thing is, Zen is not a company that is trying to go and tie up with people and try getting the technology and manufacture here. We do not believe in that actually. We do not think that we should be manufacturing coolies or so-called assemblers. We do not want to be a Foxconn. We want to be an Apple. So how do we actually create new products. The extreme R&D that is going on is, again, not to create a me-too product, but absolutely cutting -edge, world -first product. That is what we are putting in effort for. So yes, to answer your question, yes, there will be new launches. But I cannot reveal at this point in time.

Bala Krishna : Well, that is all from my side. Thanks a lot and all the best.

Ashok Atluri : Thanks, Bala. Thank you so much.

Moderator : Thank you. We will take our next question from the line of Sanjeev Zarbade of Anti que Stock Broking. Sanjeev, please go ahead with your question.

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Page 8 of 20 Sanjeev Zarbade : Yes. Am I audible?

Moderator: Yes, please.

Sanjeev Zarbade : Yes. Thank you, sir. My question was regarding the simulator order that we were expecting for quite some time. That was part of the non -emergency ordering process and probably that was the reason it has been kind of delayed. So, I needed an update about how, when, where are we in terms of that ordering status.

Ashok Atluri : Long time back, I had given an example of Angulimala in

one of my annual reports. Have

you heard about Angulimala? I do not know. Very quickly, I will recap the story.

Angulimala was a famous dacoit who used to kill people and he was waiting for . He had a n angulimala , he would cut the thumb and put a garland of that around his neck. That is the angulimala. And one day Buddha was passing through and he decided to kill Buddha because he was the last person to complete his garland. And when he started running after Buddha, He ran very fast. No matter how fast he ran, Buddha was almost one step ahead of him, but Buddha was walking. So I think we are having the same feeling here in the simulator order with regular budget, where we are running very fast behind it, but it is maintaining equidistant from us. But again, to be fair, on the lighter side. But to be fair, I think we expect again, without holding us responsible, things are moving in that direction and we expect by before in all probability before March it may come but it may spill over to the first quarter but looks like things look like that by before March the order may be placed on us. Yeah and so that is with the simulator order but again with this delay was caused by the operational crisis the government faced , but I think that has been resolved now the things are moving a little faster than they were before.

Sanjeev Zarbade : Yes so my second question was the kind of situation we faced in the first half, wherein we had a weak order book to start with in FY2026 , and that led to muted first half. So what are we doing from our side to de -risk our financials from this kind of volatility in order book?

Ashok Atluri : So, the thing is that as of now we have order book and it is building fast. So I think in the immediate future, there is no crisis. But your question in future, what are we trying to do?

One thing is, we are really ramping up our export efforts so that, even if the Indian orders get delayed, we start keep getting the export orders. And, we are hoping that the new defense acquisition process to 2026 is going to be released very soon. I think that the draft will be released anytime. And that will enable us to execute or get orders in a faster time or procurement cycle. That I think will actually kind of the export market and the faster cycle and the emergency procurement, we expect them to continue for some time. All put together, I think, will probably not create a situation where our order book has depleted.

You are very right in the sense, Sanjeev, that your question is if the order none of our

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Page 9 of 20 investor doubt o ur capability to execute the order book. But if the order book itself depletes what can we do? Actually, that is a very sticky position to win. We hope we will not get to that position again.

Sanjeev Zarbade : Right, sir. And what would be the AMC portion in our order book?

Hari Haran Chalat : The AMC portion as at 31st January out of the total order book of Rs.1427 Crores is Rs.338 Crores .

Sanjeev Zarbade : Ok, sir that is it from my side. Any further questions, I will come back.

Ashok Atluri : Thank you Sanjeev .

Moderator: Thank you so much. We will take our next question from the line of Vikas Singh from ICICI Securities. Please go ahead with your question.

Vikas Singh : Thank you for the opportunity. Am I audible, sir?

Moderator: Yes, please go ahead.

Vikas Singh : Sir my first question pertains to our revenue target vis -a-vis the order book. In order to get that 2,000 or 3,000 kind of the range, we would need to have a running order book of Rs. 2,000 Crores . Currently, we are at Rs.1,000 Crores . So, just wanted to understand which are that new segment or pockets which you are targeting and are a little bit on the confidence level of to get this in the next 8 or 10 months to get the order book to almost two , two and a half thousand Crores , despite being Rs.1,0

00 Crores to Rs.1,500 Crores of the execution

targets as well. This seems to be a little bit a tall figure, so just wanted to understand which segments are actually new to us, which we are targeting, and what are our thought process or confidence levels on the same.

Ashok Atluri : Yes, Vikas , thanks for the question. So your question is that we have an order book of about Rs.1400 Crores and out of that about Rs.1100 Crores is equipment and Rs.300 Crores is, three plus, how will we execute Rs.1500 Crores is that question. So I think the order book position will improve, I think pretty soon to about, what we are saying about the simulator, etc, orders, it should go to Rs.2000 Crores and we should be, you should be able to see that next year, we should be, if we execute as per the timeline, we should hit the target that we are envisaging for the next year. Our thing is, how do we, the order book should, by the next financial year end, the order book should be around Rs.2,500 Crores to Rs.3,000 Crores to actually hit the complete target of Rs.4,000 Crores . So, we will have to wait and see for that , but as of now for the next year, things look very bright for us.

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Page 10 of 20 Vikas Singh : Yes. So just let me just slightly rephrase this question. out of this Rs.2000 Crores of execution what portion do you think would be coming from the simulation which is your previous business where you are on top and what portion do you think from the new segment like electronic warfare , drone component because that is where the growth path is for you incrementally , so if you could just highlight that.

Ashok Atluri : I think we will continue to be a little heavy on simulators as of now, given the order book that we have. We will have a little heavy on simulator at the expectation. But again, the growth that may come from an anti -drone system will be much, much higher, and the way the government is going and the way we have been able to get the orders. Again, a lot of people are claiming that they have got the orders and all that but the centralized orders under which the heavy screening goes and actual capabilities are seen, especially the track record of the company is seen. And as our investors know, the Zen simulators were actually tested at the operational crisis level. Given this, that is why we got an upgrade order, and we also got a new order, and also we got an order for Hard Kill. Now this is a combination that is not there at all. So given these things, and the actual threat that the nations are facing, including India, from drones, this is absolutely right on the that this will actually grow. But as of now, what we see immediately is that this is the simulators are also very, very large.

Vikas Singh : Noted sir. S ir, my second question pertains to our standalone versus subsidiary performance. So, if I see that our standalone performance is obviously because of book of order s was down, while subsidiaries was going up, just wanted to understand that since subsidiaries margins are less right now so what is our thought process on the incremental margins coming from subsidiary bringing out the total consolidated margin targets for FY202 7-FY202 8.

Hari Haran Chalat: So Vikas most of the acquisition that we made for ARI we are still in the process of integrating it into operations. So ARI on a standalone basis delivers currently around 25% as a PAT. Our target is once the complete integration of ARI is done with operations, it will average closer to what Zen averages in the long term. And so most probably the small dip in the consolidated performance that you are seeing currently would go away once the complete integration with ARI is done.

Vikas Singh : And by when we are expecting this?

Hari Haran Chalat : So mo st probably you would see that coming in FY2026 7itself . The impact of the integration with AR I.

Vikas Si

ngh : Okay and for this electronic warfare and drone business given the competition is heating up there our long -term assessment is would the margins would match our current or usually

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Page 11 of 20 logically should be on a lower side right? So, how should we look at the margins there once you achieve your targeted level of production and sales?

Ashok Atluri : So the anti-drone system margins have been lower historically than simulators, because that

is a new product we got into. And there was competition at that point in time. But as we see that the gap between us and the competition is growing every day as we add more and more features, it started with just a soft kill. But then we added spoofing. Now we have added the hard kill. And now we as we go ahead, we adding a lot of other things again as I was saying that, the new products coming out in this regard. But very frankly, as you see, your intuition may be right that there will be margin pressure on us. But will we be able to maintain the predicted 25 % PAT margin at a consolidated level? I think we feel confident about that.

Vikas Singh : Noted sir. That is all from my side. Thank you for answering the question.

Ashok Atluri : Thank you, Vikash.

Moderator: Thank you so much. We will take our next question from Dipen Vakil of Philip Capital.

Please go ahead with your question.

Dipen Vakil : Hello. Hi, am I audible?

Moderator: Yes, please.

Dipen Vakil : Yes. So first of all, congratulations on a great set of order wins. So my question is, first is, so you mentioned about the emergency procurement orders coming back after the previous tranches. So anything where we are participating or any order pipeline in near term which could further boost our orders?

Ashok Atluri : So with respect to simulator order, we are expecting some order Dipen , probably again, I was thinking by March, but we never know the pace of the government and their compulsions. So based on that, the order book should improve significantly in the next couple of months. And after that, we know that a lot of very large inquiries are coming for the anti -drone systems and even training equipment. So, yes the pipeline is very, very strong.

Dipen Vakil : So, you also mentioned about opportunities opening up from the export area. So, what kind of contribution can we see, say, starting, say, maybe from FY202 7 onwards? I know, I understand that it will be like a marginal start, but what kind of a contribution can we expect from like geographies like US where you have presence and also now EU or Middle East opening up? So what kind of contribution can we expect from export region?

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Page 12 of 20 Ashok Atluri : So, we definitely can see a lot of, we actually can visualize some orders coming from Middle East, Africa and Southeast Asia. And again, I do not want to put a number, but I think it may be anywhere between 20 % to 30% of our total turnover. So especially for FY202 8, I would say. So those things are really being negotiated. And fortunately, our standing in the international market is very good as a country. And they like companies that have the IP control because again, they are also worried like many other countries, that what backdoor software is there, what kind of, nobody would believe a country like China to their software. But in our case, we have, India has that standing that morally we are not a country that will let down any of our allies. But again, we have seen that if you do not own the IP, they just can become bombs. You know, nuclear reactors can be compromised. So it is a big challenge that also for the export market, we think it is going to be very big number, especially in FY202 8.

Dipen Vakil : Got it, sir. So now just a small book keeping question, sir. Can you help us with the order book split between simulators, ant

i -drone and overall export orders in the order book?

Hari Haran Chalat : So, as of 31st January, the total order book is Rs.1427 Crores . Out of that, the anti -drone system and simulators are equally distributed of 50%, 50%. And between domestic and exports, it is more heavily inclined towards domestic. So, domestic is around 93% and the exports would be around 7%.

Dipen Vakil : Got it, sir. So that is all from my side. Thank you so much and wish you the best for new orders going ahead.

Ashok Atluri : Thank you.

Moderator: Thank you so much. We will take our next question from Ashish Soni of the Family Office . Mr. Ashish, please go ahead. Please go ahead with your question.

Ashish Soni : First question, I think initially we were thinking that it will be Rs.5000 Crores order book in next two years. So what changed because it got decreased? What are the factors if you can just?

Ashok Atluri : So, one thing is that the order book, Ashish, that we were expecting a lot of orders to come in the area of simulators and anti-drone. The regular procurement had it gone on and the pace at which it had gone our order book would have been very, very high. We probably would have still been able to say that we are on with the target. So what change is the pace at which government was processing the orders. The orders got delayed in the procurement and that is why this year got hit and next year also we had to readjust the base year to the previous year. So I think that is the reason we had to reduce the thing. But again, as we are

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Page 13 of 20 being cautious here, we hope that we are wrong in this case and we do much more than what is being projected.

Ashish Soni : And second question is on the thing you wanted to set up manufacturing in US especially to cater to NATO countries. And now, with this sort of FTA getting a green signal, would it be better that if we try to export from India, is it possibility for at least for the European Union countries? And now with all these tensions across with US and NATO going on, so just can you throw light on the U. S. as well as this part, if at all you can?

Ashok Atluri : So, yes, Ashish, you got the thing right. Your intuition is right in the sense that, the US thing is not going as fast as possible. We have built a team there and we are interacting with them and trying to, we have technologies that they want, they came, saw and they said, we are very keen on this. So we are complying with their lot of regulations. They are highly regulated defense economy. So we are getting ourselves registered with appropriate authorities. The EU FTA came as a fresh breath of air for us, and we are actually talking to consultants and all that, so just declared a couple of weeks back. So we really, really are now looking at the EU as probably the base from which we can operate for the NATO. And but again US market is very huge. I mean it is not a market to scoff at. So US efforts are going on at this point in time. But if things work out better for us in the EU market, which we will be doing in the next couple of months, we have clarity. We would like to set up there. And again, we also are looking at targets in the EU market, which we can acquire and enhance our bouquet of offerings.

Ashish Soni : Well, last question, Israel, I think Netanyahu said that they want to trust only India, US and Germany for their supplies or weapons. Do you think any possibility for us to work with Israel specifically in this area based on the statement which came recently, I think last week from their Prime Minister?

Ashok Atluri : So, we have never worked with Israel, we never any deal till now. We have never done anything with them. And, let us see if there is any opportunity that presents us. It is not that we do not like to deal with Israel. But, we are a company that is focused on creating our IP. I think Israel

li companies like people who want to do manufacturing , but are not technically capable. But we may not fit their idea of an ideal partner, because we want to really make India Aatmanirbhar in the proper sense, not just manufacturing facility, but creating the IP, owning the IP, and working on creating next generation of products.

Ashish Soni : Ok, sir. Thanks and all the best.

Ashok Atluri : Thank you.
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Page 14 of 20 Moderator: Thank you so much. We have Amit Dixit of Goldman Sachs with his question. Please go ahead.

Amit Dixit : Good evening, everyone, and thanks for the opportunity. A couple of questions from my side. A few quarters back we introduced three or four products like. Barbarik, Prahasht, etc.

So just wanted to get an idea because of the focus of the government on AI-driven platforms. And there are a few players who are thinking of putting up such facilities. And we have a head start. So first of all, if you could elaborate on the opportunity that you see overall in this space and how far we have progressed on the development of these products. That is the first question.

Ashok Atluri : These products are managed by our associate company, AI Turing. They have a trio, Abhishek, Komal and Tushar who manage the company. And, very frankly, we think what they have created is absolutely marvelous. And to your question, where are they? When I said that we got the hard kill order for including the anti-drone system, shooting down the drones, it is their product that was part of the solution. So, we have started selling their products, and we think that they are also on the verge of getting a lot of orders. So by the next FY2027, you will see they will make a meaningful contribution to our overall revenues and profits.

Amit Dixit : Okay, that is nice to know, because at that time it was supposed to be the next vertical for us in terms of earnings, apart from anti-drone and simulator. The second question is essentially on European FTA and you mentioned in your prepared remarks that you see opportunities over there. So is it possible at this stage, it is still very, very early, but if you can highlight some of the platforms/products that we would be kind of, targeting in that region, because some of the companies, particularly in radar electronics, who have their own IP, they have got a head start over there. So just wanted to understand from your perspective, because you are also an IP driven company. So what kind of opportunities you essentially see over there? And I am talking about medium term here, I mean not something quarterly basis or something like that.

Ashok Atluri : So medium term, when you are talking about I am assuming at least two to three years is what would be qualifying there. I think yes, we are. Again, people, the Europeans also love the fact that IP is owned, their technology is completely owned by India, and they want to deal with us. And we think that the technologies that are anti-drone system and simulator, which are our mainstay, both have a huge market in Europe. And one thing very interesting is that the Europe at present is perceiving Russia as the biggest threat. So, when they want to really prepare with Europe versus Russia kind of a thing, situation, we have, India owns Russian equipment and the simulators that we have are mostly Russian equipment simulator. So they actually can do a full-fledged war gaming with our simulators and their Zen Technologies Limited
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Page 15 of 20 simulator. And again, we can make simulators for their, because the engines, the underlying them have the same physics, different tanks, but we can moderate them, modify them. So now if they want to try out how will our simulation work against Russian equipment, we are there. We are exactly the exact fit for them for the future needs. So I think in addition to the anti-d

rone system, even simulator market is going to be very huge. And you know, we are coming up with offers that they may like where we know we do not mind doing a service based offering also there. So I think, to your question, they would love to have an IP owned solution there rather than somebody just pushing someone else's solution.

Amit Dixit : Okay, thank you. Thanks a lot and all the best.

Ashok Atluri : Thank you, Amit. Thanks.

Moderator: Thank you so much. We will take our next question from Jatin Jadhav of Sahasrar Capital. Please go ahead with your question. Please unmute your microphone, Jatin.

Jatin Jadhav : Am I audible now?

Moderator: Yes, please.

Jatin Jadhav : First of all, thank you so much for the opportunity. Most of my questions have been answered. But I still have a few out of curiosity. Can you describe in an unclassified or a non-technical term how Zen Technologies Counter UA suite is designed to detect, track and classify threats under the presence of, let's say, an enemy electronic warfare situation? I am basically highlighting the Venezuela situation wherein the enemy was doing electronic warfare on our system. So how does Zen plan to counter that or our counter U S system?

Ashok Atluri : So, what we understand is that there was a huge awe and shock kind of a thing, which was sent and they not only neutralized the systems, but it also neutralized the people, the bleeding ears, etc. So, if such a thing is done, was done to us, probably most of the electronics in India would also have been frozen. But now that we are aware of it, we are building capabilities that these kinds of things do not damage us. And I think in India, we are also developing similar products, which if we are, we can also retaliate with equal or more force disabling their situation. But again, what we have been doing is, we started with basic range of the commercial drones, neutralization, but most of the companies are stuck even now. They are still neutralizing only commercial drones frequencies. But Zen has gone beyond that. We started with wideband. We said the commercial will not do. Non-commercial also need to be jammed. So we started with 406 gigahertz. Today, we have gone from 100 or even 70 megahertz all the way up to 12 and 18 gigahertz. So it is almost becoming band agnostic. We are not caring where it is coming from, but we will be able to Zen Technologies Limited
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Page 16 of 20 jam them. Our capabilities are being built. And I think if a Venezuela-like a situation happens, we should come out on top if it were to happen now.

Jatin Jadhav : Thank you. My next question is how does the system distinguish between genuine and deceptive inputs as false radar tracks, RF signature? Do we employ multiple sensor fusion and then basically figure out where the real target is or how do we do it?

Ashok Atluri : The thing is, because, again, whether it is an urban area, there is a lot of noise, there is a lot of false alarms. So, but we have over a period of time done a lot of AI-based programming and we are able to suppress false alarms and the actual alarms are being shown. So, the drone threats, if they are fake, they are completely ignored. And so that person, because otherwise if too many false alarms are there, they kind of become immune to that and we stop noticing them. The only way to do it is actually based on the operational feedback, keep improving the algorithm so that the false alarms are suppressed and the genuine security is actually recognized and communicated to the operator.

Jatin Jadhav : Got it. Just one small question. Since we have a very good capability of developing virtual environments for various kinds of products, can we somehow use that capability to generate an environment which is infused with a lot of electronic warfare zones, probably for simulating our own drones, our own missiles, how they act in that particula

r terrain or in

that situation? Is it possible?

Ashok Atluri : Yes, so the complete, it is called a war gaming kind of environment where people are fighting war with each other. And typically it may be just map based, but most of the time, what we are enabled is, we are saying do not just play on the map, but actually have simulated tanks being moved, artificial AI tanks being moved with actual tanks, integrate them with the actual tanks. So yes, this is absolutely possible. And this is the solution. The combat training mode is a step in that direction that we have offered. And that is absolutely the number one in the world in terms of what we are offering. And that is going to scale up now and most of the countries are going to ask this question, that is your virtual simulator integrated with live simulation and war gaming simulation? So yes, we are absolutely there. And that is what we think will drive our future growth.

Jatin Jadhav : That is pretty much it. It is a pleasure to know that. Thank you so much and all the best.

Ashok Atluri : Thank you, Jatin. Thank you so much.

Moderator: Thank you so much. We have Mehul Panj uani of 40 Cents with his question. Please go ahead.

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Page 17 of 20 Mehul Panjuani : Thank you so much for the opportunity. It is really heartening to see that, Zen is going to be a biggest beneficiary, quite a good beneficiary from the EU deal. So my question is that, since we are going to work with the EU closely, would that impact our US opportunities?

Ashok Atluri : Not at all. Mehul, somebody else pointed out, would we be operating for NATO from US or from EU? We are very agnostic. So, with this FTA coming through, it has completely changed. It is an absolutely new opportunity for us. And I think we are being more openly embraced by the EU as a country than US at this point in time. So, in fact, this additional incremental opportunity that has come, the overlap may be executed from either US or from EU, but it is absolutely a positive development.

Mehul Panjuani : Ok, sir. And my second question is that in the last call, last conference call, we had mentioned that there would be orders of Rs.650 Crores , which will definitely come in H2.

And in our opening remarks and various responses to the questions, I understand that we are talking about orders of about Rs.1,200 Crores . So maybe I am missing something here. So if you can just clarify.

Ashok Atluri : We have got the orders, Mehul. more than as promised or a little more than what we have promised, we have got only ordered somebody as someone raised that, what happened to your regular order of a simulator? That was the only thing that did not come through. But as I was saying that we should be getting back, but otherwise, whatever we have said in earlier calls have already been delivered, almost Rs.600 plus Crores of recently we got this anti - drone system upgrade, new orders, hard kill, and then we also got some simulators come back training mode as order, then we also got tank simulators again as an order, so if you go through the orders and releases that we have done, and we are at Rs.1400 Crores, the total order book position is Rs.1427 Crores and that is a reasonable buildup. I am not something to really celebrate over but from what were three months back to now, it is a very good build up.

Mehul Panjuani : Great sir. And sir, how long will it take to execute th ese orders worth Rs.1400 Crores ?

Ashok Atluri : So what we have seen that out of that equipment is about Rs.1100 Crores . So most of the equipment order should be executed in the next 18 months.

Mehul Panjuani : Okay. So, when will our numbers of the top line start getting impacted from which quarter onwards?

Ashok Atluri : So, no, I will not say, but next year will be definitely much, much better than I think , we should record the highest turnover in company's hi

story next year. It will be a very big year.

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Page 18 of 20 Mehul Panjuani : Okay, sir. Thank you so much and wish you the very best, sir.

Ashok Atluri : Thank you, Mehul. Thank you so much.

Moderator: Thank you so much. We will take our next question from Bright Buttar, who is an individual investor. Please go ahead.

Bright Buttar : Hi, sir. Congrats on a great set of numbers. My first question is, how big are the orders in size expected from exports? What are the size that we are looking for? How big are they going to be compared to Indian orders? And the second question is, what happened with the Orlando expo of simulators? Did they show any interest or anything from our simulators?

Ashok Atluri : So, what was your first question? Your first question was related to export orders. What was it?

Bright Buttar : My question is, what is the size of those orders that we are expecting? We got Rs.300 Crores and Rs.400 Crores order from Indian MOD, so what sizes are there from exports?

Ashok Atluri : Okay. So the first question is that we have got all kinds of orders, we have got Rs.320 Crores . So typically, in the case of Indian orders that we have got, 300 is typically the limit within which the decisions can be done at a more reasonable level as the order sizes increases, goes to Rs.1000 Crores , Rs.2000 Crores , the approval levels keep going up and they are longer cycles. So that is why during the emergency procurement, any Rs.300 Crores less than order, all the typical size were about Rs.300 Crores or less. So we got them. But export, there is no such a constraint. I mean, it could be Rs.400 Crores , Rs.500 Crores , even Rs.1,000 Crores, but the kind of orders that we are pursuing are in range from Rs.100 Crores to Rs.800 Crores . So we could get any of those orders at that point in time. And with respect to the Orlando Expo, it is called the International Exhibition for Simulation and Training. We call it I /ITSEC for short. It is based in Orlando and it comes the weekend after Thanksgiving, typically the last week of November or first week of December. So we went there, we saw a lot of military, American military people coming and they were very excited, especially with our naval simulator, they said this is something that they really want. So we have got a lot of inquiries from there. And we have the as ARI already had a huge network even in South America. So there is a lot of people even from South America had come and they have seen this simulator that we have. So I think we expect orders even from the, thanks to our presence there. But again, it will be non -US orders that we are expecting faster. The US orders again, as I said, that there are lot of regulatory registrations, etc., process that we need to do before we actually become eligible for the orders. We may get EU orders faster than U.S. orders, but let us wait and see how the EU plays out.

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Page 19 of 20 Bright Buttar : Okay. Thank you, sir. That was it from my side. And good luck for the future. I appreciate it. Thank you.

Moderator: Thank you so much. Ladies and gentlemen, that was the last question for today. I now hand over the call to Ashok sir for his closing remarks. Over to you, sir.

Ashok Atluri : Thank you, Swapnil. Hello, fellow shareholders and investors. Actually, this year, as we have been saying, it is going to be pretty muted. And it maybe 20% -25% less than the next year, but we hope that we will be more than compensating it during the next year. But there have been very positive developments. Government has been giving our emergency orders. They have been giving new product orders, like for the combat training node that we were talking about, that has been going almost for a decade. But now they really want it. And what we think is, with the Indian government taking, the

re will be huge demand overseas

also, because that becomes a reference site for us. And Indian government is very, very open to allied countries to show that. So, we think that combat training mode is a big, big win for us. And of course, the anti -drone system, the R&D is going very, very hard. We are trying to meet the operational needs. Again, typically we say that we are not building for an RFP or we are not worried about the RFP. We actually want India to win wars. So, what is the product that we need to have to handle the actual threat? So that way, anti -drone systems are also working very, very in the right direction. Again, the EU FTA was a very big deal and I think we should be getting a lot of benefit out of it. I am very excited and I am going to Europe and in the next earnings call there will be something interesting about EU. One thing I want to also refer is that the simulators that Zen actually saves thousands of crores of rupees. And it is very environmentally friendly in the sense that you don't have to fire actual ammunition, you do not have to take the tanks onto the field for the actual exercise, but you get more feedback, more competent skill building happening when you use the simulators. And because of this, we also got a very interesting thing for the investors would be, we got an ESG score of 67. Last year we were 41, we have suddenly gone to 67. So this is the Dow Jones Sustainability Index score , I think this is a big plus for us and that will get some investors in the sustainability sector in to Zen. But again, this is just the beginning. The company secretary , Sourav had done this job single -handedly. We expect to really aim at a very high score in this. So that people who are into sustainability can actually see a rare intersection between defense companies doing sustainability work. So ESG is the one thing that we are very excited about.

And again, very briefly, I want to touch upon the budget. The budget was Rs.7.85 lakh Crores and it was a huge budget. And the commitment to spend 75% of it on domestic procurement was very good. But again, our always thing is, will it be an Indian -labeled foreign goods or it will be actually designed, developed, and made in India stuff? So this is where government can actually play by setting an example that pretenders and fakers will

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Page 20 of 20 not get the orders. The actual IP developers will get the orders. So that would be one very big thing if it happens. Otherwise it is strategic dependence, which the Indian label will continue and we will never get strategic autonomy that is one thing that will be missing. So our hope is that money actually flows back to complete the design rather than just get somebody else's technology and assemble in India. So these were the main points that I had in mind. And one final thing was that there is a Research Development and Innovation Fund that the Government of India has floated for Rs.1 lakh Crores. Out of that they want to spend Rs.20,000 Crores every year on to Deep Tech and defense is one of the areas that the RDI fund will be using. So this is something some area where companies like Zen will be taking help from the Government of India to actually do long term. I mean the fund the government is talking about is actually a 50-year fund but they will be giving to the Indian companies maybe 10 to 12 years kind of thing. This actually companies that have that actually do R&D, have a long-term scope, and are willing to put in their money. So the government is willing to put in 50%. We put in 50% or we raise it from somewhere and put in 50%. We can really go for very, very important technologies for five years, seven years, even 10 years of development. And again, how should we approach this is very simple. What are the technologies five or seven years from now, we think will be very important in war? And

then trying to identify the Pareto within them and then double down on the Pareto. So that is the approach that Zen will be doing and I think, very frankly again every time I come, I say one thing, I have never been more excited and I want to repeat that. I have never been more excited and I think India version 2 is going to happen in a rapid way in the coming couple of years. Thank you so much for your time.

Moderator: Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call. Thank you for joining us. And you may now click on the leave icon to exit the meeting. Thank you all for your participation.

Call: May 2026

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May 08 , 202 6

To

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, C -1, Block G,

Bandra Kurla Complex,

Bandra (E), Mumbai – 400 051

Symbol: ZENTEC To

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on May 04, 202 6

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , please find enclosed the transcript of the earning c onference call held on May 04, 2026.

This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar

Company Secretary & Compliance Officer

Encl: as above

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"Zen Technologies Limited

Q4 FY2026 Earnings Conference Call "

May 4 , 202 6

Management: Mr. Ashok Atluri - Chairman & Managing Director

Mr. Hari Haran Chalat - Chief Financial Officer

Ms. Abhilasha Atluri – Head, Investor Relations

Zen Technologies Limited

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Page 2 of 20 Moderator : Good day everyone and welcome to Zen Technologies Limited Q4 FY 2026 earnings conference call. All participant lines are currently muted and this session is being recorded.

The management is with us today to share their update on the quarter. Once their remarks

conclude, we will open the floor for questions. I would like to remind you all that

everything said in this call reflects any outlook for the future, which can be construed as a

forward -looking statement and must be viewed in conjunction with the risk and uncertainty

that the company faces. Please note that this conference is being recorded. I now request

Mr. Abhishek Mehra to lead the discussion. Over to you.

Abhishek Mehra : Welcome everyone and thank you for joining this Q4 and FY 2026 earnings conference call

of Zen Technologies Limited. The results and investor updates have been e -mailed to you

and are also available on the stock exchanges. In case anyone does not have a copy of the

same, please do write to us and we will be happy to send it over to you. To take us through

the results of the qu arter and answer your questions, we have with us today Mr. Ashok

Atluri, Chairman and Managing Director, Mr. Hari Haran Chalat, Chief Financial Officer,

and Ms. Abhilasha Atluri, Investor Relations. We will be starting the call with a brief

overview of the performance, which will be followed by the Q&A session. With that said, I will now hand over the call to Mr. Ashok Atluri. Over to you Sir!

Ashok Atluri : Good morning everyone. I just want to do a recap on the current products that we have and talk about the future products that we are going to launch. The main point here is that there is a North Tech event happening in Prayagraj as we speak and our products are being introduced there and I am very excited about what has happened in the product space. The result, you know, I will leave it to Hari to make the presentation and field the questions with respect to that. So I will just start the share here. So very, very broadly that what has happened in the past few months is that the two areas that we were focused on, which is anti-drone systems and the simulators, both have gained so much of prominence in the recent wars that have happened. The first thing is anti -drone system without much argument in the sense the Israel -Iran war that was fought was com

pletely drone -based or missile -

based and whoever could, for every rupee, get the maximum mileage won the war, actually.

So we can see that while they were launching \$30,000 Shah ed drones, they were being countered by \$3 million interceptor missiles. So complete missile math was completely mixed up. So one takeaway from that was that anti -drone systems are playing a big role , but in addition to just pure software jamming, hard kill options have to be there and in hard kill, the ideal situation is for every \$30,000 attack that happens, can you stop it with a lesser amount, maybe \$20,000 or even one third of the price at \$10,000? Can you really neutralize the Shahed drones? So that was what the thing was but coming back to what then have been doing there we have been doing anti -drone systems. We have introduced hard kill options and we see that the currently post Israel, the focus has almost 2x, minimum 2x, from what Zen Technologies Limited

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Page 3 of 20 we were originally projecting. So what is the impact it will have on our turnover and all that is not yet known. But we see that two to three years from now, the mainstay is going to be the anti -drone systems and second, what has happened is that, again, because of the war, the sudden non -existence of war prior to 2020, to now Armenia -Azerbaijan, Ukraine -Russia, Israel -Iran, all these wars have really changed the dynamics very, very well. So what has happened in essence is that the companies are now scrambling for preparing for war. It is not the question of if you will be attacked. If you are perceived weak, you will be attacked is the general theory. So how do you make yourself really unbeatable is by making yourself properly trained and then buying the right kind of equipment. In this direction, we have started doing a lot of efforts , but one of the biggest change that has happened in terms of our development efforts in the last few years versus last few months is that AI has taken a major role into our development cycle. So AI takes two places. One is at the level of the process -based. Where are the processes? Are you developing software using AI? Secondly, embedded level, are your products themselves, are the simulators, are your anti -drone systems themselves AI native or not? So these are the two areas that we have been focusing on.

One thing that happened was that because of this extraordinary productivity increase, we have suddenly released a lot of bandwidth in our companies. So, one of the companies that did extremely well is both ARI and ANAWAVE under Commodore Ahluwalia and they have started developing really interesting products. So with the bandwidth, we are now able to take more products and holistically address the market that has come. One of the products that they have developed is a cyber security suite. So this is actually a physical suite that is integrated, which can be integrated into control and command centre . It can be integrated into ships. It can be integrated even into a eroplanes, where if the attack happens through hacking, this can prevent and typically, there are six layers. Six layers , one is the awareness and training layer, monitoring and intelligence, protection and prevention, encryption and data sovereignty, threat perception, investigation and response, and finally, post-quantum readiness, which is required because of the encryption that is required and in all the cases, there are zero foreign dependencies and it is a proper example of Atmanirb har Bharat. So this is something that is happening and the second thing that we have started doing is of course the anti -drone simulator. So we have been actually supplying the anti -drone system for a long time. Now, anti -drone simulator has also been developed by ARI and this is a very advanced training platform because we really cannot block the actual anti -drone system for training. These actual anti -dron

e system do have built -in training

methodology, but we have requested by the customer that this is a separate activity and so we have created an anti -drone simulator. Again, we think this is a major product. It will teach people to detect, track, and neutralize aerial threats , very realistic virtual environment. It could be a single drone threat or swarm attack drone.

Page 4 of 20 Also, can you have a mission -based tactical exercise? This does enable that. So of course, scenarios can be configured with adjustable threat levels. So this is actually before the war happened. The war can be simulated, and drones can be activated and stop ped from attacking the thing. Again, even the anti -drone system that is there is heavily AI -powered. Again, a lot of AI in that. So especially when we compare, our thing is 15 plus kilometres detection range. Of course, if it is network, it goes indefinitely. It can be 4,000 or even 40,000 kilometres, w e are talking about each individual system and frequency dominance is one of the biggest challenges that we are seeing worldwide is that a catch -up game that the other vendors are playing with Zen. So initially, now recently, we have been supplying for 400 megahertz to six gigahertz, but that is outdated. Now we know that the bad actors are actually making drones at 100 megahertz, they are making it 10 megahertz or 10 gigahertz, they are making it 12 gigahertz. So what we have done is we have preemptively made the product with wider frequency dominance with 70 megahertz o r 12 gigahertz.

Again, Our neutralization capabilities are extraordinary, RF jamming, G NSS jamming, RCWS guns that we have already included, air defen ce guns integration has already been done, both L70 and ZU -23. So this product is way ahead of, what are available in the market worldwide. Again completely radar itself is also indigenized and with a range of 20 kilometers and detects smaller drones much , much earlier than what competition would do. So the latest launch is again being launched today at Prayagraj and we are very happy with what is being done. This is actually future proof at this point in time and we think that this will have a lot of market not only in India but worldwide.

Another product that is being launched today is Vrishabh. Now Vrishabh is an unmanned ground vehicle, UGV, that is capable of combat, logistics, and casualty evacuation. It has a payload of 150 kilos. It goes at a speed of 50 kilometers per hour. The range is up to 100 kilometers. They have already integrated various weapon systems, MMG, LMG, direct fire, AGS, indirect fire. All of them have tried on this, and they function very, very well. The recoil is absorbed very well. The operating mode is you can manually operate it, or you can just, on autonomous, give a task. Give a task, go there, do this, and come, kind of situation can be there. All the autonomous is there. It has Ackerman n steering for better control and reliability. Indigen ous content is more than 85% and commercially we are planning to launch it in this financial year, FY2027 and of course, these are the other things that can be used as combat, logistics, or casualty evacuation and this is a command and control center that you see, very, very interactive and state -of-the-art. Another product that has been launched in collaboration with AI -Turing is our associate company is that this is a unique 30-mm ammunition. We have ammunition license in addition to the recently granted the weapon license, we also have ammunition license. So we are building this ammunition, which is RF based programming, it has pre -fragmentation and tungsten ball as the core.

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Page 5 of 20 We have actually tried it out and it destroys everything within a 10 by 10 meter area and this can also be used as an anti -drone firing thing on our 30mm canno

ns and again, when

you use this ammunition, you do not have to modify the actual weapon. So you can use the regular weapon system and put this ammunition into that. Again, finally one more thing that is happening is the CIWS. This is a gun missile system developed in collaboration with AiTuring systems. This can be used by naval forces and in addition to the weapon system, it also has the shorter missile range and built -in radar. So, some of the smaller targets where people do not want to spend the RF detection and the jamming, but want to just to have a hard kill option, this built -in radar is a self -contained solution, which would actually at a much lower price point can be pushed to the armed forces.

So, again, as I was saying, one of the biggest thing that I am really excited about is, can we actually make a drone and intercept a drone that is costing much cheaper than the \$30,000, the Shahed drone that cost and can it effectively . The biggest challenge is these drones come at 180 kilometer, this Shahed drone does 180 and now the recent ones, we here are doing 300 and the next ones, probably would be crossing even that. So given these speeds, it is very, very difficult to actually realize a drone that can fly at a speed of 300 kilometers.

So how do you exactly address this challenge of stopping a 30,000 drone s with much, much cheaper attack, Shahed drone , with much, much cheaper solution? So, I am very, very happy and very, very proud to announce that we have just come up with similar solution that is actually much, much cheaper than Shahed drone. We think at \$10,000 is a very, very good entry point for this and we are launching HyperStrike, which is having a speed of 400 kilometers per hour. It is a five -minute loiter and strike thing. So it can go easily 20

kilometers plus and hit the target and even if it misses, it can be maneuvered physically. One thing is it has the AI built in, but at the same time, a manual override is there which can be chased and it can hit the target. Again, the proximity variant payload is about 200 grams, AI enabled tracking and guidance and 4kg airframe and mass production. So we think that we should be doing about with the production will start in this financial year of this and we expect that even the capacity is about 5000 per shift, per month, but we think we can easily increase to 15,000 and we can scale it up if the demand goes up. So this is a very, very exciting thing.

There is a small video that a teaser video that I will just share with you. So this was the last slide and with this, of course, as usual, again, the key contribution for this, the high-speed propulsion system, has been supplied by Vector Technologies, an extremely competent team, again. So we actually, from the focus on Zen creating great products, which continues to happen, now we're almost in a position of facilitator, having great set of companies working together and facilitating them to unleash their creativity to serve the needs of our clients, the Indian armed forces and Indian allies. So that is what we have been able to do and very, very excited for the next three to four years. We think the government is moving very

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Page 6 of 20 positively. The new DAP, that is the draft DAP that we saw was very gratifying. The whole focus in the DAP has been IDDM. They have been saying indigenously designed, developed, and manufactured. There was some attempt to say that even foreign tech, if it is bought, should be used on par with the Indian IP developed. So wiser voices prevail and I hope that will not be allowed. Because when you develop a product after four or five years of hard work, that is a capability development. It is not a product. But if you just get somebody after, you know, from a T oT, you say and you try to equate it with IDDM, that is dangerous. Because what will happen is simply if a company has act

ually developed a

capability and is on the verge of commercialization, a foreign counterpart can, what he will say, listen, I want to kill this technology. Take this technology from me and kill that Indian capability. So that next version onwards, Indian Armed Forces will be forced to come to us. So we have to distinguish between foreign design developed and Indian assembled or Indian manufactured even if the IP, the company given the IP, so-called IP transfer has happened, versus indigenously designed, indigenously developed and indigenously manufactured. So Indian manufactured. So I think that we were smart enough to see the folly in that the distinction and we I think government will be doing but I think after 2026 the roost, the complete roost, will be ruled by companies that have designed and developed products and you know I think they may be giving preference so we are hoping that for indigenous private companies. So there are companies that have developed the product along with the DRDO so what are the differences DRDO actually finances the development.

Now compare that with a company that is actually self-funding the innovation and R&D. So we are saying that privately self-funded independent R&D companies, innovation and R&D companies, should actually be treated much, much better than people who are just co-developing with DRDO and that. We call it. So if that happens, that should happen. But anyway, we can distinctly see companies that are putting in their money. That is the ultimate skin in the game and they are saying that, listen, we want to develop this product, we do not want any funding, but if we click, you buy. So the only thing for those companies is quicker orders. If that is cracked by the Indian government, which we think is the main point in 2026, that they are going to really push the IDDM agenda, I think that will change, 2026 will be a hallmark year, not for the actual innovators in defense industry, but also for the Indian Armed Forces, which will unleash the power of Indian industry, not only into India, but all worldwide. So with that, thank you so much and I will hand it over to Mr. Hari Haran for the presentation on the financial results.

Hari Haran Chalat : Thank you, Sir. Good morning and warm welcome to all. Thank you for joining us on our Q4 FY2026 earnings call. Following Mr. Ashok's remarks on the business and the way forward, I will take you through our financial performance for the quarter and for the year ended 31st March 2026. Let me begin with the consolidated performance for the quarter.

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Page 7 of 20 Consolidated revenues for Q4 FY2026 stood at Rs.178.1 crores, broadly in line with Rs.177.8 Crores reported in Q3 FY2026 and lower by 45.2% year-on-year compared to the Rs.325 Crores in Q4 FY2025. As we have indicated through the year, the revenue trajectory in FY2026 has been impacted by the timing of order inflows with the bulk of the orders received over the past several months scheduled for execution from FY2027 onwards.

Operational EBITDA for the quarter stood at Rs.51 Crores, which translates to an operational EBITDA margin of 28.6% lower by approximately 900 basis points sequentially and 1390 basis points year -on-year. Profit after tax for the quarter stood at Rs.47.2 Crores. PAT as a percentage of revenues stood at 26.5%. I would like to spend a moment on the five specific factors that have made on the margins profile for this quarter, since the quarter -on-quarter and year -on-year movements are wider than the underlying business run rate would suggest. First, our Q4 revenue base is lower against the prior year comparable with Q4 FY2025, having strong execution resulting in a higher base. Since a significant portion of our cost base, both at the standalone level and across the group, is fixed in nature, this lower revenue base translates into margin compression,

particularly on

the year -on-year comparison. Second, we recognized year -end performance incentives for certain employees during the quarter. This has resulted in an incremental employee cost of approximately Rs.5 Crores sequentially. Third, we have updated our warranty provisioning percentages, particularly for anti -drone system products supplied in FY2025, based on the actual expense data. With more actual data now available on warranty utilization for these products, we have revised our provisioning estimates upward, resulting in approximately Rs.3.1 crores of incremental warranty expense in the quarter. We incurred approximately Rs.2.7 Crores of post -supply expenses during the quarter to do an export order delivered in FY2026. These costs include on -ground installation support, logistics and engagement of external consultants in the customer's geography. Fifth, R&D expenses for the quarter were higher by approximately Rs.3.3 Crores sequentially. This reflects investments into our future product portfolio, and as we have indicated in earlier interactions, we expect to make higher investments in R&D going forward, which will be reflected in an elevated cost base. Unlike the other four factors mentioned earlier, which are largely one -time or period -specific in nature, this is a structural commitment that we will continue. While these factors are weighed in on the quarterly margins, our long -term guidance of 35% operational EBITDA and 25% PAT margins remain intact.

Now coming to the consolidated performance for the full year. Consolidated revenues for FY2026 stood at Rs.687.7 Crores, lower by 29.4%, as against Rs.973.6 Crores in FY2025. Operational EBITDA for the year stood at Rs.247.2 Crores, at a margin of Rs.35.95%, lower by approximately 240 basis points year -on-year. Profit after tax for the year stood at Rs.217.9 Crores, PAT as a percentage of revenues stood at 31.7%.

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Page 8 of 20 Now coming to the order book, the consolidated order book stood at Rs.1336 Crores as on March 31, 2026. The standalone order book as on March 31, 2026, stood at Rs.1222.6 Crores. Majority of this order book is scheduled for execution from FY2027 onwards and provides clear revenue visibility for the next financial year. Working capital days as of March 31, 2026, is 196 days compared to 194 days at end of Q3 FY2026.

I would like to draw your attention to a notable improvement in our DSO position. Our Days Sales Outstanding at the end of FY2026 stood at approximately 119 days compared to 161 days on December 31, 2025, an improvement of 42 days. The increase in the working capital days is primarily due to higher inventory days, and advances to suppliers, which is required for the projects, which are currently being executed for deliveries in FY2027. The liquidity position of the group continues to remain strong. Cash and bank balances aggregated to Rs.1308 Crores as of March 31, 2026. The group remains debt -free. This is the brief on our financial performance for the quarter and the year. We can now take questions. Thank you.

Moderator : Thank you so much. Ladies and gentlemen, we will now begin with the question -and-answer session. Anyone who wishes to ask a question may click on the Raise Hand icon from the Participants tab on your screen. We request participants to restrict to two questions and then return to the queue for more questions. To rejoin the queue, you may click the raise hand icon again. We will wait for a few minutes until the question queue assembles. We will take our first question from Mehul Panjwani of 40 Cents. Mehul, please go ahead with your question.

Mehul Panjwani : Thank you so much for the opportunity and elaborate walkthrough of the products. My first question is how much of the 1336 crore order book, which we have will convert into FY2027 revenue and by when will it happen in FY2027?

Hari Haran Chal

at : Thank you for your question, Mr. Mehul. Most of the order book that we have of 1336 out of that the product which will be dispatched in FY2027 is around Rs.1000 crores. The balance Rs.326 Crores is basically AMC revenue, and AMC revenue gets spread over a period of the AMC contract. So out of the total order book Rs.1000 Crores is expected to be

executed and most of the deliveries is going to happen in Q2 and Q3 of FY2027.

Mehul Panjwani : Okay, so most likely we will recognize the entire order book into revenue.

Hari Haran Chalat : Yes.

Mehul Panjwani : My second question, Sir, is what is the sustainability of new orders in FY2027 across the new and legacy product portfolio?

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Page 9 of 20 Ashok Atluri : I think the orders will be accelerated now. We expect both the segment, the simulation segment and the anti -drone segment really increasing the size of orders. As I said that the demand which we were expecting has far exceeded the estimate, the reality is much, much, much larger than what we had expected. So, the sustainability of the order is not only sustainable there is going to be a significant increase in the orders that will be received during this year, FY2027.

Mehul Panjwani : Sir, can you give some kind of a ballpark, how much increase will be compared to FY2026?

Ashok Atluri : We stick to that prediction of our projection of Rs.4000 Crores turnover in FY2027 and 2028 put together, so, we are very comfortable with those figures now.

Mehul Panjwani : Thank you so much and wish you the very best.

Ashok Atluri : Thank you, Mehul.

Moderator : Thank you so much. We will take our next question from Darshil Jhaveri of Crown Capital.

Darshil, please unmute.

Darshil Jhaveri : Good morning, Sir. Thank you so much for taking my question. Sir just a bit in regards to the previous participant question only, so we are sticking to the Rs.4000 crores revenue guidance, by mathematically that means in FY2028 we will be roughly doing around Rs.3000 Crores and for that we would need at least Rs.4000 Crores may be ordered to book by this year is that fair to? So that is what we are targeting this year. Very honestly Sir we have been trying to, I think in previous calls you guided that maybe we will do Rs.1500, Rs.2000 Crores orders in hand. We are near -by that, but it is still to reach Rs.3000 Crores it is still a quite far number, so how confident are we that we will get Rs.3000 crores in this year?

Ashok Atluri : What we are saying is cumulatively we will be doing Rs.4,000 Crores, so if you are right in the sense, will we be by the year end, will we be having a Rs.3000 Crore order book to achieve it, even if we were to do 2500 in FY2028 I think that should be the case based on what we have been talking to you, but again what I would like to say is in terms of execution we should be able to execute Rs.4000 Crores cumulatively over both the years. Will the order book stand at Rs.3000 Crores at any point in time I think it is reasonable to expect that the order book should touch Rs.3000 Crores at some point in time.

Darshil Jhaveri : Fair enough. I just wanted to know I think we got recently, sorry, I missed the start of the call, I joined in a bit late. I think, a new segment in administrations and everything, so are the guidance including these or that is a complete new segment where revenues can?

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Page 10 of 20 Ashok Atluri : It might include part of the sales of the arms licenses that we are expecting, but it will not be very significant to really contribute meaningfully to these figures in the first two years, but I think third year onwards they will start contributing very significantly.

Darshil Jhaveri : Just a last question from my end. Right now because a lot of geopolitical systems are requiring a lot of forefront how is our technology catching up with people, if I would com

pare ourselves to all over the world how would you rate us like maybe top 10, top 15 because why I am asking that because the technology is advancing so much what are the possibilities of export orders because domestic as we know government it is not in our hands like it is going to take some time there is going to be multiple rounds maybe it gets delayed even further but exports is something because there is a lot of requirement due to the multiple wars so how our products play and what can we expect out of exports in the coming years?

Ashok Atluri : I think we have figure of factored exports also in this and we personally think that the simulator market is showing a lot of hope, especially with related to drone -related or anti -drone related simulation and of course the naval simulation is big. Thanks to Hormuz Strait, everybody wants to know how to navigate difficult places, how to handle mines, all these things you really cannot practice unless you are on a simulator. How do you handle mines? How do you clean mines, clear mines, etc. So, the simulator market is really becoming, as I said, everyone, if you are perceived as weak you are the next target. So, how do you look strong by having a very, very well -trained force. A simulator is bigger, so this is what we are getting based on the inquiries, incoming inquiries also and of course, in anti -drone system, I really do not want to tell much about it because this was a system that was used

effectively in Operation Sindoor and we think that it is a proven product and what we have today is much, much more advanced than what we gave to the armed forces then. It is a highly evolved system, and I think it is definitely in the top three in the world, if not the absolute top. So when we go to the exhibition and we consult other vendors and we talk to the customers, they are actually quite surprised that India actually has the ability to detect and jam from 70 megahertz all the way up to 12 gigahertz that is a huge range for any product. So yes, I think the export market is going to play a major role and we are expecting a lot of export orders.

Darshil Jhaveri : By when will we get some order, like our execution mostly going to be Q3, Q4, so can we have order flows before that or do we expect orders to also be back-ended?

Ashok Atluri : The pipeline will be very large, but I do not want to touch that, but, I think, as you know, we told last year also that we are expecting some orders in the first quarter, though the orders are very near. I think when they come, your confidence and our confidence will go up about the targets that we have been talking about, but yes, otherwise, the pipeline for Zen Technologies Limited

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Page 11 of 20 both the simulators and the anti-drone system is very, very large, it is running into a few thousands of crores.

Darshil Jhaveri : That is it from my side. I will join back. Thank you sir.

Ashok Atluri : Thanks Darshil.

Moderator : Thank you so much. We will take our next question from the line of Amit Dixit of Goldman Sachs. Amit, please unmute your microphone.

Amit Dixit : Good morning everyone and thanks for the opportunity Sir. Congratulations for a good order inflow and pipeline that we have. A couple of questions and one from a more conceptual perspective. Now, while we all talk about IDDM, and the focus of government on indigenization, but if you look at the current day, when they have been at a record level this year, but foreign procurement component, and I am not counting Rafale here, Rafale is a different thing altogether, has gone up quite high and it seems the view among armed forces at least as per our channel checks is that they would like to go for instant patch up rather than waiting for indigenized kind of systems that might take their time, so in that context, order inflow or orders in the near term there is just a risk that they might be more towards for the

foreign guys so what is your thought on that?

Ashok Atluri : I do not know if you have seen Godfather, in the Godfather, Don Vito Corleone tells Michael Corleone that whoever comes with this Barzini proposal is the traitor. Whoever comes with the Barzini proposal and he says, whoever brings that proposal, you will know that he is the traitor and similarly I think in Indian Armed Forces whenever anybody is actually pitching a solution that is especially available in India and likely to be available in India, they are actually traitors, so we need to be very, very careful and by the way the whole political system, the whole bureaucratic system and majority of the armed forces are completely on-line with getting indigenous. One of the questions they say, the pitch they make is, listen, you have to have the best equipment in the world to win a war, but remember, this is the exact situation, today, 20 years back we were in that exact situation that we would always say that we will buy it from outside, we will not develop it in-house and we were completely unprepared for wars. Now the situation is and the country that said, listen, I am not going to buy anything from foreign countries even if a product is 60% of the world's best product I will go with my country's product and which was that country? That was Israel. So they have been on record and where is Israel compared to India today, which have been following the policy of only indigenous equipment? So, I think that sense is there within the government that we need to buy as much Indian as possible, but again we do not have a Rafale, we do not have predator even though I have my own reservations, whether they are the right kind of expenditure at this point in time, but, we do not have them. So, Zen Technologies Limited

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Page 12 of 20 going for them with the foreign vendors is all right, but there are a lot of things and again, to your question about the allocation of funds because the very last ticket items those have happened but in the ground I can actually see they are actually saying that we have to buy by Indian IDDM and they are willing to take risks where they say, okay, if they let us give orders to their 10 vendors, they will say, okay three vendors, take these orders. So I think there will be a consolidation phase happening in the next three to five years where some companies will really emerge as winners, the Googles or the Amazons of the defense world that will benefit from focus on indigenous R&D. I do not know whether I answered your question, Amit, but if I have not, please highlight it.

Amit Dixit : No Sir, absolutely and thanks for invoking Godfather. I remember took quite some time.

The second question is essentially on the product that you showed in the beginning of the presentation drone quite I would say impressive and given the use case is very, very huge in the Indian market and the specifications that you highlighted, I think they are ahead of your peers, at least what I have studied. So what kind of, I am not talking about one year, two years, I am talking about the use case in particular, that let us say five years, what kind of opportunity do we see in India? Part B of the question is on Naval simulation that you highlighted in the presentation, so what kind of solutions we are developing over there? These are, this is A and B, you can handle these.

Ashok Atluri : So very frankly, with the thing that we are doing, the point here is that while we are developing, there is somebody who is developing a better, Shahed or something like that, but we have a version that will address the future things also as we in the works, in addition to the 400 kilometers interceptor drone that we have created. Now, this intercepted drone has AI vision compute power on the drone, it can go autonomously, go after it. Shahed drones, most of Shahed drones are 180 kilometers, this could even if it misses

go back, tap,

blast it out of existence, the interceptor drone. So, we think that, if things look as they are, the world is a very, very dynamic place, Amit, but if the things look as, this may be the largest product in our portfolio two years from now, the biggest product in our portfolio, the interceptor drone. Okay, and as we are evolving the future versions of that, this could not only be the Indian Armed Forces, but worldwide this may be the most sought -after product. Again, the kind of research that is going on is on the absolute edge of physics and reality. So if we are able to crack it, this will be absolute, there is nobody in the world will be able to achieve what we have achieved, so I think it is a very, very big and good deal you caught on to it, but the interceptor drone with 400 -kilometer speed with AI compute edge, and complete autonomous is going to be a very big thing for us. Naval simulation is really big for us and we are thinking that the Indian government is really, really focused on a lot of people just focus on the two borders, the Chinese border and the Pakistani border, but when you just have a map in front of you and move it around, just about, as you move it upside down, you will see such a huge part of India and it is where we have built everything and

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Page 13 of 20 this is where the actual threats are now being built. So, you know, what are we going to do about it? So, I think the training for that is going to be very, very major and thanks to the choke points that we are seeing, India will have a larger role to play as we go ahead. So, we see in the naval simulation also, we have started putting in effort and started offering complete full -fledged combat naval training centers and there is a lot of positive response in this regard not only in India, but ARI, our 100% subsidiary, has a lot of connections in South America and Europe. So, we are trying to push those solutions through them and I think this is going to be quite a large contributor of revenues as we go ahead.

Amit Dixit : Thanks indeed and I think I will connect with you one -on-one because this is like outside the domain of this call within the interest of time, so I will connect with you one -on-one on these exciting products. Thank you and all the best.

Ashok Atluri : Thank you so much, but just for the knowledge of everyone, these products are being demonstrated at Prayagraj, they are on display, so you can go and have a look there.

Moderator : Thank you. We will take our next question from Dipen Vakil of Phillip Capital. Dipen, please go ahead.

Dipen Vakil : Good morning and thank you for this opportunity. Sir, my first question is regarding your arms license that you have received. So, can you tell us the scope for Zen Technologies in this arms manufacturing as to whether we are getting into the ammunition production or whether it is more about the product that you recently just displayed right now, as to what kind of new product we are expecting from this arms and basically from this arms manufacturing license?

Ashok Atluri : The thing is that again we have been focused on the anti -drone segment by itself, but what is happening is, we build the remote control weapon station as an expansion of our Hard Kill option offering to the customers, but what we saw was that the product by themselves are having a lot of market, the remote control weapon station, they say, we do not want your anti-drone solution we want this thing, maybe integrated with the radar kind of thing. So those are the kind of solution that some of especially the vendors with limited budgets are asking for. So, an interesting thing was that, which we anticipated much earlier was that the 12.7, 20mm, 30mm especially, this will be the weapon system that will be used to bring down the drones and then we had applied two years back the licenses, which fortunately came i

n now. In the meantime, we have been developing, doing some hardware work also on creating these weapon systems. So yes, the weapon systems will be launched during this

year. Next year, I think the majority of them will be launched, so these are very big markets, but again, as you have probably guessed it, the bigger market in this is the actual ammunition. So the ammunition that we have developed for 30mm, that is the most

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Page 14 of 20 preferred caliber weapon for bringing down the drones. The 30mm is actually a smart ammunition. The airbus capability, when it detects something, some drones decide it, it does the blast and 10 by 10 meters worth of drones anywhere in that radius will be completely destroyed. So I think ammunition is also a very big market, but we are going after smart ammunition, not the dumb ammunition. Again, we are addicted to margins, so we have to have reasonable margins to do this kind of thing. So yes, I think both arms and ammunition will be a big market for us, and we look forward to making a dent in that market.

Dipen Vakil : Got it Sir. Thank you so much for that clarification. So, second question is on the line of the order inflow, the kind of order inflow, so basically, you told us about that Rs.4000 Crores of turnover cumulative in FY2027 -2028. So one thing I want to understand is that what is your conversion rate in terms of from order win to execution because if it is something like one year then potentially all those Rs.3000 Crores of order wins has to be won in FY2027, so that is one thing that I want to understand and also what was the bottleneck, which led to the delay in the terms of ordering because as you rightly mentioned, ADS and simulation are right now something, which are widely required and the requirement is only increasing going ahead, so, any indication as to what led to the bottleneck into slow ordering activity from the government side as well?

Ashok Atluri : You asked two questions. One is, when are we going to get the orders? Will it be during the year so that we get a comfort that there will be some significant part of the fourth and core executed during the current year. I think yes short answer is we expect the orders to come in. In fact, this first quarter should be a good quarter, but not later than second quarter, I think you should get some good news in the first quarter, which will give you comfort about the current year and then yes, as we go towards the end of the year, you will get the visibility for the second year also, but again I am a big picture person. I try to look at very large, especially for long term we are keep adding the arms, the ammunition, the interceptor drones, the cybersecurity Suraksha that we are calling, so, all these things are coming in. I think they are going to be big. To your question what are the bottlenecks that cause the orders not to come in at this point of time. Again, we have touched upon this earlier, which is the simulator orders that were supposed to come, they got delayed because of the operation, that has happened the crisis operation Sindoor, the government went slow on the regular procurement and really accelerated and did emergency procurement of the anti - drone systems and all the placed order so those orders did come to us that kind of helped us, build up our order book position but the things that we were prepared for the actual simulators and all that they got a little bumped, a little delayed because of that and we again those are the orders we think that we should be getting very soon.

Dipen Vakil : Got it. Thank you so much for answering my questions and all the best.

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Page 15 of 20 Moderator : Thank you. We will take our next question from Vikash Singh of ICICI Securities. Vikash, please go ahead.

Vikash Singh : Thank you for the opportunity. Sir, just wanted to understand

as we are translating into form a software only to now a mix of a hardware as well, where usually the margin profile as slightly lower, so how should we look at FY2027 -28 margins going forward as more and more hardware -related product gets added on?

Ashok Atluri : Vikash we are primarily, in all our products and all our simulators, hardware is a major part of it. The only thing is that we used to outsource our hardware. So we used to design, develop and prototype it and then for the actual manufacturing, for the non -critical items, we have always outsourced it. We have never developed it because we would finally assemble it at our location, quality test it and dispatch it to the customer. So hardware has been an essential part of all our product simulator, for example, a tank simulator, the whole of the tank has to be replicated up to millimeter accuracy. So, there is a lot of hardware work. So we continue to have hardware, we have hardware and software is also there. Of course, now developing the software has become much easier. So I think the margins will continue as long as we are actually providing a lot of value to the customer and in the sense when I say value, they will definitely want to be the number one, they need this product. Number one, they want to be the cheapest in the world. So typically, for our product, we have mostly competition from foreign companies. So we ensure that we are the best priced

value for money deal for them and at this point in time, I do not see any threat to our margin prediction of 25% PAT and 35% EBITDA margins. I think we are very comfortable with the 35% target and I think for this next couple of years that margin profile should continue.

Vikash Singh : Noted Sir and also give us some insight into your working capital since now you are going into an ammunition department as well, where we see that working capital runs into over a year or so how should we look at our capital requirement and the fundings?

Ashok Atluri : So, the ammunition and the arms, they are a little away for us. I think the next year will be the earliest year where we will have to start putting the working capital on that, but overall, working capital, I will let Hari answer that question on, how are we managing the working capital and if there is a future increase need for working capital how do we plan to address it? Hari will address that.

Hari Haran Chalat : Currently, our working capital is 196 days. Even with the manufacturing license, like Ashok sir had mentioned, the plan is that we will stick to our existing manufacturing model when we outsource most of the production and then be an assembler. Only the critical components that we need for these arms will be manufactured in-house, but in the long term, we still expect our working capital cycle to be around what we have guided of 140 to 150 days.

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Page 16 of 20 150 days. If there are major orders to be executed, like it is the case right now, where we are seeing inventory buildup for the executions, which happen in the next 12 months, the working capital days will slightly increase, like it is the case right now, but otherwise, it should be comfortably around 140 to 150 days.

Vikash Singh : Noted Sir, that is all from my side and all the best for the future.

Moderator : Thank you. We will take our next question from Mohit Lohia of DAM Capital. Mohit, please go ahead.

Mohit Lohia : Thanks for the opportunity. Sir, if you can just talk about performance at subsidiaries level and also the guidance?

Hari Haran Chalat : So subsidiaries currently as you see, the consolidated revenue is Rs.688 Crores, the standalone is 423, so the subsidiaries have contributed Rs.260 Crores in the current year.

Majority of that revenue is coming from two of our subsidiaries, which is UTS and ARI.

ARI, as you would be aware we acquired end of FY2025, so the full year consolidation happened in

this year, so ARI has contributed around Rs.131 Crores to the topline and the PAT margin of ARI is around 30.3%. UTS has contributed the remaining and other subsidiaries have contributed around Rs.10 Crores. UTS PAT margins around 26.5% for the full year. From a guidance point of view, we think in FY2027, UTS and ARI together, they would be doing around Rs.365 Crores of revenue.

Mohit Lohia : Sir on margin front?

Hari Haran Chalat : Margins will remain the same region Mohit like the current margins which I have mentioned ARI and UTS, ARI will be at around 27% to 30% and UTS will be similarly close to 30%, 31%.

Mohit Lohia : Sure, so thank you. That is it from my side.

Moderator : Thank you. We have Prerit Jain of Motilal Oswal with this question. Prerit, please unmute your microphone.

Prerit Jain : Thank you for the opportunity. My first question is regarding the order book of subsidiaries.

So can you please tell us what was the opening and closing order book of both ARI and UTS for FY2026?

Hari Haran Chalat : As of 31st March 2026, ARI had around Rs.75 Crores in order book and UTS had around Rs.35 Crores in order book. That is the closing order book for the year.

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Page 17 of 20 Prerit Jain : What was the opening order book for the same?

Hari Haran Chalat : Opening order book for both UTS and ARI together, UTS was 110 and ARI was Rs.90 Crores.

Prerit Jain : Okay, got it and what kind of order inflow visibility do we have for these two entities for let us say next two years?

Hari Haran Chalat : Prerit, like I mentioned in the earlier conversation, we expect both of them together to do around Rs.365 Crores of revenue in next 12 months that is the target. Beyond that, I think we have guided that in FY2022 expecting ARI to do around Rs.300 crores and UTS between Rs.150 Crores to Rs.200 Crores.

Prerit Jain : Okay, got it. That is all from my side. Thank you.

Moderator : Thank you so much. We are taking a next question from Harshit Kapadia of Elara Capital.

Harshit, please go ahead with your question.

Harshit Kapadia : Good morning. Thanks for the opportunity and good order inflows in Q4. I just wanted to

check with you Sir. So where are we in terms of stage for the Hard Kill anti -drone system clearance? Have the user trials been done? Are we expecting orders for the Hard Kill as well and secondary, there was the post the operation Sindoor we were expecting the additional orders to come for our anti -drone system have we got this in FY2026 or are we expecting things to come in FY2027?

Ashok Atluri : The Hard Kill orders we already received, we have started receiving them. We have got about Rs.40 Crores worth. Earlier also we have supplied with article of L70 we have supplied and now recently also two more orders have been received. So yes, article orders we have started getting in and with respect to after the operation Sindoor because of that the orders were accelerated because then we got some feedback that these are the things that need to be improved and based on the actual inputs that we got and we got orders to both repeat orders as well as orders to upgrade the existing systems. These are the orders which were received very, very fast and the work is being done as we speak on those orders that we have received due to the lessons from operation Sindoor.

Harshit Kapadia : At the start of the call, you mentioned that you have already bid out for some few thousand crores of order inflow. First of all, can you quantify a number here and is this all on nomination or all competitive, so how much of is a win rate that we can expect if we can give some clarity in terms of the order pipeline, giving more confidence to investors on Zen Technologies Limited
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Page 18 of 20 where are we in terms of, let us say Rs.3000 Crores, Rs.4000 Crores is where we are in terms of bidding pipeline that would be of great h

elp?

Ashok Atluri : In terms of bidding, we are at, I would say, probably in the region of about Rs.1500 Crores or so, but the other, there may be single vendor tenders and all that when we add that up, that could be another couple of thousand crores. So, altogether, it is much, much larger where there may be regular tenders may be floated, which may take a longer time. something like 18 months, but overall the pipeline is running into few thousands of crores.

Harshit Kapadia : How much of the split will be between counter -drone system and simulator within the pipeline, Sir?

Ashok Atluri : We think, when we look at the split at this point in time, it does look favorable to anti -drone system, probably 55 -45 kind of thing.

Harshit Kapadia : Lastly on the ammunition part, so you will develop a product, it will go for testing and then you will start supplying, is that how the process would be and it will take how long according to you for this 30mm ammunition that you plan to do?

Ashok Atluri : Next year we should have started manufacturing and supplying it.

Harshit Kapadia : Okay, so you do not require a lot of certifications or those kind of approvals for this particular?

Ashok Atluri : So we are actually as we speak, the testing is going on the certifying agency is also in the loop about it. So I think by next financial year definitely we should be started manufacturing it. You are right, the nightmare, somebody did say that, it is much more complex than you can imagine, but we think that two -year period should be sufficient for us to get everything in order.

Harshit Kapadia : Lastly, any acquisition that you plan to do on the simulator side, maybe to complete the portfolio of simulator, is there any one thing on cards for this financial year?

Ashok Atluri : Harshit, we have identified, just the background is that, we have been anti -diversification for almost 25 years of our life we were doing nothing but we are just doing army simulators, but then we got into this field because there was everybody was talking about drones, but nobody sensed the danger the drones represent. So, we had a four to five year lead over competing companies and when we started doing the R&D. So yes, I think we have the thing, but somewhere in the last couple of years, we have started thinking that we should focus on Pareto Technologies. Technologies, three or four years from now will become very important and those will determine, Pareto is basically 20% of the technology
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Page 19 of 20 that determines 80% of the war. For example, in the Israel -Iran war, we know that the Shahed was the winner, absolutely and as you know that this is recursive, the Pareto is recursive, the 20% of 20% is 0.8% can determine the result of 80 of 80, which is 51.2%. So, this actually happens, so we are trying to look at what are those key technologies, which we can actually have a headstart and try to get into. So in addition to not only simulator but we are looking at those companies. Again, we can supply the capital, but we do not have the bandwidth or the technical intelligence to do the thing and one thing we do, because we are so familiar with the whole ecosystem, we can guide them in the right way by putting in the resources and typically what we have seen in the smaller companies is they are dispersed

over too many opportunities and they are existing so guys are killing them saying what is going to the next quarter turnover. Zen comes in there and he says, listen, let us stop all the 15 projects we are doing. The 16th one looks interesting. Let us put in all our resources and create world -class technology there. That is where we are trying to, we are looking at. So to your question, a long question, short answer is that we are looking at acquisitions. We are looking in both simulation, anti -drone systems, but some Pareto technologies for the future, if we

find is very important we will be acquiring those companies.

Harshit Kapadia : Okay, sir. Wishing you all the best, sir. Thank you.

Ashok Atluri : Thank you, Harshit. Thank you.

Moderator : Thank you so much. Ladies and gentlemen, due to paucity of time, we will take that as the last question for today. I now hand over the call to Ashok Sir for his closing remarks. Over to you Sir!

Ashok Atluri : Thank you and again one of the favorite songs of yesteryears was Aye Mere Watan Ke Logo Tum khoob karo kurbani by Lata Mangeshkar, so that is actually not my favorite song. I do not like that song. In a way, why should my soldiers give Qurbani? Why should my soldiers die? whenever even a single soldier dies, a part of us dies, part of me dies I think all of us feel that. Why should we let our soldiers die? So I do not like the song. In the sense, Qurbani if somebody has to give, let the opposite sides give the Qurbani. Why should we become the Qurbani? So, I do not like that, even once a soldier dies. So, how do we enable a complete different system where there is less of human life? How do we automate it? How do you create more robots? How do you automate the thing? It is what I am saying, if Shahed comes to our border, our responsibility and promise to Shahed is that we will make it Shaheed. So, I think that is the kind of confidence, whether it is a soldier or a drone, which should not enter our system and with minimum, minimum, minimum damage at our side. So with that objective in mind, with that target in mind, I would like to thank you so much for staying with Zen as investors and I think long -term study is very, very strong and very, very intact. I look forward to more interactions with you and again, through the key Zen Technologies Limited

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Page 20 of 20 investors, please come and see what is happening in Hyderabad. Interact with our CFO, Hari and have a look at what is happening in the cutting edge of reality. Thank you so much.

Moderator : Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call.

Thank you for joining us and you may now click on the leave icon to exit the meeting.

Thank you all for your participation.

Call: Jul 2026

July 31, 2026

To
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Symbol ID: ZENTEC To
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001

Security Code: 533339

Dear Sir/Madam,

Sub: Transcript of the Conference Call held on July 27 , 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earning conference call held on July 27, 2026. This is for your kind information and records.

Thanking you

Yours faithfully,

For Zen Technologies Limited

Sourav Dhar
Company Secretary & Compliance Officer

Encl: As above
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“Zen Technologies Limited
Q1 FY2027 Earnings Conference Call”

July 27, 2026

Management: Mr. Ashok Atluri – Chairman & Managing Director –
Zen Technologies Limited
Mr. Hari Haran Chalat – Chief Financial Officer – Zen
Technologies Limited
Ms. Abhilasha Atluri – Head of Investor Relations –
Zen Technologies Limited
Zen Technologies Limited
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Moderator : Ladies and gentlemen, good day, and a warm welcome to Zen Technologies Limited's Q1 FY2027 Earnings Conference Call. Please note all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the management's opening remarks. Please note that this conference is being recorded. I now hand over the conference to Abhishek Mehra from TIL Advisors. Thank you and over to you!
Abhishek Mehra: Welcome everyone and thank you for joining this Q1 FY2027 earnings conference call of

Zen Technologies Limited. The results and investor updates have been e-mailed to you and are also available on the Stock Exchanges. In case anyone does not have a copy of the same, please do write to us and we will be happy to send it over to you. To take us through the results of the quarter and answer your questions, we have with us today Mr. Ashok Atluri, Chairman and Managing Director; Mr. Hari Haran Chalat, Chief Financial Officer; and Ms. Abhilasha Atluri, Head of Investor Relations. We will be starting the call with a brief overview of the performance, which will be followed by the Q&A session. With that said, I will now hand over the call to Mr. Hari Haran Chalak. Over to you Sir!

Hari Haran Chalat: Thank you, Abhishek. Good evening and a warm welcome to all. Thank you for joining us on our Q1 FY2027 earnings call. I will take you through our financial performance for the quarter ended June 30, 2026. Consolidated revenue for operations for Q1 FY2027 stood at Rs.141.6 Crores, compared with Rs.178.1 Crores in Q4 FY2026 and Rs.158.2 Crores in Q1 FY2026. As communicated in our Q4 FY2026 post earnings investors meeting, a significant portion of the current order book was secured from the second half of FY2026 and given a typical execution cycle of around 12 months, revenue for the year is expected to be weighted towards Q2 and Q3. Q1 has come in as we expected and we remain on track with our delivery schedules. Operational EBITDA for the quarter stood at Rs.38.7 Crores at an operational EBITDA margin of 27.3%, compared with 28.6% in Q4 FY2026 and 40.9% in Q1 FY2026. Profit after tax for the quarter stood at Rs.34.5 Crores at a PAT margin of 24.3% compared with Rs.31.5 Crores in Q4 FY2026 and Rs.47.8 Crores in Q1 FY2026. I would note that this quarter's consolidated PAT includes a one-off exceptional loss of Rs.3.4 Crores relating to a fire incident at one of our subsidiaries in which certain inventory, which is adequately insured was damaged. Adjusted for this exceptional item, on a post-tax basis, profit after tax for the quarter would have been approximately Rs.37 Crores at a margin of approximately 26.1%. I would like to spend a moment on the margin movement this quarter. The margin for this quarter is lower than the guidance of 35% at the EBITDA level, largely due to negative operating leverage. A significant portion of our cost base, both at the standalone level and across the group, is fixed in nature. On a lower revenue base, this fixed cost absorption compresses the margins. As revenue picks up through the year, in line with our order book execution, this same operating leverage works in our favor. Importantly, our gross margin for Zen Technologies Limited
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the quarter stood at 72.9%, broadly consistent both sequentially and year-on-year. This indicates that the profitability of our business has not changed structurally. The compression at the EBITDA level is largely a function of the operating leverage. Our fixed cost base being spread over lower revenue quarter and not a reflection of any change in the underlying economics of our products. On the year-on-year comparison specifically, I would add an important point of context. Q1 FY2026 benefited from the reversal of certain provisions created in FY2025, amounting to Rs.7.65 Crores that were no

longer required. These

provision releases had given Q1 FY2026 an additional margin measurement of approximately 5%. In addition, this quarter has seen an increase in warranty provisions of Rs.2.88 Crores and incremental R&D costs of Rs.4.25 Crores. On a sequential basis, our margin of 27.3% is broadly in line with the 28.6% in Q4 FY2026, reflecting a stable underlying run rate. Taking these points together, I want to affirm that the margin this quarter is a function of revenue timing and operating leverage, not of any structural change in the profitability of the business. As revenue scales through the year, we expect margins to recover and to end FY2027 with a full year operational EBITDA margin in the mid-30s, in line with our guidance.

Now coming to the order book. The consolidated order book stood at Rs.1239 Crores as of June 30, 2026, comprising an equipment order book of Rs.920.6 Crores and an AMC order book of Rs.318.4 Crores. I want to address the movement in the order book directly. During the quarter, we executed Rs.141.6 Crores of orders and secured Rs.44.6 Crores of new orders, resulting in a net reduction over the March position. Subsequent to the quarter end, we received a further order of Rs.177.5 Crores from the Ministry of Defense for the upgradation and integration of the tank and crew gunnery simulators. Our pipeline of opportunities across counter and training systems remains strong. On working capital, a consolidated working capital cycle stood at 257 days as of June 30, 2026. The increase over the year-end position is primarily driven by a buildup in advance to suppliers and inventory, both of which reflect the procurement and production activity currently underway to execute the order book for delivery through FY2027. Debtor days remained stable at 122 days. On the balance sheet, the liquidity position of the group remains strong with cash and bank balances of approximately Rs.1217 Crores as of June 30, 2026 and the group remains debt free. This is the brief on our financial performance for the quarter. We can now take questions. Thank you.

Moderator: Thank you so much, Sir. Ladies and gentlemen, we will now begin with the question-and-

answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participants tab on your screen. We request participants to keep their questions as brief as possible and precise as possible. We will wait for a few minutes until the question queue assembles. Ladies and gentlemen, please stay connected. We will wait until the question queue assembles. Requesting participants to click on the raise hand icon from the participants tab on your screen. We are taking our first question now from Bala Murali Krishna of Oman Investment. Bala, please go ahead.

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Bala Murali Krishna: Good evening here. So, the first question is on the margins only. So, Y-o-Y deep in the margins, even the revenue. So, if you see that the revenue, if there is a scale up in revenue, then the operational leverage will kick in. So as the revenue is almost similar to the Y-o-Y, what could be the reason for this margin shrinkage?

Hari Haran Chalat: Thank you Bala. So Bala, like I mentioned in my opening comments, in Q1 of FY2026 there were a couple of provision releases which happened, so if you see the comparison between the selling and other admin expenses, you would see a big difference that is primarily because FY2025 was a year when we executed a lot of orders and we had to create provisions in the balance sheet and most of the provisions after the balance sheet we released it because they were no longer required and that has given a picture wherein the EBITDA margin is around 40% for Q1 FY2026. Adjusted for whatever provisions have been released, the actual margin for Q1 FY2026 would be around 35%.

Bala Murali Krishna: Understood. So on the order book front, as of

now, even if we include this July order, so it is

around Rs.1400 Crores Sir, so by the end of FY2027, what is your expectation for the order book?

Hari Haran Chalat: So like we have communicated earlier in our investor meetings as well, our expectation is that we will end the year at around Rs.2500 Crores of order book that is after the execution for the current year. The pipeline of orders that we are currently evaluating is very healthy and once the government procurement starts, we should see a healthy amount of this pipeline converted into the order book by end of the year.

Bala Murali Krishna: So projections fund for the next two years and we have a target of cumulative Rs.4000 Crores of revenue in FY2027 and FY2028 together, so with the current geopolitical situations and there should be some rush in the anti-drone systems those things, so do you see any probability to get some bigger figures in FY2027 and FY2028?

Ashok Atluri: Yes, I think we should be getting quite a lot of orders. We are getting inquiries from India's friendly allies about this and given the fact that the product that we have actually been proven, battle proven, the government itself, as you have seen, that they almost placed Rs.800 Crores worth of anti-drone orders on us postop Sindoor and there are a lot of upcoming tenders. We saw that thousands of Crores of money has been allocated to them and lot of tenders are going to come. I think we will be one of the beneficiaries of these anti-drone system tenders and in the meantime, we have been saying that some simulator orders have been pending. I think the start has happened that we have got the Rs.177 Crores order. I think some more orders will be coming through we expect that to happen, some order to come through pretty soon and, one larger order that may take a couple of months, but that should actually improve our simulator order book position substantially and similarly, the demand is, even in foreign

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countries, what has happened is, these guys were never prepared. They have never had any training because it was a peaceful country, but now with all these wars happening, there is almost a rush happening especially for simulator because that is the only way they can train in a compressed manner and, everybody feels that the war is knocking on their door and we have seen and the technology that we have. We have seen Agniveers 100-week training program was shrunk to 30 weeks after using our simulators. So, I think this with simulators also are becoming very important and we are trying to get into our traditional markets of Middle East Africa, Southeast Asia and CIS countries, but now we are also looking very, very aggressively into both North American and EU markets and of course, from North America, we are tapping into the South American markets. These markets, we think are very, very big and, for example, one estimate is that, the simulators, the time for the product that Zen makes in the US itself is about \$10 billion. That is how huge that is and we have started talking to the Marines there to the primes because we are not eligible to be directly bidding, so we are trying to be a subcontractor and try to get into those markets. So I think it is a very, very large market and it is playing out now as we speak, that there is a lot of interest and again, we also

have a special position with EU, because we make simulators for the Russian equipment and that is what they would like to actually practice on and how do we thwart the attacks from, possibly Russia kind of a thing. So yes, I think we are in a very good position and we think the next few months will be very interesting.

Bala Murali Krishna: Thanks for the great explanation. Sir lastly on this high altitude anti-drone system, what is that TAM and maybe this is India's first one but in the other parts of the world it is already existing, so

what could be that TAM even if you consider the exports also for this product?

Ashok Atluri: We have just launched, we are waiting for this man-portable anti-drone system to be evaluated by the armed forces and we think that it is a very, very large market, but again, the government has to publish the tenders and we expect that there will be some tenders in this regard, but we do not have a real estimate at this, but the government is across the whole gamut of simulators they are starting from actually border based, then they are going to tank, and then they are going to infantry, so I think it is a very large market and I am not able to give a right figure, but it is going to be very large.

Bala Murali Krishna: Sir just a follow up on that one, if I may ask. So if we come up with some new product which is useful for our defense system, so how we will exhibit that product to the government so that they can think from their operation point of view and maybe they can understand the significance of this product then they can think of tendering for this product?

Ashok Atluri: It is a valid question in the sense that, whatever product we are developing, we actually are continuously engaging with the armed forces telling that this product is available and then with this new defense acquisition procedure, if that comes in, they actually have provisions

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for actually buying new products and then trying it out and then scaling the order. They will probably see a basic trial and say, okay, we want to try it out in the field and if it works in the trail they will scale up. That is the new DAP 2020 is yet to be announced, but in the draft, this was there, so, but to your question, yes, as a Company we do continuously keep telling our customers what exactly we are developing and what is the future development path and they do know what we have developed much in advance than we actually share with our other stakeholders.

Bala Murali Krishna: Thank you, Sir. That is all from my side. All the best.

Moderator: Thank you so much. We will take our next question from Pawan Punjabi of Viansh Ventures. Pawan please unmute.

Pawan Punjabi: I just wanted to check on the simulator market once because we have not been growing into, I have been following this for a while now and seemingly with the number of armed forces which are using simulators is very less in India that itself was supposed to grow exponentially. so, X of anti-drones also we do not see simulator orders also perform very well in the last one or two years in terms of growth rates, so how do we see this market only from the Indian perspective?

Ashok Atluri: Pawan, the thing is, again, I was telling that the order that we got recently of Rs.177 Crores for simulators, and there is another, we had talked about almost Rs.700 Crores to Rs.800 Crores worth of order that is actually playing out now. We expect more simulator orders to come as we go into the next couple of months. Again, I have been talking like this for a long time, but actually I think one order has come, I think the second order may come, maybe the third order may take a bit of a time, but that will also come. I think with the simulator market is expanding and now we actually we have got into the flight simulator, we have made a simulator for C295 so the Air Force entry is a very crucial step for us where the simulators are very, very required, even for a regular practice. Every pilot has to clock certain number of simulator hours to even fly, so we are getting into that also, but as far as the army and naval market in which we are dominant these are very big and as we speak, there are a lot of studies that have come out and that are again telling the government that you should get into simulators and the government is really increasing the simulator budget. I think there has been a gap in the orders to come, but again

, we have started getting the orders. I think this will be the start and as we go into the future, I think there will be some pleasant surprises. I think there are some couple of very large orders we are expecting. So I think overall, I am happy with the way the simulator thing is going. Of course, I wish that the government moves faster. Yes, please go ahead.

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Pawan Punjabi: Just to put a number to it, so we are expecting some Rs.4000 Crores of revenues for the next two years, in your estimate what should the simulator number be out of this Rs.4000 Crores guidance?

Ashok Atluri: So it will be about Rs.2000 Crores close to that.

Pawan Punjabi: That is what we are expecting with some pleasant surprises probably in Q2 and Q3.

Ashok Atluri: No. The order wise may take a little longer the very large order we are talking about, sometime back said that, that Rs.700 Crores to Rs.800 Crores worth of orders were in the pipeline, so I think those may materialize very much, much sooner than Q2 and Q3.

Pawan Punjabi: A little bit of update probably on the HyperStrike. I read that this is this sort of area is being probed by multiple peers out here and the timing is more critical in terms of this long range strike drones of the market, so where are we and are we on track to get this by FY2028?

Ashok Atluri: So yes, the product has been demonstrated in the sense that the payloads, etc., integration is going on, but this is a lot of long range thing. This is what we call it as, even though it does, it goes very, very fast. We have actually flown at 300 very comfortably, but now we are really testing the limits of physics in the thing and with the payloads and all that, so it is when the drones are actually very near, we try to send it the range typically would be within 20 kilometers range we go and destroy the incoming Shahed kind of a drone. So, that is what is HyperStrike. It is an intercepted drone. So, this is at a short range it does it, but it goes very fast, even if it misses it chases till it actually destroys the incoming drone that is what the interceptor drone does and I think this will make us completely safe from so called Shahed drones, which our enemies have.

Pawan Punjabi: I believe there was one interceptor drone by Paras launched very recently how do we stack up against them?

Pawan Punjabi: I am really not aware of what they have launched but our product is completely in-house. We have developed the technology completely in-house but I am really not aware of that part of somebody some of the subsequent speaker can just tell us the detail then maybe that would be of interest but what we are developing is I think absolutely on the cutting edge, very fast, very reliable and reasonably priced.

Pawan Punjabi: Understood Sir. Thanks a lot. That is all from my side.

Moderator: Thank you so much Pawan. We are now moving to our next speaker. We have Akshay Kaila of AK Investment. Akshay, please unmute and go ahead with your question.

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Akshay Kaila: Sir, first of all, congratulations for introducing a new product line recently on the Kargil Vijay Diwas. So, Sir, my first question is about, as you have said, that in the US, Zen Technology's addressable markets are like \$10 billion for all of our products, so what gives us the right to win in that strict regulatory market, and how are we preparing ourselves for that type of market?

Ashok Atluri: Yes, so in the sense that very frankly, the market size is very large, but US is one of the very closed markets and very difficult for an Indian Company to go and sell there. So how are we approaching is that first we are trying to get all the compliances and there are very heavy strict compliances and I think they should be there because they are letting a foreign Company into their ecosystem, to do the FOCI clearance, I

TAR clearances, all those clearances are going on now and once they feel comfortable with us, then that is when they will actually let us bid directly. But as of now, the strategy is that, we should align ourselves with the prime vendors. If somebody wants to come to India, they will try to align with Zen and try to sell it through, we do not do that much, but if there is a real high tech Company would like to collaborate with them and offer something to the armed forces, but similarly, in the US, we are looking for companies that want to actually do something for us and have the access to the customer while we have the product and we want to collaborate with them and supply. So this is the market that we are looking at. We expect some orders to come through. Again, this will not be very large, even though I said \$10 billion for the next three years, actually, that is the market size. We have very modest ambition that, even if we touch \$100 million in the third year, we should be very happy with that result but it is a long term game and we expect, given the fact that our products have very well received in exhibitions in US, we expect that some breakthrough may happen, but if luck favors, it may be much, much larger breakthrough, but as of now, I think a year or two, there is no big news from US as such or the EU but maybe third year onwards something may happen there.

Akshay Kaila: My second question is about our solutions. So we already have the strong holding army solution, so what are we developing in the Navy and Air Force and can Navy and Air Force be the same addressable market and growth for Gentex Army in the coming months and years?

Ashok Atluri: Yes, I think Navy is a very big market because the very fact is that, even though we are

obsessed with our east and west border, which is shared by our lovely friends, we have the rest of the whole peninsular place, which is completely unguarded and that is where the next game is being played, power game is being played, which is the Indian Ocean. So, how do we actually control that ocean without being trained? So, in terms of training simulator, there is going to be a very, very large market and I think a lot of sea-related products are also going to have a lot of demand, even though we are not much into that but I think naval simulators are going to be very, very big and they want to train and how do you actually to see certain

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kind of situation? For example, I see a swarm of drones coming and attacking me How do I actually simulate that? So if I really want to practice, I cannot practice in reality it has to be through simulation. If 100 drones are coming, how do I neutralize the 100 drones on a ship forget about ground? So all these things have to be practiced before the things happen and they are not very far away. 100 drones coming and attacking a ship or even an army post or something. So, we have a drone and counter drone simulator where the drones actually simulate the bombs being sent and counter drone simulators the operator is struggling how do I neutralize, how do I work with order, and what hard-kill options do I activate. All these decisions have to be taken and this cannot be done in practice except through simulators and we have those simulators. I think yes, for Navy also, these counter drone simulators are there. Of course, they are very well entrenched in the submarine, the tactical trainers, we have the bridge simulators, the engine room simulator, etc. So, we all have those simulators, which is again very, very big and growing market. Yes, so I think, yes, we are there and of course, now we are trying to push our solutions into Air Force and we think that there is a huge demand for the Air Force simulators also, but we have yet to get some orders or any indication of participation tenders in that regard.

Akshay Kaila: So in the Navy front, do we have

any developed products up till now or are we in the progress of developing the product?

Ashok Atluri: Naval simulators we have a lot of those simulators. In fact, if you just go to the website, ARA simulation website, we have almost all kinds of simulators and with Zen's capability, we are giving weapon simulators for the Navy ships also. So we have the complete range available for the bridge simulator, tank simulator, and submarine simulator. The naval simulator, we have a whole range. So I think we have the most exhaustive range in the world. Nobody else has like army. It is in the air force that was recently started.

Akshay Kaila: Understood. I will join back in the queue. Thank you.

Moderator: Please, if you can rejoin. Thank you so much, Akshay. We are taking a next question now.

We have Ashith Koti of Almondz Global. Ashith, please go ahead and please restrict to two questions and then you can rejoin the queue if you have any follow up.

Ashith Koti: Yes, I have one question for Ashok, Sir. Sir, just one basic question with regards to anti-drone system? The speed at which the drones are being flown, I suppose, from 240 kilometers per hour or 300 kilometers per hour to 600 kilometers per hour in that scenario, our anti-drone system, if it the parameters are, let us say, radius of 5 kilometers or 6 kilometers, how can they intercept and stop?

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Ashok Atluri: So, Ashith there are different ways of stopping the drones. One is, number one, are they being controlled from the ground? Is there a ground to drone communication happening in which case we will be using the jamming system. We will just jam the system and we will be able to stop the communication, when the communication stops, typically what happens is the drone itself gets lost and either it lands itself wherever it is or it goes back to the home station, so we have neutralized the threat. In case it is coming autonomously using the GPS thing, then what we do is we try to spoof the GPS and say that, you are not in India you are probably in Pakistan or Baluchistan or whatever, and mislead and it gets again disoriented and the same thing, the same two things happen back to home or land where it is. Third is where they use autonomous AI-based intelligence in the sense that what happens is the drone has the complete topographical map and the camera keeps taking the live photograph and tries to match and says okay I am in this location I have to go in this direction without even if you jam it does not work in those cases the only way to destroy them is through actually the hard-kill system weapon system it could be typically you can either shoot them down, very difficult to shoot at the speed you are saying, but the only possible way to block them is to intercept the drones that is what we are doing, so we should be able to neutralize the incoming interceptor drone with that. So I think interceptor drones are the solution, but people are

making this HPM based, high power microwave-based solutions are there. We have a laser solution that we are offering to the armed forces, so it will be a combination of solution, how do you actually jam the thing? So at 600 kilometers, it will become a challenge, but I think we are coming up with a solution for that, but at a lower speed of up to 400 we can handle the threat of drones, but actually drones flying more than 400 kilometers are very, very few, but we will be coming up with a solution for that.

Moderator: Ashit, do you have any other question? You can unmute your microphone and ask your next question.

Ashith Koti: Yes, basically, Sir, my question, why this was, because when I am having drones flying from the opposition side, which is, let us say 300 kilometer inside and from there, when they are flying, so by the time they reach the borders, I have very less amount of time to kill them or confuse them or spoof them

as you say, so in that scenario, a combination of your drones and anti-drone system, does it involve UAV whereby your UAV would be kind of be there in the air and also identifying those flying drones well in advance and then using your technology of spoofing and other things?

Ashok Atluri: Yes, that is right. Once the drone is detected on the radar the action is to typically dictate in collaboration with AI. AI will actually tell you this is the speed at which it is coming this is the solution that you have and man in the loop has to initiate the hard-kill. They will immediately say that, okay, immediately let me launch a UAV or I can destroy it with a particular type of a weapon that decision will be authenticated by the man in the loop because

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for any hard-kill the human element will be there and they say yes to the suggestion and the drone goes and counteracts the drone immediately. So what you are saying is, listen, they are flying at 300 kilometers, that would be the speed can we really stop them? Yes, we can stop them. The answer is, we have the solution for that, at that speed, we can definitely send our counter drone system, the UAV is much faster than that, wherever it is coming, it is being detected at a probable distance of 100 kilometers or so, so we are talking about 20 minutes to reach us. So can we stop in between? Yes, my answer is yes, we can do that.

Ashith Koti: That would decide our overall market size, market size of any system because that is where I have been saying, if my system has that kind of a power, then my market size would expand many fold?

Ashok Atluri: Yes, I think I am now getting what you are saying that basically you will require if these kind of thousands of drones would be required to actually stop those incoming because now it is not going to be one drone, one drone or three drones being sent, they will be sending a swarm hundreds and thousands of these drones. For example, we look at China, they say that each infantry unit is having 1000 drones. Now, how will you exact? So, when they walk, by the time they are exposed, they would have destroyed the armed forces if they do not have counter solution for their drones. So, yes, this market for these interceptor drones is going to be very, very large, especially for the Shahed class. What I was talking about the infantry may be smaller as a kind of solution, but yes, I think the market is very large. You are right about it.

Ashith Koti: Thank you, Sir. I will come again.

Moderator: Thank you so much. Thank you. Thank you, Ashith. We have our next question now coming in from Shivam Parekh of Value Wise Wealth Management. Shivam, please go ahead.

Shivam Parekh: Good evening. So my first question relates to your recent press release on Vector Technics.

So in that we mentioned that the capacity expanded to 3 lakh units, so do we sell the propulsion stack to other drone manufacturers or is it only for ourselves to sell to the market and what is the revenue contribution that is coming if at all you can mention for Vector Technics for us and second, any update for a recently launched integrated smart border suite?

These were my questions.

Ashok Atluri: For your first question, vector techniques has expanded its capacity to almost 300,000 units. To your second question was, Actually, Vector is very, very agnostic they do not care whether Zen wants or anybody wants everybody is a customer for them, so they are looking to sell it to all the customers in India, but the strange part is, almost 50% of the queries that they are getting are from overseas including Europe and America. So last year, I think they have done very small turnover, but almost 50% has been sent to overseas, so I think the product that

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they are making is really world class. The second is that they are selling to a

II Indian

participants and friendly nations, Indian friendly allies and the third thing is that we expect that they are waiting for orders to come. I think what I hear from Vector is that the drone segment itself has slowed down. They are not getting as many orders as they should be, but once orders come to the drone companies in India, I think Vector will be the first beneficiary and then, of course, from the export market, I think it is going to be very, very large as we go. I cannot put any figure to that, but I think it is a very good bet that they will be able to use the whole capacity if the orders come. I mean to say if the order come at even at Rs.10,000 that is almost like I think Rs.300 Crores of them. Rs.300 Crores yes I think that could be the potentially revenue contribution from them, but I think they are doing more technologies and I think it is a much bigger story than what I would assume, but let us wait how it plays out. With respect to the integrated smart board sorry. Shivam, you are saying something?

Shivam Parekh: Yes. Just a follow up on that. So, as you mentioned in the press release that most of the propulsive stack is currently being imported by the domestic drone manufacturers, so, since we are one of the first subsidiary, one of the first to build everything in-house, so for the entire Indian drone market, so we would be a direct proxy play for all the players there out in the drone ecosystem so we would be able to supply for them the propulsion stack?

Ashok Atluri: Yes, I am not so sure how many people, the other people are there, but I think what Vector breaks is really cutting edge and one of the best in the world forget about India. So I think every order comes potentially Vector hopes to win from that you are absolutely right. It is a proxy win for Vector, but let us hope by how it translates in reality, but first let the orders come to the drone companies from the armed forces I think then we will see how much of the benefit is derived by Vector.

Shivam Parekh: Sir, secondly, on the smart border suite.

Ashok Atluri: Yes, so I was going to answer that. Yes, so integrated smart border suite is basically, it is a solution where, there are multiple armed forces, there is BSF, there is state police and there is the army itself. At the border location, what happens is everybody is manning the borders by themselves. Now this integrated smart border management system is actually seeking that all the different kinds of sensors by different units, including human intel, should be fused into a common operating picture and shown to the decision makers. So that is what the one which we released was doing. So the product is being, as we speak, we are talking to various security forces and showing the system and we expect this is a very large market. I think there will be multiple players, I think, in this game because it cannot be serviced by one Company, what my feeling is, even though we would love to services as a Company, but I think there will be multiple players and I think Zen will definitely be a beneficiary when they roll out this in terms of placing orders, etc.

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Moderator: Thank you, Sir. Shivam, please rejoin the queue if you have any followup questions. Please restrict to two questions each. This is a request for all the participants that we have. We are now moving to our next speaker. We have Gautam Rathi of CWC. Gautam, please go ahead.

Gautam Rathi: Yes. Thanks for taking my question. To Ashok and Hari, I just want to step back a bit. When I see Zen from the outside over the last three to four years, you have moved from being, say, one or two capabilities to five capability Company. You have moved from just a core simulation for army to now simulation for all the three forces. You have just being a technology provider to now even being in active warfare, hard kill weaponry, everything

right, but when we look at the order flow, it does not really justify the kind of transition this Company has done over the last few years. So if you can just help me understand, two things across this is one is, if you think across each of your capabilities, right, is there some external challenges or internal challenges, which is leading to like, capability wise, I am talking about, which is actually leading to this softness in order flow and second is if you can also help if there are capabilities which we call out but maybe will take some time to mature? Maybe it is not an FY2027 game, but say FY2028 to FY2029 game. So it will be very helpful to just understand across five capabilities, which year does the technology be mature or say actively contribute significantly to the order book and second, how should we think about the order flow in view of this transition you have made?

Hari Haran Chalat: Thanks for the question, Gautam. So the way we look at it, obviously, we are the leaders in the simulator space, now almost for more than 30 years, and anti-drone systems, obviously.

So these are the two main segments which, to answer your question, have matured, and there is a sizable portion of order inflow, which has happened over the past couple of months. In addition to that, the other new capabilities that we have built, especially in the drones, in the robotics space and in the drone propulsion. Drone propulsion is something that like Ashok Sir mentioned with the earlier participant, there is a huge market for the drone propulsion and we should be seeing those orders materialize for Vector Technics. Robotics is something that

we have just entered into and you would have seen that we have launched a new product called Vrishabh, which is the unmanned ground vehicle. We have done our internal trials for it, we expect to take it to the customer and do the trials with them, but it is going to take some time. So to answer your question, robotics is something that is going to take time. We are doing some heavy investment in other key areas like the autonomous vehicle and for defense purposes and all that. These are investments for the future. Most probably it will take at least two to three years for these products to mature, but we are very hopeful because these are the technologies which are required for the future and globally also are required for any defense or government body to have. So, I hope I answered your question. So, to summarize, basically, simulators and anti-drone systems is something that is going to drive the Company forward, at least in the foreseeable one to two years. Whatever we have launched in the last couple of months, let it be the interceptor drone, or let it be the other hard-kill options, which
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is the ammunition and all these are going to complement our existing products and these are the need of the hour for the customers, but the investment that we are making in robotics, autonomous vehicles, and other capabilities that we are trying to build is something that you will start seeing the benefit in next two years at least.

Gautam Rathi: Understood. Then just if you can help me like then when we talk about your core simulation and anti-drone market, right, or the order flow, can you just help us? I see simulation, you have started to get some orders, but anti-drone still seems to be a bit softer. So is there an internal issue with technology evolving so rapidly that you have to just keep on upgrading the systems or is it something with the customer which is causing a problem like they are not able to order or they are not clear with their requirements if you can just give us some thought process around it and how should we think about it in the next you know nine to 12 months in terms of the order flow and the size that will be really helpful? Thanks.

Ashok Atluri: Gautam this is mostly demand-re

lated issue more than our ability to supply I think. I am definitely expecting some competition to come up and some place where we do not win kind of a thing even though last few tenders we were single vendor, there was nobody at the competition. Everybody was disqualified because this IDDM the government was looking into the codes, drawings, the design, etc., nobody came, but actually nobody got qualified, even technically, but I think that will change as we go ahead. I think even the requirements will be so varied that Zen will not be able to cater to all the requirements. So there will be something in which we will qualify and do very well and something we may be disqualified. So I think the market is expanding and it is going in all directions, and there are very specific needs, multiple verticals emerging, but as of now, the problem is of demand. There are no tenders that have come out for anti-drone systems, and there are no simulator tenders that have come out, but we are expecting that, the fast track process with the government actually granted, recently, all those tenders are going to come in and we will be bidding in that and that those orders will come very, very fast. It is not that they are going to take forever. I think they will be finalized in a few months. So, I think that is going to be the thing. So, to your question, the issue is not with Zen, but the government has not floated any tenders in the recent times. As and when they float, we will be bidding for that and we will be hearing the good news.

Gautam Rathi: Sure. Thanks.

Moderator: Thank you so much, Gautam. We have our next speaker. We have Sanjeev Zarbade of Antec Limited. Sanjeev, please go ahead. Sanjeev, please unmute your microphone so that we can hear you.

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Sanjeev Zarbade: Sir, wanted to get a sense of the market potential over the next three years in simulators for the three wings of our armed forces that is army, navy and air force and what would be our strategy go to market strategy regarding the air force simulators wherein we are still kind of getting our foot in, so some sense on that Sir?

Ashok Atluri: Yes, so I will start with the Air Force thing. Air force is the market that again, very strong market and that is the reason we were actually looking for acquisitions, but now we have started developing our own simulator. The first simulator was the C195 that was shown in the presentation and of course, all related technologies with flight simulator, including 3D motion platform, etc., are already available with us and we can make a full motion simulator. So we have now started bidding and inviting Air Force to come and see our capabilities. So they are shortlisting us for all future simulators in Air Force so that is one thing. With respect

to the army and navy, I think our estimation is that for both the markets it is upwards of about \$2.5 that is about Rs.25,000 Crores and again, when will they play out that is the question that we are not able to answer but they are definitely going into multiple, from multiple hundreds they are going to thousands of Crores is what we feel in the next couple of years. So, I think the growth prospects there are very large in both army and navy. So, that is the broad answer to you. Sanjeev, I think I addressed your question.

Sanjeev Zarbade: Sir, my second question regarding the tank gunnery order, these kinds of orders, they come on a yearly basis or like when we have got this order, the immediate requirement across India has been fulfilled and maybe the next order may come two to three years down the line when the army may need some modification or a different product, so, what is the recurrence, can this similar order come next year also or the immediate requirement is fulfilled that is what I wanted?

Ashok Atluri: Sanjeev, just to tell you how we estimate the market size, typically is, let

us say that as per

the Wikipedia, Government of India has 4000 tanks, let us say, it is a different number, but I am just for the sake of simplicity. For 4000 tanks, there are three operators with three backup operators, the driver, gunner and the commander, so these guys need to be trained. Now, how much time should they be trained is a question. Typically, if you say they have to be trained for 10% of their time out of 2000 hours, they need to be trained for 200 hours on the simulator so that would be say that we have six into 24,000, 24,000 soldiers who need to be trained for about 200 hours, so that would mean that there is a demand for 48 lakh hours of training.

Okay, are you with me here?

Sanjeev Zarbade: Yes, Sir. Yes, Sir.

Ashok Atluri: Yes, 48 lakh hours of training. So for what the 48 lakh hours training, how many simulators are required? Just divide 48 lakhs by 2000 hours so each simulator has 2000 hours so just will

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give me 2400 simulators, so whatever they have procured till now, just a small slice of what their requirement. Even this, the order that came, Rs.177 Crores, is actually not a new order it was for integrating existing simulator so that the armed forces could train and the whole tank could be trained as an integrated unit. The driving simulator and the tank gunnery simulator, but are combined now and given various kinds of situations, etc., including AI were there. So, to your question, this is a very, very small part. We did not get it. So, this is a very limited number of orders. Just multiply it with maybe 100 times or something like that to really get the estimate of the size of the order. So, at least do it 30 times of this. So, we think the market size is very large, the orders that we are getting are only part of the thing and a concept proving at this point in time and again, typically, once we get the order, the order lifecycle is 10 years and after the second year, third year onward, we get the AMC. It generates revenues for us even through the life cycle of the thing. 10 years later they are replaced. Number one, the market size is very huge. The order they have given is very, very small part of that addressing and second is even for the small part, they are generating revenue typically from the third year onwards. I think I will stop here, but I hope I have answered your question.

Sanjeev Zarbade: Understood, Sir. Thank you and all the best.

Moderator: Thank you. We have Dipen Vakil of Phillip Capital with his question. Dipen, please go ahead.

Dipen Vakil: Thank you for this opportunity. Sir what I want to understand from you is that are you experiencing a change in the type of ordering or the change in the ordering scenario? So earlier the way we used to get was like a two-year, three-year ordering so now from that are we getting more of like 12 months ordering is this like something which is happening from an industry wide angle because it has been a while since and a lot of private companies are getting just 12-month orders, 12- to 15-month order and not a long term order, so are you experiencing that and that is how the industry is shaping up now or that is just a short term scenario for now?

Ashok Atluri: I think, because of the threats that are being posed, government was going in a fast-track mode to acquire faster. In fast track, typically the execution cycle is one year, so the thing has to be done, but to your question, is everything going fast track mode? The answer is no. The government is going on regular procurement in some channels, where they do not have urgency, but again, the industry would love to have this 12-month cycle more than the larger cycle, which can take anywhere up to three years. So, but yes, we are getting more and more this FTP based orders, but still the very large orders are being routed through the regular procurement.

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Dipen Vakil: Got it, Sir. Sir, can you help us with, I am sorry if this is a repeat question as I joined a little late, but can you help us with what are the orders which are there on the expected side of it, say, for the rest of the year and if there are any major orders that you could highlight as to which are expected in near term?

Ashok Atluri: I was talking about the simulator orders that we were saying, we have been saying that, we are going to get in the next few months. I think that one of the order we already got for Rs.177 Crores, there are a couple of more orders. One order I think may come sooner than later, maybe very, very soon, but the second order again, we think it will take a couple of months, but all together, I think we had said that Rs.700 Crores to Rs.800 Crores worth of orders are incoming I think that is going to happen soon. This is only for the simulators, anti-drone system is a different ballgame. That is going to be much, much larger in scope and that will run into, I think, at least a couple of thousand Crores of rupees.

Dipen Vakil: So when you look at it from an overall point of view, so overall, how much order wins are you expecting in, say, FY2027?

Ashok Atluri: What I have learned from frequent prediction is not to make any prediction. So I will not make any prediction, but I think it is going to be very large, Dipen. I think, strangely, a lot of companies are going to get a lot of orders because there is so much in the works, I do not think any one Company can really service them I think it is a very, very large market and I think it is a fantastic time for the defense companies as a whole, defense industry as a whole. So I think we look forward to getting the orders, executing them, making India stronger, completely unbeatable in war. We look forward to that.

Dipen Vakil: Got it, Sir. Sir that is all from my side. I will connect again if there are any more questions.

Moderator: Thank you so much, Dipen. Ladies and gentlemen, we will take that as the last question for today. I will now hand it over back to Mr. Ashok Atluri. Over to you, Sir!

Ashok Atluri: Thanks Swapnil. Overall I want to make most of the points were covered by that but overall that what I want to say is we are very excited as a management of the Company that the way things are going and we expect the orders have started coming and we expect new orders to come in for simulators and little later much later the orders from anti-drone systems and one question that nobody touched upon was acquisitions. What is happening with acquisitions? We actually are looking to acquire more companies and I think they will really add a new dimension to the Company the way, ARI acquisition and other acquisitions have happened. I think this will be very, very interesting acquisition with huge revenue potential. We will be acquiring and we are looking around for companies. I think that will be very, very good news for our investors. Fortunately, even though we have deployed most of the QIP funds, some
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funds are still there, but fortunately, we have built up enough cash to actually invest in very, very interesting companies and this was one part that was not covered and again, the integrated smart border suite is something we are excited. I think this is again a very large order and Zen is really geared up to take advantage of that. There are new things coming up, the laser based direct energy weapon systems and some of technologies are really in the works in R&D, which we cannot tell at this point in time, but as we go ahead we will be announcing them. They are really cutting edge, not only from India's point of view, but world's point of view. So I think we are looking forward to that and I think, thanks for supporting us all through this and I think there have been difficult times for Zen and I see

that in spite of quite

a testing times you have stayed with us, but I think the time has come that good news will start trickling in slowly and long-term holders will be rewarded sufficiently. Again, thank you so much for your support.

Moderator: Thank you. On behalf of Zen Technologies Limited, that concludes today's conference call.

Thank you for joining us and you may now click on the leave icon to exit the meeting. Thank you all for your participation.